Netweb Technol. (NETWEB)

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SUB: TRANSCRIPT OF Q1 FY24 EAR NINGS WEBINAR
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 20 15 (Listing Regulations), please find enclosed the transcript of Earnings webinar
for Q1 FY24 held on Monday , 14th August, 2023.
This is for your information and dissemination on your website .
Thanking you,
For Netweb Technolog ies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.NO A36610

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001.
BSE Scrip Code: 5439 45 To,
The National Stock Exchange of India Limited
“Exchange Plaza”, Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400 051
NSE SYMBOL: NETWEB

NETWEB TECHNOLOGI ES INDIA LIMITED
Q1 FY 24 EARNING WEBINAR
DATED: 14TH AUGUST, 2023

PRESENTER :
Mr. Sanjay Lodha : Chairman & Managing Director
Mr. Navin Lodha : Whole Time Director
Mr. Hirdey Vikram : Chief Sales & Marketing Officer
Mr. Prawal Jain : Chief Financial Officer & Chief Human Resources
Officer
Mr. Sanjeev Sancheti : Head of Uirtus Advisors LLP and Investor
Relations and Advising Firm
Mr. Sandeep Shah : Equirus Securities

Duration – 01:03:21
Sandeep Shah, Equirus Securities: Hi all. This is Sandeep Shah here. We are just waiting for one more minute as participants are joining and we will start the call soon. Thanks for waiting. Hi all. We can start the webinar now. So, hi, good afternoon and good evening to all the participant s. I am Sandeep Shah from Equirus Securities. I welcome all the participants, investors and senior management to Netweb Technolog ies India's post -result FY24 earnings webinar. Please note that this webinar is for 60 minutes and the same is recorded. Now I hand over the floor to Sanjeev Sancheti who is the Head of Uirtus Advisors LLP and Investor Relations and Advising Firm of Netweb Technologies India to introduce the senior management of Netweb and to discuss the safe harbor statement and the flow of the w ebinar. Over to you Mr. Sanjeev.
Mr. Sanjeev, Head of Uirtus Advisors LLP and Investor Relations and Advising Firm of Netweb Technologies India: Thank you, Sandeep. Good afternoon to all the participants. It is my pleasure to introduce to all of you the s enior management team of Netweb today to present the call. With me is Mr. Sanjay Lodha, Chairman & Managing Director of Netweb, Mr. Naveen Lodha, Whole Time Director, Mr. Hirdey Vikram, Chief Sales and Marketing Officer and Prawal Jain who is the CFO and Chief Human Resource Officer of the company. Before I hand over the call to Mr. Sanjay Lodha for the opening remark, I would like to draw your attention to the safe harbor statement in the earnings update presentation which was uploaded on the BS E and NS E website. Over to you Mr. Lodha.
Mr. Sanjay Lodha, Chairman Managing Director of Netweb (03:51): Thank you. Thank you, Sanjeev . Good afternoon and a very warm welcome to all of you to Netweb Technolo gies Q1 Financial Year 24 earnings webinar. I will take you through the business and operational highlights of the quarter gone by with our CFO Mr. Prawal Jain who will share the financial metrics. First of all, on behalf of Netweb team, I would like to th ank the entire investment community for the incredible response to our IPO. We really do not know how to thank each and every one of you for the faith imposed upon us. Your suppor

t and
trust in us impose on us a greater responsibility to deliver and meet y our expectations. I want to assure you that our entire team is committed to take Netweb to the new heights.
Let me discuss the key business highlights. Later, Pra wal can cover the financial highlights. The total income in Q1 FY24 stood at 602 million, a d ecline of 13.2% against the corresponding quarter in the previous year. In fact, some of the billing got spilled over to the next quarter resulting in this dip. Due to reduced income, EBITDA fell slightly to 90 million. Consequently, there was a marginal decrease in PAT from 56 million in Q1 23 to 51 million in Q1 FY24 while the PAT margin increased by 38 ba sis points to 8.5%. Despite the decline observed in the current quarter, we maintain our confidence in achieving robust growth in the current financial year. It's worth noting that evaluating our business solely on a quarter -to-quarter basis might not prov ide a comprehensive understanding. An assessment based on overall annual performance would offer a more accurate reflection of our progress. The combination of a robust pipeline, ongoing capability enhancements, new strategic partnerships and expansion of our operations and product portfolio positions us well for a sustainable growth while upholding our technological leadership. The recent notification from DGFT, restricting import of servers with effect from 1st November 2023 opens up a window of opportuni ty for us and as it aligns with our Make -in-India Driven growth potential. Growth of LLM models and massive adoption of AI across businesses argues well for our growth.
Business pipeline continues to be very strong at around 28,236 million. Out of that 5, 392 million we are already L1, means we have already won the orders but the purchase orders have not come. Since the order cycle is around 6 to 9 months, we expect most of the orders against this to be received in the next two quarters. While July being a strong month, 994 million orders in hand, a large L1 pipeline, we are very confident to close H1 on strong growth.

Future opportunities :
We are very excited to announce a significant milestone in our pursuit for technological excellence. With unwavering commitment to innovation, we have successfully entered into a transformative license agreement with a renowned industry leader like Intel. This groundbreaking partnership empowers us to embark on a journey towards producing cutting -edge high -end computing system s based on Intel's next generation architecture. We also plan to introduce low -power RISC -based ARM architecture based high-end computing system in the Indian market. This will be very innovative. We believe this is a

significant step forward as it w ill help us to acquire critical cases where enterprises will be compulsorily needing the lowest footprint of data center, high -end servers and multiply the performance of systems with more force and power per work.

In response to the dynamic shifts and evolving landscape within our industry, we are proactively positioning ourselves to harness the full potential of emerging opportunities. With a steadfast commitment to innovation and growth, we are embarking on a stra tegic initiative that underscores our dedication to staying at the forefront of technological advancement. Central to this initiative is our decision to establish a state -of-the-art surface -bound technology (SMT) line within the forthcoming six to nine mon ths. To ensure the swift realization of th is endeavor , we have elected to set up our SMT line in rented premises. By utilizing the rental premises, we are poised to expedite the deployment of our SMT line effectively accelerating our time to market for cut ting-edge products.

Emerging businesses :

As we for ge ahead in our journey, a window of opportunity awaits us. Mass adoption of AI in enterprise and general workloads by lar

ge corporates is generating very large requirements of AI computer

systems. Fresh requirements of cyber secure hard ened high-end computing system specifically amid latest cyber -attacks on the foreign OEMs gives a big opportunity for us. Large learning models (LLMs), is such a large opportunity that it compels us to create a new vertical requiring very high -end AI computer systems. Private 5G architecture has major dependency on high -end compute system and is creating altogether a large opportunity.

Adoption of private cloud by BFSI specifically the public sector banks is a big-time opportunity for us as more and more banks are coming out with tenders for the private cloud deployment .

Adoption of HPC in oil and gas sector is also on the rise. Having work ed on migration of workloads o f HPC of one of the India's largest oil and gas exploring business puts us in an advantageous position to capitalize on this large emerging opportunity.

We are progressing well on our foray into the Netweb Switches and 5G ORAN. Netweb Switches are planned to be rolled out by end of Q3, while 5G ORAN is expected by end of financial year 2024.

Apart from the above emerging opportunities, national strategy on AI with an allocation of more than Rs 50,000 million also provides a significant impetus to our business.

I would now like to hand over to Prawal to provide you updates on the financial num bers. Thank you.

Prawal Jain, CFO and Chief Human Resource Officer:

Thank you, Mr. Lodha. Good afternoon, ladies and gentlemen. Many thanks for joining the earning webinar. I will give a brief overview of the financial numbers for the quarter before we open up for the Q&A session.

I hope everyone would have got a chance to look at the earning presentation and the press release by now. While our C MD has already cover ed the reasons for the dip in business, I will try to explain in a more gradual manner the financial performance of the quarter gone by .

As already explained, our revenue from operations fell by 13.7% year -on-year basis from Rs. 693 million in Q1 financia l year 2023 to Rs. 598 million in Q1 financial year 2024, due to the spillover of billing into the next quarter.

Our gross profit grew by 14.8% from Rs. 193 million in Q1 financial year 2023 to Rs. 222 million in Q1 financial year 2024. This growth was on account of higher gross margins. Our gross margins grew by 920 basis point as compared to Q1 financial year 2023. This happened due to some higher margin orders being aggregated in the current quarter. However, over the year, our margins should average out to the year-end of over 27%.

There was a fall in operating EBITDA from Rs. 94 million in Q1 financial year 2023 to Rs. 86 million in Q1 financial year 2024. This was on account of higher employee benefit expenses which increased by around 95% from Rs. 5 0 million in Q1 financial year 2023 to Rs. 98 million in Q1 financial year 2024. This was on account of ESOP costs of around Rs. 35 million in the current quarter and increase in employee account whereby we added 50 people during this period. The increase was partially set out by fall in other expenses which fell on account of lower sales related costs. Hence EBIT margin expanded by 88 basis point to 14.4%. However, even though the gross profit margin will even out over the year, we expect to maintain at le ast these levels of operating EBITDA margins due to operating leverage as revenue starts climbing up in the coming quarters.

PAT declined marginally from Rs. 56 million in Q1 financial year 2023 to Rs. 51 million in Q1 financial year 2024, while PAT margin increased by 38 basis point to 8.5%.

Return on equity fell from 47.4% in Q1 financial year 2023 to 16.7% in Q1 financial ye ar 2024. The main reason or the dual reason for this impact is the increase in net worth on account of pre -IPO equity money coming in and a slight decline in PAT level

s.
During the quarter net current asset went up to Rs. 1115 million from Rs. 510 million in Q1 financial year 2023, while cash conversion cycle increased to 140 days from 84 days in Q1 financial year 2024. This increase was largely due to one large customer outstanding of Rs. 432 million against a large order which was subsequently realized i n the ongoing quarter. This was a one -off situation which is unlikely to happen in future and hence can be assumed to be outlier.
While we continue to remain focused on our strategic priorities and growth pillars, laying emphasis on our long -term goal of sustainable growth and profitability, I would like to assure you that we are confident of achieving strong revenues and profit growth in the current financial year. With this now I hand over the call to Mr. Sandeep Shah.
Sandeep Shah, Equirus Securities:
Thanks, sir. So, with this we come to the end of the opening remarks. We can now open the floor for Q&A. Participants request you all to restrict to two questions in the initial round and for more questions request you to join the queue again. Participants whoever wants to ask question please press raise hand icon on your screen and once your turn comes unmute yourself, announce your name and company name first and then ask your question. Once you get the reply to your question, please lower your hand on th e screen. Participant, please raise your hand icon to ask your question. Yeah, Mr. Satadru, you can go ahead and ask your question, unmute your line and introduce yourself. Thanks.
Mr. Satadru Chakraborty: Hello, can you hear me? Is the line clear?
Sandeep Shah, Equirus Securities (16:25): Yeah, we can hear you.
Mr. Satadru Chakraborty (16:30): Okay. Congratulations on a fairly good EBIDTA margins. I had a couple of questions
Sandeep Shah, Equirus Securit ies (16:44): Mr. Satadru, your voice is coming out very loud.
Mr. Satadru Chakraborty (16:52) : Is it better now?
Sandeep Shah, Equirus Securities (16:56): Yeah, much better.

Mr. Satadru Chakraborty (16:58): Okay, I hear some sort of an echo. So, my first question is really on the turnover ratio. I see that fixed asset increase by almost 95% year -on-year, that's why the ratio has come down. Is there some sort of guidance that you want to give around how this ratio should evolve in the coming quarters?
Mr. S anjeev, Head of Uirtus Advisors LLP and Investor Relations and Advising Firm of Netweb Technologies India: Yes, so just to answer that, that some of these assets, our second facility was being built and those have been capitalized. I think that the revenue for that will come in the coming quarters. So, I would say that an average of what we achieved in the last year would be taken as a medium to long -term benchmark. But as we build capacity, there will be times when before they come into production, we will have some of these dips which you see today. And also, secondly, that this quarter was also a bit muted. So, obviously, the numerator also was smaller. So, I mean, these are the combined reasons that you could say where the fixed asset turnover ratio. So, we can look at a range which would be largely between anywhere between 15 to 20 on an average.
Mr. Satadru Chakraborty: Okay. My continuation on this question is in your IPO document, you have mentioned that approximately 53 -55% of the revenues are coming from government contracts. So, is it fair to say that the revenue generation is lumpy, meaning before you generate much more revenues? Does that mean that the EBIDTA margins of the last quarter are significantly better? So, do you see any sort of lumpines s?
Prawal Jain, CFO and Chief Human Resource Officer: Can you just repeat , I basically missed your voice in between. Can you please repeat your question again, please?
Sandeep Shah, Equirus Securities: Yeah, Satadru, it's again, from your side, there is a lot of echo

when you are asking questions. So, if you can remove the hea dset and speak from the mic, it will be great.
Mr. Satadru Chakraborty: Okay.
Sandeep Shah, Equirus Securities: Mr. Satadru, if you can repeat your question, it would be great.
Mr. Satadru Chakraborty: Yeah, can you hear me? Is it better?
Sandeep Shah, Equirus Securities: Not really.
Mr. Satadru Chakraborty: Okay, then I will probably just type my question on the Q&A, that is easier.
Mr. Sanjeev, Head of Uirtus Advisors LLP : If you type it on the chat, we can kind of take it and then answer it from there. Sandeep can read it out for us.
Sandeep Shah, Equirus Securities: Yeah, participants who have questions, please raise your hand. Yeah, we have Mr. Vikrant Gupta from ICICI Prudential life insurance, go ahead Vikrant unmute yourself and ask your question.
Mr. Vikrant Gupta, ICICI Prudential life insurance: Yeah, hi, am I audible?
Sandeep Shah, Equirus Securities: Yeah, you are audible.

Mr. Vikrant Gupta, ICICI Prudential life insurance: Yes, two questions from my side. The first one would be on the data that you have given in the presentation around the pipeline and the L1 orders. So, what I would like to understand is, how does this translate into your revenue exactly? W hat are the execution timelines? And how likely is it that the L1 orders actually translate into your order book for the following year? That's one. And the second one is, we have talked about how we would like to diversify the HPC side into the oil and ga s sector. So, if you could provide an update on any meaningful conversations that we're having with any customers and is something likely to be closed during the fiscal year.

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: So, thank you Vikrant. A ctually, as I have always maintained that our business is quite driven on by the pipeline we work upon, because

basically our customers are basically high -end enterprise customers and government customers, R&D customers. So, the pipeline is very important for us. So, as you know, as I think we have shown on the presentation, we have a pipeline of around 2800 crores approximately, if you really see. And out of that, we are already L1 in approximately 539 crores worth of basically tenders or the orders or the cases actually. So, what happens is that basically, since these are all large purchases and infrastructure kind of obviously capital purchases. So, once you get L1, it takes time for the order to come in and all. So, normally, what we have seen is that th e normal time it takes for after you become an L1 to get to order is around 6 or 7 months approximately. So, we definitely see that these orders will be coming in the next quarters to us. And as you know, our execution cycle is somewhere around 6 to 12 wee ks or in some cases around 16 weeks. So, basically, we will be able to bill them out easily. Okay. And as regards the breakup is concerned, approximately if you really see out of this, basically the L1 orders, we have the mix is almost on the screen. And f or the AI systems, and all the different areas which we are working upon. So, that is one. And is basically if I understand , the second question was on oil and gas. So, basically, as you know, we have been working on oil and gas HPC applications, and there are very few people in the country who are doing that. And we already worked with an oil and gas major , we completely migrated all their applications and we work very closely with them. So, at this point of time, what we are doing is we are working with various ISPs, like Schlumberger and other basically, and says and others actually, so as to basically certify our systems and stack with them so that more and more of these oil and gas application people will be using our products and services. Like we are into a very, very close like discussion with ONGC primary at their various loca

tions, Dehradun, Mumbai and various

places in India where we will work with them . So, that is another one, which is a large consumer for oil and gas that we are expecting soon. And since we get the ISP certification with the other ISPs, that will help us to get into more, more deeper into different oil and gas customers.

Mr. Sanj eev, Head of Uirtus Advisors LLP: Yes, Vikram, does that answer your question?

Mr. Vikrant Gupta, ICICI Prudential life insurance: Yes, it does. Thank you.

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: I am just requesting all the panelists to use only one device at a time and go on mute when you are not asking a question or answering. Thank you.

Sandeep Shah, Equirus Securities: Yeah, thanks. Thank s, Vikram. Participants, if you have more questions, please raise your hand. Sir, this is Sandeep Shah here. Let me ask the question. Sir, with 1Q execution, you said in your TV interview that FY24 sales will be higher than 600 crores. Can you throw some l ight in terms of segment wise growth perspective, which segment will be high growth segments in FY24?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Yeah, we have already worked on it and I will let Prawal explain it to you.

Prawal Jain, CFO and Chief Human Resource Officer (25:33): Yeah. So, Sandeep, if you will see in financial year 23, around 39% of sales were on HPCs vertical. So, we expect around the same percentage, around 38 -39% to be the sale for the current year from the same vertical of HPC. Private cloud and SCI were around 33%, which we expect to be in the range of 33 -34% again. And AI system and enterprise workstations was 7%, which we expect to be around in the range of 8 -9%. Then high-performance storage was in the range of 7% and w e expect it to be at that level only. And data center server was 6% and again, we expect it to be at that level only. Software and services, which was around 2%, we expect it to be in the range of 3 -4%. And rest is other spares and other things. So, that i s the breakup, which we expect for the current year.

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: So, if you really see, basically the area which we have been working, like basically supercomputing, private cloud, all these are very, very relev ant areas today, actually. And basically, with AI progressing and the way we are seeing that. So, we feel that all these sectors will remain very, very long since we are growing already at the CAGR of somewhere around 40% approximately, which we are target ing. So, all the areas are growth areas for us and all these areas are growing at a good momentum and giving us a lot of paces . So, this is how

the split looks like. And we are definitely working on AI. AI can be a game changer. This is exactly what we are looking at this point of time, but we feel that the percentages, which you have mentioned, on the AI side, it can be slightly higher than what we are really expecting at this point of time.
Sandeep Shah, Equirus Securities: Thanks. Thanks. This is good e nough. Participants, if you have questions, please raise your hand.
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Question on the chat box or something. Actually, in case if we can take that. Yeah, Mr. Chakraborty had a question.
Sandeep Shah, Equirus Securities: Yeah, I think he has not yet typed.
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: He is still typing. Okay, no problem.
Mr. Sanjeev, Head of Uirtus Advisors LLP: And one more, one question is already typed.
Mr. S anjay Lodha, Chairman Managing Director of Netweb: What is your capacity utilization for this product? For the DPP expansion? What is your capacity utilization for this product? Can you speak on the status of the DPP expansion? What kind of asset turn do you expect from this thing? And how does this improve our strategic confidence in the market? I

think you mentioned, I think you mean the SMT
expansion project as far as what I can understand. So, basically, capacity utilization as regards will remain almos t same basically, because as I mentioned initially also, in our case, our capacity utilization remains somewhere around 65 to 70% approximately. But what is exactly happening is that we are getting into a lot of SMT manufacturing. As I think I indicated on my opening remarks, we are trying to get into basically manufacturing of ARM -based servers. Okay, we basically already have a license, partnership with Intel, where we will be doing the next generation basically the motherboards, design and those will be manufactured. We are working on various AMD and different architectures. We have a complete array of products coming in. So, that will need us to basically, if we have the SMT line, that's the reason. Basically, initially, what we indicated was that the SM T line setup will be happening, we started getting benefit of it, maybe sometime in the 25 actually, financial year 25. But we want to do it faster. Because basically, since we will have a lot of products, and they will need specialized kind of manufacturi ng capabilities. So, we want to rush that faster. That's the reason we are trying to set that up faster. Basically, earlier they have given us a year approximately, but now we are pulling it to around six months. So, as to basically enhance our manufacturi ng facility. So, that is there.
Mr. Sanjeev, Head of Uirtus Advisors LLP : The second question is, roughly 50% to 55% of sales are from government?
Mr. Sanjay Lodha, Chairman Managing Director of Netweb (30:30): No, I don't. I really basically, actually, i f you really see my total, maybe last three years approximately, the sales around 50% of sale has been coming from the government. And I don't see any lumpiness in the sale primarily. And you already know that there is a new notification, which is there in the pipeline. Basically, as regards the DG of the notification is also there. So, that will push even the corporate sector as well. And I don't think of the government spending on supercomputing, on AI and all those things is really high. And we have a very huge funnel already, actually, really speaking. And that really speaks about the kind of, basically, the order projections we have. So, we are not seeing any kind of lumpiness in the game.
Mr. Sanjeev, Head of Uirtus Advisors LLP and Investor Relations and Advising Firm of Netweb Technologies India: I just want to add here, just to add, that this quarter's revenue, actually, customer, government customer was about 46% and non -government was 55%. And as Mr. Sanjay Lodh a has already been telling that, this kind of fluctuates between 45 -55, 55 -45, because that's how the nature of business is. That's one. The second thing is that H2 will always, in this business, be heavier than H1. It's like a one -third, two -third kind of a situation. And generally, Q4 and Q3 or Q4 are the heaviest quarter. So, to that extent, you are right. But that's the nature of the business. Also, request any anonymous attendee to please give your name and organization name for us to be able to answer your question.
Sandeep Shah, Equirus Securities: Yeah, yeah. Vikrant, from ICICI Pru Life, you have a question. You can unmute yourself and go ahead.

Mr. Vikrant Gupta, ICICI Prudential life insurance: Yeah, thanks for this follow -up. So, two questions again. If you could talk a little bit more about the plan to introduce ARM -based servers, where you've written that these servers are largely optimized for the newer AI workloads. So, is this largely an export opportunity that you see over the next few year s? And secondly, if you could talk a little bit about what you have mentioned in your investor release about the opportunity arising out of the import restrictions on servers. So, these two things, if

you could throw a little bit more light, sir.
Mr. Sanj ay Lodha, Chairman Managing Director of Netweb: So, your first question was on the AI side. So, basically, on the ARM -based servers, actually, really speaking, if you really see up till now, whatever Intel and AMD processors we use, they are all primarily x86-based machines, okay? And what has happened is that, you know, ARM is a processing technology which is primarily based on RISC, and that it's low power. It's going to be the major problem of the data centers, because when the compute is increasing, the power quantity is increasing. So, what is happening is that all the data centers, the major money is in power. The power consumption will be increasing. And as you know, ARM is a very, very innovative technology, which really reduces the power consumption and gives you very powerful output. There are two advantages of ARM at this point of time. One is that basically it is low power. The second is it can be very well AI -optimized. You are probably aware NVIDIA was trying to acquire ARM, but was not able to acquire it because of some restrictions with US laws. People, even at NVIDIA was really running it in a very big way. So, we will be one of the innovators, actually, in India. ARM servers are not being manufactured. We will be manufacturing ARM servers. We feel that there's a huge opportunity for ARM in India, because basically if you see the kind of ChatGPT that the basic language models which are being processed at this point of time, we feel that will really exponentially help. This particular ARM can re ally help the AI workloads to really excel and can take advantage of it very, very well. So, that is there. Plus, basically, adding on to your question of the export opportunity, definitely there can be export opportunities. But actually, in the current ye ar, while we are developing it, we are trying to target the domestic, and definitely we will target the export opportunities also, because large computers, the supercomputers which are going to be installed, that they will be on ARM. So, we are really, we are getting future ready there. The second question was that, basically, regarding your, basically, the import restrictions. So, the government of India, as you know that, have been very, very instrumental in requesting or basically asking people to manufa cture in India. In that, continuing that motive only, they are coming out with these restrictions, because you know, the security has been a major, major concern, actually. And basically, so they were trying to basically request most of the manufacturers t o come to the country, and they wanted to really promote domestic manufacturing. So, I think this is a direction in a very, very right way, in which they are putting, basically, putting restrictions directly, because as you know, with the kind of WTO restr ictions, they cannot put additional duty on something being imported here. So, they put it under import license. This is a very similar thing that happened to the TV industry, maybe around a year back, approximately, wherein, basically, the TV is less than 40 inches, but not being manufactured in India. There could be a similar kind of restriction there, wherein most of the TV manufacturing, local domestic manufacturing, is really taking off very well. And as regards th is, so we personally think this is a g reat move. This will really help, because what happens is, no one can really import complete servers from the servers, which are not made in India. They cannot import the servers into the country. So, definitely, this will help us. Up till now, make in Ind ia benefits are primarily available in the government sector. We are not only completely dependent on Make in India, because of the 50% of sales from government, 50% of sales from the enterprise customers. But still, basically, make in India, now even of the enterprise customers also, they will also hav

e to look only for Make in India products, because primarily, government is trying to restrict the completely manufactured products from outside .
Mr. Vikrant Gupta, ICICI Prudential life insurance: Understood. Thank you.
Sandeep Shah, Equirus Securities: Thank you, sir. We have next question from Rohan Nagpal. Please unmute your mic and introduce yourself before asking the question. Thanks.
Rohan Na gpal: Yeah, hi. Thanks for the opportunity. I just want to get your view on, help, I just want to understand what drives the underlying demand trend over here, where you're generating about 33% of

your revenue in Q1, in H1, and two thirds of your revenue i n H2. Like, if you could just talk about the underlying sales dynamics over that, that'd be helpful. Thank you.
Sandeep Shah, Equirus Securities: Mr. Sanjay, sir, you are mute , you have to unmute your mic.
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Are you able to hear me now?
Sandeep Shah, Equirus Securities: Yeah, yeah, we can hear you.
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Okay. So, hi, Rohan. It's a good question, actually . And basically, let me tell you, what happens is that, basically, in our kind of business, obviously, the business we do is primarily for high -end compute and this kind of business. So, basically, what happens is that, basically, in our kind of business, what we do is primarily for high -end compute and this kind of, basically, purchases are for B2B kind of purchases wherein people use it for, it's a capex purchase, either it's a supercomputing or a cloud or AI system, it's basically a capex purchase. And i f you see my customers also, they are always high -end enterprise and the government R&D, primarily. So, basically, we are not too much into the SM E kind of space. So, what happens is that, in first quarter, what happens is that people go on for planning an d all those kinds of, basically, what is their compute requirements are and all that. So, slowly, that gets picked up. Even in case of government

also, as you know, the new regulations, what they are doing is that at the end of 31st of March, all the money is going back to the respective bodies, which are not getting utilized. So, unutilized funds are not there. The new funds get generated. The new funds get sanctioned by the government also. And the same thing happens in the private segment as well. I thin k the private also. The first quarter, primarily, they primarily try to lay out their budgets and all those kinds of things . So, I think that is the basic reason. We have seen this structure over years, actually, and that is the industry has been seeing that trend regularly. Basically, the first quarter, the H1 is lighter than the H2. Around one third of business comes in H1 and around two -thirds of business comes in H2, actually.

Mr. Vikrant Gupta, ICICI Prudential life insurance: Okay, sir. Thank you. Oka y, sir.

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Thank you.

Sandeep Shah, Equirus Securities: Sanjay sir, we have a follow -up question from Satadru in a chat box. What he is asking is, in the AI systems and enterprise workstation segment, d o you see any challenges procuring CPUs from the likes of NVIDIA and AMD? And are you already incorporating 5 nanometer or 3 nanometer computer processor? Is this being demanded by customers? And are those in the pipeline?

Mr. Sanjay Lodha, Chairman Manag ing Director of Netweb: Yeah. So, basically, as regards, you know that NVIDIA is really, definitely, NVIDIA GPU demand is at its peak, actually. And very rightly said, it is definitely at its peak. But fortunately, we are very close to NVIDIA and basically , we have projected all our requirements very well with them. So, hence, basically, there are some, once, twice, we have got slightly delayed . But primarily, our supply has been assured by them, both by NVIDIA. An

d as
regards the processors are concerned, we use all the latest generation processors for NVIDIA and fr om AMD as well. And more than 90% of our GPUs are from NVIDIA. Only 10% of GPUs are from AMD. As regards CPUs are concerned, basically, we are using both the processors. Intel, AMD, bo th are being used for microprocessors. And, as you know, the new technology from NVIDIA, that's the reason we are getting into that. That is basically the ARM technology that is primarily from NVIDIA, wherein, basically, they are trying to use their own pr ocessor, going away from the x86 domain into the RISC architecture. So, that is another very innovative product which we will have so as to better the AI market very well.

Sandeep Shah, Equirus Securities: Thank you. Participants, if you have questions, p lease raise your hand. Raise your hand. We have one question on the chat. Mr. Kumar, how much order book we have currently and how much we can get in coming year?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Yeah, actually, basically, as you kno w that, as I think I mentioned couple of times, that basically our company cannot be judged on terms of

order book because, basically, our order book execution cycle is around 6 weeks to 12 weeks in normal cases. Like, basically, if I have an order for 100 crores at this point of time, if my order book is 100 crores approximately at this point of time, so definitely that will be built in the next 12 weeks for sure. And, in the meantime, the new order book will be built up. So, what happens is that, basicall y, we are driven by our pipeline. So, basically, if you see our pipeline, our pipeline, as I mentioned, is already 2800 crores and we already L1 in more than 500 crores of, basically, cases. So, that will all get converted into orders and our order book wi ll be built. As soon as it comes in the order book, basically, within 6 to 12 weeks, normally the order is getting billed .

Sandeep Shah, Equirus Securities: Okay. Thank you. Participants, if you have questions, please raise your hands.

Mr. Sanjeev, Head of Uirtus Advisors LLP and Investor Relations and Advising Firm of Netweb Technologies India: So, I think there is another question from Satadru. Satadru, I mean, can you just throw light as to from which organization are you representing? Sorry for this, bu t, you know, just to know.

Sandeep Shah, Equirus Securities: Yeah, Satadru, you can go unmute and answer.

Mr. Satadru: I am part of the Chakraborty family office based in Kolkata.

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Okay. So, your question is, can you throw some light on Skyl us product? Skyl us is a private cloud product. Okay. Basically, it's a basically, as you know that we do completely end -to-end. The hardware is completely designed by us. The software stack is fro m us and the service stack is from us. So, basically, we provide end -to-end and Skylus is a very, very popular product which we sell. Basically, it's been used extensively in the industry and our private cloud business. Skyl us is an important product. Basi cally, our customer, if you really see, all kinds of customers, all kinds of large enterprise customers are using our Skyl us for their private cloud. As you know that, basically, for large customers, private cloud makes a lot of sense because, basically, t hey have a huge compute requirement. They cannot afford just to go on the public cloud and pay the bills. So, better is to go on the private cloud and all of our clouds are hybrid. So, in case there is a burst work load, we will migrate to the public cloud with ease. So, basically, that makes a lot of sense. The best example today is, basically, as you see, the BFSI, all the public sector banks, they are all trying to get on private cloud and the market growing . With VMware and Red Hat, actually, definitely, they are only a software company. Primarily,

whereas we are an end -to-end company, we have our own
design ed hardware, we have the software and the service pack. So, that is one major difference, which I would like to say. The other is that their products are much more innovative and very well designed. That's the reason we are getting adoption and we are even able to take some of their customers.
Sandeep Shah, Equirus Securities: Thank you, sir. We have one more question in the chat box. This is from Mr. V ishnu Chhabra. He is asking, he is wondering, are you looking to collaborate with quantum systems?
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Yeah, quantum is basically... Excuse me. Yeah, so, basically, quantum is a game. Basically, currentl y, the market is still not ready for quantum. We have our plans on quantum. I don't think I'd like to disclose at this point of time, because basically, that is a big opportunity in the next two to three years. Definitely, the market will be ready for that . We are completely geared on that. So, that basically, we can take it on at that point of time.
Sandeep Shah, Equirus Securities: Thank you. We have another question from the (inaudible 46:07) in the chat box. We have talked about four countries in Europ e and the Middle East. On what lines we are targeting and which countries we are talking about?
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Yeah, so, basically, we are basically, if you see our product line, we are targeting our supercomputing solution. The main, we have a complete stack there. We do have our hardware and software. Same thing for private cloud and HCI and AI. These are the th ree areas which, basically, we are targeting to take into these different countries. We are targeting, at this point of time, Middle East is one of the countries, and then we are targeting four

countries in Europe. One is Germany, for the industries we wan t to target there. And the Telcos we want to target there. The other is the UK. I think we have two more countries there, actually. Maybe, I can let you know later. The strategy is that, basically, since our products need support and service properly, beca use all these are enterprise production -grade systems, so we need to have people, on -call support available in those countries. We are trying to have people there, to have our resources there, so they can support these people there.
Sandeep Shah, Equirus Securities: Yeah, we have another follow -up from Satadru Chakraborty. So, what he is asking is, is there any guidance on cost of material consumed for FY24? And he stated going ahead. It was around 73% in FY23. What kind of challenges, opportunities do you see procuring these materials for Netweb in terms of supply chain, availability, pricing, customer concentration, etc.?
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: I will let Prawal answer this for you.
Prawal Jain, CFO and Chief Human Resourc e Officer: Yeah, thank you Satadru. Regarding the cost margins, I think so we are talking about, so these have been in the range of 57% for the last year, and for this quarter, it was around 9 basis point higher. This was due to the fact there were some of the higher margin orders which got executed. So, for the year, we expect that the margins will remain in the range of 27 -28%. So, material cost will be around, you can say 72 -73% range only. Regarding your other question, I think so Mr. Lodha has already answered that supply chain, we have long term relations and we are very close to our suppliers, so supply chain will not be a problem for us.
Sandeep Shah, Equirus Securities: Thanks, thanks. Participants, if you have questions, please raise your hand. Sir , meanwhile, let me ask one more question. Sir, in your PPT, you have mentioned that there is a heavy adoption of private cloud in a PSU bank. So, can you throw more light on this and how are we participating in this

emerging opportunity?
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Can you come again on the question please? I missed your question.
Sandeep Shah, Equirus Securities: Sir, in your PPT, you have mentioned that there is a heavy adoption of private cloud in PSU banks in India. Can you throw more light on this and how are we participating in this emerging opportunity?
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: So, basically, what has happened is that the adoption of private cloud in the BFSI segment, primarily in the public sector banks is really taking up very very fast. The first among them is Bank of Baroda, which is already out with an RFP and is almost abo ut to get closed. Maybe we are targeting it, maybe even, I think, this quarter positively should get closed, actually. So, basically, it makes a lot of sense for them because they are able to manage its huge data. Because all the banks are large banks, the y have a huge amount of data. So, what happens is that, basically, if they handle the private cloud, if they are more secure, the cost and the billing is also very rationalized because they are able to manage it well. So, that's the reason adoption of priv ate cloud is one of the best ways to go about it. And currently, if you see, Bank of Baroda,

Bank of India, Canara Bank, all these three RFPs are already there and almost to the point of finalization. But you can see, all the banks will definitely have pri vate, all the public sector banks will have private cloud. And we, since we are there in the private cloud segment, and we have been instrumental with some of the large core banking software providers also. So, definitely, I think we are very well position ed. And in that situation, in cases, even if the case has been created by a large global system integrator or something, they definitely can talk to us and fix our solution . So, we are seeing a lot of traction around this. And I personally feel the next 3 to 5 years or 3 to 4 years is the time wherein, basically, the private cloud, SCI, will really dominate into the entire public sector.

Sandeep Shah, Equirus Securities: Thanks. Thanks. We have a follow -up from Vikrant Gupta from ICICI Prudential Life. Unmute yourself, Vikrant, and go ahead.

Mr. Vikrant Gupta, ICICI Prudential life insurance: Yeah. The question was around the seasonality that we see in financial . Is this sea sonality also present in your private cloud implementations and your storage solutions?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Actually, really speaking, this is the same, t he trend is like that only. Because if you really see, the private cloud is also, in fact, a kind of a large -capex -purchase, same as supercomputers. So, definitely, in H1, basically, the H1 is around one - third of the business and two -third of the business comes from H2. That has been the normal trend. But adoption of pri vate cloud is increasing, and basically, in the first quarter, normally, people do the planning and all those kinds of things . Basically, this is a large -capex purchase, and basically, the entire company's data is completely hosted on that cloud. So, it is a very, very critical piece of machine inside the organization. So, what I have personally seen in my experience is that I think the same seasonality is contained as regards even storage also because storage is normally also a subset of the entire environ ment. So, we have seen in the storage cases also, and we do only high -end and large storages. So, in that also, I think this maintains.

Mr. Vikrant Gupta, ICICI Prudential life insurance: Okay. So, in storage, in FY23, I think we saw Q1 sales being higher than Q4. So, is there anything specific?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Actually, what happens for us is that storage is a subset of our main product, actually. So, what happens is that, ba

sically, with the

supercomputing solution , the storage goes. With cloud also storage goes. Now, basically, in case of... So, really speaking, we really don't focus only on the high -end storage kind of a solution. Okay. Well, the major focus goes into the kind of a solutions primarily in the priva te cloud and SCI and all. The high - end storage is normally a subset of the, like, when we sell our large supercomputing solution to a main algo trader, maybe , basically a large algo trading organization or basically who do analytics trading. So, we give th em a supercomputer and then, basically, they need a fast storage so that, basically, all the kind of data analytics which they do, that needs to be done. So, basically, they need that. So, since we have... So, basically, it's a subset of that. So, primaril y, storage we personally... We feel storage will only grow as per the other growth is happening. So, if you see, the real growth will come from these segments like supercomputing, the cloud, the AI, and the services. These are the areas which will really be growing for us.

Mr. Vikrant Gupta, ICICI Prudential life insurance: Understood. Thank you.

Sandeep Shah, Equirus Securities: Yeah, we have one more question from Nishant Vaas in the chat box. There are two questions. First being, can you give more perspective on the kind of customers in India who are adopting high -end AI compute for things like large language models? Is this private or government -driven? What kind of other partnership we can expect now that we have announced partnership with Intel a nd ARM -based companies?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: So, basically, actually, we see today, basically, AI adoption is happening everywhere. I'll tell you, all the large GSIs which I call them, I think, Infosys , PCS, and all these kinds of companies actually, they all have customers who are asking for these kinds of solutions . So, definitely, basically, what happens is that we really work with them so that they need the solutions and the systems so that they can work on that. That is on the private side. So, you recently heard some of them announcing some kind of large setups, primarily providing various ways to catch up with the adaptive AI. The other is that the government is very, very serious about it, and basically, I think, we are at this stage. Not like to mention very clearly, but there is a heavy activity happening inside the government because they also, they are understanding the potential of the LLMs and the kind of basically adaptive AI kind of traction which they are ge tting. And you already know that like Aravat, we deployed last year, which they are considering only as a POC, and primarily, there is the new AI polic y already announced by the government, and a huge amount of money is being sanctioned out there. So, ther e will be a lot of money from the private as well as the government. So, AI adoption is really something which is really spreading very, very high. We are all focused to take that up as we have the right mix of products. What is the next question?

Sandeep Shah, Equirus Securities: Yeah, he has a second question. For Make in India, due to policy changes recently, how are you engaging with potential customers? Would you need to do additional investment in case this opportunity becomes higher share of your rev enue?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: Yeah, actually basically, the Make in India, since basically we are already part of the government's AI policy, we are already basically manufacturing most of our products in India. Our softwar e is being developed in India. So, government is really, we are getting good support from the government. We are already engaging our customers but basically with the new policy which is the new DGF notification that has come, s o that will definitely need even all the private enterpr

ises also who were earlier able to buy something from foreign manufacturers. They will be also coming back to us. So, definitely we feel there is a lot of potential here. But again, we want to keep our focus here. We don't want to become a box seller as basically that was never an intention to become a box seller. We still like to maintain that we want to become, we want to be a high -end computing solutions product and solutions company not become a box seller, just basically sel ling box sales or something of that nature that has never been an idea. That is very well reflective from the kind of gross margins we have. So, we would like to maintain the core of our business. I have maintained it for 25 years and still would like to r etain that.

Sandeep Shah, Equirus Securities: Yeah. We may have time for one last question. Participants who have a question, please raise your hand. Sir, let me ask the last question. In terms of the D GFT order which has come restricting imports, some of the computer hardware, will it impact some assembly imports which we do and our execution of orders?

Mr. Sanjay Lodha, Chairman Managing Director of Netweb: No way actually. This will not impact us at all. I cannot think about even one point whether it is going to basically block us or something of that nature. It is an enabler for us and basically government wants to manufacture in India they are very clear about it. They have come up with wonderful policies even for the semi -conductor side and all the areas. They have wonderful policies and government is helping to manufacture. It can happen in India. You have already seen the mobile phone case. I have already mentioned to you about television systems and how they have converted that. And they are very cle ar that people can understand two things. There are two areas. It is not to affect the industry or something of that nature. One is the security concern. We are fully aware about the security concerns which is there. And this is not only India. The other l arge countries one of the largest economies in the world is also facing similar challenges so even they are also trying to restrict. So, basically in the same direction security is a major issue. So, government understands that once things are getting manu factured locally, they can really tackle that problem in the long run and it can become a major issue. Basically, they have to control the balance of trade. The import bill is going up like anything and actually they really need to do that. And you already know that some of the world's major mobile phone manufacturing companies are already in the country and very successfully the y have been doing it. So, we definitely believe that they are in the right direction and I think this will really give impetus to the local manufacturing and basically that will also help us to develop technology locally. It is not only manufacturing. Sinc e this will happen, it will also help to develop the technology also and the most important is they are targeting the semiconductor industry. They want to develop the semiconductor industry. Until there is a manufacturing shifts to the country the semicond uctor industry is not going to come to India. So, basically this will also trigger the growth of the semiconductor policy for the country. So, I think they are all positives actually. Thank you.

Sandeep Shah, Equirus Securities: Okay sir. And sir last ques tion and then we can conclude. Status on commercialization of new product lines in the telecom segment of the Network switch and 5G ORA N and any initial response from the client on any of the ongoing POC type of concept in these new product lines?

Mr. Sanj ay Lodha, Chairman Managing Director of Netweb: Networking is almost all basically we have really received very good interest on our products. We have already basically , we have already just started using on some of our cloud projects and one of the

large cloud projects which I am not able to announce at this point of time but we already we are trying to adopt that there. So, as you know that networking switch demand is very high in the market. So, we definitely think they are all on track and basically beg inning of next quarter onwards we will have the networking completely rolled out and as I mentioned to you by financial year end basically our 5G ORA N stack should also be ready and we will be there in the Indian Mobile Congress. If any of you are there, w e would like to showcase our products there then you can have live view of make in India 5G kind of a solution.

Sandeep Shah, Equirus Securities: Okay fair enough. Due to time restrictions, we need to end this webinar and thank you all participants senior management of Netweb and Mr. Sanjeev sir for attending the webinar. Sanjay sir you want to give any closing remarks or else we can end the webinar here.
Mr. Sanjay Lodha, Chairman Managing Director of Netweb: I am really thankful to all my investors for showing confidence in us . We are a 25 -year-old company and basically, we are always committed and we have been very serious about our projects. I am completely involved in the business and we will take it forward in a very good manner and we will stand up f or your expectations. Thank you.
Sandeep Shah, Equirus Securities: Thanks a lot, to everyone for attending this webinar. Thank you all once again.
Mr. Sanjeev, Head of Uirtus Advisors LLP : Thank you everyone.

Call: Dec 2023

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Date : 07.11.2023

SUB: TRANSCRIPT OF Q 2 FY24 POST RESULTS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 20 15 (Listing Regulations), please find enclosed the transcript of Post results earning call for Q 2 FY24 held on Thursday , 02nd November , 2023.
This is for your information and dissemination on your website .
Thanking you,
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.NO A36610

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001.
BSE Scrip Code: 5439 45 To,
The National Stock Exchange of India Limited
“Exchange Plaza”, Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400 051
NSE SYMBOL: NETWEB
NETWEB TECHNOLOGIES INDIA LIMITED
Q2 FY 24 POST RESULTS EARNING CALL
DATED: 0 2ND NOVEMBER, 2023

PRESENTER :
Mr. Sanjay Lodha : Chairman & Managing Director
Mr. Hirdey Vikram : Chief Sales & Marketing Officer
Mr. Prawal Jain : Chief Financial Officer & Chief Human Resources Officer
Mr. Sanjeev Sancheti : Head of Uirtus Advisors LLP and Investor Relations and Advising Firm
Mr. Sandeep Shah : Equirus Securities

File name – Netweb Technologies India – TRANSCRIPT OF Q2FY24 Results Call
Duration – 01:03:20
Speaker1 (00:01): Yes, the call has started.
Sandeep Shah, Equirus Securities (00:26): Sanjeev sir, I am starting.
Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP , IR Advisory Firm of NetWeb Technologies India Limited (00:29): Yes please.
Sandeep Shah, Equirus Securities (00:25): Yeah, so hi, good afternoon, good evening to all the participants. I am Sandeep Shah from Equirus Securities. I welcome all the participants and investor and senior management to Netweb Technolog ies India post results 2Q at FY24 earnings webinar. Please note that this webinar is for 60 minutes and same is recorded. Now I hand over the floor to Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India , to introduce the senior management of NetWeb and to discuss the safe harbour statement and the flow of the

webinar. Over to you, Mr. Sanjeev.
Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP , IR Advisory Firm of NetWeb Technologies India (01:12): Thank you, Sandeep. Good afternoon to all the participants. It is my pleasure to introduce to all of you the senior management team of NetWeb today to present the call. With me are Mr. Sanjay Lodha, Chairman and Managing Director, Mr. Hirdey Vikram, Chief Sales and Marketing Officer and Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer. Before I hand over the call to Mr. Sanjay Lodha for the opening remarks, I would just like to draw your attention to the safe harbour statement in the earning update presentation. Over to you, Mr. Lodha.
Mr. Sanjay Lodha, Chairman and Managing Director (01:46): Thank you, Sandeep and Sanjeev. Good afternoon and a very warm welcome to all of you to NetWeb Technologies Quarter 2 Financial Year 24 earnings webinar. I will take you through the business and operational highlights of the quarter gone by while our CFO, Mr. Prawal Jain will share the financial metrics. We are happy to state that company achieved strong top and bottom -line growt

h in the quarter gone by. The total income increased by 100% that is double, year on year and basically 145% that is 2.5 times quarter on quarter reaching 1480 million in quarter 2 for financial year 24. Net profit for the quarter grew significantly by 65.9% year on year and 197.4% quarter to quarter to 151 million. Our business pipeline remains robust at 31,479 million with 3,496 million already qualified as L1 bids . Given our typical conversion order cycle of six to nine months, we anticipate receiving most of the orders related to these L1 bids in the second half of financial year 24. On the back of our strong pipeline and robust order book of 2,174 million, we anticipate a much stronger second half. Future opportunities as mentioned in the previous earnings webinar, we have successfully entered into a transformative license agreement with the renowned industrial leader Intel. This groundbreaking partnership empowers us to embark on a journey towards producing cutting edge high -end computing systems based on Intel's next generation architecture. This milestone step will help us in establishing better control over the designs of the upcoming generation platforms. We also plan to introduce low power RISC based ARM architecture based high end computing systems in the Indian market. We believe this is a significant step forward as it will help us acquire big ticket cases where enterprises will comprehensively need the lowest footprint of the data center high -end servers and multiply the performance of system with more cores per power per watt. As you are already aware, in order to manufacture our products without relying on our third -party entities and to expand our portfolio by offering products on new generation latest architecture from Intel, AMD and Nvidia, as well as the networking switches, we have initiated the establishment of our own SMT lines. To capitalize on the emerging opportunities in the generative AI and 5G space, we are expediting the setup of SMT line by installing it in a leased premises. This will accelerate our capabilities and we anticipate that our SMT line will be operational by the end of this financial year itself. As you all may be aware, India has a significant potential to seize the opportunities presented by the growth of large language model that is LLM models and widespread adoption of AI across business worldwide marks adoption of AI in enterprise and general workloads by government and large corporates is generating very large requirements for AI compute systems. With our large deployments such as Airawat puts us in a different league and offers us an advantage so as to cater to the upcoming requirements around generative AI. In addition, fresh requirements of cyber security hardened computing systems especiall y amid the latest successful attacks or cyber -attacks on the foreign OEMs is a big opportunity for us. As ORAN opens up, private 5G and 5G architecture has opened up the space for us to provide our systems and solutions for CU, DU, RU and RIC thereby offering large business avenues for us. Adoption of private cloud by BFSI specifically by public sector banks is again a large opportunity for us as more and more banks are looking at private cloud deployments. Adoption of HPC in oil and gas is on the rise. Hav ing worked on migration of workloads on HPC for India as one of the largest oil and gas company exploring business puts us in an advantageous position to capitalize on this emerging opportunity. We are progressing well on our foray into networking switches and 5G ORAN. Network switches plan to be rolled out

by end of Q3 where 5G ORAN is expected by end of financial year 24. I would like to hand over the call to Mr. Prawal Jain, our CFO, to provide updates on the financial numbers. Thank you.
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (06:51): Thank you, Mr. Lodha. Good afternoon ladies and gentlemen. Many thanks for joining the earnings webinar. I will give a brief overview of the financial numbers for the quarter before we open up for Q&A. I hope everyone would have got a chance to look at the

earnings presentation and the press release by now. While our CMD has already covered the macro outlook, I will try to explain in more granular manner the financial performance of the quarter gone by. Our revenue from operations rose by 96.7% YoY basis from 737 million in Q2 financial year 23 to Rs. 1450 million in Q2 financial year 24. Gross Profit was at Rs. 392 million marking a YoY increase of 71.4% and a QoQ increase of 76.6%. Gross Profit margin was 27% , down from 31% in the corresponding quarter of the previous year. While the margin for the quarter decreased, the margin for H1 financial year 24 increased to 30% up from 29.5% in H1 financial year 23. This emphasizes that assessing our business on a quarter basis may not be or may not provide a holistic perspective. An evaluation based on the overall annual performance would offer a more accurate reflection of our progress. While the GP margin stood at 30% for H1 financial year 24, this was due to some high margin orders that got executed in Q1 financial year 24. Hence, as was explained in the previous earnings calls , margin over the year should or will average out to over 27% around. Operating EBITDA increased by 43.8% to 192 million in Q2 financial year 24. Operating EBITDA margins for the quarter contracted by 488 basis points year on year at 13.3%. However, the operating margin for H1 financial year 24 declined by only 231 basis points at 13.6%. This reduction was largely due to the impact of ESOP charge to the tune of Rupees 70 million in the current half as against nil charge in the corresponding period of the previous year. While the gross profit margin will even out over the year as stated above, we expect EBITDA margins to be in the range of 14 to 15% due to operating leverage which will come into play. Profit after tax for the quarter increased by 65.9% YoY basis reaching to 151 million and PAT margin for the quarter was at 10.2%. Return on equity fell from 56.9% in Q2 financial year 23 to 17.4% in Q2 financial year 24 due to increase in the Net Worth on account of IPO proceeds coming in. However, the ROE for the quarter has improved on QoQ basis by 72 basis points in spite of the increased Net Worth on account of IPO proceeds , driven by a significant increase in profit after tax. Similarly, Return on Capital Employed demonstrated an improvement of 323 basis points percentage on a QoQ basis rising to 22.3%. During the quarter, net debt significantly decreased to negative 0.3 million as compared to 239 million in Q2 financial year 23. Kindly note that this net debt calculation excludes un-utilized proceeds from IPO. Net current assets increased to rupees 3362 million in Q2 financial year 24 as compared to 1127 million in Q1 financial year 24. This increase was primarily due to unutilized IPO proceeds lying in bank deposits. The cash conversion cycle in Q2 financial year 24 improved to 108 days down from 140 days in Q1 financial year 24. This reduction was largely due to the reduction in receivables by 59 days, inventory by 73 days, pa

rtly offsetting by reduction in creditors by 100 days. We
continue to remain focused on our strategic priorities and growth pillars laying emphasis on our long -term goals of sustainable growth and profitability. On the back of a stronger quarter coupled with a robust order book and business pipeline, we are extremely confident of achieving strong revenue and profit growth in the current financial years. With this now I hand over the call to Mr. Sandeep Shah to take it further from here. Thank you.

Sandeep Shah, Equirus Securities (12:20): Yeah thanks, thanks Mr. Prawal Jain. With this we come to the end of the opening remarks. We can now open the floor for the Q&A. Participants request you to all restrict to two questions in the initial round and for more questions request you to join the queue again. Participants, whoever wants to ask questions please press raise hand icon on your screen and once your turn comes unmute yourself, announce your name and company name first and then ask your questions. Once you get the repl y to your question please lower the hand icon on the screen. Also sincere request to all the participants if you are not talking please remain on a mute to avoid the echo on the audio sound and then or enable proper hearing to the audio sound. Participants please raise your hand icon to ask your question. So, I think we have a first question from Renu Baid. Please go-ahead Ms. Renu Baid.

Ms. Renu Baid (13:18): Yeah hi, good afternoon team and congratulations for strong results. Numbers seem to be exactly on-line the way you had guided for. So, to start with the first question, can you share some more details and inputs in terms of the large order pipeline? A, the large orders that we have in the backlog today and how is the pipeline for these large ticket size orders looking for the next 6 months and typically the way you would earlier share what is the kind of overall order pipeline from government and private sector orders that you are looking over the next 12-15 months for your business? That's the first question.

Mr. Sanjay Lodha, Chairman and Managing Director (13:56): Thank you. Thank you Renu Baid for your question actually and definitely we will always try to strike by whatever we promise. The idea is that so basically as regards the order book is concerned, the order book has seen a considerable jump. So, basically the currently order book is somewhere around 217 crores approximately. Okay which was basically earlier used to be less but actually as I told you our company cannot be judged on the fact of the orde r book because order book conversion cycle is quite good. Actually in our case what happens is that between 12 to 16 weeks we are able to close the orders. Okay so basically we are a pipeline driven company. So, our pipeline currently stands off as somewhere around 3,100 crores, little more than 3,100 crores approximately. Out of that somewhere around 350 crores we are already L1 actually . Okay and so we feel there is a very, very robust pipeline already. We have already achieved 204 crores approximately in the last quarter. We have already an order book of around 217 as on as on 30th September and basically, which will definitely get built out in this quarter itself and plus basically, we will have a, since basically, we have the L1 at 350 crore, so basically, other than that also, we have a robust pipeline, so we are very, very, basically, I can tell you, we are very, very well on the track, so as to achieve our, basically, the growth CGR, which we have predicted and to achie

ve the ultimate objective of around 600 crore plus, which we are targeting for the year -end, actually.

Ms. Renu Baid (15:38): Sure, any large ticket size orders, sir, of typical those 100 crores kind of project size that we have in pipeline or that we are already L1 on?

Mr. Sanjay Lodha, Chairman and Managing Director (15:48): Basically, actually, I am not, suppose, I don't think we should, but basically, we have, there is one very large order from ISRO, which we are already working upon, we are already L1, we are expecting it at any point of time and basically, we have already won an order, basically, from one of the India's largest security firms actually, that is basically that is somewhat certain, which is already there, actually, in the order book as well, so we have large orders, actually, coming in even from the enterprise segment, we are seeing a lot of attractions of the enterprise segment as well, as well as the government, so basically, as regards business is concerned, we have a really, very, very robust and a very good funnel as well, which gives us complete confidence of achieving our numbers without any problem.

Ms. Renu Baid (16:31): Got it. And, sir, my second question is, if you look at the new product pipeline on which you are working, right from switching devices for telecom sector domestically in India under Make in India program, and the devices for 5G private operators, private operator applications, so what kind of opportunities you think could translate in terms of revenues for these businesses in the next two to three years? And how is the ramp up on the export portfolio with these specialized equipment that we are working through?

Mr. Sanjay Lodha, Chairman and Managing Director (17:05): Great. So, basically, as regards our product line is concerned, basically, it's ever growing, actually, what happens is that, as I already mentioned in the opening remarks, basically, working on the Intel new generation chipsets, and basically, in this technology domain, people who come with the newer technologies always get more traction because the performance is better than what the earlier products were. So, our kind of customers always want to focus on that. So, we will have our new servers, new designs are almost all ready, and basically should be, are almost ready to roll out as regards on the server side also, on Intel platforms, on AMD platforms, as I already mentioned to you, we are working on a very good, basically, product designs with AMD, with ARM, actually, which is with NVIDIA, which will be really a game changer. And how basically, generative AI is getting traction, and how, basically, generative AI, basically, India is also having a lot of, basically, getting a lot of uptrend primarily from the business potential with generative AI generating for the country at this point of time. So, basically, there is large infrastructure installations, which are being planned by all the major vendors all across, there is a lot of noise in the markets, we see that is there. Other than that, networking switches, as I told you, is basically, has got a very robust growth, and a number of products are about to be launched anytime this quarter itself. We did a very good show with the India Mobile Congress, our booth, got a lot of attention, and basically, we had a large booth there promoting our products as well. So, basically, we were showcasing our Make in India complete online solution with DU, CU and everything, everything integrated. So, we have generated a lot of interest around that, and this market is evol

ving, we feel that definitely, we will get good traction around that. As the export is concerned, definitely, we are on track, we are already working towards that, the new unit, which we are setting up is basically the tax exemption zone. So, that will help us so as to basically expor t easily. So, that is also being done. And plus, basically, we are already in the process of exploring various markets, because we see all these products have got good traction outside, and you can very well understand, under the current geopolitical situation, I think India has got a better place and basically acceptance of Indian products and solutions is also higher. And since basically, the

pressure on India will be there, rather than the other countries.
Ms. Renu Baid (19:46): Right. Sanjay ji, just to interrupt, your explanations are pretty elaborate, and thank you for that. Just the number that I was looking out for is for the two new product segments, 5G O-RAN solutions and networking switches, which you're planning to commercially launch by second half of next year. What kind of revenue potential do these two new product lines or segments could be in your view from a two to three year perspective? So, do we have any number that how large could be the networking switches profile for us from a two to three year business once it kickstarts? Or similar for the 5G O-RAN when we do on project basis with other EPC system integrators for overseas markets or so?
Mr. Sanjay Lodha, Chairman and Managing Director (20:30): Yeah, so basically, as regards network, I just like to basically correct, basically networking switches are being launched actually this quarter itself. Okay, and basically 5G O-RAN should be launched by the end of by March, approximately 24th. So, basically, definitely the product launch is all expected to be done within this year, only we want to do it. As regards basically networking switches revenue, we definitely have projected a revenue basically somewhere around I think 15 to 20 crores approximately this year. Okay, and as regards 5G O-RAN definitely as it has been launched during the end of the current financial year, we are not forecasting any particular revenue of this particular year. But definit ely next year, since you are seeing the way 5G adoption is happening and basically since Make in India has got again a significance, we need a very good head start there also. And plus basically international acceptance of the product launch also we feel will be higher. I feel definitely these will occupy a good space in our total revenue. But at this point of time, I'm not like to really comment on that. But you can very well understand that the other areas we are working are also growth areas. So, basical ly, they will slowly they will increase their total size in a product portfolio.
Ms. Renu Baid (21:46): Got it, got it. Thanks much and best wishes, sir. I'll get back in the queue. Thank you.
Mr. Sanjay Lodha, Chairman and Managing Director (21:52): Thank you.
Sandeep Shah, Equirus Securities (21:53): Thanks, thanks. So, we are next in line, Mr. Parv Jain. Go ahead, unmute yourself and ask question.
Mr. Parv Jain (22:01): Hi, sir. I am Parv Jain, an individual investor. Sir, on this Intel partnership, can you please throw some light on what exactly are we partnering for? And what is the incremental outlook we can see from this partnership?
Mr. Sanjay Lodha, Chairman and Managing Director (22:17): Yeah, actually, Intel partnership is primarily around basically what happens is that the new generation chipsets are being developed

regularly. So, basically, we have partnered with them so as to basically help them. So, basically design the servers of the new generations, new generation architecture, which is being announced. So, basically, we already have the design team in place. And basically, we have increased since Intel wants to focus more on the local manufacturing of the units as well as basically take it across also. So, on the Grand Rapids and the new platforms, we are all working with them so that basically we have the latest state of art platform ready, maybe if not earlier than others, but at least in time with others.
Mr. Parv Jain (23:03): So, we are developing an architecture for that server. Is that so, sir? Again?
Mr. Sanjay Lodha, Chairman and Managing Director (23:11): Come again.
Mr. Parv Jain (23:12): We are developing an architecture.
Mr. Sanjay Lodha, Chairman and Managing Director (23:16): Yes, actually, what happens is that we get the chipset designs from them and then basically we develop an architecture completely looking at our user requirements. So, basically, our servers are primarily designed for supercomputing needs, for cloud needs accordingly, the kind of basically the bandwidth, the kind of networking, the kind of memory bandwidth, the kind of basically the PCI Express bandwidth, those things are needed. Then accordingly, we design our products based on that.
Mr. Parv Jain (23:45): Okay, sir. And what is, I mean, how much are we seeing in monetary terms, this can be converted into and the outlook by when we can see this flowing in?
Mr. Sanjay Lodha, Chairman and Managing Director (23:55): Yeah, actually, basically, what happens is that currently also, if you really see in the total market also, in the server market, I think more than 70% of the market is being occupied by Intel, actually. So, definitely, since we have an early access and since we will be ready to launch with our products in that, we definitely think this will be very, very instrumental so as to maintain our growth rate.
Mr. Parv Jain (24:22): So, any figure, I mean, any estimated that you can throw for this?

Mr. Sanjay Lodha, Chairman and Managing Director (24:26): I told you, basically, if we are projecting a growth rate of around 40% CAGR, and basically, definitely Intel servers are a major part of it, because basically most, I don't want to really comment that what will be the competitive scenario, because we are working equally with all the major technology providers. But basically, since Intel has got a major share in that, so definitely, it will help us so as to make our growth very, very robust.
Mr. Parv Jain (24:54): Okay, sir. Thank you. I'll come back in the queue.
Mr. Sanjay Lodha, Chairman and Managing Director (24:58): Thank you.
Sandeep Shah, Equirus Securities (25:00): Thanks, thanks. We have next question from Ashish Rawat. Unmute yourself and go ahead. Ashish, you are not audible.
Mr. Ashish Rawat (25:10): Am I, am I audible?
Sandeep Shah, Equirus Securities (25:11): Yeah, now you are audible.
Mr. Ashish Rawat (25:13): Thank you, Sanjay ji. First of all, congratulations, robust results for this quarter. Sanjay ji, my question is that you have given the approximate turnover of 600 cr plus. Is this including the new SMT line and the switches manufacturing?
Mr. Sanjay Lodha, Chairman and Managing Director (25:30): Yes, this includes everything, actually. Basically, the SMT line will basically will be on only by the last quarter, actually. Actually, we had projected at the time of the IPO that this will come on-line by 2025, ac

tually. But since we are trying to work on several projects, so we wanted to speed up this process because we are basically working on various designs and we are overwhelmed with the kind of response we are receiving. So, we really like to fast track it and we wanted to set this up ASAP. And since our designs are very confidential to us, we also don't want to share it with third party. So, that's the reason, basically, I think the SMT line should be, will be coming in production only by late February or March, actually. So, we will not be able to take much benefit out of it within current year. But still, basically, because the current setup itself will be giving us the turnover which are projected.
Mr. Ashish Rawat (26:27): All right, sir. Thank you so much and best of luck.
Sandeep Shah, Equirus Securities (26:33): Thanks. Thanks. We have next question from Vimal Gohil from Alchemy. Unmute yourself and go ahead.
Vimal Gohil, Alchemy (26:40): Yes, sir. Thank you for the opportunity. Thank you. Sir, my question is on working capital. Very encouraging improvement over the June quarter. Just wanted to get a sense on how should we see this improving further going ahead? What should be our receivables, etc..? How are they trending as of September, October? Maybe if you can give us some sense. Thanks a lot.
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (27:10): So, our cash conversion cycle, if you will see, that has improved from 140 days in June quarter to 108 days. And going forward, we further see little bit improvement which can happen in it. And it can go in the range between 90 to 100 days. So, that is the optimal range in which our working capital or cash conversion cycle will move around.
Vimal Gohil, Alchemy (27:38): Understood sir. Thank you so much. That is all from my side.
Sandeep Shah, Equirus Securities (27:43): Yeah, thanks. We have next question from Jyoti Singh. Please unmute yourself and go ahead.
Ms. Jyoti Singh (27:52): Yeah, thank you for the opportunity and team congratulations on the good set of number. So, first question on the other income side, if you can explain why it is so high on both QonQ and year on year side.
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (28:05): So, this is basically of the IPO funds which have been invested in FDRs . So, the return from those funds have been translated into other income and it is high for the quarter and you will also note that it is higher on the H1 side.
Ms. Jyoti Singh (28:24): Okay, thank you, sir. And the next question on the H2 side. So, we are still expecting good numbers on the H2 side and also we will be having any impact of furloughs during Q3. (Overlapping 28:40) Yeah, leaves.
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (28:47): No, no, not in our type of business. There is no impact of furloughs and whatever has been, I think, so given guidance of that will come.
Mr. Sanjay Lodha, Chairman and Managing Director (28:59): Yeah, actually, I mentioned to you, basically, if you see a historical EOB also, one third of our business comes in the H1 and two third of business comes in H2 actually, that is how it has been always been progressing the same way. So, we are very confident of having those numbers and our order book, our pipeline really basically shows that as well.
Ms. Jyoti Singh (29:18): Okay, thank you so much, sir.
Sandeep Shah, Equirus Securities (29:22): Thanks, thanks. We have a next question in the message box. The question is, is the partn

ership with Intel exclusive to NetWeb and
how will this help NetWeb in its growth journey?
Mr. Sanjay Lodha, Chairman and Managing Director (29:36): Yeah, actually, basically, I cannot say that any partnership is exclusive to Intel, but this agreement is the agreement which we have with Intel, that is particularly on the server design transfer part. So, that definitely, that agreement only covers us very clearly, but we need to have agreements with others also. But at this point of time, as we are the only Indian OEM into this domain. And so basically, it's a very good choice for Intel to have us here. That is basically, it will help NetWeb, as I mentioned to you in my earlier question, around basically, if you see of the entire server space, around 70% of market is still, they used to be 90%, but at least 70% of the market is still basically based on Intel. So, definitely, once we have a very good latest design roadmap on Intel, that will definitely help us because you can understand that once somebody wants to have a cloud or a supercomputer, definitely the one who has the latest technology, that will save power for them, that will save basically, the total footprint is also low. So, there are more and more regions for customers to buy that. So, basically, I think that will really help us and that will really fuel the growth which we are projecting.
Sandeep Shah, Equirus Securities (30:51): Okay, thanks, Mr. Sanjay. We have next question on the message box from Vidhur Chhabra. What are your employee hiring plans? Are they specialists or they get trained in your facilities? Also, what is your approximate current employee count?
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (31:14): So, for the H2 part, we have approximately a hiring plan of around 70 people and there will be a combination of specialists and they will be trained on site also. Our current manpower is around 300 approx.
Sandeep Shah, Equirus Securities (31:35): Prawal sir, you mentioned that in the second half, you will recruit another 70 employees.
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (31:41): Yes, yes.
Sandeep Shah, Equirus Securities (31:43): Okay. I have third question in the message box from Sanika Khemani. Hello, sir. I just want to know what is the revenue growth guidance over the next two to three years?
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (32:00): So, in absolute numbers, we cannot say but our revenue growth will be something in the range of 30 to 40 percent CAGR growth.
Sandeep Shah, Equirus Securities (32:13): 35 to 40 percent?
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (32:15): 30 to 40 percent.
Sandeep Shah, Equirus Securities (32:17): Okay. Participant, if you want to ask question, please press, raise your hand icon. Sir, this is Sandeep here. Just my question is, when do you plan to introduce the ARM -based server using the RISC architecture? And is it you believe the growth opportunity through large language model still far away may be realized in FY25? Are you getting some inquiries from some of the enterprise clients in India on the ARM -based server and the LLM models?
Mr. Sanjay Lodha, Chairman and Managing Director (32:57): Yes, Sandeep. Actually, as regards to answering the first part of the question, the design work is already started. As you know, there are very few OEMs who are currently primarily trying to work on the NVIDIA's ARM -based architecture. They are among those. And ther

e is a huge demand
around it because you can very well, you are aware how the traction for generative AI has built up. You see all the major data centers, all the major data center provide rs in the country, all are running. So, as to have a setup on LLM, there were a lot of procedures in September from basically various, all the major data center providers or the ITS companies in the country or even basically large ITS companies like Infosys and all, they are all trying to set up their own generative AI, basically their test labs and all those kinds of things. People are trying to set up infrastructure for that. So, I think the market is really waiting for that. And there is a huge demand. Basically, even NVIDIA is not even able to provide the chipsets also. So, definitely, to answer the first part of that, that is there. The demand is there. And because of our products are concerned, we are definitely working on that at this point of time. I personally feel it should be launched by sometime maybe Q1 this year, end of Q4 this year, but early Q1. We are trying to do it for Q4 this year. But basically, I cannot promise you that it may be Q4 this year or Q1 next year. So, that should be there. But the earlier we come, the better it is for us.
Sandeep Shah, Equirus Securities (34:32): And Sanjay sir, just a follow up. Here also, everything end-to-end design of the motherboard would be done by us?
Mr. Sanjay Lodha, Chairman and Managing Director (34:39): Yes, it's already started. The process has already started. The end-to-end complete thing will be done by us.

Sandeep Shah, Equirus Securities (34:46): Okay, fair enough. We have next question from Debashish Mazumdar, who is from Motilal Oswal Mutual Fund. Go ahead, unmute yourself and ask question.
Debashish Mazumdar, Motilal Oswal Mutual Fund (34:57): Hi Sanjeev ji and hello team. Brilliant set of numbers. So, two questions. One is a little cliche. So, first one, the first question is, if I see the H1 number, the growth would be upwards of 45% and you are indicating better performance in H2. So, just try to get some sense that broadly, will you be able to end this year with more than 40%, 45% kind of growth? What is the visibility that you have? So that is the first question. And second question is, when last time we discussed, we have spoken about a large order from a PSU bank, any update on that side or any incremental order pipeline that you are seeing in the private cloud space from the banking sector in India? And the third question is, you have multiple segments, obviously high -performance computing, cloud computing, which are the areas you see more structural tailwinds today in terms of your growth trajectory? So these are the three questions I have. Thank you so much.
Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory Firm of NetWeb Technologies India (36:09): Yeah, regarding your first question on the two-year guidance. So, as we told that our revenues in H1 is around one-third of the total year revenue. So, two -third of the revenue is yet to come for the full year. So, we have already close to 205 crores. So, the path is clear of achieving our numbers, what we have set. Yes. Can you repeat your second question again?
Debashish Mazumdar, Motilal Oswal Mutual Fund (36:42): So the second question that I had was around your private cloud order from a PSU bank, which there was there in the pipeline, whether you caught that already? And is there any further pipeline of private cloud from Indian BFS space?
Mr. Sanjay Lodha, Chairman and Managing Direct

or (37:01): Yes. So, basically, it was
that we have got one of the orders actually, and others are in the pipeline. You see the order book, Debashis, you might have seen the order book. If you basically track us properly, you will see the order book. Order book is 217 crores already, almost a double of what it was last quarter, actually, maybe. I think even more than that. So, basically, that itself is a real testimony, which is showing that. Plus the funnel is also there. And plus basically, we are seeing a lot of traction from the PSU bank. Some of the orders have come, some orders are in the pipeline. But definitely, I will tell you, all the public sector banks will be going sooner or later on the private cloud, because that is the journey forward. And basically, we are very, very well geared up just to take care of the same. You had a third question also, Debashis.
Debashish Mazumdar, Motilal Oswal Mutual Fund (37:51): Yeah, yeah. So, before going to the third question, another point that I have noticed that your order book has increased significantly, despite that your pipeline or funnel is also up. So, my sense is that you are able to, despite large order wins in Q2, you were able to replace the funnel with further large orders. Is my understanding correct?
Mr. Sanjay Lodha, Chairman and Managing Director (38:12): Yeah, yes, right, actually.
Debashish Mazumdar, Motilal Oswal Mutual Fund (38:16): And third question that I had was, you have multiple segments, the high performance computing and private cloud, and again, some business with government, some business with private, which are the areas you see more structural tailwinds today? And so if you can answer that, then I have one more question.
Mr. Sanjay Lodha, Chairman and Managing Director (38: 33): Yeah, I will put that question to Hirdey to answer it for you Debashis.
Debashish Mazumdar, Motilal Oswal Mutual Fund (38:38): Yeah, please. Hi Hirdey . (Overlapping 38:41) The question that I had was, so in the multiple segments reporting that we do, high performance computing, private cloud and stuff. So, which are the areas which where you see the maximum structural tailwind today? I'm not talking about this year or next six months or something like that.
Mr. Hirdey Vikram, Chief Sales and Marketing Officer (39:01) : Structural what?
Debashish Mazumdar, Motilal Oswal Mutual Fund (39:04): Structural growth, where do you see the maximum growth?
Mr. Hirdey Vikram, Chief Sales and Marketing Officer (39:08): See, we have always been saying that, see, there are two major pillars in our case. One is, the supercomputing part and second is...
Sandeep Shah, Equirus Securities (39:18): Hirdey sir, sorry to interrupt, can you speak closer to the mic or slightly loudly?
Mr. Sanjay Lodha, Chairman and Managing Director (39:24): Yeah, actually, what basically, I'll try to answer it, maybe Hirdey can basically say that. So, basically, as regards, if you really, if you really see, as basically our, if you see the revenue kind of split, if we

give the HPC and private cloud, these are the two large piece for our business, and they have remained a large piece for our business. We have been constantly telling it from the point of time of IPO itself, that both are growth areas, supercomputing is growing and the cloud computing is growing. So, basically, problem wherein basically all the segments we have there, they are all growth segments. The other segment which we see will grow is basically the AI segment, actually, which we'll see which will grow. But what happens

in
our case is that, that all the segments are also very, very closely related to each other. AI and supercomputing is also very closely related to each other. So, in nutshell, what I will say is that, that I feel that definitely HPC and private cloud would be the leading segments for us. And basically, AI and the services will keep on boosting, and they will be slowly, they will be slowly increasing their share in our total portfolio. I think I am right, Hirdey Ji?

Mr. Hirdey Vikram, Chief Sales and Marketing Officer (40:32): Yes, yes.

Debashish Mazumdar, Motilal Oswal Mutual Fund (40:34): One question is that this high growth trajectory that we are following, and my understanding is we are working in a space where manpower availability in India is a very tough challenge. So, what is your plan around that? And do you getting sufficient manpower to address this growth opportunity in this industry?

Mr. Sanjay Lodha, Chairman and Managing Director (40:58): Debashish, you are seeing that we have 70 people, just my CFO and CHR O has mentioned that 70 people we are going to employ, we already a strength of around 300 people. So, approximately you can say that around 30% more people will be employing in the next half actually. So, definitely we want more people, definitely people has been the major challenge. We went IPO only primarily for the purpose of basically the main purpose and to have the to attract talent. And I think that we are trying to achieve that goal. And definitely, I will never like to say that manpower is not important. Manpower is the most important in our journey. And we are doing everything so as to basically attract the right manpower for us. Only thing is that you need to have confidence in us.

Debashish Mazumdar, Motilal Oswal Mutual Fund (41:43): No, sir. So, the question was not around confidence question was, are you facing challenge in getting the proper manpower available? I was not doubting that you will be hiring people. I was doubting that. See, what happens is, we may plan a very long growth trajectory, but what happens is some challenges may come which is not under our control. Here, in case of us manpower availability could be one challenge, which can come from external this thing. So, that is what my point is.

Mr. Sanjay Lodha, Chairman and Managing Director (42:13): I understand your point. Actually, really speaking, that is the challenge which I want to face. And plus, basically, if you see my total trajectory also, you will feel that basically whatever growth trajectory which we are forecasting, that is completely very good. Because I told you, we already whatever I committed, we tried to deliver that. Okay, last quarter, we delivered it. Next, basically, I wanted to be at around 200, which my CFO has mentione d to you 205 crores, we already did. We have an order book of 270 crores as of 30th September. Okay, and basically, you see the kind of pipeline is there, actually, which is being added. So, basically, whatever growth trajectory we are seeing, we will definitely achieve it. Definitely, the new product lines and all the things which we are trying to do definitely add to our year. But we want to be a bit conservative in basically mentioning that kind of things. We really want to basically give a very, very, we want to give a very reasonable statement to the market. So, we don't create over expectations. So, manpower is definitely a challenge. But basically, we are addressing it very well. And our basically going public, getting listed is also helping us in that journey.

Debashish Mazum

dar, Motilal Oswal Mutual Fund (43:21): Great. So, one last question, if I may. So, if you see that government is very active in restricting import of hardwares, laptops and everything, I understand that we all don't play in the area of pure hardware, we are end to end integrator. So, how do we kind of think of addressing this opportunity? Because my sense is there is a very big opportunity to play. So, any thoughts around that?

Mr. Sanjay Lodha, Chairman and Managing Director (43:55): I'll let Hirdey answer it for you.

Mr. Hirdey Vikram, Chief Sales and Marketing Officer (43:57): Actually, we have always been ready to take up the challenge, to take up the requirements which are coming up. So, I think we welcome the opportunity with open arms. And since the capability has been in our system for very long, and we have been producing results for market is also especially the government enterprises or even the private enterprises, both are looking at us to serve them with the solutions and even with the, as and when required the hardware -based system s also. So, I think we are ready, we are geared up to take up the challenge. So, definitely it's an opportunity for us. And by the way, laptop desktop is not the space where we are active. So, just to precisely answer your question, the area where we can take an advantage of the current situation is where the restriction has been imposed on the server side. So, there we are seeing a lot of potential for us to grow, because our solutions and systems will go into those areas.

Debashish Mazumdar, Motilal Oswal Mutual Fund (44:56): Sure, great. Thank you so much for answering my question and wish you best of luck.

Sandeep Shah, Equirus Securities (45:02): Thanks, thanks Debashish. We have a follow up question from Jyothi Singh, unmute yourself and word.

Ms. Jyoti Singh (45:10): Yeah, thank you for opportunity once again. So, sir, my question on the margin side. So, just wanted to clarification that we have guided now 14 to 15% which earlier we were targeting 16 to 17%. Just, just to clarify.

Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (45:37): Operating margins have gone down because of the ESOP cost, which you will, EBITDA margins, if you will see, has gone down because of the ESOP cost. And on the gross margin part, we will go around 27% as we committed during the IPO also. And you will see the year end margins, gross margins will go around 27% around.

Ms. Jyoti Singh (46:01): Okay, thank you, sir. And sir, another only PLI scheme side that 2.0 that we already applied for it. So, are you seeing any progress on that?

Mr. Sanjay Lodha, Chairman and Managing Director (46:13): Yeah, PLI 2.0 basically is an active contribution to the government. And as you might be aware that we have been offered a red carpet into that scheme. Okay, and basically, I think is one of the beneficiaries which will get the maximum benefit because our base year doesn't change there. The base year targets will remain as 2019 actually for us. So, that's a very positive factor for us. And basically, I think any day government will be announcing the list of the awardees of the PLI.

Ms. Jyoti Singh (46:45): Okay, thank you so much, sir.

Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India (46:48): And just to add on that , incentives in PLI 2.0 is much significantly higher than PLI 1.0. And that's the reason we have migrated to 2.0.

Ms. Jyoti Singh (47:02): Great, great, sir. Thank you, sir.

Sandeep Shah, Equirus Securities (47:05): Thank

s, thanks. Just to follow up to actually have a PLI 2.0, I think we have to claim PLI 2.0 next year, right? We can't claim this year.

Mr. Sanjay Lodha, Chairman and Managing Director (47:17): Yeah, for this year, whatever we do, we will be filing our claims next year.

Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India : So, the claim will be for the year 2024, but the filing will happen in 2025. So, far, we have been accounting on the basis of the filing and not on the basis of the accrual year.

Sandeep Shah, Equirus Securities (47:35): Okay, okay. So, in that scenario, sir, there won't be any credit in the P&L account related to PLI in year of FY24, right? Because we are migrating to 2.0.

Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India (47:45): You are right.

Sandeep Shah, Equirus Securities (47:48): Okay, okay. We have next question from Ashish Rawat. Please unmute yourself and go ahead.

Mr. Ashish Rawat (47:55): Sir, my question is about 5G and 6G. Are we looking for any revenue opportunity regarding to infrastructure in 5G and 6G because you have recently participated in this recent exhibition in the Pragati Maidan, I think. So, this is my question.

Mr. Hirdey Vikram, Chief Sales and Marketing Officer (48:14): See, Ashish ji, am I right? Mr. Ashish Rawat (48:17): Yeah, thank you.

Mr. Hirdey Vikram, Chief Sales and Marketing Officer (48:18): Yeah, Ashish ji, basically, the best part is that the way ORAN has opened up the market for us, that is something which is helping us to build revenues for us to have business. So, definitely in the ORAN where we are going to contribute to the 5G infrastructure and definitely the private 5G infrastructure, both are the opportunity just for us. And since private 5G and 5G both are catching up, the customers, the organizations in the country are catching up to adopt this. I think by next financial year, we can start seeing the business model getting built up around that. But we are ready to serve our customers and we are already working with certain large organizations to build the RFPs and we are guiding them how to opt for private 5G or even to provide 5G cloud for the even to the large telcos. So, all those discussions are already going on. But yes, FY25 will be the main target for us, wherein we can start cashing the 5G stack for us.

Mr. Ashish Rawat (49:19): All right, Hirdey ji, thank you so much.
Sandeep Shah, Equirus Securities (49:23): Yeah, we have one more question from in the message box from Vidur Chhabra. Some of your technology proprietary, if so, have you filed any patents or any update on the patents?
Mr. Sanjay Lodha, Chairman and Managing Director (49:36): Yeah, actually, we are trying to develop basically some of it. We are already in the process of filing patents. Some of the patents we have filed and basically these take time so as to get approval. But basically, there are some patents which are already in the process.
Sandeep Shah, Equirus Securities (49:55): Okay, thanks. We have another follow up from Hardik Rawat. Please go ahead, unmute yourself and ask.
Mr. Hardik Rawat (50:05): Thanks for the opportunity. I just had a couple of questions. Firstly, with regards to IT PLI 2.0, just wanted to understand, are you looking at any expedited localization or are you looking at like a single component localized every year? Any color or anything like that? Any color on that?
Mr. Sanjay Lodha, Chairman and Managing Director (50:22): Yeah, actually, Hardik, we are basically

we are only fully compliant on that. Okay. And basically, we have basically the ministry has taken a lot of inputs from us since we are the significant player in that domain. And basically, accordingly, the policy has been designed also. And first, basically, we have the all our inputs have been really been heard about and they are all been incorporated. Basically, we are fully compliant so as to achieve the localization. Actually, some of the things we have already done it, which people will have to do it actually. So, we are already on, we are above the track what exactly has been asked here.
Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India (51:00): We are ahead of the track as far as PLI 2.0 is concerned.
Mr. Hardik Rawat (51:07): Got it. And are you seeing clients like requesting like needing you to, maybe share those incentives? Or are you able to keep those incentives for yourselves at the moment currently?
Mr. Sanjay Lodha, Chairman and Managing Director (51:18): Up till now, we have not been doing any kind of contract manufacturing as on yet. Though we have offers from everybody, but we have been adjusting all those offers up till now. We have been clearly focusing on our own manufacturing because our basically our motto is not volume production. Our motto is basically quality and basically the high -end technology development. So, we have tried to maintain that. But it may be possible sometime later, basical ly once everything is done, we may think about basically doing something. But at this point of time, we don't have anything on our own as regards.
Mr. Hirdey Vikram, Chief Sales and Marketing Officer (51:50): In case you wanted to know that whether customers are keen to ask for share those incentives. So, was that your question?
Mr. Hardik Rawat (51:59): Yeah, just wanted to understand, like do your customers insist on you, maybe sharing because that I understand that you're not in the contract manufacturing business or doesn't apply to you that much. But other players or contract manufacturing is something that, one question with regards to ARM versus Intel, you mentioned that Intel used to have like a 90% market share, which has dropped to 70% still significant, but it is dropped. Are you seeing any traction within clients are demanding for ARM based servers over Intel? Because ARM chipsets have increased performance like multifold in the recent times with the Apple M1, M3 chips coming and the latest Snapdragon event. So, just wanted to understand what is the performance differential between the best that Intel and ARM have to offer and are you seeing a greater demand for ARM based servers as a result?
Mr. Sanjay Lodha, Chairman and Managing Director (52:59): Basically, what happens in that ARM, basically in the enterprise workload is still catching up. Okay, basically, if you see, whatever you mentioned examples, we are primarily on the client side. But basically ARM, the major advantage you have with ARM is the low power actually. And today what has happened is that if you really understand the technology, the power has become the major significant factor. Today, basically the Intel chips are basically a single socket is taking more than 300 watts of power. Same thing is there with AMD. So, basically if I have dual socket populated more than 600 to 700 watts goes only into the processor, whereas in the ARM basically that is significantly low. So, that is there, but the architecture is different. Basically Intel and AMD, all these are on X86 architect

ure,
whereas this is on the RISC -based architecture. So, definitely this will not come into just the run-of-the-shelf kind of a computing architecture. This will be primarily presently bein g used for specified workloads. Okay, like basically, again, generative AI is one area where ARM will have a very good say. And basically, since actually you are fully aware

Nvidia wanted to acquire ARM, but basically was not able to do it because of the different conditions. But finally, they developed their own processor called Grace. So, definitely, and plus they have again, so they are putting a lot of traction around that. And you see most of the world's major generative AI, the new kind of the IT infrastructure which has been planned, those are being planned on basically ARM architecture. So, still ARM will not, ARM will take time to become basically generic kind of a hardware. But finally, if you really see on the highly compute intensive kind of cases that will gain a lot of traction.

Mr. Hardik Rawat (54:43): Got it. That really helps. Thank you. One last question, a quick one. With regards to private cloud, just an indication, an assumption, what do you think like what percentage of firstly BFSI companies in India and secondly, big corporate houses Ex of BFSI are yet to shift to private cloud because that reflects your TAM in a way.

Mr. Sanjay Lodha, Chairman and Managing Director (55:07): Basically, the TAM for private cloud is very big. Actually, if you really see basically now, if you see any large enterprise, either they are on private cloud or they have to sit on private cloud because that will make more sense because going on public cloud is only possible for the organization of a particular size or they may go there, but they will definitely be, they will keep on bleeding because basically the cost is too high. And if they have a lot of compute requirements, it makes sense to go to the private cloud. So, basically, the TAM is really very high , we are only doing a small part of it, but basically we are, we want to be focused. We are not into the SMB space. We primarily want to focus on the large, the high -end IT company that we have been doing it. As regards BFSI is concerned, basically, because if you see the entire public sector BFSI is clearly hell-bent upon to shift to private cloud because that is the best way how we can really basically use the resources efficiently and provide the best performance to their customers. And basically, so I'm seeing a lot of, I think there are four or five RFPs already putting into the market and a few more are actually already into the discussion. So, I feel that, as I mentioned earlier, I think I will not hesitate to say maybe 70 to 80% of the public sector BFSI banks will get converted into private cloud without any problem.

Mr. Hardik Rawat (56:28): Got it. Thank you so much. Thank you so much. Thanks. Thanks.

Sandeep Shah, Equirus Securities (56:33): We have another question from Nishant Vas from India Infoline. Please go ahead and unmute yourself.

Nishant Vas, Infoline (56:54): Yeah. Hi, Sanjiv ji. This is Nishant from (inaudible 56:46). Just two questions. One, the number of hiring that you guys are doing, can you just give us a sense in terms of which segments, which verticals are you doing more on the front - end sales and marketing side hiring or you're doing more on the R&D and development side?

Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India (57:07): I'll let Prawal answer that.

Mr. Prawal Jain, Chief Financial Of

ficer and Chief Human Resource Officer (57:10):
So, the hiring is on mixed hiring. So, majority hiring will go into sales marketing and R&D team.

Nishant Vas, Infoline (57:17): Okay. So, I presume that's where the final acceleration is coming through. So, that's good to hear.

Mr. Sanjay Lodha, Chairman and Managing Director (57:24): Both the departments are important for us and both keep on fighting that with the HR that you are hiring more for, we are giving them more attention, we are giving them more attention. So, basically that's the issue here.

Nishant Vas, Infoline (57:36): Yeah, no problem.

Mr. Hirdey Vikram, Chief Sales and Marketing Officer (57:36): Market is also expecting us to reach out to more and more organizations in the industry. So, they expect us to have, that's the reason we are also adding up more people so that since the market is welcoming our solution s, they are welcoming our products with open arms. So, definitely this is the opportunity and the time for us to expand as much as possible. That is the intent behind adding up more people on the R&D as well as on the sales and mar keting side.

Nishant Vas, Infoline (58:04): Understood. And my second question was on (inaudible 58:09), you talked about the AI side and the LLM side. I think that was the first time you mentioned that portion of the government on their presentation. But is there still that hardware challenge to acquire hardware from the large guys globally, at least on the AI workloads that you see globally, whether it is A100, H100, you clearly have a shortage of supplies. Is that one of also a reason where you think that sourcing and getting those hardware in probably is going to take some time. That's why you expect more acceleration, say next year. Is that the right reason or?

Mr. Sanjay Lodha, Chairman and Managing Director (58:44): Not really. Actually,

definitely. Because basically media chips are in a shortage. But definitely, we get preference over that. Overall, we are able to still service our customers. Recently, only we have executed some of the large orders for Artificial intelligence using basically for large amount of GPUs. So, we got out of priority basically allocation. But basically the thing is that, so we, as regards, I don't think that is the primary reason. Primary reason is because in the ARM's side, please understand, it's a completely downfall approach. During the entire board is being designed by us. Everything is being done by us. So, that takes time. So, I think that the design work and the SMT, everything is being done locally in India. So, that is the proce ss where it is taking time. And in case of enterprise workload kind of a machine, the entire reliability and everything has to be checked. Then the application optimization has to be done. You understand that currently H100s and A100s which we are talking about, they have been deployed in x86 machine. Whereas basically in the ARM's side, once it goes, it will go into the RISC architecture. So, the application stack has also been supported for that. So, all those things are the factors which we need to take. So, that's the reason we are projecting that. But I will not deny the fact that delivery for Nvidia chips has been a problem. And basically, I think, and that actually makes it more exciting for us that the demand is building up actually worldwide.
Nishant Vas, Infoline (01:00:10): Great to hear. And sir, if it's not we are not restricted to give some details in terms of what is the program on the government side, the generative AI that you

guys are working on, if you can shed some perspective in terms of what are the use cases that are being evaluated?
Mr. Sanjay Lodha, Chairman and Managing Director (01:00:26): We are definitely working on some large things, but basically, at this point of time, I'm not allowed to share that information.
Nishant Vas, Infoline (01:00:34): Okay, no problem. Thank you and all the best.
Sandeep Shah, Equirus Securities (01:00:38): Yeah, we can have a last question due to restriction on the time that is coming from the chat box. Given we are coming with new segments and Intel partnership, can we expect an increase in the margin to about 20% or we are looking at 16% kind of margins? And sir, second question from my side, what is the reason for a material decline in our creditors in terms of in terms of why such an accelerated payment to creditors in this quarter?
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (01:01:13): As we are regarding the creditor's payments, so most of the outstanding have been cleared during this quarter. And you will also notice that creditors built up which we have promised, so we have come to around that number of days on the outstanding part from creditors. So, we have around 60 days credit period from the creditors, so our creditors going forward will work around that days only. So, whatever has been built up that has been cleared up, so that has led to reduction in the creditors.
Mr. Sanjay Lodha, Chairman and Managing Director (01:01:54): Because margins actually, we would like to still commit that basically we are serving the large enterprise and the matured part of the industry which I have been telling from day one. So, definitely we can command more margins, but basically we are looking at a customer with a long - term perspective, giving more and more the users for the newer solutions, newer kind of products and all. So, definitely we don't believe in overcharging our customers at all and basically the margins can remain in the tune what exactly what we have project ed and maybe Parwal can say.
Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer (01:02:26): Yeah, so gross margins I have already indicated that will go around to 27, 27 and a half percent or you can say between 27 to 28 percent range and that has been the guidance and going forward we are also maintaining the margin at the same rate.
Sandeep Shah, Equirus Securities (01:02:49): Okay, thanks, thanks. I think due to time restriction we need to end this webinar and thank you all the participants, senior management of NetWeb and Mr. Sanjeev for attending the webinar. We can now end this webinar and leave the same. Thank you all once again.
Mr. Sanjeev Sancheti, the head of Uirtus Advisors LLP, IR Advisory firm of NetWeb Technologies India (01:03:04) : Thanks a lot for the time. Really appreciate.

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Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

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Date : 07-05-2024
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street
Mumbai - 400001
Scrip Code: 543945 To,
The Manager
Listing Department
National Stock Exchange of India Limited
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Bandra East, Mumbai - 400051
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SUB : TRANSCRIPT OF Q 4 FY23 -24 POST RESULTS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations), please find enclosed the transcript of Post results earning call for Q 4 and for FY23 -24 held on Thurs day, 02nd May , 2024.
This is for your information and dissemination on your website.
Thanking You
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer

Lohit
ChhabraDigitally signed
by Lohit Chhabra Date: 2024.05.07
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Duration: 01:02:36

Sandeep Shah : (00:00:12)
Sanjay sir, Should I start?

Sanjay Lodha: (00:00:17) Yes. Please start.

Sandeep Shah : (00:00:20) Yeah, So hi Good afternoon to all participants. I am Sandeep Shah from Equirus Securities. I welcome all participants, investors and senior management to Netweb Technologies India’s post results Q4FY24 & FY24 earnings webinar. Please note that this webinar is for 60 minutes and th e same is recorded. Now I handover the floor to Mr. Sanjeev Sancheti – Head of Uirtus Advisors LLP, IR advising firm of Netweb Technologies to introduce the senior management of Netweb and to discuss saf e harbor statement and the flow of the webinar. Over to you, Mr. Sanjeev.

Sanjeev Sancheti: (00:01:00) Thank you, Sandeep! Good afternoon to all the participants. It is my pleasure to introduce to all of you the S enior Management team of Netweb today to present the call. With me are Mr. Sanjay Lodha, Chairman & Managing Director; Mr. Navin Lodha, Whole Time Director; and Mr. Prawal Jain, Chief Financial Officer and Chief Human Resource Officer. Before I hand over the ca ll to Mr. Sanjay Lodha for the opening remarks, I would just like to draw your attention to the safe harbour statement in the earnings update presentation. Over to you Mr. Lodha!

Sanjay Lodha: (00:01:41) Thank you Sandeep, Thank you Sanjeev. Good afternoon and a very warm welcome to all of you to Netweb Technologies Q4'F inancial Year 24 & Financial Year 24 earnings webinar. I will take you through the business and operational highlights of the quarter and the year gone by, while our CFO Mr. Prawal Jain will share the financial metric s. We are delighted to announce that our company has achieved its highest -ever quarterly and annual income and profits. Please, I would like to repeat. Our company has achieved its highest ever quarterly and annual income and profits. As stated earlier, AI systems is now clearly progressing towards becoming the third pillar of our growth. This is reflected by its revenue growing 2.6 times year -on-year , while its contribution to the company's total revenue has grown from 7% in FY23 to 11% in FY24, underscoring its importance as a significant revenue stream.

We are also happy to announce that the Board of Directors have recommended a Dividend of ■ 2 per share; subject to Shareholders' approval, which is 100% of the face value. Our Operating income grew by 115.5% YoY for the quarter and 62.7% YoY for the full fiscal year, reaching ■2,659 million in Q4'FY24 an

d ■7,241 million in FY24. Profit after tax (PAT) also showed substantial growth, rising by 181.8% YoY for the quarter and 61.7% YoY for the entire fiscal year, reaching ■297 million in Q4'FY24 and ■759 million in FY24.

On the business side, while our existing customers continue to support us, we have been able to onboard as many as 171 new customers in the fiscal gone by.

Future Opportunities

While you all are aware of our manufacturing partnership with NVIDIA for the NVIDIA Grace CPU Superchip and GH200 Grace Hopper Superchip MGX server designs, under our Tyrone range of AI s ervers , we will produce over ten server variations as part of this collaboration. This strategic partnership targets the challenges enterprises face in building the right AI infrastructure at the right cost. With this collaboration, we aim to offer AI infrastruc ture solutions that meet the increasing demand for artificial i ntelligence across diverse industries and business verticals. Our solutions provide flexibility for applications like generative AI, speech analytics, text analytics, and automation.

As you as you guys might be, knowing that w e have also Launched the latest Intel Sapphire Rapids & AMD Genoa based 'Make in India' high -end computing servers in the current quarter .

Our newly established state -of-the-art SMT Line with advanced capabilities is currently on trial runs and is expected to be operational soon.

Our business pipeline remains robust with a strong order book of ■4,112 Mn for Mar'24 as compared to ■ 712 Mn in Mar'23. Ongoing enhancements in our capabilities, coupled with the expansion of our operations and product portfolio, positions us favourably for sustained growth while retaining our technological leadership.

Emerging Businesses

As you must be aware that India's potential to capitalize on the rapid expansion of Generative AI, including Large Language Models (LLM), and rising global adoption of AI in businesses, has positioned India to become the " AI factory of the world ."

Cabinet's recent approval of over Rs 10,300 crore for the IndiaAI Mission marks a significant step in bolstering India's AI ecosystem. This funding, allocated over five years, will catalyse key initiatives including IndiaAI Compute Capacity, Innovation Centre (IAIC), Datasets Platform, Application Development, FutureSkills, Startup Financing, and Safe & Trusted AI. Central to this initiative is IndiaAI Compute Capacity, aiming to establish a n advanced, scalable AI computing infrastructure by deploying over 10,000 Graphics GPUs in strategic public - private partnerships.

The integration of AI into general workloads by government entities and large corporations is driving demand for AI compute systems.

This development along with our deployments like AIRAWAAT uniquely position us to meet evolving demands in generative AI, offering promising opportunities for expanding our diverse product offerings, further strengthening our future.

Furthermore, heavy adoption of Private Cloud across sectors and a rapidly growing demand of high -end compute for in-bound data centers across India represents a sizable opportunity for us. I would now like to hand over the call to Prawal Jain to provide updates on financial numbers. Thank you.

Mr. Prawal Jain (00:07:11) : Thank you, Mr. Lodha. Good afternoon, ladies, and gentlemen. Thank you for joining the earnings webinar. I will give a brief overview of the financial numbers for the quarter and the year before we open for Q&A.

I hope everyone would have got a chance to look at the earnings presentation and the press release by now. While our CMD has already covered the macro -outlook, I will try to explain in a more granular manner the financial performance of the quarter and the year gone by.

Our Operating income increased by 115.5% YoY on quarterly basis and 62.7 % YoY for the entire fiscal year, reaching ■2,659 million in Q4'FY2

4 and ■7,241 million in FY24.
While Operating EBITDA for Q4'FY24 increased by 166.5% on YoY basis to ■404 million, it increased by 46.4% on YoY basis for the entire fiscal year to ■ 1,025 million in FY24. The operating EBITDA margin was 15.2% for the quarter and 14.2% for the entire fiscal year.
The Profit after tax (PAT) increased by 181.8% YoY on quarterly basis and 61.7% YoY for the entire fiscal year, reaching ■297 million in Q4'FY24 and ■759 million in FY24. PAT margin improved from 8.4% in Q4'FY23 to 11.0% in Q4'FY24.
We are happy to inform that the board has recommended a dividend ■2 per share. This is the first dividend proposed post our listing in July'23 with a dividend pay -out of 14.9%.
Return on Equity for the entire fiscal year FY24 was 29.4%, while Return on Capital Employed the same period was 38.5%.
Net Debt improved significantly to ■ (1,017.1) million in FY 24 as compared to ■ 285 million in FY 23. Kindly note that this Net debt calculation excludes un -utilised proceeds from IPO. The Cash Conversion Cycle in for the fiscal year FY24 stood at 69 days.
We continue to remain focused on our strategic priorities and growth pillars, laying emphasis on our long -term goal of sustainable growth and profitability. On the back of a strong quarter and year, coupled with a robust order book & business pipeline, we are extremely confident of achieving strong revenue and profit growth in the current financial year. With this I now handover the call to Sandeep Shah. Thank you.
Sandeep Shah: (00:10:51) Thank you. So, with this, we come to the end of opening remarks. We can now open the floor for Q&A. I request all the participants to restrict yourself to two questions each in the initial round and for more questions request you to join the que again. Participants who wish to ask any question may please press "raise hand" ICON on your screen and once your turn comes, unmute yourself, announce your name and company name first and then ask your question. Once you get the reply to you r question, please lower your hand on the screen. So we have first questions from, Garvit Goya l. Please unmute yourself and go ahead.
Garvit Goyal (00:11:35) : Hi everyone! Congrats for a good set of numbers. Am I audible?

Sandeep Shah: (00:11:40) Yeah, you are audible.

Garvit Goyal (00:11:42) : Yeah, So I'm a bit new to the company as a shareholder, so kindly bear with my question, So basically, I have two questions. One Is on your, nascent verticals, like, you are doing, implementations of various technical, implementations like S MT for electronics manufacturing, partnerships with Nvidia for latest Gen-AI. And you also launched high end servers with Intel technologies. So, can you just also highlight the opportunities in the terms of market size, revenue size, etc. going forward in this area? And just to understand, on the data center, we are currently making 5% of our overall revenue from data center servers. So, India is a growing market as far as the digital adoption is concerned. So accordingly, more the need of the data center, I want to understand from you at the ground level, what exactly we are doing here, where do we fit in the value chain of the data center industry, and how big the opportunity do you see here, for next, 2 to 3 years down the line?

Sanjay Lodha: (00:12:35) Hey, Garvit , welcome to the Netweb family. And basically, from your questions, it is evident that you are new to Netweb . And basically , I would like to explain you so Netweb is a different kind o f a company actually Garvit, basically if you see our, basically maybe a strategy presentation or other presentations, you will understand it. Primarily our focus is into this into six areas. The first is basically we are a primarily high -end computing company, and we do end to end. We have about we design our hardware, we manufacture our hardware, we have our own so

ftware stack, and we have our own service stack. So, we
do end to end, Actually, we are not primarily a box pusher, kind of a company who just just basically manufacture servers and tries to sell it. So, it's a end to end kind of thing. That's the reason you see our pat margins also better , our margins are also better. And basically , a lot of value addition , which goes into, into our proposition. So, they are basically the six segm ents which we sell. The first is the high -performance computing, which we have been doing it for more than 20 years , 20 plus years actually. And t oday we have more than 500 plus supercomputers installed. So, in case of supercomputers, the entire designing is done by us and the manufacturing is done by us a nd we have our own software stack, which is basically called TCM, Tyrone Cluster Manager, which completely manages the entire supercomputers. So basically , that is the end -to-end thing, which we do, and that is around 35% of our business . As regards to supercomputing is concerned , basically, it's a really a growth area wherein basically National Supercomputing Mission and the adoption by Oil and Gas and various energy verticals, basically are, really fueling their growth , where more and more usage is

happening. So that is there. The second area for us is primarily the Private Cloud and HCI, the Private Cloud and HCI primarily. If you understand that in today's world , data centers don't want to use the bare metal servers, actually, basically they want to use a Private Cloud. So basically , private , we have a complete stack in the Private Cloud which is known as Skyl us. So basically , we do the complete hardware design is from us, the software stack is from us, and we compete with all the major MNCs. And then we deploy the entire private cloud. So the data center growth is helping us so as to basically fuel our private cloud deployments. So, that is around 35% of our business. And since the data center growth is happening in such a way, which really sees that that basically there is there is a huge demand around it and the market will be driving by that. The third vertical for us is basically AI systems. We have been working with the GPU since the year 2010, almost all because since we were involved into into supercomputing, for us, basically the GPUs, normally becomes very clearly integrated into the solution.
So, we understand GPUs very well. So, our systems are designed in such a manner which can accommodate more GPUs and plus basically more, the system designing is done in such a manner so that that can optimize and use the maximum capability of a GPU. Plus, we have our own container platform and the complete software stack, which end to end integrates the AI workflow.
So basically, as we have mentioned in our , basically in our opening remarks as well, the AI was somewhere around 7% of our business, but currently it is around 11% of our business.
The business grew in the AI segment for us from basically by around 2.6 times from what we did last year. So basically, we are seeing that this will become the third pillar of growth for us.
If you include all these three, this will be somewhere around 80% of business comes from these three segments. The fourth segment for us is High-End-Storage. High -end-storage is again is a complete design product from us, You understand that all the high end compu te requirements require storage, So we have our own storage portfolio which addresses that as regards data center servers, data center servers, which you mentioned, data center servers is not a focus area for us.
We don't want to clearly basically just build s ervers and sell to data centers, o r rather, what we try to do is that we try to sell them as a Privat e Cloud, Okay, So basically, because in today's world, actually bare metal has lost its significance. And primarily it goes onto the private cloud.

So we want to basically bundle it along with our software stack and then try to sell it. So that's the reason you're seeing the numbers on the on the data center servers a nd we have been basically the company's objective is to grow its Private Cloud business, not primarily the box business. The last area for us is High-End Technical Services, which basically we do. We deploy 5G clouds for some telcos and all across the world actually. So that is again a very, very focused area which we work.
So, these are the six areas we work actually Garvit . I think I'm able to help you to explain you the product proposition.

Garvit Goyal (00:17:01) : Yes, sir. That was a really good explanation of your business in a short span of time. And, sir, one last question is on the guidance part. So, what is the guidance, for FY25, in terms of top -line a nd bottom, or margin basically.

Sanjay Lodha: (00:17:14) yeah.
If you see, we have been growing around at 40% CAGR actually regularly for the last two, three years. And we feel that the kind of basically we will be seeing my order book and everything.
So, we feel that we will be still be growing by around 30% CAGR in the years going forward, around 30 to 35% growth, which I definitely would like to thank

Garvit Goyal (00:17:35) : and, are, These margins sustainable. What we did in FY24?

Sanjay Lodha: (00:17:38) Yes, yes, the margins are sustainable. And basically we feel that we are charging the right amount of margin and which is much more than our competition. And we are very clearly we have been maintaining these kind of mar gins for for some years, and we are very confident of maintaining them.

Garvit Goyal (00:17:50) : Is there any scope to improve further in terms of margin?

Sanjay Lodha: (00:17:54) Maybe, I don't think there is a huge scope actually there because we don't we don't want to really overcharge our customers. We will basically be maybe some few basis points up . It can happen But, the guidance will be at the same margin levels, approximately 50 basis points going down. Might be there, not more than that.

Garvit Goyal (00:18:15) : Yes, sir. Thank you very much, sir. I'll join.

Sandeep Shah: (00:18:21) Yeah, We have next question from Hardik Rawat. Unmute yourself and go ahead. I think you are on mute.

Hardik Rawat (00:18:30) Good afternoon, gentlemen, and congratulations on a great set of results.
The performance of your AI business has been, has been quite spectacular this quarter. But I wanted to ask that with respect to the networking switches segment that we were planning, we were targeting at about 200 million, sales for the entire year. We have fallen short of that. So just wanted to understand, what was the reason behind that?

Sanjay Lodha: (00:18:58) Yeah, So thank you for your appreciation. So, Hardik actually networking, basically only because the networking, the product development was on its way. And as you know that we are not targeting the volume segment. We are targeting the top of the rack data center switches and the way the data center is growing for target is there.
So, product development was happening and product has already is completely introduced and launched. So, it only started selling by the end of basically last quarter. So basically , we did a launch around that. And then basically we, we saw we, we had seen the sales in the current year.
We are very confident that we will ramp it up on the networking side because there is a huge demand and we will cater to that.

Hardik Rawat (00:19:37) Understood. And any updates with respect to, the development of ORAN solution that was near commercialization. You mentioned in the last call.

Sanjay Lodha: (00:19:46) No, it was not near commercialization, Last time I told you, it is under development. It will take some time, So, basically it is still under development. We feel that we

should be ready by the product , by Q3, Q4 this year.

Hardik Rawat (00:) Speak. You okay, All right. Another thing, sir, was that, there was a news item recently, with respect to Yotta data centers, you know, ordering, more than, like, a billion dollars' worth of Nvidia chips. And, since they're also a customer of ours, I just wanted to understand, is there is there any scope of implementation for Net web in this project or, and, usually for the project that you do for other customers, the chips from Nvidia, are they sourced by Net web or are they sourced by the customer and then you use it in your project?

Sanjay Lodha: (00:20:33) We basically the chips are definitely sourced by the OEMs only like Netweb directly sources it even in that case also basically people will be the OEMs will be sourcing it in Nvidia basically with the Yotta data center kind of a thing, The or the order announcement was too big. The actual, the actual implementation is smaller than that at this point of time. Only the first page is there. So basically, we have , they are our customers and we are already working with them.
And basically, I think I have some kind of restrictions on disclosing what exactly we are trying to do there at this point of time.

Hardik Rawat (00:21:07) Got it Sir, I 'll join back in the queue, Thank you so much.

Sanjay Lodha: Thank you.

Sandeep Shah: (00:21:12) Yeah, We have next in queue, Mr. Rudresh. Kalyani. Please unmute yourself and go ahead.

Rudresh. Kalyani (00:21:21): Am I audible?

Sandeep Shah: (00:21:23) Yeah. Yes. Yeah.

Rudresh. Kalyani (00:21:25): Good afternoon Okay, so I have got a few questions. So, I wanted to know the cash component has got increased, exponentially. So, are we looking for any acquisition or something like that?

Sanjay Lodha: (00:21:43) Yeah, yeah. Acquisitions. Actually, we have some acquisitions.
We want to do o nly some strategic acquisitions, So we're evaluating something. But at this point of time I don't think anything which I have to disclose. So maybe basically if something

is there , we will let you know.

Rudresh. Kalyani (00:21:58): Okay, And the revenue from the repeat customer has come down. It's somewhere on 69. Which , which used to be somewhere around 80% or something like that. So, any reason for that?

Sanjay Lodha: (00:22:10) That is a good thing actually, because basically I thi nk let Prawal answer that.

Prawal Jain: (00:22:15) Yeah, You will see, we have added around 171 new customers. And one of the customer, we did a very good billing, during this period. So revenue from repeat customers, therefore you are seeing a little bit on the lower side, So that is good for the company. New customers are onboarded and they are giving us a good business.

Sanjeev Sancheti (00:22:37) So, just to add here that the existing customer business is also growing by the while there was a very large order from a new customer, which kind of, skewed this, but the both are growing, It's a double engine which is working. So, it's helping us. Yeah, it's helping us.

Rudresh. Kalyani (00:22:55): Okay And one more thing is, see, we have been hearing a lot about this Quantum Computer being, having super, computing ability compared to the HPCs . So, any thoughts of entering into this segment?

Sanjay Lodha: (00:23:11) So basically I think quantum is something which everybody is talking about. We also have our plans intact. When the right time will come, we will disclose it to you.

Rudresh. Kalyani (00:23:20) Okay, So the work is in progress in that segment. That's what you meant to say.

Sanjay Lodha: (00:23:25) We have our plans actually already there.

Rudresh. Kalyani (00:23:29) Okay And, one more thing on the board. So, we don't have any, hardcore technical guy in the board. So, do we see that as a constraint for the growth of the company?

Sanj

ay Lodha: (00:23:43) No, no, basically it's not like that today. Basically we have we were around, on the board. Basically , we have Doctor Jagjit Singh Bala. He is a reputed eminent scientist. Actually, he is on our board Actually, he's an independent member on our board. So the board is and basically we have on again, on the S MT side, we have Miss Romi Jatta. So she is also there. So we have we have our board is very well made and plus basically our research and development head Mr. Mukesh Go lla. He has got a wide experience. He has been working with us for 20 years and basically , we have on the hardware design. Also, we have some new, basically people coming here. So I think I think more than 70% or maybe 60% of the company's workforce is all engineers, actually. So we have a highly technical kind of, workforce and, kind of, basically, technical expertise available with us. So I don't think we have any limiting factor there.

Rudresh. Kalyani (00:24:37) No, usually what happens is in the ITeS companies, we usually have the CTO post. So we don't have any post in the, in the company. So, do we intend to promote anyone to that level?

Sanjay Lodha: (00:23:49) Basically the thing is that that we, we have, our we don't go on that approach because basically what happens is that for us, the hardware design and software both are important. So, our focus is more on the R&D okay. So basically we focus on the R&D side of it. That's the reason there is a no CTO kind of a position. But primarily basically the product side, the CEO is is, himself is C OO is a highly, basically into the product side and even our sales basically. You see, we are all t echnical people like Mr. Hirdey Vikram and his team there. And Mr. Ma chindra is there now with us. We have a huge team actually, which is basically which on the technical side we have. So I don't think we have any lacking on that and the company's performance and the way we have been working today. You see, the Nvidia came up with us and tied up with us for the entire design of the Nvidia Grace Hopper chipset. So basically , we are trying to work on the latest chipset with Intel and AMD and plus basically the entire whatever compute infrastructure we are doing. They are all on the technical side. So, the comp any is on the right path and we don't have any vacancy as purely for strategic reasons. We don't want to have a CTO kind of a thing. That's our old passion, kind of a thing.

Our focus is primarily on the R&D side and we keep on focusing on that.

Rudresh. Kalyani (00:26:02) Thanks for answering my questions. So, I will get back to you.

Sandeep Shah: (00:26:07) Thanks, We have next in line Darshil Jhaveri Please unmute yourself and ask the question.

Darshil Jhaveri (00:26:18) Hello?

Sandeep Shah: (00:26:18) Yeah Darshil, Go ahead.

Darshil Jhaveri (00:26:21) Yeah. Hi, Thank you so much for taking my question. Congratulations on a great set of results. Sir, I just wanted to know, with regards to how does our order book flow? Like, if currently we have around 4 ,000 million order book pending, so that would be executed over what period of time? And in terms of our order pipeline, what kind of a win rate do we see for it?

Sanjay Lodha: (00:26:44) Yeah, So basically as we got some order book is concerned, if you see it was around 70-80 crores last year and it is around 411 crores this year. So basically our order cycle is pretty fast actually. The thing is that that basically we are able to execute our orders between 16 to 20 weeks, approximately. Okay, so whatever order book you are saying that is definitely will be covered between 4 to 5 months, which I personally feel. And plus basically as regards our funnel is concerned, we have a huge funnel which we have already mentioned that our win rate is somewhere around 60 to 65%, approximately in the cases we have sinc

e our approach is proactive about approach is not reactive, we build our cases and then only we qualify them to the funnel . We don't basically just, believe in just serving any RFP which are being published.

Darshil Jhaveri (00:27:32) So so that also brings me to the question. With that, I my reason for asking was that that if your order cycle is so fast, shouldn't, would is it possible that we might even grow faster than what we are guided for? Because with, and because our pipeline will also increase of 50%? So, you know, I just wanted to get some clarity on that. Are we, you know, being a bit conservative in terms of what we want to. And I know it's a very aggressive target, but still, like with the way our business is growing, I think we could achieve more than what we are guided for.
Is that a fair as a fair assessment?

Sanjay Lodha: (00:28:06) Darshil , actually I'd like to tell you one thing. Basically, if you see basically the industry and all that, we are growing much faster than that. And the 30%, basically 30 or 35% CAGR is not a small growth, which we have been observing over a period of years, actually.
So definitely there are order cycles and all those things are there. We definitely we we we have set up an aggressive target for us. We like to follow that because again, this is a high end computing business. This is not a volume kind of a business wherein basically just to build and sell, you have to basically be relevant to the customer and to to sell technology to the customer. So definitely I think whatever targets we have taken, they are aggressive enough and we will try to hold up to them and try to even overachieve them if possible.

Darshil Jhaveri (00:28:49) Okay. Perfect, sir. And just, one, one more thing regarding our margins. So as we are doing more value add. So, as we grow at 30%, do we get some operating leverage? You know, maybe our operating profits can be around at 15%, but we get a benefit on the bottom line at a PAT percentage. Or how would that flow, sir?

Prawal Jain : (00:29:10) So on the operating margin, since we are starting up our new plant. So in the year coming year, we don't see any major benefit coming up. Might be few basis points. It may improve, but, going down two years down, we can see there will be some improvement in the EBITDA margins. And that will be also converted into the margins thereafter.

Darshil Jhaveri (00:29:41) Okay. Perfect. Perfect, sir. Thank you so much, sir , All the best.

Sanjay Lodha: (00:29:45) Thank you.

Sandeep Shah: (00:29:10) We have one question in the chat box from Chirag Khas givala . How how much could AI contribute to the overall revenue over the next 4 to 5 years?

And also, can this be lead to a margin improvement? And how much can network benefit from Yotta data centers 16,000 crore CapEx announcement.

Sanjay Lodha: (00:30:10) You know, so the first part, the second portion I will not like to answer because basically we have confidential reasons for customers are locked. So basically , the first part of the quest ion is basically as I mentioned f or you. It is around 11% of my current business , AI business . Next year we think that will be around maybe around 15 to 16% of business. That is because you have to understand that the data center business in India is really growing heavily. I have not seen such bas ically fast growth in data center business in the last 25 years. If you see basically today, getting space in a data center is difficult. Data centers are being built all across and there is a hug e demand for data centers. Okay, So basically even so private cloud and supercomputing, e verything will grow.
So basically , next year I can tell you it will be around 15 to 16%. Overall 4 to 5 years ,we feel that basically this will be matching about the, the other segments which we have that is Private Cloud and Supercomputing. They giv

e us around maybe 35, 35% each.
So basically , this may also within five years this should be around 30% of the business at the at the best. What I can predict . Chirag, answering your second question, actually, under Nvidia tie-up, we'll be actually designing and manufacturing chips for Nvidia. No, the chips are not being designed in India yet, Basically Still, the chip fab is coming up. The chips will be coming from, from Nvidia only. The entire the entire system will be designed. The entire motherboard will be designed, the entire baseboard will be designed, the entire architecture will be designed. And then that will be manufactured here. The chips as such will not be manufactured in India. The chips will be coming from Nvidia only.

Sandeep shah: (00:31:59) Thanks, Thanks Sanjay for answering the second question on the chatbot that we have next in line, Mr. Majid Ahmed, please unmute yourself and ask the question.

Majid Ahamad: (00:32:02) Yes, Yes, sir, A Majid from, Smart Investment Advisory Services. Very good set of numbers. So my question is, I just want to have a clarification. That you are saying that you are not much focused on data centers and are moving towards, the software component and private cloud. Is it primarily because of it? Is, margin accretive or what could be the potential reason? Can you expand on that?

Sanjay Lodha: (00:32:39) I will let you you are not clear.

Sandeep shah: (00:32:41) Your audio is not clear. Can you speak close to the mic or on the handset?

Majid Ahamad: (00:32:47) Yeah, I'm audible now.. So my question here is, so you are you said that you are going to move towards, private cloud. Then data centers. Your focus is on that side. Is it because it is more margin accretive, or what are the other potential reason that your focus is on private cloud, and how is that? And second part of my question is how do you see, the order book or traction coming from the startup ecosystem?

Sanjay Lodha: (00:33:14) Yeah, So actually, as regards to, Private Cloud is not a new business for us. Private cloud, we have been doing we started doing private cloud where while it was being evolving, in the year 2015, 2016, we started building Private clo ud a ctually when we started working with deploying it with the customers and most of them and a lot of the private customers.
So basically, private cloud is a product which we have been selling for some time. It is not that we are trying to shift to private cloud. The business around around 30 to 35% of business is the private cloud , we are getting it for last few years regularly, so definitely it has been a very good focus area for us. And it's a very, very niche wherein we have our own hardware and we have our own software solution completely, which is tightly integrated. And so we are able to basically create a value propositio n around it and are able to sell it.
As regards basically, I think the question is that why we are not doing data center servers? So basically thing is that from day one, our focus is primarily building High -End Compute on the solution side rather than a box building. So we don't want to basically become we. From the inception of the company 25 years back, there was there were many tempting times they could have become box builders. But we don't want to become box builders.
Our focus is because and the other thing is that one more thing which I would like to find out to this demand is also previously people used to ask for bare metal servers means individual servers basically on the data centers. But now people ask for private cloud because you are able to optimize your hardware resources in a much better fashion, much better way, and

you are able to manage them very well. Your, your basically your, data, data redundancy and everything is being taken off very, very, very well. So you have the entire set of assets available

under 1 in 1, window and wherein we can allocate and you can create your machines. So I think basically it's a the industry has changed to private cloud. And since we are already there, we are taking advantage of it. That's the first part of it. The second part of the question I forgot what was that.

Majid Ahamad: (00:35:09) So regarding the startup ecosystem, I was wondering

Sanjay Lodha: (00:35:12) okay, so basically as regards the order book is concerned, sir, we have already shown that basically the order book has grown significantly. And plus I have also shown what my basically we are already L1 in more than 300 crores of, basically, orders, which basically which will convert because since the queues have not been received, so they will be received in few months actually. So that will definitely cover into order book. So that is there. So order book looks robust. Order book conversion looks robust. The kind of funnel we have is is really very good.
And we are all trying our level best to convert it to our best. So we are very buoyant about it. And basically that gives me the confidence to of of basically achieving the growth rate of 30 to 35% as I have committed.

Majid Ahamad: (00:35:54) But yeah. So the final question that I have is, how do you see the competitive intensity in the market for the new players are coming in? And how are you planning to differentiate yourself? And what are the key USP are trying to bring especially the

Sanjay Lodha: (00:36:09) My key USP, will remain the same. One is the maintaining the niche and the other is that that basically end -to-end. We don't want to become a pure hardware company.
We are trying to we have a hardware stack, we have a software stack. We want to sell it in a completely integrated fashion. And basically , we do the design ourselves. , we do the manufacturing ourselves , we have our own software stack. So that is end to end. That helps us to create a differentiator, because for a competition to try to build all the three areas and to come up with a competition will be tough. People are definitely trying. They may try also, but I think it's not that easy to primarily build al l the three areas and then come and clearly compete. So basically , the competition will remain MNC as it is presently, and I don't see any major threat from competition as yet.

Majid Ahamad: (00:36:59) Okay Okay, sir, Thank you, sir. All the very best. Thank you.

Sandeep S hah (00:36:59) Yeah, We have next line. Mr. Ankur Jain, please unmute yourself and go ahead. Ankur , we can't hear you. Ankur?

Ankur Jain (00:37:18) Am I audible?

Sandeep Shah (00:37:19) Yeah, Now you are audible. Go ahead.

Ankur Jain (00:37:21) Yeah, yeah, Good evening sir. Basically, your statement is that India is poised to become AI factory of the world. This presents promising opportunities for us expanding our diverse product offerings. Sir, what exactly are your AI products? I want to know, sir.

Sanjay Lodha: (00:37:38) Yeah, So basically thing is that the, why why I mentioned that basically that's the statement which even Jensen also mentioned. And Modi Ji, our Prime minister, respected Prime minister, also had that vision to do it because basically India became the software factory of the world. And the India, basically, I the kind of work load and kind of things which are happening that definitely offers the country the same kind of situation.
So basically, as regards our we our, by products are concerned, my products are both primarily on the hardware side. We have a very efficient design which basically integrates the GPU, work with GPUs into my systems and completely integrates it, and provides the kind of architecture which can give you the optimal and the best performance. So that is there, plus the hardware design.
The second is the software stack, which we have, which is completely con

tainer optimized,
which completely, helps so as to basically manage the entire AI workflow actually for a

customer.
So that really the production, the inferencing and basically the entire learning, the entire curve is completely taken care of. So we are on the verge of the new technology. We are always there with the leaders, with the Nvidia and all who are trying to get develop the latest products in the year.
So basically that will offer and you can understand if you see that the AI ecosystem really be the startups, the way the startups are basically coming up with their different kind of LLM models and all that. So they all are starving for prim arily kind of basically compute, Okay. So basically compute is very costly. So all the startups cannot afford it. So that's the reason the government is considering a sovereign cloud so as to make a sovereign cloud which can offer these services to various all these, bas ically startups, the all the researchers who are trying to do so, even if you see all the if you if you see the balance sheet of more than 70% of the balance sheet, which are coming today, they all have AI word inside it. So everybody is trying to basically scale up and to take benefit of the AI technology so that the performance can be improved. So, I think there is and that is this is evident from the worldwide, situation also today there is a acute shortage of GPUs.
That is just because because basically the demand for GPUs is very high, because everybody sees their workloads being, much more, refined and much more working much more faster by use of GPUs. So India cannot be left far behind in that. And India has, has got a very good technical manpower. And primarily they are they are very strong in all kind of technical skills. So our engineers definitely they they start up ecosystems, the Indian companies, the Indian global, basically system GSI and all those, they are all basically implementing it.
So there is a huge opportunity that will create a huge demand for AI compute, which we are ready to serve. And basically we are very innovative. And primarily we are also working on all kind of basically the large clouds which are coming up.

Ankur Jain (00:40:24) So, sir, can I say that, we are not just doing a job, but we are doing some innovation also in the AI. Is it like that?

Sanjay Lodha: (00:40:32) Yes, yes, we are doing innovation on the on the basically on the systems, how to help the AI work load. We are not trying to basically use one particular applications. What we are trying to do. Basically AI workflow is a very complex workflow actually. It starts from learning, then it goes to inferencing and production. So basically trying to integrate all of them so that the the AI workloads can run seamlessly. So basically there is lot of innovation which goes into the hardware de sign. There is a lot of innovation which goes into these, into the completely the containerization and the optimization of the application.
So we are clearly we have found a niche there and we are working on that.

Ankur Jain (00:41:09) So, can we say that like, means the main part of the AI or the main support system of the AI is computing, and we are working on that only the most, our product is that right,

Sanjay Lodha: (00:41:19) Computing, computing and the application workflow.

Ankur Jain (00:41:26) Okay.
Sir, other other question is that, all o ur products are like, B2B or B2G only or some B2C, products are also there.

Sanjay Lodha: (00:41:33) No, we have everything is B2B actually, and we don't have any B2C kind of a product.

Ankur Jain (00:41:40) Okay, Okay. So that's why we cannot feel it in the real life. Like, when the layman person like us. Okay. Sir, other question is that means I think that, the chip and all these things that you are sourcing from the, Nvidia. So, are we, generating sufficient margins on that, lik

e, I think that most of the, cost is going there only. Is it like that or am I wrong?

Sanjay Lodha: (00:42:06) Today, you see my balance sheet. Actually, my margins speak about it. The kind of margins we are doing because we are doing a lot of evaluation on hardware and software. It's not pure hardware kind of a thing. So basically my margins are much better than my peers across the world. So basically that's the reason. So margin margins have been very stable. If you see over a period of time they've been growing also slowly. So basically I think we have very comfortable margins and we are very sure of maintaining those.

Ankur Jain (00:42:32) Okay. So sir can we can can we have that, this 30, 40% growth over, around 8 to 10 years? In the future longevity. What will be the longevity of it?

Sanjay Lodha: (00:42:43) Basically at least 4 to 5 years. We can say that. Beyond that, I think that will not like to comment. At this point of time.

Prawal Jain: (00:42:50) Keeping a horizon of around for 4 to 5 years , we can safely say that we will grow with, the CAGR of around 30 to 35% of the top line.

Ankur Jain (00:43:02) Okay, sir. So, sir, we are coming up

Sandeep shah: (00:43:07) We request you to come in the follow up round because there are more participants waiting in the queue. Please.

Ankur Jain (00:43:010) Only one question, sir. If you can take,

Sandeep shah: (00:43:13) please come in the follow up. Thanks. Yeah. We have next in line, as a question from Mr. Sarthak Batra from Birla mutual fund. His question is, our cash flow from operation for the year has been low at 18%. What is the cash flow from operations conversion that we are targeting in a steady state?

Prawal Jain : (00:43:38) So we are targeting arou nd 33 to 35%, within this range , cash from operations should be there.

Sanjeev Sancheti: (00:43:51) Yeah, Just to add on to that, you know, the business has certain amount of minimum working capital, right, of which it will be very difficult. So, visibly 70 days of cash cycle will remain in the business. And it is volume. As the volume as the revenue grows, it will grow proportionately. So that's the reason why, the cash conversion cycle beyond 33% is going to be difficult.

Sandeep shah: (00:44:24) Okay, okay. We have next in line. Parv Jain , please unmute yourself and ask a question. Parv Jain?

Parv Jain (00:44:33) Hello, Sanjay. Sir. Hello, sir. Congrats on the good set of numbers, sir. What I broadly understand that our business can be looked at from two perspectives. One is the software stack and software services that we provide. And second is this hardware side of our business. I mean, if you can give us a brief overview of what portion of contribution to our revenues and our bottom lines are from each of these segment, that will help us understand the company better, sir.

Sanjay Lodha: (00:45:05) Well Parv, that's the thing. Actually, we don't sell our software separately and we basically our hardware and software is completely bundled together.
Even to our customers also basically like we give them a private cloud kind of a solution, we give them a supercomputer in which basically the hardware and software is bundled.
So we don't bill or basically even capitalize any of our softwares as well, whatever we develop.
So basically, primarily it goes as a joint solution to them. Only around 2 to 3% of the business directly is from the high end s ervices which we provide, which are mentioned to you, which basically have been basically we have been provisions. We are doing a lot of, good expertise into the cloud side of it.So we are deploying some 5G cloud, some some telcos and some, so that is around 2 to 3%.
Other than that, all the business is primarily if you see all the three heads which we have mentioned. The first is supercomputing, the private cloud & HCI, the AI syst

ems and the
storage. All these includes the software as well. Only around 5% to 6% of business. Basically, that is the data center service that is pure from the hardware sales.

Parv Jain (00:46:24) Right, sir. Right, sir. So, sir. Right. Broadly, what I understand is hardware is something like one kind of a business. So once a data center, for example. Amar, this Anant araj, for example, they are purchased these Servers from you. So they will have those servers in line for the next ten, 20, 50 years. But the software is a is a recurring kind of a business. So, I mean, if you look at your business, the software should be con tributing broadly more in terms of both margins and revenue . So just a broad overview.

Sanjay Lodha: (00:46:45) I will answer you. I'll answer you very well actually. Basically, I will not like to mention any customer very clearly. Okay. So basically , I would like to tell you like what happens is that , please understand the servers they buy from us. They are not going to they give them for ten years or 15 years. Please understand it. The server technology changes every 18 months.

The Intel will release a new chipset every 16 to 18 months. The Nvidia will come up with GTC and they will try to develop, develop a new chip and they'll try to give it give it to the world every day.
We in a year or year and a half. Okay So what happens is that in this industry the best thing for us is the repeat business. Today some X data center buys somewhere, some maybe some a private cloud from me. But basically , after three years or after four years, we sell them with a complete services and the impact. So, after three four years they will come back to us for a refresh that basically because the same amount of power they are able to get more number of cores, they are able to get much more function ality, what they were getting earlier. So basically , this high -end, because the data center will fail if they don't refresh. So, they will have to clearly go for refresh.
So, we target the refresh revenue rather than the recurring revenue. As regards my software is also concerned , basically , we because that's the reason people want to buy from us today. If they are, if my competition is VMware or N utanix or something, what they will do, they are buying VMware , they have to buy 10 or 20 different licenses, okay. And each license is basically they have to buy and track and basically renew them and all that. In my case, basically we give them a perpetual license and basically give them support for the complete three -year or five-year whatever period they are going for. So, product is fully covered. They definitely come for AMC later on in case they don't want to change it, but that is the business we really don't want to target.
We want to target the refresh revenue. We want to go and tell them, sir, whatever you had bought has now become obsolete and you can really look at some time. Are you refreshing your users so you are able to better utilize your power? You are better utilize your Rackspace and you are able to service your customer in a much better fashion. I hope I am able to make it clear for them.

Parv Jain (00:48:55) Right, sir. Right, sir That sounds wonderful.

Prawal Jain : (00:48:57) So, that is also evident if you will see the percentage of revenue from my repeat customers.
So that is above 7 0-80%. So that is one of the reasons we have repeat customers.

Parv Jain (00:49:09) Sir, on that very note, the repeat customers revenues. If we see the revenue from new customers, sir, I mean, that has grown significantly. So, what I broadly can make out from that is that new customers are contributing large portion of our revenues, which is a very good sign.
So, going forward, also, can we expect these kind of big ticket orders to come to Netweb? And if that happens, I mean, can we expect our business to gr

ow at a faster rate than what?
I mean, management has been conservatively guiding, although it is a good guidance, but still with new customer additions, can we expect the average ticket size to grow further?

Sanjay Lodha: (00:49:45) Parv, actually, what is happening is that , basically in this business, the c ustomer is more important to us, Okay. And all these are enterprise customers or large government customers. We are not presenting to the SMB space at all. Okay. So they become very important for us. The ticket size can be small, can be large actually, but basically the kind of customer comes since basically the complete integrated kind of a situation. So we are getting new customers. Also the repeat the old customers are very strong customers. So basically they are also they are also continuing to do business. So basically , as we got the growth aspect, also at this point of time , because I'm telling you, this is a very mature kind of a business. This is not a consumer business or something wherein I can predict and I can say something basically I it whatever statement I like to give, I like to give a very mature statement. So basically whatever I am telling 30 to 35% kind of growth. We are not a startup. Please understand that we we do inside the energy.
If the company just like a startup, but we are not a startup, so we have experience in past also doing that. So that gives us a confidence of giving you a CAGR growth of 30 to 35% and 30 to 35% growth, kind of CAGR, which we have been achieving year on year, is really a very good kind of a growth, which we are already promising. We would like to maintain and achieve it, actually.

Parv Jain (00:51:00) Sir, I mean, 30% is a brilliant figure, sir But, sir.

Sandeep Shah (00:51:03) I request you to come in the follow up, please.

Parv Jain (00:51:05) No, no, just just a clarification on this side. If you may allow.
So the new customers, I mean, if we can see more new customers coming on with a good

amount of ticket. I mean, is that a goo d thing, or how do you see that for our business

Sanjay Lodha: (00:51:21) Parv, please try and understand, last year our business was Rs. 446 Crore, this year it is Rs. 722 Crores, so, the because of high growth in this business, space for new customers get created easily. Besides, 30 -40% growth is not small by any measure. Sometimes, old customer's or new customer's large orders would come with a gap of a year, this keeps on happening. We clearly drive ou r business in a way that, we break our funnel by segments . As you can already know that our funnel is quite large, our entire funnel proactive only. All this gives us the confidence and we'd like to maintain that.

Parv Jain (00:52:09) Thanks, So thank you so much for answering. Thank you.

Sandeep Shah (00:52:13) Thanks, thanks. Thanks, Parv . We have next in line Mr. Abhishek Shah.
Please unmute yourself and go ahead.

Abhishek Shah: (00:52:50) Yeah Hi, am I audible? Yeah, So, good evening, everyone. Congratulations on a great quarter. Just one quick question. Since we are into hardware manufacturing, just wanted to get an idea on what, I guess in terms of revenue would be our current, manufacturing capacity. And, what CapEx do we have lined up and to what capacity will that take us to going forward?

Prawal Jain : (00:52:50) So, sorry, I am not getting your name. Abhishek. So, Abhishek, we don't measure our capacity. Rather we go with the capabilities. So, currently, if you will see, is, we are adding, CapEx of around 35 -40 crores, which was promised in the IPO and with the with that type of CapEx coming in, that will be sufficient for us to take us to a, revenue of around Rs. 1,800 to 2 ,000 crores. So, in our case capacity utilization doesn't matter

Sanjay Lodha: (00:53:30) You know, what happens is that our manufacturing is primarily focused on the high -end c

omputing. So, we need basically new, basically machinery, new
technical skills so as to basically completely manufacturer products.
So that's the reason we are investing in it. We really we really because we don't do any kind of contract manufacturing or anything. So, we really are not much, bothered about the capacity.
Capability capacity is already there with us. We don't need to add CapEx for capacity.
We have to add CapEx for capabilities, actually.

Abhishek Shah: (00:54:02) Okay. So then, then, in that sense, this 30 to 40 crore CapEx is, has alrea dy been incurred by the company?

Sanjay Lodha: (00:54:10) So, some has been incurred and some will be there in the coming year.

Abhishek Shah: (00:54:16) Okay.
And, considering this takes us to approximately 2 ,000 crores of, revenue, would it be fair to say then that, for the next maybe 2 to 3 years, we may not, incur any significant CapEx going forward?

Sanjay Lodha: (00:54:30) Right.
So, so, the, you can say some revenue, some CapEx will be there, which is, preventive or, routine CapEx, maintainance CapEx, of around 10% of our gross that will be there. But nothing major thought of, CapEx will be there for the next two, three years. Routine will always be there.

Abhishek Shah: (00:54:54) Okay. Great, Thank you so much. And congratulations again. Thank you.

Sandeep Shah (00:55:00) We have a next in line, Mr. Yash Gandhi, please unmute yourself and go ahead.

Yash Gandhi (00:55:08) Hi, Thank you for the opportunity. Sir, I just wanted to ask, how do you distinguish between L1 and your order book? Like, if I, if I believe your L1 is, like, 100% certainty, right? That L1 that you have about 304 crores, 314 crores will be converted to your order book this year itself.

Sanjay Lodha: (00:55:26) Yes, So basically, as we rightly said, until we receive the PO , we we we we we, we have won the order, but the purchase order has not come. So that is the kind of situation we call it. L1 means lowest one, It has been decided. It's the probability is around 100%, as you mentioned, of getting the order. But till the till we get the Po, we cannot mention that that it is in the order book. So that's the only difference.

Yash Gandhi (00:55:49) Okay, So how much time does it take for, it to get converted from L1 to order book like broadly

Sanjay Lodha: (00:55:54) that that can take some time. It can basically normally we have seen is that, that it can take maybe from 15 days to maybe three months.

Yash Gandhi (00:56:04) Sorry, Sorry, what was that?

Sanjay Lodha: (00:56:06) From two weeks to three months.

Yash Gandhi (00:56:10) Okay okay okay, So and what is the …. So two weeks to 15.

Sanjay Lodha: (00:56:16) It's basically like what happens is in case of government sometimes what happens is that the order we are L1. Then after they apply for some kind of basically permissions and all those kind of things in which you get the order. So it normally we have seen that within basically within two weeks to, it comes passed only, but the maximum I feel is maximum three months. It takes not beyond that.

Yash Gandhi (00:56:37) Okay. Okay, And so who are your bidders in a government tender?

Sanjay Lodha: (00:56:49) Like basically we work with all the you see, all the, the primarily all the high -end computing bodies, all the major, all the IITs, all the IIMs , all the basically primarily your, the, DRDO, defense , Airforce, basically the government tender. We have all the major R&D facilities and all this kind of defense and all those kinds of people we have. We hardly do business with the state government. Our most of business is primarily with the central government institutions.

Yash Gandhi (00:57:16) Okay, okay. Got it. Thank you. Yeah.

Sandeep Shah (00:57:20) We have next in line Mr. Arnav Kashyap. Please unmute yourself and go ahead.

Arn

av Kashyap (00:57:29) Hello? I'm audible.

Sandeep Shah (00:57:31) Yes. Yeah.

Arnav Kashyap (00:57:32) Congratulations Netweb team for this great set of numbers. Just.
I wanted to know, can you elaborate on your relationship with Nvidia?
Meaning your role is only integrating chips to your stack, or there is any knowledge exchange or any margin accretive thing which is part of the agreement and which falls on our side of the agreement? That is first question.

Sanjay Lodha: (00:57:57) You want me to answer that first?

Arnav Kashyap (00:57:58) Yes Yes, you can answer that first.

Sanjay Lodha: (00:58:01) Answer that, I answer that, Okay. So basically, as regards my relationship with Nvidia goes back to 15 years.
Basically, you can understand that we have been active in the supercomputing domain.
And then the supercomputer people were never happy with the kind of processing speed they get from the processors. They are always looking for accelerators. So in the way back in, because we know Nvidia was primarily the G PUs were made for graphics, not for compute.
So basically in 2010, Nvidia started working basically so as to see that it were graphics chips can be used for the compute. And that's the reason they developed a program called C UDA and which was not basically a general purpose, Programs cannot run on GPUs, So they started popularizing it.
So we work with them very hard. So that basically so as to primarily popularize that.
And basically it was a very long process in which basically it was given to various universities, various places across the world, This activity happened. We were also part of it. So in that

process, we understand the GPUs very well. So the relationship with Nvidia has been because we were just I mean, not made an announcement, but we were awarded as the largest partner for Nvidia in the country also at the recent GTC, which was held in California. So basically and my agreement with Nvidia is very clear, th ey they will give me the chips and they will provide me the reference architecture that basically this is the chip and any chip, if you want to develop a system on on a chip, basically you have to make you have to design your motherboard. You have you need to get the reference architecture, which is basically a kind of a only a kind of a OEM -ODM relationship can give you. So, we have a OEM -ODM relationship with Nvidia, which helps us so as to get all those kind of information so that basically my design tea m can co-work with them and can clearly create a design for the server, which i s based on those c hips. Okay, so, that is the kind of relationship which we have with Nvidia.

Arnav Kashyap (00:59:49) Thank you. M r Lodha, that was very elaborative. And the other thing I wanted to know was, this 171 new customers , which we added, can you name some prominent ones as a shareholder? I just want to know

Sanjay Lodha: (00:59:58) That is under NDA. We don't disclose a customer.

Arnav Kashyap (01:00:02) Okay . Okay, So thank you sir, Thank you, thank you.

Sandeep Shah (01:00:06) We have a time for last question. That is from Ashish T, please unmute yourself and go ahead.

Ashish T (01:00:15) Yeah, Thanks for the opportunity. Sir. Are we part of the Rudra supercomputers , which, probably C -DAC is giving orders to some of the companies ?

Sanjay Lodha: (01:00:24) Yeah, actually, we are not part of the Rudra supercomputers, actually, as regards the C -DAC is concerned, because primarily our focus is primarily, as I told you, our focus is not only manufacturing. Okay So we just don't want to basically manufacture the hardware and give it to somebody because C-DAC has got this whole stack and they are trying to do that.
And there have been challenges on the Rudra side also, because basically it is based on some third the or Cascade Lake Systems and all. So definitely we have excellent relat

ionship with C -
DAC, but we don't want to become a box pusher. That's the reason we are not focusing on the supercomputer.

Ashish T (01:01:01) Fair enough, so lastly, on this Yotta and, our Nvidia engagement, any timelines you could share as to when can we see the commercial revenues starting to come?

Sanjay Lodha: (01:01:11) Basically , again , these specific s I will not like to address.
There is a huge demand. I already told you there is a basically everybody is, all the all the large, all the CSPs are all working on large AI cloud. We are working with all of them and basically, so basically what that will all transform into revenue. And, definitely there is a market around that. People are trying to build things and we are working aggressively, but I do not like to pinpoint or speak about one specific customer

Sanjeev Sancheti: (01:01:38) or all we would like to say is keep looking out at this space.

Ashish T (01:01:42) Okay. So so that would be fair to assume that the 30%, 30, 35% revenue guidance, so these engagements are not involved into this, right?

Sanjay Lodha: (01:01:51) Again No, No comments,

Sanjeev Sancheti (01:01:53) No comments. You're trying to take out a new guidance from us which is not happening.

Ashish T (01:02:00) Yeah, So organic versus inorganic, So it's okay. Yeah, Thanks a lot. All the best.

Sanjay Lodha: (01:02:06) Thank you Sir thank you Sir. Thanks for all your support.

Sandeep Shah: (01:02:09) Yeah, So now due to the time restriction we need to end this webinar and thank you all the participants, senior management of Net web and Mr. Sanjeev for attending the webinar. We can now end this webinar and leave the same. Thank you all once again.

Sanjay Lodha: (01:02:23) Thank you, thank you, thank you.

Call: Jul 2024

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Date : 26-07-2024
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street
Mumbai- 400001
Scrip Code: 543945 To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai - 400051
Scrip Code: NETWEB

SUB: TRANSCRIPT OF Q 1 FY24-25 POST RESULTS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations), please find enclosed the transcript of Post results earning call for Q 1 FY24-25 held on Monday, 22nd July, 2024.
This is for your information and dissemination on your website.
Thanking You
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M. No. A36610

Lohit
ChhabraDigitally signed
by Lohit Chhabra
Date: 2024.07.26
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"Netweb Technologies India Limited
Q1 FY25 Earnings Conference Call"
July 22, 202 4

MANAGEMENT : MR. SANJAY LODHA – CHAIRMAN AND MANAGING DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. PRAWAL JAIN – CHIEF FINANCIAL OFFICER AND CHIEF HUMAN RESOURCE OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED

MR. NAVIN LODHA – WHOLE -TIME DIRECTOR –
NETWEB TECHNOLOGIES INDIA LIMITED
MR. HIRDEY VIKRAM – CHIEF SALES AND
MARKETING OFFICER – NETWEB TECHNOLOGIES
INDIA LIMITED
MR. SANJEEV SANCHETI – HEAD OF UIRTUS
ADVISORS , IR ADVIS ING FIRM TO NETWEB
TECHNOLOGIES INDIA LIMITED

MODERATOR : MR. HARDIK RAWAT – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Net web Technologies Ltd Q1 FY25 Earnings Conference Call hosted by IIFL Securities Ltd. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero, on your touch -tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Hardik Rawat from IIFL Securities Ltd. Thank you and over to you, sir.

Hardik Rawat: Good afternoon, everyone. On behalf of IIFL Securities, I welcome everyone to Netweb Technologies Q1 FY25 Earnings Call. We have the pleasure of having with us the Senior Management Team of Netweb Technologies led by CMD, Mr. Sanjay Lodha, CFO and Chief Human Resource Officer, Mr. Pra wal Jain, Whole -Time Director, Mr. Nav in Lodha, Chief Sales and Marketing Officer, Mr. H irdey Vikram, and Head of Uirtus Advisors, the IR advising firm to Netweb Technologies, Mr. Sanjeev Sancheti. Without further delay, I'd like to hand over the floor now to Mr. Sanjeev Sancheti. Over to you, sir.

Sanjeev Sancheti: Thank you, Hardik. Good afternoon to all the participants. Before I hand over the call to Mr. Sanjay Lodha for the opening remarks, I would like to draw your attention to the Safe Harbor Statement in the earnings bid presentation. I request each one of you to go through that presentation before the Q&A starts, so that you are aware of the same. Thank you and over to you, Mr. Lodha.

Sanjay Lodha: Thank you, Hardik and Sanjeev. Good afternoon and a very warm welcome to all of you to the Netweb Technologies Q 1'FY25 earnings webinar. I will take you through the business and operational highlights of the quarter and the year gone by, while our CFO, Mr. Pra wal Jain, will share the financial metrics. We are pleased to state that India's flagship state -of-the-art, end -to-end, high -end computing server storage and switch manufacturing facility in Faridabad was inaugurated by Honorable Secretar y, Ministry of Information & Technology, Government of India on May 10, 2024, marking a significant milesto ne in "Make in India " initiative.

The new facility represents a substantial leap in network manufacturing capabilities for cutting - edge computing systems, encompassing the entire production process, including PCB design, manufacturing and SMT for high -end servers, storage and switches, dem onstrating advanced manufacturing skills.

This facility will allow Netweb to manufacture Make in India high -end computing systems using latest generation chips from our technology partners, such as NVIDIA, Intel and AMD. It will also enable Netweb to market its products and solutions to the new industry verticals, which demands critical high -performance computing architecture. It demonstrates Netweb 's steadfast commitment in progressing the innovation and b olstering self -reliance in India's technology sector.

Furthermore, the new facility is also very well -equipped in meeting demands for ever -evolving requirements of private cloud, AI cloud, compute data centers and more specifically, AI workloads.

On the financial side, our operating revenue grew by around 150% year -on-year to INR1,493 million in Q1 FY25. Operating EBITDA for Q1 FY25 increased by 131.8% year -on-year to INR200 million, with an operating EBITDA margin of 13.4%. Profit after tax increased by 203.4% year -on-year to INR154 million in Q1 FY25. The PAT margins improved from 8.5% in Q1 FY24 to 10.1% in Q1 FY25.

India is rapidly emerging as a leader in AI adoption with businesses and organizations increasingly leveraging AI to drive innovat

ion and operational efficiency. The government's
approval of over INR10,300 crores for the India AI mission will enhance the AI ecosystem over five years, focusing on compute capacity, innovation, data sets, application development, skills, start-up financing and Safe & Trusted AI. Key to this initiative is deploying over 1 0,000 GPUs through public -private partnerships. These ind ustry tailwinds create a fertile ground for innovation and expansion and Netweb is uniquely positioned to harness these opportunities.
AI systems have clearly emerged as a pivotal growth pillar, contributing significantly to our operating revenue, with its share increasing to 14.6% in the quarter gone by, making a robu st growth of 146% year -on-year.
Our strategic focus on the three pillars, HPC, Private Cloud and AI, ensures that we are at the forefront of technological evolution. These pillars are cornerstones of our growth strategy, enabling us to deliver cutting -edge solutions that meet the dynamic needs of global businesses.
The development of servers based on NVIDIA Grace Superchip under the MGX architecture is in progress and we expect to roll out these servers soon under a Tyron e range of AI Systems .
In addition, we launched Intel Sapphire Rapids and AMD Genova -based high -end computing servers in the last quarter. We already have a very diverse portfolio of products, including some utilizing the latest NVIDIA GPUs to meet the demands for AI training an d inferencing market.
Turning to the robust India data center demand, the landscape is evolving at a very fast pace, offering significant opportunities. Necessity of having a unified on -prem platform in the form of private cloud is revolutionizing the new -age modern data centers, replacing traditional virtualization platforms, thereby giving us enough headroom to position our private cloud and HCI solutions. Our path -breaking offerings, such as Skylux and Kubyts , have become a major alternative to existing virtualisation technol ogies and create a significant differentiator for our data center offerings.
With a robust business pipeline and order book totalling of 4,197 million as on 30th June 2024, coupled with continuous improvement in our capabilities and expansion of both operations and product portfolio, we are positioned strongly for sustained growth , maintaining our leadership in the technology.
I would like now to hand over the call to Pra wal to provide you updates on financial numbers.
Thank you.

Prawal Jain: Thank you, Mr. Lodha. Good afternoon, ladies and gentlemen. Thank you for joining the earnings webinar. I will give a brief overview of the financial numbers for the quarter before we open for Q&A. I hope everyone would have got a chance to look at the earnings presentation and the press release by now. While our CMD has already covered the macro -outlook , I will try to explain in a more granular manner the financial performance of the quarter gone by.
Our operating income increased by 149.7% Y-on-Y on quarterly basis, reaching INR1,493.2 million in Q1 FY25.
While Operating EBITDA for Q1 FY25 increased by 131.8% YoY on quarterly basis, reaching INR200 million. The Operating EBITDA margin was 13.4% for the quarter.
The Profit after Tax (PAT) increased by 203.4% YoY on quarterly basis, reaching INR154.4 million in Q1 FY25. PAT margin improved from 8.5% in Q1 FY24 to 10.1% in Q1 FY25.
Return on Equity for Q1 FY25 was 14.3%, while Return on Capital Employed during the same period was 19.5%.
Net debt for the quarter was at negative INR330 million in Q1 FY25 as compared to negative INR109.5 million in Q1 FY24. Kindly note that this net debt calculation excludes unutilized proceeds from IPO.
The Cash Conversion Cycle for Q1 FY25 stood at 129 days as compared to 159 days in Q1 FY24.
We remain focused on our strategic p

riorities and growth pillars, laying emphasis on our long -
term goal of sustainable growth and profitability. Following a strong quarter and supported by a robust order book and business pipeline, we are confident in achi eving significant revenue and profit growth this financial year.
With this, I now hand over the call to Hardik to take it forward. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sandeep Shah from Equirus Securities . Please go ahead.
Sandeep Shah: Yes, can you hear me?
Sanjay Lodha: Yes. Hi Sandeep . How are you?
Sandeep Shah: Fine. Congrats again on a strong execution. Sir, the first question is regarding the tie -up with

NVIDIA on the Grace Hopper. Any discussions with the client whether that tie -up is creating a bigger pipeline, and the deal wins, and the order pipeline can further grow at a material rate? Because you also said in your initial remarks that the AI adoption in India is increasing. So any color on that would be helpful.

Sanjay Lodha: So Sandeep, we have been guiding very well that 30 % to 35% of CAGR growth. We will still like to maintain our guidance on that. And you know that basically this growth which is not -- we are trying to achieve only in one quarter. This is on quarter basis. We have been doing it for

more than approximately three years. We plan to maintain that. Definitely AI, as you have seen in the last quarter, my remarks also, it was around basically 7%. It has come to around 14-point - some percent . So basically there has been a huge growth in the AI momentum which is basically helping us in the revenue. So that will go on.

And you fully understand basically definitely Grace Hopper, the systems will also come up. But definitely they will also keep on adding. But basically specifically on product -specific range, you understand we are a solution company. We want to -- basically, we are not a box pusher kind of a company. We want to basically, so the solution will evolve various kind of basically training and inferencing workloads and different kind of architectures will be used for that. So this will only make our compl ete produ ct portfolio more strong and help us to achieve our growth rate.

Sandeep Shah: Okay. Sir, when do you expect this new architecture to be launched in terms of the tie -up with NVIDIA on Grace Hopper?

Sanjay Lodha: So basically the products are already getting ready. And I think in the coming quarter basically the product should be ready to market. But we are already marketing them, and we are already, the product is almost all ready.

Sandeep Shah: Okay. So is it fair to assume second half could be a period of building the pipeline and F Y'26 could be a year of, first year of benefit in terms of getting the growth through this NVIDIA tie - up?

Sanjay Lodha: Yes, you can say that.

Sandeep Shah: Okay. And the second question is in terms of the government announcement about the AI cloud out of which INR10,000 crores , there was a media article just few days back, 50% of that they want to spend in the immediate term. So how are we placed to get in terms of , to garner this opportunity? And how this private -public partnership will work? Any color will help.

Sanjay Lodha: So basically …

Hirdey Vikram: I can answer the question for you , Sandeep. So first of all the opportunity itself is something which is based on the essence of the requirement that it has to be a sovereign AI cloud, and which has to cover the hardware part of it, the cloud stack. And after all , we have to maintain, I mean the government has to maintain. So all these three elements put together become the complete solution. And the best part is that Netweb is uniquely placed in this case because we have got our hardware system which are designe

d, manufactured in India. We have got ou r cloud stack, and we even provide the cloud deployment services also. So from that standpoint we are very well placed to address the opportunity.

And we are looking at it from that perspective only that how well placed we are, that should be looked at. And we are very confident that we are strongly placed with a strong product line and with a strong experience what we have , which we have garnered and some of the example deploym ents what you have seen already, l ike the way we have designed AIRAWAT which has actually become a miniature for the India AI cloud mission. So that itself gives a lot of

confidence not just to us, even for the user fraternity as well. The network is basically having the complete stack to meet the requirement.

Sandeep Shah: Yes, thanks Vikram. Just a follow -up, Vikram.

Moderator: Sorry to interrupt you , sir. I request you to come back for a follow -up question.

Sandeep Shah: Yes, thanks.

Moderator: Thank you. The next question is from the line of Mayur Patel from 360 One AMC . Please go ahead.

Mayur Patel: Congratulations for the excellent set of operating numbers. On the same point, INR10,372 crores budgeted by the government for this India AI mission, and it is covering 10,000 or more GPUs. So Lodha Ji, can you share that is this an entire addressable opportunity for us or some part of

this would be our opportunity if you can just sh are your insight on this?
Sanjay Lodha: So basically you should understand this. Actually the Prime Minister's mission is to make India the AI factory of the world. So basically it is not that INR 10,000 crores will immediately be spent into the GPUs itself. So basically this is your start-up ecosystem. Today what happens is that all the start -ups, if they want to -- basically you know there are thousands of start -ups which are coming up. And if they want to buy compute infrastructure, it is very, very costly. And that is basically not helping them grow or to basically develop themselves. In that situation, government wants to basically provide them the entire GPU facility so that basically they can evolve.
So the part of it, the entire INR10,000 crores has been allocated so as to basically enablement of that. So as Hirdey mentioned on the previous answer, very clearly since we are part of the -- basically the hardware is designed by us. We have our own hardware, our software, cloud deployment services. So we are through and through the entire process actually. So significant portion basically, so we are able to target the entire year. But you should not be considered that the entire INR10,000 crores will be s pent only on buying the GPUs.
Mayur Patel: Got it. Just one more thing. We are on a path of very high growth. And clearly your order book, Lodha Ji, is giving a lot of comfort. Just is there any scope of improvement in overall cash conversion cycle as we move forward?
Sanjeev Sancheti: Can I take that? This is Sanjeev here.
Mayur Patel: Yes, Sanjeev.
Sanjeev Sancheti: You see that typically we are growing at a very, very fast rate, right? And specifically if you look at the way the revenue is growing, because of the pace of growth of revenue by debtors, a large chunk of debtors is getting created every quarter, which is larger than the previous quarter because of the growth. And that is the reason you are seeing this conversion.
As we stabilize our growth to what we are saying is 30 %, 35%, you will start seeing the cash conversion cycle significantly improving. And we believe that we will be above 60 % of our

EBITDA, the net operating cash. So I think that's just a transitionary phase because of the fast pace of growth, a typical problem of growth. So that will definitely improve, yes.

Mayur Patel: Got it. Thanks a lot. All the best.
Moderator: The next question is from the line of Vivek Gautam from GS Investments. Please go ahead.
Vivek Gautam: Congratulations, sir, on an excellent set of numbers. I just wanted to know about the NVIDIA AI server opportunity size for our company and since when we can expect the production from the same facilities in India. And second thing was about the competition intensity we are f acing. Is there any competition intensity over here or we are in a unique position for highlighting the USP of our company, sir? Thank you.
Sanjay Lodha: So basically to answer your question, the thing is that we are already manufacturing our servers, which are basically using GPUs and our servers are designed and manufactured by us. So the product range gets enhanced basically as we move forward because you know that we work with all the major chipset providers. We have direct OEM relations with NVIDIA, Intel, and AMD. So whenever the new chipsets are coming, we are trying to basically in tegrate and have more products.
So currently basically on our Sapphire Rapid servers, Genova platforms, both are extensively using GPUs. And we have been able to deliver some really good solutions and good products to our customers. So that is there and that has only led to , if you see our growth of the AI business which we are doing, it has grown from 7% to 14% year -on-year basis. So basically that is there.
As regards the new product basically which we are working upon on the new architecture of ARM -based architecture, so that product is almost all, as I mentioned on the earlier question, is almost all ready. And basically very soon we will be launching a pro duct on that also. So basically, we have some more products on the roadmap based on the NVIDIA roadmap which are going to be introduced. So it's completely we have basically insight on the roadmap 12 months to 18 months in advance. So we have that and defi nitely we will have -- we will be trying to market along with the world market, and we will try to do it.
Answering the second question on the competition side, basically the thing is that that we are not box pushers, as I have been telling again and again. We try to deliver the complete solution. We have the hardware, we have the software, and we have our services. So all the three things integrated definitely gives us a much more better, puts us in a better position so as to basically provide and fight our competition in a much better manner. So I think that definitely that USP which we have, that will defini tely be there, and the demand is also there. So I think we are well placed.
Vivek Gautam: What is the outlook for the next five years and any geopolitical risk due to China, Trump, Taiwan

tensions keep on coming in the press?
Sanjay Lodha: Actually, really speaking over the period of, I can tell you we will at least for next two to three years, we plan to grow at the same momentum, which we have been telling around 30% CAGR, which I can tell you. Okay. And basically as regards geopolitical t ensions are concerned, I think

things are basically today, I don't think anytime soon we will have more China because basically you really see U .S. and all that, everybody, the Chinese products, more and more manufacturing is moving away from China.
So I don't think we have any kind of a problem with the geopolitical tensions which are happening plus currently our market I think this quarter onwards you will see a different picture, but currently our most 99% or 98% of our market is domestic. So we are not dependent on exports as yet in future we may be, but basically, I personally feel geopolitical tensions are not a point of worry for us as such.
Vivek Gautam : Okay sir. Thank you.
Moderator: Thank you. The next question is from the line of Garvit Go

yal from Nvest Analytics Advisory
LLP. Please go ahead.
Garvit Goyal: Good evening, sir. Congrats for a good set of numbers. My first question is on the data center opportunity. So can you please put some color on the opportunity where exactly do we fit in the value chain?
Hirdey Vikram: So see I couldn't get your name.
Sanjay Lodha: Can you repeat your name?
Garvit Goyal: CA Garvit Goyal.
Hirdey Vikram: Yes. So just to answer your question first of all the way data center opportunity is coming out there, it is basically evolving in the capacity of where the demand of the unified platform or the private cloud solution is something which is emerging out of this opportunity. And we being ahead of our time I would say because if you see our private cloud solutions which are largely meant for large data centers or modern data centers, we have started providing even 2016 onwards.
So from that perspective we are pretty much ready. And we are ready to serve this upcoming opportunity in a big way and the way data centers are getting designed, they require the unified platform and that is what we are ready to serve them with. And so in that capacity we are pretty much well -placed on one hand.
And the second thing is that having a large deployment base already that gives us a lot of benefit because we can provide a lot of reference points to our customers too, which helps us to grab more business.
Garvit Goyal: Understood sir. And sir secondly on the margin side like you mentioned we are always ahead of time in the terms of technology. We are spending on the technologies, bringing the new products as per the requirements of our customers. So how do you see the ma rgins shaping us for the next two to three years?
Hirdey Vikram: For margin, I think I can let Prawal cover it for you.

Prawal Jain: So if you will see our operating EBITDA margins are in the range of around 14%. Going forward we see from the next year onwards an improvement of around 100, 150 basis points in this to a maximum point. So that will be in the range between 14% to 15% from next year onwards.
Garvit Goyal: Understood sir. That’s it from my side. All the best for the future.
Prawal Jain: Thank you.
Moderator: Thank you. Thank you. The next question is from the line of Hardik Rawat from IIFL Securities Limited. Please go ahead.
Hardik Rawat: Thanks for the opportunity. Sir, congratulations on a good set of numbers. Firstly I wanted to ask you that we have seen some pretty robust growth in this quarter vis -a-vis the previous year. So how should we see this growth? Can it be said that we had a weak base because of which the growth has been so significant?
Sanjeev Sancheti: So I think you see the first quarter is always the weakest quarter. So we are only doing a Q -on-Q comparison. Now it is possible last quarter was slightly lower than normally expected where you can see that we are doing very well in healthy growth and we have a good order book position. So I don't see it as a one -off, but you cannot judge this Y -o-Y growth to be the growth for the full year.

Sanjay Lodha: Hardik, I would like to add here. Actually basically as I have been telling again and again, our kind of business cannot be evaluated on a quarter -on-quarter basis really speaking because basically one quarter really will not give you a very true picture. If you see my past track record also, we have been growing at a rate of 30% to 35% CAGR. I still maintain and we are very confident of maintaining that.
My order book and my funnel everything really reflects that. So definitely we are very confident of maintaining that kind of growth. So basically one quarter you will see some higher growth, but that doesn't mean that basically the growth rate. I would not like to guide on a very high growth rate. We will like to guide you around 30

%, 35% growth and which we are very confident
of we have been doing it in the past few years. And we are very confident of continuing for the next few years as well.
Hardik Rawat: Got it, sir. So actually the reason that I was asking that was that historically like sir mentioned was that our Q1 is the weakest and the revenue growth, the revenue number at least the absolute revenue increases sequentially as the fiscal comes to an end . So Q2 is stronger than Q1, Q3 is stronger than Q2 and Q4 is strongest of all. So just wanted to see that since you have seen such a high growth in this quarter, will that trend - can that trend break maybe we are seeing more uniformity in t he seasonality so to speak if you can share something?
Sanjay Lodha: Yes Hardik actually still I would like to maintain one -third of my revenue will come from H1 and two -third of my revenue will come from basically H2. So we are very sure about that kind of thing as regards that is there, but basically overall the picture w ill remain the same because if you really see the March quarter, the Q4 for last year was a record quarter for us. The quarter before that was a record quarter for us. So basically it has been the growth trajectory has been

like that and we want to maintain it, but overall guidance will be 30% to 35% growth only from my side.
Hardik Rawat: Got it, sir. And before I get back into the queue one last question was with regards to your supercomputing business . We had received a large order from Vikram Sarabhai Space Centre in Q3 or Q4 of FY24 worth about INR150 crores. So have we seen any execution for that order and if not, then will we be seeing that in the next two quarters?
Sanjay Lodha: Yes, you are right. You will be seeing it in the next two quarters.
Hardik Rawat: Okay. I'll get back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.
Vimal Jamnadas Gohil: Yes sir. Thank you for the opportunity and congratulations on a very strong quarter. Sir my question is again on this national AI mission and as you highlighted previously in the call, I think 5000 crores has been given out for purchasing the compute hardware. So if you can just quantify our opportunity size for us, what is the addressable market over there for us or is it that the entire 5000 odd crores is what we can capture potential ly theoretically and when do we see the execution coming along and will this execution happen at decent margin and working capital levels?
Sanjay Lodha: As regards margin profile it will remain the same as it has been. Actually first thing is that I'm answering your last question first and the second as regards basically on the value terms we would not like to comment basically primarily it's an opportunit y size of 10,000 GPUs to 25,000 GPUs. So the discussions the government is still basically into the RFP stage and it's not going to be one -time purchase. This money has to be spent within three years and basically that's how they want to work on that.
So the opportunity size is big for us. Basically the entire as I told you we are on the, as Hirdey mentioned on his answer that we are on all three parts. We are there in the hardware, we have our own software stack, we have the services stack. So basicall y, we provide a very good kind of a mixed kind of a solution. So I think we will get a good pie out of it, but basically as regards that is there still it's a government project and it will be spread across we think should be between two to three years in totality.
Vimal Jamnadas Gohil: And sir when will this start, when does the execution actually start?
Hirdey Vikram: Should start this year actually. Yes, I mean there's a likelihood and ultimately the structuring of the entire opp

ortunity that is something which is going on right now. So as it happens, I mean this will largely depend on when the final document will come out.
Sanjay Lodha: Within a few months we are expecting the things to be rolling out, but basically because you know that the government of India itself has got a major Prime Minister has got himself a lot of attention on development of AI and this can be really a good step. So I think it should start very

soon because the cabinet approval is already there.

Vimal Jamnadas Gohil: And our current order book number does not include anything from this at least, as of now?
Sanjay Lodha: Nothing from this.
Vimal Jamnadas Gohil: And lastly would you just comment on the working capital for this, should be in line with what we're doing right now, how will it be or better maybe?
Sanjay Lodha: Come again? I missed your question.
Vimal Jamnadas Gohil: The working capital for this particular project will it be better because since the quantum of this project is very large is there any chance that the working capital also could be a bit stretched because the volume of work is very high here.
Sanjay Lodha: I don't think so.
Prawal Jain: Let the RFQs and all other things come out then we will be in a better position to answer this question.
Vimal Jamnadas Gohil: All right, sir. Thank you so much and all the very best.
Moderator: Thank you. The next question is from the line of Rucheeta Kadge from I-Wealth Management LLP. Please go ahead.
Rucheeta Kadge: Hello sir. Good evening. So sir my question was mainly on the order book side. So current order book what is the execution cycle for it and about the L1 orders what is the tenure for them to convert into your real order book?
Sanjay Lodha: So basically first thing is that the order book which we have mentioned that is basically the number 419 crores odd something. So that exactly is the number which the orders have been received already. As you know our order cycle is not that long. We execu te orders between 20 to 24 weeks normally. So this cycle gets executed during that time and as regards L1 which we are there so basically these are the numbers these are the orders where we have already won the order, but the purchase orders have not come. They are still not part of the order book, but we have won the orders. So basically within we have normally seen within two to three months they get converted into order book.
Rucheeta Kadge: Okay sir. And what about the pipeline sir usually how much is converted into order?
Sanjay Lodha: Around basically a pipeline is basically that last us around 18 months approximately. This is a rolling pipeline which keeps on added, but 60% is the 50% to 60% is the conversion rate which we have which is pretty high.
Moderator: Understood. Thank you so much. Thank you. The next question is from the line of Ankur Jain. Individual Investor. Please go ahead.
Ankur Jain: Yes I want to know that whether the HPC and Quantum Computing are the same or it's not same are we doing something into Quantum Computing ?

Sanjay Lodha: Yes, actually we will not like to basically as regards HPC we are definitely doing very strong. You know still around 30%, 35% of our business comes from supercomputing and that is definitely our regular business which we have been doing for 20 plus years. We have a full stack of products there. That market is also growing for us, but as regards Quantum Computing, I will not like to comment at this stage. Basically as it evolves, we will be ready. We have some plans on hand, but I think this i s not the right time for me to disclose them.
Ankur Jain: Okay sir. And second question is that are we claiming PLI in both the things, IT hardware and telecom or one thing only?
Sanja

y Lodha: We are eligible for both, and we will be claiming in both.
Ankur Jain: Okay. And, sir, one more question. This other income of 3.89 crores, can you throw some light, what are the constituents of this other income?
Prawal Jain: Majority of this is interest from bank deposits, which are there in the form of IPO funds.
Ankur Jain: Okay, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Priyansh , an Individual Investor. Please go ahead.
Priyansh : Good evening, sir. Congratulations on your remarkable growth. Sir, as you mentioned in your last con-call that the order book is INR400 crores, and you will be able to convert that into the income in 16 to 20 weeks. So, sir, why we are not able to see the revenue of around 250 or 300 while it is less? And the second question is, sir, I missed on the free cash flow. What is our free cash flow and how much it has been added in this quarter?
Sanjay Lodha: So, first to answer your question on order book, I have always been, as far as I remember, I have

mentioned 20 to 24 weeks of basically execution. So, that is, we still stand by that only. So, basically, it can be some two weeks, three weeks up and down. So, I think we are completely in line with whatever we have projected. Okay. And as regards the cash flow question is concerned, I will let Pra wal answer it.
Prawal Jain: Yes. If you will see, this Q1 is our softest quarter of all the quarters which are there. So, in this quarter, our cash flows, net cash, free cash flows from operations are always negative, though they are still better from what we had in the last quarter. Last Q1, financial year 24. But going forward, you will see we are targeting around at least 30% of our free cash flows to EBITDA.
Sanjay Lodha: Let me explain you. In the first quarter, as Pra wal explained, in the first quarter, most of our expenditures are capex expenditures. So, the first one, one and a half months, there is hardly any invoicing. So, most of the billing happens towards the later part of the quarter. And hence, they are not sitting on the debtor, which will be realized subsequently. So, it is a good thing to look at a full year of FCF rather than looking at this quarter.

Priyansh: Okay, sir. And lastly, sir, can you give a guidance of after five years, as you mentioned in the last con-call that you have a guidance of five years that we can expect a growth of 30-35% CAGR. But after five years, can we at least expect 20% or around, can you comment on that?
Sanjay Lodha: It is very difficult to envision a post -five-year situation because this is not a FMCG company. This is a high -tech IT company where things are evolving very fast. Let us wait and have some patience. I have always been very, very, I want to guide the market on the very correct terms. That has been my perspective from the day we got listed. So, basically, like to maintain that. I will not like to do anything hypothetical or too much imaginary. I hope you will appreciate my point.
Priyansh: Okay, sir. Thank you, sir. Thanks for the opportunity.
Moderator: Thank you. The next question is from the line of Pratap Malivar from Mount Intra Finance. Please go ahead.
Pratap Malivar: I just wanted to ask. So, could you give some more clarity on the comment that you made that you have a roadmap of about 12 to 18 months from NVIDIA? So, could you throw some more light on this particular point? Like, what is the roadmap that they have given you and how does it plan to kind of ramp up?
Sanjay Lodha: So, basically, once we work with major chipset providers, okay, like Intel, AMD, or the other OEMs, we have an agreement with them wherein we know the future chips which are going to come. Okay. So, that basically before the products are being launched in the market, we are able to basically design o

ur products accordingly. So, that exactly I meant. And basically, though I cannot be expected to divulge the details of the roadmap because those are all under NDAs.
Pratap Malivar: Okay. Understood. And secondly, an earlier participant had pointed out that we had got an order for supercomputing about INR150 crores. So, can you just help me understand? Are we providing the data centers, for example, to compute in regards to supercomputing? We are providing them servers? Or what is the product exactly that we are providing?
Sanjeev Sancheti: It's a complete supercomputer, which in basically, it has got our complete installation. Everything is there, actually. It's end -to-end. It's turnkey basis.
Moderator: Thank you. The next question is from the line of Kunal Mishra from Orkan . Please go ahead. Due to no response from the current participants, we are going for the next question, which is from the Onkar Ghugardare from Shree Investments. Please go ahead.
Onkar Ghugardare: Your first question is, how do you plan to utilize the IPO proceeds and capex for the current year? What will it be?
Sanjeev Sancheti: So, I think we've already put it very clearly in our earnings presentation. But out of the total fund of INR1,940 crores, we've already spent INR968 crores. And the balance of it will be utilized?
Prawal Jain: So, regarding the balance IPO proceeds of around INR97 crores, INR75 crores is for working capital and balance is for capex, which is yet to be incurred. And around INR14 crores, INR1 5

crores already capex we have incurred on the SMT line. Our building is under construction and is being constructed on a full force. So, we expect that all the INR97 crores left over will be utilized in the coming quarters.
Onkar Ghugardare: Okay. So, earlier you had mentioned that you will be looking for strategic acquisitions. So, for that you will have to raise proceeds from the market as you will be utilizing this?
Sanjeev Sancheti: No, no. We have enough cash flow generation to be able to do that as and when the opportunity

comes.
Prawal Jain: So, as the opportunities come out, we will see. Because you will see our cash flows in the coming quarters will be on the healthier side. So, we will be able to meet those acquisition chances from our own funds. Right now, we are under evaluation stage. Right now, there is nothing on plate to guide you on that.
Onkar Ghugardare: So, right now, how much free cash flow you are converting out of the total net profit in percentage terms?
Prawal Jain: So, for this quarter as previously answered, our free cash flows are on the negative side. But as this is the slowest quarter and all the billing happens during this quarter in the later part of the quarter. So, going forward, we expect that our cash flows will significantly improve. And we are targeting around 30% of EBITDAs to be our free cash flows during the year.
Moderator: Thank you. The next question is from the line of Praveen Desai, our individual investor. Please go ahead. Due to no response, we are going forward with a new question, which is from the line of Hardik Rawat from IIFL Securities Limited. Please go ahead.
Hardik Rawat : Thanks for the opportunity again. Sir, I wanted to ask a couple of questions with regards to our export business. So, we were planning on expanding our operations in the Middle East and Europe. So, what are the updates on that?
Sanjay Lodha: So, it's progressing very well, Hardik. Very good question, actually. So, basically, things are moving on a very positive direction. And basically, Middle East, I think we have already started our sales effort in Middle East, actually. And primarily, I think very soon, we will be -- I think we will see in the future, maybe one or two quarters, we will see good revenue coming out on exports also from us. So, we will be

on track on that.
Hardik Rawat: So, in the ME and European markets, which division is gaining the most traction ? Like, our execution is going to be the highest in which of the segments, HPC, HCI or AI systems?
Sanjay Lodha: So, basically, primarily, moreover, it will be a mix of all the three, actually. Okay. So, primarily, private cloud and HCI, we are seeing a lot of attraction. And AI also, we are seeing attraction. We are also seeing some attraction in HPC. But you asked me to list it in the kind of opportunity wise. Firstly, private cloud. And the second will be AI. Third will be HPC. At this point of time, this matrix can be up and down any point of time.

Hardik Rawat: Got it, sir. Second is the question on the new SMT facility that we have inaugurated. So, just wanted to understand, since we just inaugurated it, I don't think it will be running at the scale that our other facility is running on. So, what are your expectations with regards to this facility, achieving economies of scale, which would further could probably help with the margins? And also, did the higher fixed costs from the new facility have a bearing on the margins this quarter?
Sanjay Lodha: I will let, on the margin question, I will let Pra wal answer it. But the first part of the question, I would like to answer. As I mentioned to you, our, all of our capex investments are primarily more related to capability. Okay. Since, basically, and our facility is almost all ready and already in production. Already in production.
Basically, it was, so we had to fast pace it up. Because at the time of IPO, we had mentioned that basically we will be making it ready by FY25. But since, basically, we were trying to work on some kind of, various kind of new technological opportunities which we have, which have been available to us. So, we have to fast pace it. So, our facility is almost all up and running. Already in production.
So, definitely that is there. So, primarily, within next three months, it will be more or less, I think, next three to four months, it will be furthermore optimized, and it will come into complete production. But still, the unit is under production. And that will help us so as to get into the newer product segments, newer areas, which we are getting into. All those things that will be ramping up there. I will let Pra wal Ji answer.
Prawal Jain: On the margin front, yes, the cost of that facility is there in our P&L. For the benefit of which will come to us in the next quarter. Might be two quarters down the line. So, margins will more or less a little bit improve then. But for the next two quarters, we don't see any improvement in the margin, which are there as of currently in our financials.
Hardik Rawat: Got it, sir. On network switches and 5G, just wanted to understand, where are we in the stage of development on both those products?
Sanjay Lodha: Network switch is already developed, and it is already giving us sales already. It is already started. We started selling it shortly by the end of last quarter. This quarter we were trying to already, I think you can see some revenues coming in. So, definitely that will ramp up. So, network switch is already there.
The 5G ORAN is still under development. That will take some more time. And at this point of time, the indication I can give you is somewhere around Q4 kind of thing. But we are trying to

see if it can be done earlier.
Hardik Rawat: Okay . Lastly on the M&A opportunities that you hinted at, could you give an indication as to what area are you looking at for the possible opportunities?
Sanjay Lodha: Yes. Actually, the thing is that Hardik , you know that we are a completely R&D kind of a company . At the time of IPO, we had 54, 55 people primarily in the R&D. Today, the R&D strength has gone up to 80 -plus actua

lly. But still, we cannot do everything by ourselves. So,

basically, whatever M&A we are trying to do, we are doing in related activity only, which can help us grow actually.
And basically, we are looking at various kind of areas, which is completely related to our product range, the technology we work upon. So, instead of doing everything, we seek to do kind of basically M&A. That may help us to basically keep our growth pace or maybe increase our growth pace. So, that is the idea we have on the M&A.
Hardik Rawat: Got it, sir. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Praveen Desai, an Individual Investor . Please go ahead. Mr. Praveen, your line has been unmuted. Please go ahead with your question.
Praveen Desai: Yes. Good evening, sir. As you told, we are in the data center from the very beginning. So, what will be the revenue from data center for this year and the coming 2 years? Can you guide us?
Sanjay Lodha: So, basically, if you really see, our Private Cloud & HCI business is primarily mostly considered as a data center business only. So, that has been around 35% of our revenue. So, we personally feel that it will remain around 35% to 40% of our revenue.
Praveen Desai: But in terms of rupees, what will be the revenue, sir?
Sanjay Lodha: So, you can calculate that. Basically, I am guiding you at a growth of 30% to 35%. So, currently, basically, last year, my revenue was INR724 crores. So, accordingly, you can do the guidance.
Praveen Desai: Okay. And it will remain the same for the next 2 years?
Sanjeev Sancheti: For these 2 years , 3 years, we will grow at 30% to 35%. We don't give hard guidance. It's a range of growth. You will have to do the calculation.
Praveen Desai: Okay. Thank you, sir. And best of luck.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities . Please go ahead.
Sandeep Shah: Yes. Thanks for the follow -up. Sir, just wanted to understand, we were also looking to venture into oil and gas as a sector within the high -performance computing, s upercomputing. Any update on this years ?
Sanjay Lodha: So, we are already working on that segment. Basically, primarily speaking, actually, at this point of time, some oil, we are actively engaged with some government PSUs. Basically, ONGC and all, which previously, earlier, they were tied up with some international ISVs, a nd they were creating barriers.
So, basically, because of the “Make in India ” policy of the government, and plus the kind of solution we are providing, we are heavily engaging them. But you understand, this industry takes time. So, I think, still, generating significant revenue out of that particular stream will take us some time. B ut we are making good progress.

Hirdey Vikram: So, we are just working on this already, Sandeep.
Sandeep Shah: Yes.
Hirdey Vikram: Yes. We are progressing well in that direction. So, I think we are in line with what we had planned for.
Sandeep Shah: Okay. So, supercomputer will continue to remain one of the high -growth pillars along private cloud and AI workstations. Because there, we are doing extremely good versus others, and there is lack of competition as well?
Hirdey Vikram: We don't look at the competition as such. It is more about how we are solving the problem statement of our customers. So, yes, if you talk about HPC, AI, and Private Cloud , we are focusing on all three equally. And I think all are going to become the major pillars, as we have been always saying so.
So, yes, whether it is about oil and gas or the other verticals, our idea is to take all our solutions to our customers. And the best part is that customers are, with open arms welcoming our

solutions. And that is the best part about the approach what we have.
Sandeep Shah: Okay. And just last clarification, P rabal Ji, you said 100 to 150 bps margin improvement from the current level of 13.4, right?
Prawal Jain: From ?
Sandeep Shah: From the current level of 13.4 EBITDA margin, right?
Prawal Jain: Yes, around 1% I told you will come, but immediately not this year. Going forward in a year, 2 years' time , it will be marginally improved.
Sanjay Lodha: Our standard margin is around 14%.
Sanjeev Sancheti: So, our standard margin is 14%. First quarter margin will always be lower because we have a lower top line, hence a lower operating leverage, okay. Our average margin will be around 14%.
When we talk of further operating leverage, what we are trying to say from next year, probably 50 basis points of expansion can happen because of volume growth and higher operating leverage.
Prawal Jain: So, that's what I am hinting out that from current 13.4 %, it might go to 14.5 %, 14.4 % something percentage next year. With the operating leverage .
Sandeep Shah: Thank you.
Prawal Jain: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset . Please go ahead.

Yash: Hi. Thank you for the opportunity, sir. Just a quick question. Could you please tell me your gross margin on your AI Systems And Workstations ?
Prawal Jain: So, our gross margins are pretty same across all over our products. There is a little bit more margins on our services, which is offset by a little lesser margins on servers and storage systems.
So, we don't track as usually our margins separately, but moreover, as I told you, that is even across all our product segments.
Yash: So, the customers that you are selling the AI Wworkstations are the same for your HPC? Are you trying to cross sell more and more towards existing customers or today they have all three of the major segments or are they unique customers for each segment?
Sanjay Lodha: To answer it, actually, it is the same customers as well as unique customers.
Hirdey Vikram: So, there are opportunities for us where we are creating or generating new opportunities or new avenues where we are even approaching those customers who can be the first -time customers and looking for AI Systems . But there is an opportunity with existing customers also where we are tr ying to cross sell our systems.
And there is the best part about that because that is giving us opportunities to grow both ways, whether to approach the new customers or to approach the existing customers. I think we have the opportunities in both the situations.
Yash: Got it. Thank you.
Moderator: Thank you. The next fol low-up question is from lime of Garvit Goyal from Nvest Analytics Advisory LLP . Please go ahead.
Garvit Goyal: Yes, sir. So, just a clarification on the guidance that you put in. 30 % to 35% growth for next 3 years, right? Is it accounting for NVIDIA chips tie -up and other opportunities in the areas like data centers and quantum computing?
Hirdey Vikram: Quantum computi ng, we haven't guided anything. We have not even showed any ro admap or anything of that sort.
Sanjay Lodha: We are working on it. It's too early. But yes, everything else…
Garvit Goyal: NVIDIA tie -up and other opportunities are all accounted for in this guidance?
Sanjay Lodha: Current areas we are working upon, we are giving you that guidance of around 30 % to 35% guidance we would like to guide. Yes.
Garvit Goyal: Understood, sir. Thank you very much and all the best.
Moderator: Thank you. The next question is from the line of Naresh Khemani , an Individual Investor . Please go ahead.

Naresh Khemani: Thanks for the opportunity. Just two questions. What is t

he incremental revenue from Faridabad
in top -line and margin -wise, profit -wise?
Sanjeev Sancheti: Sir, Faridabad, everything is in Faridabad.
Naresh Khemani: Sorry . The new factory. The new?
Sanjeev Sancheti: New facility just started.

Naresh Khemani: Going forward, what is the incremental revenue you expect from the factory? And what will be the addition and profit?
Sanjeev Sancheti: It is going to be as guided. The 30 % to 35% incremental revenue includes everything.
Sanjay Lodha: Please understand, we are not box pushers actually. Just adding a factory will not increase numbers for us. It is more about capabilities actually. And basically, and the growth path which we are doing, 30 %, 35%, that is basically a very good growth guidance w hich we are already indicating.
But it is not that if I add one factory, immediately my revenue will come double. Something of that nature does not happen in this industry. It is a solution -oriented approach. And if you see basically the kind of box margins and my margins are much different. So, I think you should look at this industry in a different way.
Naresh Khemani: And one more question. What i s the total market size of 3 verticals, 3 products which we are working with? And what is it going for?
Sanjeev Sancheti: What you can do is you can share your email address with us. My email address is there in the presentation. We will share with you the presentation which we had uploaded last time. The strategy presentation where each of the segments has its market size. It will be very difficult to tell on this small call all the details of the market size. We can deal with it separately.
Naresh Khemani: Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take this as the last question. And I will hand the conference over to the management for closing comments.
Sanjay Lodha: So, thank you. It was really nice answering all your questions. And if you have any further questions, you can always come back to our IR Investor Advisor, basically Investor R elations team, as well as our direct teams as well. So, thank you so much. And thank you, IIFL, for hosting this call in such a nice manner. Thank you.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Oct 2024

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CIN : L72100HR1999PLC103911

Date: 2 6.10.2024
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street
Mumbai - 400001
Scrip Code: 543945 To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai - 400051
Scrip Code: NETWEB

SUB: TRANSCRIPT OF Q2 FY2 5 POST RESUL TS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations), please find enclosed the transcript of Post results earning call for Q2 FY2 5 held on Mon day, 21st October , 202 4.

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.No A36610

"Netweb Technologies India Limited
Q2 FY '25 Earnings Conference Call"
October 21, 202 4

MANAGEMENT : MR. SANJAY LODHA – CHAIRMAN AND MANAGING DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. PRAWAL JAIN – CHIEF FINANCIAL OFFICER AND CHIEF HUMAN RESOURCE OFFICER – NETWEB

TECHNOLOGIES INDIA LIMITED
MR. NAVIN LODHA – WHOLE -TIME DIRECTOR –
NETWEB TECHNOLOGIES INDIA LIMITED
MR. HIRDEY VIKRAM – CHIEF SALES AND
MARKETING OFFICER – NETWEB TECHNOLOGIES
INDIA LIMITED
MR. SANJEEV SANCHETI – HEAD UIRTUS ADVISORS ,
IR ADVIS ING – NETWEB TECHNOLOGIES INDIA
LIMITED

MODERATOR : MR. HARDIK RAWAT – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Netw eb Technologies Q2 FY '25 Earnings Conference Call hosted by I IFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Hardik Rawat from I IFL Securities Limited. Thank you and over to you, sir.
Hardik Rawat: Good afternoon, everyone. On behalf of I IFL Securities, I welcome everyone to Netw eb Technologies 2Q FY '25 Earnings Call. We have the pleasure of having with us the Senior Management Team of Netw eb Technologies led by CMD, Mr. Sanjay Lodha, CFO and Chief Human Resource Officer, Mr. Pra wal Jain, Whole Time Director, Mr. Nav in Lodha, Chief Sales and Marketing Officer, Mr. H irdey Vikram, and Head of Uirtus Advisors, the IR advising firm to Netw eb Tech nologies, Mr. Sanjeev Sancheti.
Without further delay, I'd like to hand over the floor now to Mr. Sanjeev Sancheti. Over to you, sir.
Sanjeev Sancheti: Thank you, Hardik. Good afternoon to all the participants. Before I hand over the call to Mr. Sanjay Lodha for the opening remarks, I would like to draw your attention to the safe harbour statement in the earnings presentation. I request each one of you to go through the presentation either now or before the Q&A starts so that you are aware of the same. Thank you and over to you, Mr. Lodha.
Sanjay Lodha: Thank you, Hardik and Sanjeev. Good afternoon and a very warm welcome to all of you to the Netw eb Technologies Q2 Financial Year '25 Earnings Webinar . I will take you through the business and operational highlights of this quarter gone by while our CFO, Mr. Pra wal Jain, will share the financial metrics. We are delighted to report that we have had a strong quarter -and-a-half year as our operating revenue for H1 grew by 96% year -on-year, crossing INR4,000 million, while H1 Financial Year '25 PAT doubled year -on-year to INR412 million.
As you must be aware, earlier this year in May, we had commissioned India's flagship state -of-the-art end -to-end high -end computing , server , storage and switch manufacturing facility, marking a significant milestone in the Make in India initiative. This new facility has enhanced our manufacturing capabilities for cutting -edge computing system, encompassing the entire production process, includ ing PCB design, manufacturing, and SMT for high -end servers, storage, switches, demonstrating advanced manufacturin g skills.
In August, we further expanded our offerings by launching eight models of advanced server systems powered by latest AMD Genoa processors , continuing our commitment to the cutting -edge technology.
India is rapidly emerging as a key player in AI adoption, with businesses increasingly leveraging AI to fuel innovation and streamline operations. In this rapidly evolving technological landscape, AI is driving transformation across various sectors in Indi a, including healthcare, research and

education, agriculture, sustainability, urban mobility, financial services, manufacturing, and retail. With India's AI research ecosystem, thriving, and through government initiative and industry partnership, the potential for innovation and growth is imme nse.
Netweb is well -posed to harness these opportunities. Our strategic focus on the three pillars, HPC, Private Cloud and AI, keeps us at the forefront of technological evolution. AI has rapidly become a pivotal contributor to our revenue, growing its share to 15% in H1 financial year '25,

with a rem

arkable 193% year -on-year increase. Fuelled by innovation, this strong growth highlights AI's role as a cornerstone of our business strategy and our future growth.

And this week, we'll be participating in the India AI Summit, where NVIDIA, our technology partner, and its ecosystem of customer partners will showcase transformative AI innovations. This event features over 50 sessions and live demos on generative AI, la rge language models, supercomputing, robotics, and more.

Our business pipeline and order book remains strong. We are pleased to report that we have started receiving export orders, and this aligns with our growth strategy to enter the overseas market. Continuous improvements in our capabilities, along with expan sion of our operations and product range, position us well for ongoing growth while maintaining our technological leadership.

I would like to hand over the call to Pra wal to provide you financial, to update some financial numbers. Thank you.

Prawal Jain: Thank you, Mr. Lodha. Good afternoon, ladies and gentlemen. Thank you for joining the Earnings Webinar . I will give you a brief overview of the financial numbers for the quarter before we open for Q&A. I hope everyone would have got a chance to look at the earnings presentation and the press release by now. While our CMD has already covered the macro outlook , I will try to explain in a more granular manner the financial performance of the quarter and the year gone by.

Our operating income increased by 73.2 % year-on-year on a quarterly basis, reaching INR2,511 million in Q2 financial year '25, and increased by 95.5 % over the half year, recording INR4,004 million in H1 financial year '25.

Our operating EBITDA for Q2 financial year '25 increased by 85.7 % year-on-year, reaching INR357 million, while for H1 financial year '25, it increased by 100.6 % year-on-year, reaching INR559.1 million. The operating EBITDA margins for Q2 financial year '25 was 14.2 %, and for H1 financial year '25, it stood at 14 %. Profit after tax for Q2 financial year '25 grew by 69.8 % year-on-year, reaching INR257 million.

For H1 financial year '25, PA T increased by 103.4 %, reaching INR412 million. PA T margins stood at 10.2 % in Q2 financial year '25 and 10.1 % in H1 financial year '25. Return on equity for Q2 financial year '25 was 18.7 %, while return on capital employed during the same period was 25.2%.

Net debt for the quarter was at INR664 negative million in Q2 financial year '25 as compared to negative INR330 million in Q1 financial year '25. Kindly note that this net debt calculation excludes unutilised proceeds from the IPO. Cash conversion cycle for Q2 financial year '25 improved to 100 days as compared to 129 days in Q1 financial year '25.

We continue to prioritise our strategic objectives and growth pillars, with a strong focus on our long-term goal of sustainable growth and profitability. With a strong quarterly and half yearly performance, backed by a healthy order book and business pipeline, we remain confident in delivering substantial revenue and profit growth for the financial year.

With this , now I hand over the call to Hardik Rawat . Thank you.

Hardik Rawat: Thank you. W e can now proceed to the Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Yash from Stallion Assets. Please go ahead, sir.

Yash: Congratulations for the excellent set of numbers. Sir, I just wanted to understand that for the last four quarters, our pipeline has not substantially increased. It's been ranging about from INR3,200 crores to INR3,700 crores. So I just wanted to get your view on what will be the growth in pipeline for the next two years.

Sanjay Lodha: Actually, the pipeline basically has been increasing plus basically pipeline is a ve

ry, very gradual
and a kind of a thing which is on daily basis it is improving and it basically it's been getting consumed and roll over is happening. You will also have to consider we are a company which is growing at a rate of 35 % to 40% CAGR. Okay, so basically pipeline is getting converted into orders , into L1s and all those kinds of areas.

So we are seeing a healthy growth in the pipeline. And basically that pipeline gives me a very robust confidence that basically that will keep me growing for at least for the next two to three years. So I think and as I mentioned to you, a pipeline time is somewhere around -- closer pipeline time is that ranges around 6 months to 18 months actually and hit rate is somewhere around 60% approximately. So I think there is a healthy growth in the pipeline and that will keep on growing.

Yash: Right. Because, you know, sorry to just pester a little bit more on this. So based on the pipeline, at least I can assume that whatever revenues you want in H1 , basically in H2 it will be about like, you know, two third of it. So basically one third revenue in H1 and two third revenues in H2. Would my understanding be right?
Sanjay Lodha: Actually, our business cannot be judged on quarter -to-quarter basis . Whatever we have been guiding approximately around 35% growth, we will be maintaining that actually, year -on-year, basically, which we have been guided, we like to maintain that.
Moderator: The next question is from the line of Rohit from Nvest Analytics Advisory LLP . Please go ahead, sir.

Rohit: Congrats for a good set of numbers. Just one question on the order book, like what is the expected order intake for the company in the second half of FY '25 that is anticipated to contribute to revenue in FY '26?
Sanjay Lodha: Can you come up with your question again? Your voice basically at the end got …
Rohit: I'm asking on the kind of order intake you people are expecting in second half, sir.
Sanjay Lodha: Yes, so basically the order, which I mentioned to you, I maintained the same line that it will be remaining, our current order book is somewhere around INR360 crores. But basically, our kind of a company cannot be basically judged on the tune of the order book, because our order book lasts from 12 to 16 weeks or at the most 20 weeks actually. So basically, the orders get built up and they are executed.
So basically, the pipeline gives us the confidence that it will go on. So I will still maintain the same thing. The growth, which I have mentioned to you, 30 %-35% growth, we will be definitely maintaining that and the order book and everything will be in that tune.
Moderator: The next question is from the line of Akshay from CD Integrated Service s Limited. Please go ahead, sir.
Akshay: Sir, I just want to ask that in our management commentary, we have said that we are getting the export orders and we will focus firstly on Europe and Middle East market. So can you put some light on margin frontend as to what will be the difference between pricing over there versus in India?
Sanjay Lodha: Actually, as I mentioned to you, we have been mentioning that we will slowly be growing our business and we will be starting exporting. So it has just started actually at this point of time. And that is in line with the same situation as I mentioned to you Middle East and European markets, the same way we are trying to do it.
And the margins profile will be almost or very similar because basically all our customers are enterprise customers. They can be marginally slightly more margin from the export orders. But primarily overall, if you see it will remain almost all similar, be cause basically the customers are enterprise customers and plus we want to penetrate deeper and to increase their confidence. So definitely margins you can take it margin should be almost a

ll on the similar lines.
Akshay: Okay. And second question is that we have earlier said that we were facing the challenges before the IPO in getting the good talent. So now we have after the IPO , our reach has been increased and we have got the good talent. So on the current employee base and all the things, can we say that over the next 5 to 10 years, we will healthily grow in this type of this employee number?
Prawal Jain: Can you repeat your question again? We are not able to understand as your voice is not very clear. Can you just repeat it and be a little slow in asking?
Akshay: Yes. So, sir, I was mentioning about our current employee base. So whatever we have currently our talent right now, can we grow for the next 5 to 10 years at a very healthy growth rate on our

current employee base or we will face a challenge in terms of getting the talent, good talent from the market?
Prawal Jain: No. Our current employee base is around 421. Currently, after going public, we are not facing any talent crunch. And for the next two, three years, we will continue growing in the same way we are growing and there will be no talent crunch.
Sanjay Lodha: And actually, we are getting a lot of good talent now. When we went for an IPO, we were around 240 people. You can say we are basically more than almost double of the numbers what we were actually. We are on 421, as Prawalji mentioned. So, we are getting very good talent. And so that's the reason we are also employing only good talent now. We are also basically a bit choosy in hiring people. So, there is no lack of talent. We are getting talent. We are getting a lot of

traction around it. And that's very healthy for the company.
Akshay: Okay, sir. Thank you for answering my questions.
Moderator: Thank you very much. The next question is on the line of Abhishek Bhandari from Nomura. Please go ahead, sir.
Abhishek Bhandari: Thank you for the opportunity, sir. I have two questions. First is, if you could explain the big jump in the revenues from other enterprises in this quarter. The other businesses seem to be quite stable in the proportion, but other enterprises had a big jump.
Sanjay Lodha: Thank you for your question. So, as we have mentioned that quarter to quarter things are different, actually, because our business cannot be judged in terms of quarter, because these are all enterprise -grade customers which we deal with. So, like last quarter, we had the government was slightly higher, but this quarter, we are seeing a lot of traction on the enterprise side from the other enterprise segment. So, some new segments were added this year, this quarter. So, I think that's the reaso n you are seeing that.
Prawal Jain: Entertainment and media was a new segment which was added during this quarter. So, you are seeing a jump in other enterprise revenue for this Q1. So, it will be better if a whole year segment division is seen. Quarter to quarter, it might give you an abbreviation.
Abhishek Bhandari: No problem, sir. Thank you for that answer. And does it also coincide with your private cloud and HCI vertical from this?
Sanjay Lodha: Yes, true. So, that's the reason private cloud and HCI is also on the higher side.
Abhishek Bhandari: The second thing is on this government's proposed ordering for this AI mission in India. If you could update what the status, the new government has come in, are you seeing any movement on that?
Sanjay Lodha: I think I will let Hirdey answer that.
Hirdey Vikram : Thanks for your question. So, yes, I mean in India the AI mission is progressing already. As you can see that their first trench in the form of RFP is already out, and that is also going to get closed

very soon. And afterwards, it is expected that they'll be ro

lling out the major RFP as well. So,
this is completely on track as we had expected, and we are completely geared up to participate. So, we have our strategy intact, which will help us to ultimately be competent and take part in the RFP. I hope you got to know that we have introduced our two generation of systems, which will be ultimately very effective in taking part in India AI mission. So, one is that we have introduced our ARM architecture -based GPU systems along with NVIDIA, and we became one of the best OEMs in the world to introduce domestically manufactured grace architecture, which is also the ARM architecture -based GPU system. That is one.
And second is that we have introduced AMD -based systems also, wherein we are having a complete range of GPU systems based on AMD architecture. So, with these two advancements, we are very well -placed to compete in this India AI mission, and what they demand and what they require for the OEMs to offer , is something which is available with us now.
And the best part is that not just limited to hardware, we have the complete cloud stack on top of it, and the complete middleware stack also, which is available. So, helping us to offer the complete AI sovereign cloud offering. So, yes, we are completely in line, and government's progress is also something exactly what we had expected from them.
Abhishek Bhandari: Got it. Thank you, sir. And my last question is could you talk about your long-term targets in terms of your cash conversion cycle? That would be helpful.
Prawal Jain: So, look, cash conversion cycle, seeing the growth we are undergoing , will be in the range of 100 days only for us. So, at a point, or you can say in at 31st March, it improves a bit, but if you will see quarter on quarter, it will be in the range of 90 to 100 days. Largely, it is in that range only. So, I don't foresee any much improvement in this working capital cycle days.
Sanjay Lodha: Because the kind of industry we belong to, I think that's the kind of cycle which we expect, because the customers also, basically all enterprise get customers , the kind of payment cycle we have with them that matches with that.
Abhishek Bhandari: Got it. So, maybe if I can ask a follow on, is there any difference in the profile of cash conversion cycles across your different client types? Intuitively, customers from government should be a longer working capital?
Sanjay Lodha: It's just the reverse. Government is better than the enterprise.
Prawal Jain: We have a credit period of around 90 days from both government and non -government enterprise customers. As far as our observation is that , government enterprises are more prompt in paying us.
Sanjeev Sancheti: So, really speaking, both the enterprise and the government, the private and the government sectors are more or less the same. The underlying credit terms are 90 days. So, by and large, you see 90 to 110 days is the range which is your cash conversion cycl e, because the inventory and

the payables played out, so if you look at our cash flow cycle, the inventory turnover day and
the payable day are almost the same. The inventory is technically funded by the payables, and

what you see in cash conversion cycle is basically the debtors, which will be between 90 to 110
days, even as you go forward. That's the nature of the business.
Abhishek Bhandari: Perfect. Thank you and all the best. Thank you.
Moderator: Thank you very much. The next question is from the line of Hardik Rawat. Please go ahead, sir.
Hardik Rawat: Thanks for the opportunity and congratulations on another set of strong results. Starting with
revenue, we've seen very strong growth in the HCI segment. Have these private cloud
installations coincided with improved execution for the entertainment and media client ele? So
largely private cloud is w

hat was executed for the new set of clients under the other enterprises
category?
Sanjay Lodha: Yes, if you see, there has been a growth all around actually, but private cloud has really gone
up. And if you see my total revenue split between government and enterprise is also higher. This
time enterprise is higher than the government.
So basically that has happened. Media entertainment, there was one customer, one or two
customers, which basically you saw that segment growth. But otherwise, you know, that data
center boom is happening.
In India, what is happening is that at current point of time, the data center is really in a huge
demand. So, definitely data center in turn goes back and falls back upon the private cloud and
HCI only. So, definitely that is indicative in our figures and that is shown there.
Hardik Rawat: So what was the share of government in the overall revenue this quarter?
Sanjay Lodha: I think 40%, if I'm not wrong. 40 -60. 40 -60.
Sanjeev Sancheti: 40 was government, 60 was private enterprise.
Sanjay Lodha: Yes.
Hardik Rawat: 40-60 in 2QFY-25.
Sanjeev Sancheti: Yes.
Hardik Rawat: Okay. Can you tell us about some major projects that you'll be executing, especially in your HPC
segment , in the next two quarters? I'm assuming that this ISRO project is probably going to be
executed sometime in the second half.
Sanjay Lodha: Yes. Actually, it's expected. It's expected to be done that. But basically, we will not like to go
into specific orders actually, Hardik. I really appreciate it.
Hardik Rawat: All right , no worries. Another thing was with regards to the export orders that you mentioned,
could you shed some light on the geographies and the specific segments in which we are starting
to receive some traction in terms of ordering?

Sanjay Lodha: Yes. So, private cloud and HCI is one of the segments on which we are receiving this traction.
And AI also, it is going as per the target only, primarily targeted towards the Middle East and
European countries.
Hardik Rawat: And any status update on the development of 5G ORAN solutions?
Sanjay Lodha: Yes. So that is in the development actually. That is still in the development. Basically, the private
5G part, I think it will take some more time, still with our R&D team. Our R&D team has become
very strong now. We have R&D team of around 100 people, around 74 people we have in the
software R&D, around 22 people in the hardware R&D .
So, that used to be 53 while we went for IPO. But now, it's around 100 people, very strong R&D
team. And plus, basically, we are working on several things. And 5G ORAN is also one of the
things on which we are working at this point of time.
Hardik Rawat: Okay. With regards to the EBITDA margins , we expected that with the operationalization of the
new facility, EBITDA margins should have been lower, but they were very strong at 14.2%. So,
just wanted to understand, firstly, what are the utilization levels at our new SMT facility? And
secondly, is the higher EBITDA margins a result of, you know, better mix of the AI and
enterprise ver tical?
Prawal Jain: Yes. Hardik, we don't measure ourselves on the capacity utilization. This we have been repeating
every quarter. Rather, we judge ourselves on the capabilities. So your question on capacity
utilization, it is difficult to answer right now.
Sanjay Lodha: But if you want to understand whether the new plant is fully functional or not, the new plant is
fully functional and fully rolling out.

Prawal Jain: Coming on the EBITDA margins, definitely, the AI segment has a little bit improved margins
as compared to other two segments. So you are seeing, therefore, the EBITDA margins on a
higher side this quarter.
Sanjeev Sancheti: Also, Hardik, one thing you should appreciate that there are orders, some of the or

ders, which
are large orders. So, it is not necessary that every time you will see the same margin. We will be
in that range of around 14%, around 14%, because some orders m ay come at a higher margin,
some may come at a little lower margin. So it's not a magic thing that, it will be stuck at a point.
But around 14, 14 plus, that's the range which will be the indicative margins. Ye s.
Hardik Rawat: So 14 to 14.5 % is the range where the EBITDA margins for FY '25 should lie ?
Management: Yes.
Hardik Rawat: Thank you for answering the question s, I'll get back in the queue.
Moderator: Thank you very much. The next question is from the line of Chirag Khas giwala from N eo Asset
Management. Please go ahead, sir.

Chirag Khasgiwala: So, I just wanted to know that if I, when I go to your cash flow statement, your operating cash
flow has gone negative to INR80 crores in this quarter. So could this situation be sustainable
because it looks like you're getting good profits and growth, but you're actually burning cash
and not able to generate cash ?
Prawal Jain: Your voice is a little bit feeble, but I have understood your question. So you will see that cash
actually before working capital changes our cash from operations are on the positive side. The
only factor that is resulting in our networking cash flow opera tions to a negative is the increasing
debtor. So this is the problem of our growth. So as our operations will continue to grow at the
same pace, so this negative cash flow you will see will be there.
Sanjeev Sancheti: So let me explain. So the cash conversion cycle, the way it is working, fortunately we are
growing at a very rapid pace. So if you look at the Y-o-Y growth of 70%, even the Q -on-Q
growth is very, very, very, very strong.
This is not a business, which is a cash and carry business, right? This is a business, which will
always have a 90 to 100 days debtor. Now, when you're growing so far as your previous quarter
revenue, the entire of it is outstanding.
That's why you're seeing this. But what is more important to understand is the quality of assets,
the quality of debtors, the quality of inventory, those are top class, absolutely no, impairment in
these assets. So they will get converted as the growth smo othens, you will start seeing the cash
flow getting into the business very, very strongly. This is the typical cycle when the growth is
high, you are getting reinvested into your next quarter growth. That's the reason you're seeing
this.
Chirag Khasgiwala: Okay. And secondly, if you see recently, it was the promoter's take sale that happened. So, what
was the rationale for that? And do you expect any more take sales to come through?
Sanjeev Sancheti: So I think there was no planned, promoter's stake dilution. We had some very good investors
who were looking at the larger positioning. And, of course, we have just given about 3.6%. We
do not foresee any further dilution, both either primary or secondary [inaudible 0:31:50] in the
near future. And secondary also, we do not foresee any dilution in the near future. Yes.
Chirag Khasgiwala: Lastly, sir, how much contribution can you expect from AI business going forward? Could 15%
be the peak level or it could go even higher?
Sanjeev Sancheti: No, it is not the peak, but for FY '25 our guidance is 15% peak . It will go further and go forward
in the next 2 years, 3 years.
Chirag Khasgiwala: Okay. T hank you.
Moderator: Thank you very much. The next question is f rom the line of Samarth Pachigarh from Krijuna
Research and Analytics . Please go ahead, sir.

Samarth Pachigarh: Thank you for the opportunity. I just have a question that this time we had a 2% revenue share
from the cluster management software that we offer to our clients.

So, does management see to
scale it up?
Sanjay Lodha: Software and services basically primarily is not a focused business for us. We are not a services
company at all. But basically, what happens is that we offer only very, very specialized kind of
services. So, basically that is there. So, that segment will remain around that 2% to 3% only. We

are not a softwar e or a services -focused company. T hat is basically, we only provide it like basically particularly for oil and gas or for some specified kind of geological res earch or some specific kind o f BFSI clouds or something of that nature.

So those services are limited to that. So, this segment will remain in the same range what it is at this point of time. Our three pillars will be supercomputing, private cloud and AI. These will be the three pillars of our business as it might be evident to you from the presentation also.

Samarth Pachigarh: Okay. Ye s. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Sandeep Shah from Equirus Securities . Please go ahead, sir.

Sandeep Shah: Yes. Thanks for the opportunity and congrats on a strong quarter. Just on the government AI mission, the press articles imply that the turnover threshold is now being lowered and many companies are eligible in terms of bidding. So, are you worried this may lead to many competition a nd this may dilute the margins a nd are we in a major RFP stage, we will participate or in the initial phase of smaller RFPs we will also participate?

Management: So, Sandeep, thanks for the question. Actually, if you have read it, so this is basically for the RFP part only w hich is only for the empanelment for services a nd ultimately this criteria is applicable only for the bidders. We are not intending to bid directly and we'll be partnering with the bidders who will be CSPs who will be interested to participate in this. So, as such this criteria does not apply to us.

In fact, this is only helping us to reach out to more CSPs and this is ultimately going to help us grow our business in a bigger way. So I would say this is a welcome move. And as regards the next trench is concerned there is also underway. As I mentioned that the RFP for the bigger part is also on the way. And as expected, I mean, government is progressing quite well on that front also. So, I mean, this is exactly in line. I don't see any challenge with that.

Sandeep Shah: Okay. So, Hriday, just to follow up in terms of deal pipeline, does this would be forming our part of the deal pipeline starting FY '26 or it may start from Q3, Q4 of this financial year itself?

Management: So, we have not factored in this part into our pipeline as yet. So, we may start adding up to our existing pipeline maybe by next fiscal year. So, that is what you can expect from us.

Sandeep Shah: Okay. And in terms of the pipeline, is there any mega order like an ISRO order in the pipeline or there are combination of medium to smaller size of pipeline?

Sanjeev Sancheti: Pipeline we cannot reveal customer -wise. You'll appreciate, Sandeep, this will be...

Sandeep Shah: No, I'm not asking customer -wise. I'm asking on average size. Is there any mega deals in the pipeline?

Sanjay Lodha: It's all kind of orders, Sandeepji. Basically, it's all kind of orders. Pipeline, basically, pipeline is a very - you can understand that it's a INR3,700 crore s pipeline. So, it is basically a mix of all kind of things actually. But Hriday very categorically mentioned that AI mission is still not part of the pipeline. So, basically we also just don't add the pipeline actually. Somebody asked in the question earlier that basically why our pipeline is not growing.

So, we only add up - add into the pipeline when it gets qualified. Once basically the first level of discussions are happening, once basically

we feel that it is almost all ready to go, then only we add them into the pipeline. We just don't add things from the pipeline.

Sandeep Shah: Okay. And just a clarification in observation of the four quarters which we reported for FY '24, the order book has a seasonal strength in Q3, Q4 versus Q1, Q2. So, does that seasonality may be true even in FY '25 where H2 order book could be better than H1 order book?

Sanjay Lodha: Sandeep, I'll still maintain that I will grow at the same rate of 35%. And I assure you, this is the sixth conference call I'm having after listing. We have shown you growth all along. So, please have confidence in us. We have shown you growth. We will show you growth in future also.

Sandeep Shah: Okay. And last question, Prawalji , for you considering the PLI which we may apply in the second half, there would be a margin tailwind either in Q3 and Q4 to that extent?

Prawal Jain: The quarter in which PLI will come, there might be slight improvement. But overall, for the whole year the margin profile will be in the same range. For that quarter, slight increase will be there.

Sandeep Shah: Okay. Thank you and all the best.

Sanjeev Sancheti: So to the extent of the PLI it is obviously the PLI is not going to marginally change the margin you know that, Sandeep.

Sandeep Shah: What, Sanjeev sir, can you repeat?

Sanjeev Sancheti: PLI will impact the margin as much as it comes. No, it will not be disproportionate.

Sanjay Lodha: And we don't factor in the margin in advance as you know already.

Sandeep Shah: Okay. Thank you.

Moderator: Thank you. The next questio n is from the line of Mihir Vyas from 9 Rays EquiResearch . Please

go ahead.
Mihir Vyas: Hi, sir. Thanks for the opportunity. I just had one question on the data center side of the business. Can you help me understand how this side of the business shall grow in future since there is a

lot of traction in the field of data centers? And since we have now started exporting also, is there any some constructive talks on that area or any revenue potential or this revenue share of this sector can grow, segment can grow sorry?
Hirdey Vikram : Hi, thanks for the question. So definitely answering your question that whether we see the progress in the data center space or not, you have already been seeing that we have mentioned about three large pillars in our case. One is supercomputing business. Second is private cloud and HCI. So definitely private cloud and HCI is something which is targeting towards data center vertical of the market. And as you can see, the kind of momentum country is al ready seeing towards data center vertical.
So that definitely gives enough confid ence that there is no slowdown anytime seeing shortly in the coming time. So, obviously, we have got full road map for the data center market a nd we already have decent product line to cater to this market. So we have got the product line, we have got the market in front of us. So we will not leave any stone unturned to tap into this market more heavily. I hope I answered your question.
Moderator: Yes. T hank you very much. The next question is from the line of Yash from Stallion Asset . Please go ahead.
Yash: Sort of harp on the guidance again, because I remember in the Q1 call, I think we had said that H1 is about one third in terms of revenue and H2 is about two -thirds revenue. Now obviously, if H2 is that heavy, then broadly your revenue should be -- which is not more than your guidance of 35%. I'm just sort of, just for my understanding, just for more clarity, do you sort of now hold that that H2 is basically in terms of percentage wise it would be lesser , like maybe it's like 60 - 40?
Sanjeev Sancheti: So I just want to clarify that we shouldn't be trying to cherry pick guidance. Our hard guidance is on the growth of reve

nue, which we are underwriting to 35%. We have always outperformed that, we would endeavour to outperform that. If possible, yes, one -third , two-third is the standard thing. But sometimes, if a quarter is very strong, a little bit of overflow happens, et cetera that is normal. So I mean, probably 40 -60 here and there.
Yes, but we cannot, one -third , two-third is a general trend which is seen. In this year, if you see, the first half has been particularly good, especially in the second quarter. So it will have a reverse negative spill over impact possibly in the coming quarters. Yes, but we are committed to a 35% minimum kind of a growth as we have committed and by and large, it will be around that end, but it can be plus and minus 5 %-7% in terms of the split between H1 and H2.
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments . Please go ahead.
Onkar Ghugardare : Congratulations on good set of numbers once again. I have a couple of questions actually, just wanted to know a bit more about your company and this sector. So first of all, how big is the size of opportunity in your type of business?

Sanjeev Sancheti: I think most of the people here on the call are well aware, we can do a separate call, because this will be a very long …
Onkar Ghugardare : Okay, I'll ask more specific question -- specifically about the results then. So my question is regarding what kind of return on equity and return on capital employed you are targeting since you will be growing faster?
Sanjeev Sancheti: Return on capital employment . Our guidance is on the broad margin range and the top line. I think the rest a little bit of analytical, you guys will also have to do. You've seen our RO Es have been pretty strong. We have been in the range of ROEs 18% plus, if you look at it, if you look at a full year, RO E has been very strong. So I'm sure that as long as we continue to grow at the pace that we have guided, and in the range of the margin that we have guided, I don't think RO E and ROC E should be a concern.
Onkar Ghugardare : Next question is on the AI mission, which you talked about. How big it could be according to you and how the PLI could be?
Hirdey Vikram : So basically, India AI mission anyways, this is something which is known to the entire world now, because the government has already announced about it. It's not about just we saying about

it. So India AI mission as such is basically a project, which is sizing around more than $1 billion kind of budget they have allocated . And that is also targeted to be spent within a span of three to five years.
And there can be an acceleration to spend that money by government. So this is the size of opportunity. And as we have already explained that we are well poised and well placed for this opportunity. So we are targeting by our newly introduced product line for this. So yes, this is the situation.
Onkar Ghugardare : You mentioned $1 billion, right?
Hirdey Vikram : Yes, it is already been said that more than $1 billion is something what has been allocated by the government as of now. And they have a plan to spend the same over a period of three to five years.
Onkar Ghugardare : Can you talk more about how and who could be your competitors in getting the orders from the government? How many competitors are there?
Sanjay Lodha: This is a very, very different kind of a question, actually, really speaking, because there are a lot of dynamics to it. And this is a government policy question. So not like to basically discuss that on a call.
Onkar Ghugardare : Yes, but just if you can give a sense, like, how many competitors are there? And what kind of competitors you have?
Sanjay Lodha: The RFP has not yet come. Okay, the government is -- still the designing structure is going on, wherein basically,

the Nvidia is a leader in the computing side. There are other players also ,
there are there is a new AI chip, which is being developed almost every day. Today, basically,

today, there is a company called C erebrus, they are also trying to come up. They unfortunately, unfortunately -- if Cerebrus comes with a product, they can also be a basically , they can also come into competition.
So that's the situation actually, whereas, basically, we are aligned with most of these partners, we are there. But whoever, whoever the competition will be, they will be all MNC competition, we don't target, we don't foresee any domestic competition as su ch. I hope I'm able to answer your question.
Onkar Ghugardare : Yes, just a clarification on that. When can we hear this from the government, as per your knowledge?
Sanjay Lodha: Yes, so basically, the government is very actively working on this, there is AI summit, which is happening starting from this week only. So basically, I think government is in a rush. And the first part of it as Sandeep answered, Sandeep asked us a question, actually, the first part on the services part, the RFP is already rolled out. And basically, the new RFP, the preparation is going on we are -- I as far as I personally feel is that it should be out by Q2 next year.
Moderator: The next question is from the line of Mansimer Singh , who is an Individual Investor.
Mansimer Singh: First of all, Sanjay sir, really congratulations for a wonderful result. As you guided in earlier converse , you are in line with the revenue guidance. I just wanted to know regarding our pipeline, where we are in the order book, we have mentioned INR369 crore s of order book and INR331 crore s of L1. So L1 will be getting the projects as in when the company the bids will be getting. Can you tell me like what percentage of this L1 and order book will be consumed in H2 in the next two quarters?
Sanjay Lodha: Basically, as regards to order book is concerned, I can tell you order book should be completely consumed in H2. No doubt about that. As regards L1 is concerned, I can tell you it should be around maybe 50 % to 60% should get consumed without any problem. But these are all dynamic things. Every day the order book keeps on adding. Every day the L1 , L2 -- L1 condition also keeps on adding.
Mansimer Singh: And one more question regarding our -- we have launched our Make in India, Tyrone , AMD servers and HCI. So can you tell me like what will be the share of our data centr es, which includes a segment of HCI and cloud by like 2 , 3 years with respect to our revenue?
Sanjay Lodha: Because basically what happens is that we don't target everything actually, we target only the enterprise customers. Because as I've been telling you again and again, we don't target the SMB and the small and small market, which are again using a lot of HC I. But primarily our target is large enterprise customers.
And we feel we will definitely have a good footprint in that. And as you are seeing this quarter also the growth, the maximum growth came into the private cloud and HCI. So definitely that will keep on going. And our partnership with AMD is only making us stronger , because basically this latest chipset, we have a complete stack of basically , because the AMD processors are again basically outperfor ming in some kind of situation.

So we are able to leverage that. And with Make in India expertise, the kind of things which we are generating, that is making our product range more stronger. So our penetration will increase further.
Mansimer Singh: And one last question respect to, we have received the order of JNU HPC Cluster, right? So, sir, can you tell me like, by when this project will be completed?
Sanjay Lodha: JNU HPC

Cluster, I did not declare anywhere.
Mansimer Singh: It is there. And I think it was there in the Twitter. I've seen this.
Sanjay Lodha: That is basically I don't answer Twitter questions actually, please, because I cannot speak about specific orders. We have ND A's with customers and all that. So I'm sorry about that.
Mansimer Singh: Okay, no issues. Thank you, sir.
Moderator: Thank you very much. Next question is from the line of Dhruv Aggarwal from Niveshaay . Please go ahead, sir.
Dhruv Aggarwal: Yes, congratulations on the very good set of numbers. Sir, I have two questions. Firstly, on the $1 billion PLI scheme that you have said, sir, you don't see any domestic competition on that side. But you said like you have, you may see the competition from NVIDIA . And furthermore, you said some name, sir, but it was not properly audible. So can you just fill it out, sir?
Sanjay Lodha: Basically, you are completely confused. I'm sorry to say that. We never mentioned there is $1 billion PLI. First thing is that, sir. Okay, basically, what Hirdey mentioned is basically AI mission total outlay. If you see the cabinet note, which has been present to the parliament that says that that basically $1 billion is the total AI mission outlay. Actually, it's not a PLI. First thing is that.
And NVIDIA is a partner to us. NVIDIA is not a competition. I never mentioned NVIDIA as a competition. Actually, I have what I wanted to mention is that that basically, once you're asking about the question, then there are the newer technologies which are coming up, there may be many newer technologies which are coming up. So they may come and basically the distribution and things can get distributed that way. So that was my point. But NVIDIA is a leader and I and I have no doubt for future years NVIDIA wi ll remain the leader.
Dhruv Aggarwal: And the second question would be in terms of GPU that you are kind of there in the business. So in terms of quality, how good we are in comparison to NVIDIA or something like that?
Sanjay Lodha: So we are using NVIDIA, we are not in comparison with NVIDIA. Again, I'm again, we are partners with NVIDIA. If you see the Press Release, even the NVIDIA top senior people have mentioned that Netweb is the OEM partner for them, which they have mentioned, it's very clear. So we are not a competition to NVIDIA at all. And as far as quality is concerned, we are a certified partner and OEM partner for NVIDIA. So NVIDIA does all the qualifications, then only qualify the partner to that level. So and you see all the we are selling it, our market is we are our 15% of revenue is coming from AI systems. That itself says that we also got an award

from NVIDIA for the being the largest partner last year. So basically, I think that speaks about it. So quality and all is not a concern for us.
Dhruv Aggarwal: Okay. Thank you so much. And sorry for misunderstanding that.
Sanjay Lodha: No problem. Thank you.
Moderator: Thank you very much. The next question is from the line of Saket Bihany , who is an Individual Investor. Please go ahead, sir.
Saket Bihany: Good afternoon. Congrats, Sanjeev sir and Prawal sir for an excellent set of numbers. So sir, my first question is considering the significant expansion of your employee base from 250 to 400 since the IPO. So how confident is management in sustaining this growth rate without encountering talent acquisition challenges or skill gaps?
Sanjeev Sancheti: So talent acquisition, I think we've already answered that post the IPO, we have no depth of attracting talent. We have been able to hire the people we are wanting to hire and will continue to do so. As far as growth is concerned, we have very clearly guid ed that we grow around 35% over the next 3 to 4 years. We stand by the guidance. Unless we change the guidance, it continues t

o be the same.
Saket Bihany: And sir, another thing related to employment, sir, has incremental employment since the IPO led to higher than expected labor cost by any chance?
Sanjay Lodha: Expenses have gone up, the revenue has gone up, the expenses have gone up and it is expected

to go up actually. And plus basically you need to pay good people if you want to hire them. But basically that is completely, you see where our margin percentage h as not dropped, that is the same actually. So we are able to, the company can afford it and company can definitely have better talent. We also wish to pay our people more , so that basically they remain with the industry standards.

Sanjeev Sancheti: And be able to retain the best talent. And also we have to make our organization future ready. So we will obviously keep hiring best talent.

Saket Bihany: That was my question. Best of luck for future.

Sanjeev Sancheti: Thank you.

Moderator: Thank you very much. The next question is from the line of Hasmukh Devji Vishariya from Tata Mutual Funds. Please go ahead, sir.

Hasmukh Vishariya: Yes, hi. Thanks for the opportunity and congratulations on consistent delivery. I just had one basic clarification in terms of AI mission, right? So you talked about, you will be a partner to any of the, let's say global OEMs and not directly, let's say, subscribe to the RFPs. Did I hear that right? And if yes, then what's the reason behind this?

Hirdey Vikram : I'll clarify it to you again. So basically what we said that the first part of it, which has come out, that is about, which is just a small portion of the entire, the opportunity. This has come out in

the form of empanelment for services. Okay, for empanelment of services, they are inviting CSPs to get themse lves empanelled .

And for this part, I said that we will be supporting the CSPs by providing them our solution at the back end. So that's how our participation is, in fact, not needed. In fact, I would say that more the participation, more will be the opportunity for us to work along with the CSPs and giving them the entire solution.

Sanjay Lodha: And the reason for doing that, the Government did it , because the AI mission, the 10,000 GPUs which they have to procure, that is taking time. So basically that's the reason they wanted to have this standby kind of a thing, wherein the startups and they can be offered services immediately. So this is pure se rvices play. And that's the reason we are supporting the CSPs. And so that supposes the CSPs will bid for it and they will take it directly. And this is only a very, very small part of it.

Hirdey Vikram : And then just to add one more point, you mentioned that we are partnering with global OEMs. No, we what we said that we being the OEM ourselves, we are using some of the platforms of, like NVIDIA and AMD and all. But ultimately, we produce our own systems. We are partnering with the CSPs for this smaller portion of the opportunity wherein CSPs are getting empanelled for, rendering services to the end customers going to be provided by the Government of India. So ultimately, we will be the one who will be producing systems and giving the entire solution to the CSPs.

Hasmukh Vishariya: Got it. Thanks for clarifying.

Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you and over to you.

Sanjay Lodha: Thanks for your time. I really appreciate everybody's time on this. And thank you for your questions. And thank you so much.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

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SUB: TRANSCRIPT OF Q 3 FY25 POST RESUL TS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of Post results earning call for Q 3 FY25 held on Mon day, 20th January , 202 5.

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.No A36610

"Netweb Technologies India Limited
Q3 FY '25 Earnings Conference Call "
January 20, 202 5

MANAGEMENT : MR. SANJAY LODHA – CHAIRMAN AND MANAGING DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. NAVIN LODHA – WHOLE -TIME DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. ANKIT KUMAR SINGHAL – CHIEF FINANCIAL OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED
MR. HIRDEY VIKRAM – CHIEF SALES AND MARKETING OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED
MR. SANJEEV SANCHETI – HEAD UIRTUS ADVISORS ,

Moderator: Ladies and gentlemen, good day, and welcome to the Netweb Technologies 3Q FY '25 Earnings Conference Call, hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zer o on a touch -tone phone.

I now hand the conference over to Mr. Hardik Rawat from IIFL Capital Services. Thank you, and over to you, sir.

Hardik Rawat : Thanks. Good afternoon, everyone. On behalf of IIFL Capital, I welcome everyone to Netweb Technologies 3Q FY '25 Earnings Call. We have the pleasure of having with us the senior management team of Netweb Technologies led by CMD, Mr. Sanjay Lodha; CFO, Mr. Ankit Kumar Singhal; Whole -Time Director, Mr. Navin Lodha; Chief Sales and Marketing Officer, Mr. Hirdey Vikram; and Head of Uirtus Advisors, the IR advising firm, to Netweb Technologies, Mr. Sanjeev Sancheti.

Without further delay, I'd like to hand over the floor now to Mr. Sanjay Lodha. Over to you, sir.

Sanjay Lodha : Thank you , Hardik. Good afternoon, and warm welcome to all of you to Netweb Technologies Q3 FY '25 Earnings Call webinar. I will take you through the business and operational highlights of the quarter gone by. While our CFO, Mr. Ankit will share the financial metrics.

We are delighted to report our highest ever quarterly income and PAT at INR3,340 million and INR303 million, respectively. Our operating income rose by 60.3% year -on-year for 9 months financial year '25, reaching at INR7,344 million.

You are aware that India's flourishing AI research ecosystem supported by government initiative and industry partnership presents immense potential. Netweb is uniquely positioned to capitalize on these opportunities through our strategic focus on our 3 cor e pillars, that is HPC, Private Cloud and AI. Notably, AI has emerged as a key growth driver, contributing to around 14.7% to the company's operating revenue in the 9 -month period financial year '25, reflecting a year -on-year growth of 136.3%. Moreover, f urthermore, our OEM partnership with NVIDIA, we have established a road map to design and develop AI GPU systems based on the world's most advanced NVIDIA Blackwell GB200 platforms.

In line with our growth strategy, export contributed around 7.9% for the 9 -month period financial year '25 revenue, reflecting our efforts to expand international market presence and capitalize on global opportunities. It also gives us immense pride to sha re that in the recently concluded NVIDIA AI summit 2024, Jensen Huang, the CEO of NVIDIA, personally endorsed our AI GPU systems based on our architecture.

This endorsement not only strengthens Netweb's leadership in design and solutioning of AI systems in India but also positions India to emerge as AI factory of the world with indigenous design and manufacturing capabilities. Our strong business pipeline and our order book, coupled

with ongoing capability enhancements and product expansion would position us favorably for sustained growth while maintaining our technological leadership.

I would like to hand over the call to Ankit to provide the update on financial numbers. Thank you.

Ankit Kumar Singhal : Thank you, Sanjay sir. Good afternoon, ladies and gentlemen, and thank you for joining our earnings webinar. Before we open the floor for Q&A, I'll provide a brief overview of the financial performance for the quarter. I trust that by now you have had the opportunity to review our earnings presentation press release. While our CMD has already discussed the macro outlook, I will delve deeper into financial performance, providing a more detaile

d analysis of
quarter gone by.

Our operating income increased by 60.3% in 9 months financial year '25, reaching INR7,344 million. Our operating EBITDA for 9 months financial year '25 increased by 61.4% Y -o-Y reaching INR1,002 million. The operating EBITDA margin for 9 months financial year '25 stood at 13.7%. Profit after tax, PAT for 9 months financial year '25 increased by 54.6%, reaching INR715 million. PAT margin stood at 9.6% in 9 months financial year '25.

Return on equity for December '24 was 20.9%, while return on capital employed for the same period was 28.2%. Net debt for December '24 was a negative INR737 million as compared to negative INR664 million in September '24.

Kindly note that this net debt calculation excludes unutilized proceeds from IPO. The cash conversion cycle for December '24 improved to 88 days as compared to 100 days in September '24. We remain committed to our growth pillars with a clear focus on achieving sustainable growth and long -term profitability.

With strong quarterly and year -to-date performance supported by our healthy order book and a robust business pipeline, we are confident in delivering significant revenue and profit growth for the current financial year.

With this, I now hand over the call to Hardik Rawat.

Hardik Rawat : Thank you. We can now proceed to the Q&A session.

Moderator : Thank you very much. We will now begin the question -and-answer session . The first question is from Aman Soni from Nvest Analytics Advisory . Please go ahead.

Aman Soni : Goodafternoon sir, Congrats for a good set of numbers. And I have a first question on the HFT side. So what percentage of our revenue, particularly came from trading firms, particularly from the HFT side, sir?

Sanjay Lodha : From which side?

Aman Soni : HFT, High -Frequency Trading ?

Sanjay Lodha : Yes. Actually, we don't segregate our revenue in terms of basically as regards to the HFT vertical separately because basically, there are customers -- we have some large customers there. And basically, like Graviton, NK Securities and all. But basically, we don't segregate our numbers separately for the HFT domain, particularly. But basically, they are our customers for our 2 segments. One is the higher -- one is the high -performance computing that the HPC and second is the Private Cloud and HCI. For both the 2 segments, they definitely goes into the HFT segment.

Aman Soni : Understood, sir. So sir, like recently, the change in the expiry. So do you see any kind of slowdown happening in this particular category?

Sanjay Lodha : I don't think so, basically as regards -- their algos and all those, they are trying to work actually, but basically, HFT, the customers are robust and they are already -- they have been investing. They have been getting orders from them, and they have bee n investing actually into this.

So primarily, we are not into the transaction side of it. Please understand that. We are primarily -- basically we help them to us to basically develop their algos in a better way so that they get better performance, better results once they basically, the y use the algos. That development side of it, wherein the even use a supercomputer, so as to basically improve their algos along. So in that segment, we are pretty fine and there is a regu lar demand which we are seeing.

And plus these people are also not only restricted to India, our customers are restricted to international, also. We have customers like basically Tower Research. We have customers like Societe Generale and basically, so it's a very, very mature and a larg e range of customers which we have.

Aman Soni : Understood, sir. And sir, lastly, on the order flow side, like, do you see any substantial order flow coming or any color on it, like if you see as compared to last quarter also, our order book is quite a b

it constant. So how do you see it?

Sanjay Lodha : Yes. Actually, you have to understand my order book actually. It looks to you is constant, but it is not constant. Like I'll give you an example. Like basically, like what happened is, we -- the first thing you have to understand that my order book is not like basically, wh ich takes around 6 months to 1 year to complete. The life of my order book is somewhere around 12 months to 16 months . And maybe somewhere sometimes it is even 8 months, 8 weeks, 8 weeks to -- 8 to 12 weeks to 16 weeks, act ually. So please let complete .

So what happens is that, like, basically, I had an order book of around, I think, INR370 crores last quarter . So basically, out of that, already INR250 crores already got converted and got built . So that's the reason you are seeing a term plan. The numbers are approximate. It could be INR225 crores also. So basically, that got built. So basically, if you really see out of the INR334 crores, that basically is around INR225 -odd crores would have go t built on the order book itself. So the current order book is INR360 crores.

So what happens is that order book has just doubled actually in real terms because INR225 crores went out of it and more got added. So still, it is at INR360 crores. So basically , if you really see, every quarter, the churning of the order book is happening, the order book is a new order book

for me. It is not the old order book. I think only 20% or 30% of the old orders are there in the order book, all the rest of the orders are new.
So basically , you have to understand that. It's not like, we are not kind of a company which is just trying to have an order book, which will get some buildup and we keep on billing something of that nature, doesn't happen that way. So it gets converted into our reven ue as well. So we are very pretty happy with the growth of because around INR250 crores got built , but still, I'm standing in my order book is still standing at INR360 crores, that itself say that, that my order book is very, very robust and t he pipeline is helping me grow.
Moderator: Thank you. The next question is from Hardik Rawat from IIFL Securities. Please go ahead.
Hardik Rawat: Thank Yoy. Congratulations on a good set of numbers. Sir, I wanted to ask, firstly, the state of our current order book, and I think you just alluded to that. So the execution cycle of the current INR360 -odd crores order book would be roughly 8 to 12 weeks. Would that be correct to understand?
Sanjay Lodha: It can be, average you can take around 12 weeks. It is between 8 to 16 weeks. Some orders get executed within 8 weeks. Some orders get executed in 12 weeks. Some in 16 weeks. So you can take average, you can keep it around 12, 14 weeks approximately.
Hardik Rawat: Got it. And sir, another thing that I wanted to ask was that our EBITDA margins have dropped on a sequential basis. So I understand that Q2 was an exceptional quarter in terms of margins. But even on a Y -o-Y basis, there's like a 30, 40 bps contraction in margins. What has led to this contraction in margins, for the current quarter?
Sanjay Lodha: Yes. So basically , I will handle the first part and then maybe let Ankit take the technical part of it. So what happens is that, you have to -- if you see year -on-year, actually, really speaking, the margins last year and this year, I think margins have really gone up a li ttle bit rather than going down. So you should take a note of it, Hardik, that last year, if you compare it to December last year to December this year, the margins have really gone a little bit up only, but very, very margin ally. So margins are constant. My first point is that.
But the second question is while basically this quarter, the margin did not expand much is that, that we were executing from large orders. And sometimes what h

appens is that our kind of
business, you cannot judge from quarter -on-quarter basis, okay? So, you have to see it on a year - on-year basis. I have been telling it again and again. And, once we are executing some large orders, it can be some bits up and down. That can always happen. But still I'm very confident of maintaining a 14% EBITDA, which I have always guided 13% to 14% I have been guiding. But, I'm very confident of maintaining that 14% kind of EBITDA, on complete year numbers.
Sanjeev Sancheti : So Hardik, just to add, if I'm audible, my operating EBITDA margin has gone up from 13.6% to 13.7% on a Y -o-Y basis. I think you may be looking at an EBITDA margin, which includes other income, the right way to look at it, is that you have to look at the operating EBITDA margin. Other income will go down because we are utilizing our IPO funds and obviously, that will go down. The other income will go down. Ankit, if you want to add something.

Ankit Kumar Singhal: I wanted to add on similar lines that on operating EBITDA front, our margins have improved. And even we see in absolute terms, we have grown by 61%.
Hardik Rawat: Got it. That's helpful. Another thing that I wanted to understand is that are there any large project orders currently in the pipeline that we're expecting to convert to our order book anytime soon?
Sanjay Lodha: I think, Hardik, the numbers which we have shown, basically I think what is the L1 number we have shown? So, the INR360 crores in the confirmed order book, which we have, and we are basically L1 for around INR340 crores, okay? So, this itself gives you a very robust outlook. At least I don't know whether how you'r e feeling, but at least I am feeling that, this is a very, very robust outlook, which you have, because INR360 crores plus INR340 crores made a huge number, actually, really speaking.
So L1 is the orders which we have won, it may take some time for them to come. But basically , we expect some of them to be coming in this quarter also. And as regards to your question on large orders, we are working on several orders. And orders are normally -- I don't think we are making specific announcements on any orders as such.
Hardik Rawat: Got it. Next, I wanted to dwell up on the export business. It's good to see that exports you had

mentioned that we'll see some exports, and 9% of the top line is being made by exports. Any focus or vision which in terms of what these exports as a composition of revenue could we land at in FY '26? And are there any export orders in our current order book or L1?
Sanjay Lodha: Yes. First thing is that, to answer your question, the last question first, that there are some export orders in the current order book. But basically , as regards what we've also personally -- what I have been guiding from day one only that we are trying to build up capabilities so that we can start exports. So, you should be happy to note that, that we have already started that. And because as I told y ou that our products are very well made, and we have a complete solutioning so we have huge demand. but we have to clearly start so as to find ways so as to service them internationally.
And since my products are being sold to large enterprises only and mature enterprises only, then it makes us that I make a good foothold outside before I start selling it. So I think, it is in the same direction we've started doing it, wherein, if you see private cloud and HCI , which is again a very, very good segment for us, and we have started to push it and the exports have started. But if you ask me to guide approximately what I will say it would be around 10%, 11% of my revenue only because we are growing at -- you please understand, we are growing at a rate of 30%, 35% CAGR. So my domestic sales is also ever growing. So in that sit uation, I think export, I do

n't think will be more than 10% to 11% of my complete sales for the next 1 year or so, something around that.
Hardik Rawat: And the margins, like you had mentioned in the previous call will be very similar to domestic at least starting out?
Sanjay Lodha: Yes. Actually, please understand that, I have to price my -- because it's not that I'm not trying to -- it's not a kind of a competitive bidding or something of that nature. I have to price my products

very right, so that there is an interest in the market. And people feel value in that, my products, actually, okay? So I can definitely command more margin. I think maybe one quarter if I want to expand my margin, I can do that. But the customer will not feel good about it.
And basically, what happens is that I see it as a long -term strategy, wherein customer needs a new solution, he comes to me because he knows that I start my product at a very, very appropriate margin. So that's the reason that is happening. So my pricing s trategy for domestic and export will remain the same.
It can go a few basis points up actually because as I've been mentioning to you, as the AI business will be growing, that will push the margins a little bit on the upper side. But basically, overall, if you see the margin profile will remain the same.
Hardik Rawat: Understood. That's helpful. One last question will be with regards to revenue. So we are now at the end of the third quarter, and if on a year to date is if I look at our growth has been 60% on -- for revenue and roughly 50% PAT. Any guidance you'd like to give or maybe update in terms of the full year FY '25 numbers on revenue if you want to delve into that?
Sanjeev Sancheti: I don't think we are very keen to give near -term guidance. It is too much of trying to speculate. I think our medium -term guidance remains to be 30% to 35% on the average side. We would not like to guide on absolutely near term.
Hardik Rawat: Thank you so much, I will get back in the queue.
Moderator: Thank you. The next question is from Akshay Kaila from CD Integrated Services. Please go ahead.
Akshay Kaila: Sir, I have a couple of questions. So sir, my first question is regarding the -- recently, there was a news of restrictions from the US regarding the export of the GPUs. And our country is in the list of the 50,000 GPUs per year. So could we in the future, can we have some supply chain crunch or something like that and due to that we do have our restrictions in the growth?
Hirdey Vikram: Thanks for the question. Just to clarify, we don't see any problem coming our way because anyway such restrictions are largely for those countries, which are expected to use such GPUs or such components for different kind of user scenarios. And U.S. is als o trying to regulate this only for that purpose. But anyways, when there is an engagement at the government level or even at the large enterprise level, there is no such problem expected to come our way. So that's very clear. We don't forese e any challenge for our business in coming quarters.
Sanjay Lodha: To be explicit, actually, really speaking, like U.S. government doesn't want it to be -- one of the GPUs to be sold to the negative countries, which they don't want to sell them actually. I will not like to name them very clearly. The list is already avail able. So basically, that's the reason they want to restrict it so that things don't get diverted to those areas.
We are always -- basically, they are always more than welcome to use for the AI for the government use, for the enterprise use and all that, there won't be -- there is no restriction

particularly on that. And basically, there are a lot of compelling technologies which are available. So I don't think there should be any challenge on that.

Moderator: Next question is from Depesh Kashyap from Invesco Mutual Fund.
Depesh Kashyap: Sir, just wanted your thoughts on the India AI Mission, which has got an allocation of around INR10,000 crores since you do not directly bid for the tenders, right? So I just want to understand what is your addressable market or your role in this entire mission? And when should it start flowing through your pipeline, order book and the revenue, please?
Sanjay Lodha: Yes. So basically, actually, India AI Mission is a large project from the government. And actually, we are very closely working on it. And basically, there are two parts of it. One is government wants to set up its own complete 10,000 GPU cloud actually, w hich can be made available to the AI people, AI developers and start -ups and all that. Basically, we had already built AIRAWAT, which was a POC for that purpose. And today, basically, AIRAWAT is basically full with the queue for more than si x months people have been waiting. So there is a huge demand. So government wants to set that up.
And basically, we are very much instrumental in setting that up. So basically, all the 10,000 GPUs are not going to come in one day, but basically, that will definitely -- to be split between maybe the time period cannot be defined, maybe one or two years approximately. So we are part of it. Government is seeking advices from us on the design, and we are trying to give them the advices on that. And the complete RFP should be expected sometime in 2025 mid approximately.
And then the tenders we roll out, and we'll definitely bid for those tenders and we will basically help government to set those kind of basically GPU clusters. So as we have not included it in the pipeline, we have not included it in our funnel, because it 's a large project. We don't want to overshadow our projects, our funnel and all that. So it will basically be added as soon as the RFPs are there. As soon as we start bidding, it will get added. I hope that's the most transparent answer I can give you.
Depesh Kashyap: Yes, sure, sir. The other thing -- so right now, 19 companies have -- according to press article, 19 companies have bid for this AI Mission. So if my understanding is correct, you will be working with -- partnering with one of the companies who are there, right? So any color on how many companies are you partnering with? Like how much of this 10,000 GPUs you can actually address in the next two, three years?
Sanjay Lodha: Actually, this tender is not for 10,000 GPUs. Please understand that. Since the government cluster is not ready, that's the reason they have come out with basically a tender wherein they -- it's a stop -gap type of…
Hirdey Vikram: It's an interim arrangement, actually. This is not the RFP. This is just the RFE , which is basically for the empanelment of cloud service providers, who can in the -- for the current scenario to address the needs, they can at least provide some GPUs available over the cloud. That was the purpose of RFP. So the current -- the tender whi ch you are seeing and where you mentioned that

there are 19 participants, out of it 13 have got qualified. That is only for that purpose. This is not the RFP we are talking about.
Depesh Kashyap: Okay. So you will be participating directly in RFP whenever it comes?
Hirdey Vikram: Yes. I mean, depending on how to be strategized, we can decide. But yes, I mean, we will be -- our complete solution will qualify for that. That is something which is clear. So whether we participate directly or through SI partners that we can decide.
Depesh Kashyap: Understood. And secondly, I just wanted to understand, I think your cash position has improved this quarter and particularly, your debt has also increased, right? And I think your interest cost has also increased. So just want your thoughts on why have

you taken the borrowings when it's such a cash -rich company?
Ankit Kumar Singhal: Okay. So look, yes, definitely, our cash position has improved. And as far as borrowings are concerned, so look, we are working with one of major banks in the country now, and we have got the kind of CC limits with them. So this quarter collections are goo d out of relation. We have to maintain some kind of borrowings. So we have just borrowed INR10 crores, which is basically it gets refunded in the next week and this quarter itself. So there is not as such we are in need or borrowing co mpared to the December closing.
Depesh Kashyap: Got it. And now that you have done with the SMT line, there's no extra capex that is required

for the foreseeable future, right?
Ankit Kumar Singhal: Yes. So SMT line capex is as per the IPO proceedings that we have planned, and it's going to happen in the line with the objects that we have maintained.
Sanjay Lodha: So basically, capex is almost all done, maybe around INR10 crores of capex is already pending and that would be the act that most will be coming up.
Moderator: The next question is from Aditya Moona from YES Securities.
Aditya Moona: Congratulations on an amazing set of numbers. My first question was regarding the order book. Could we get a bifurcation as in the current order book, what is the bifurcation for the HPC segment, for the private cloud? Could we get some bifurcation on that part?
Hirdey Vikram: Since we have already mentioned that we do not do the bifurcation in that manner. So for the order book, there is no such bifurcation which is done at our end. So probably you can basically understand that the pillars we have been talking about. So they co rrespondingly contribute in that proportion only. So that kind of guidance we can give, yes.
Aditya Moona: Okay. The same I think we can understand then for the pipeline and the order book , correct?
Hirdey Vikram : Yes.
Aditya Moona: Okay. My second question was regarding -- so basically seeing that AI segment is growing at a substantial grade, my question was regarding the HPC and the AI systems. So do we see any

further improvement happening in this segment in terms of growth, in terms of the revenue growth?
Hirdey Vikarm : In case of HPC, are you referring to?
Aditya Moona: In case of HPC systems and private cloud. In these two segment, AI systems is growing at a substantial rate. And we see that it's now…
Hirdey Vikram : There is a lot of growth available actually. In case of HPC systems as well as for private cloud and HCI, and I think we have always spoken about how our pipeline is growing in case of each of these product lines. So answering your question, yes, there is an absolute headroom ava ilable for both the product categories for us.
Sanjay Lodha: So basically, if you see the presentation very clearly, it will show you that basically, both these categories are still contributing around 32% to 35% -- 35% to 36% segment with each of them, so around 70% of revenue is still coming out of them and still -- and the company is already growing at 35% CAGR. So definitely, these segments are also growing at almost a similar rate, and we see a huge potential. You know how the data centre is booming. Vikram Sarabhai Space Center we recently, we jus t basically executed. So basically, that again was there. So there is a huge -- so both these segments are also growing. But AI definitely, we see a more momentous growth actually.
Aditya Moona: Okay. Got it. My last question, which you already answered, but I just want to follow back on that was regarding the restriction from the United States on the GPU segment. We don't see any risk arising from NVIDIA as a short -term or a long -term period, cor rect?
Sanjay Lodha: No, no risk at all. I have already answered it -- Hirdey has already answer

ed it very clearly.
Moderator: The next question is from Sandeep Shah from Equirus.
Sandeep Shah: Yes. Congrats on a healthy execution again in this quarter. Sir, I want to well more in terms of the export. That is very pleasant to see that 9% of the revenue has come through export. So can you throw some light which country has contributed bulk of the export revenues? And how are you looking to strategize in terms of scaling? You have already answered that in the next one year, it would be 10% to 11% of the top line. But just wanted to understand which country and which segments, the deman d is coming in terms of the export, either Private Cloud, AI or in terms of the supercomputer?
Sanjay Lodha: So basically, as I mean, Sandeep, thank you for your greetings and complements. So basically, if you -- the business is coming primarily, most of the export is still coming from the as the company has been targeting from the private cloud and HCI actually, really speaking. And the areas also just as per our focus, we have been speaking about it that we want to do it the exports to the Middle East to U.S. and to Europe because basically, our products are very matured and we can try to basically send to the developed nations. So major contribution from our export currently is from Middle East and some part is the U.S., actually, to answer you.

Sandeep Shah: Okay. Okay. And the verticals where you have sold in the -- especially in the U.S. would be what technology or some other sectors?

Sanjay Lodha: Technology IT, yes.
Sandeep Shah: Okay. Okay. Okay. And the second question is, we have already launched our architecture on the Grace Hopper GPU. So just wanted to understand the client response in terms of that? And is there any competitive pressure? And when do you expect the architectu re on Blackwell GB 200 to get ready and how people are pursuing because NVIDIA at a frequent and fast rate, they are actually launching new innovated platforms. So in that scenario, is the demand is getting cannibalized because of the new platform where w e have already worked on a whole architecture?
Sanjay Lodha: Yes. So basically, NVIDIA works on a very, very dynamic mode Sandeep ji, as you may know already. So basically, GB200 is the latest platform, which they have just -- they started talking about it sometime in November on the new architecture, and we started working along with them at that point of time.
So though I cannot tell you particularly precise dates . I think we have a very strict NDA again . So I can only tell you if your time to market, it will be along with the worldwide launch of the architecture accordingly, we'll be doing it. So we are very much in time to market. And I can give you some idea that within next 4 months, you should have t he GB200 platforms rolling out basically from our side. We are seeing a huge traction in demand on it, and definitely, we are ready to address that.
Sandeep Shah: Okay. And any question is in terms of Grace Hopper GPU, how is the response, especially in domestic market once we have launched it?
Sanjay Lodha: Yes. So Grace Hopper, we have already launched. Grace Hopper , we are getting good responses. We are working on basically large requirements because we can understand that these kind of architectures are being used primarily for large requirements actually. So we're working on a couple of large requirements, and we are seeing a good demand around that and that those will get added to our order book.
Sandeep Shah: Okay. And another last question is, generally, in the fourth quarter, we see further improvement in working capital with some collection comes slightly better in the fourth quarter versus the earlier 9 months. So whether that trend will continue in the fou rth quarter as well? And is it fair to assume the PLI accounting and the claim w

ill happen in the fourth quarter that would also be additional tailwind in the fourth quarter?
Ankit Kumar Singhal So Sandeep ji, I would like to mention here that, yes, we will maintain the collection trend that we have done in last year as well. As you understand that we have maintained the share of the government customers this year as well. So the collections usual ly happen in the last quarter as compared to the government clients.
So we will definitely be in a better shape in cash position. And for PLI thing it's process, we'll obviously tracking that thing. But overall, yes, collections, cash conversion will improve.

Sanjay Lodha: Sandeep ji actually, you have to understand that, that we are a growing organization. We have to focus on growth and I have my history of bad debt is very, very poor. So I'm really not worried basically, even if basically, if you see last quarter, my capit al working cycle improved, okay? And basically, I'm really not -- I don't -- I drive my business by growth, so you should understand you should give us the compliment that we are growing at such a huge rate. Once we grow at the huge rate, act ually, my first focus is growth, actually.
And I have no breath of gap. I don't have any debt. So basically, I don't have much of a pressure there. Though I'm not a finance guy to commit on this. But you very clearly, this quarter also, I'll be clearly focusing on growth, as I have been doing in th e past, and I'm very sure, definitely, cash conversion cycle should also improve.
Moderator: Thank you. Next question is from Onkar Ghugardare from Shri Investments. Please go ahead.
Onkar Ghugardare: Congrats on good set of numbers once again. My question was regarding you have already -- you have been maintaining this 30%, 35% revenue guidance. So just wanted to know, not quantitatively, but qualitatively, the profitability will be in the similar line s? Or like is there any scope to expand in 2 -year time frame?
Sanjay Lodha: Yes. Actually, as I answered we price our product very rightly actually, as I have been telling that again and again. So basically, the profitability may go up by a few basis points, but would be in the similar line, actually, maybe around 14 percentage EB ITDA basically which we are promising well around that, it will be take.
Onkar Ghugardare: So basically, revenue and profitability will be on the similar growing on similar lines maybe.
Sanjeev Sancheti: No, no. Revenue guidance will continue to 30% to 35% in the medium term, okay . And that's where the guidance is, the EBITDA margin will be around 14%. So we are not expecting significant expansion because when you are growing so far, you will have to maintain pricing, which is comfortable to everybody.

Sanjay Lodha: Thank you, Sanjeev, for clarifying that clearly.
Moderator: Thank you. Next question is from Ankur Jain, who is an Individual Investor.
Ankur Jain: Yes. Sir, actually, like wherever I have heard the last con calls, you have always maintained that the second half of the year is definitely be better than the first half. And around 2/3 of the business should come from the second half. Am I right, sir?
Sanjay Lodha: Yes, we used to say that. But basically, every time it doesn't remain the same, but basically, you have seen results already. The first -- Q1 was very good for us this year. But the Q2 also seems Q3 all seemed to be good. We did have good substantial growt h in that. So -- but basically, I don't think we'll be able to maintain that 1/3 or 2/3 or not, I'm not sure about that.
Ankur Jain: Okay. So that's what I wanted to ask because like for the fourth quarter, it would bring a lot of pressure on the expectations for the revenue as well as profit because like if we see it in that first 2/3 and 1/3 around. So it means it would not be the sam e this year, right?

Sanjeev Sancheti: No it will not be impact. If you look back to the last quarter conference call transcript , this question was asked and we did say that if we get tempered because in the first half actually the growth was very high. Obviously finally, whether revenue figure is sitting in this quarter or next quarter is just one cut -off day, right?
If a billing happened on 30th of September, it goes into the first half. If it happens on 1st of October, it goes into the second half. So while generally, it has been 1/3, 2/3, but there may be years when it could be different, right . And finally, that's why we always look at Y -o-Y -- YTD, Y-o-Y rather than quarter -to-quarter Y -o-Y.
Ankur Jain: Okay, sir. My second question is that, sir, around the INR47 crores is remaining unutilized out of IPO proceeds for the construction work and around INR145 crores for the equipment. So means is there -- can we expect some another SMT line or something like that in some coming 3, 4 months?
Ankit Kumar Singhal: So I would like to correct here, it's not INR145 crores, it's INR145 million. So all this together, we have INR21 crores of unutilized amount
Sanjeev Sancheti: No, no. So we are going to stick to our object. So there is nothing new which is coming, which is just whatever was envisaged in the document, we are going to complete that. Most of it is complete. Some of the payments are to be made all that once happened , it will capital. Mostly, most of the capitalization will happen in the current financial year.
Moderator: Thank you. The next question is from Deekshant B. from DB Wealth. Please go ahead.
Deekshant B.: Yes. Congratulations, sir, the rate growth by our company has really been commendable. I have 2 questions. Firstly, regarding -- with our remuneration package for our Chief Sales Officer, which is Mr. Hirdey. I understand that the growth is being driven by the great sales work done by the team. I want to also understand what part of his compensation package has ESOP structure linked to it?
Sanjay Lodha : Basically, I think this was already discussed in DRHP basically what it took to disclose the public information has already been done.
Deekshant B: Sir, could you please help us out understand this because it is the largest remuneration at INR14.63 crores. And we want to know that what is the future outlook on the equity component given to our sales people and the research people which will be Mr. Muk esh Golla ?
Sanjay Lodha: Actually thing is that no fresh equity has been given as such. Whatever was given, basically, whatever was given from the ESOP pool was given before the IPO actually.
Deekshant B: Okay. I completely understand, sir. It's just from the perspective of retention as well as expansion. That's the whole logic for asking the question nothing else there. Sir, the second question is on our growth. As you mentioned that we are growing enormou sly. And we are now focusing towards our export markets as well. The guidance has been in the 30% to 35% range.

And forgive me if this sounds too ambitious, but what is stopping us from growing at 50% of the market is having such a big deal and if we are able to do that. Is that also possible sir?
Sanjay Lodha: Because if you really see this is the eighth quarter result which I have presented seventh or eighth results if we have presented after our listing actually. So you are seeing a continuous growth year basically, quarter -by-quarter you have seen it. So basically we are dealing with enterprise customers. We are dealing with large government customers and businesses with primarily with more mature peopl e actually and enterprises.
So what happens is that that the business outlook is also to be in a mature fashion. It cannot be

just not l

ike kind of a contract manufacturing or something wherein we can just increase it. So
basically, I think the healthy growth rate which we are clearl y trying to maintain. It's the long -
term perspective which we are trying to maintain.
So I'll still stick to that 30% to 35%. Though we are striving to grow even faster, internal all
efforts are there, but the guidance would be around 30% to 35%.
Deekshant B: Agreed sir. 100% agreed. Sir, just one last question here on the government RBI basically has
announced that they will be now focusing more on creating cloud infrastructure for giving banks
some cloud infrastructure on their end. Are you seeing any sort of interest from RBI on this
particular front related to Netweb. I asked this also because we have worked so well with the
government sector and we have such good ties with the g overnment sector. That's the whole
thought process here. Are we se eing any growth there?
Sanjay Lodha: Yes banks are already getting on the cloud. Our private cloud solution is very, very appropriately
designed for that as basically some of the large GSIs whatever basically their core banking
software, they are trying to use our completely private cloud and HCI solution. And basically,
we see a lot of traction around that side also, but we actually like to club it into the private cloud
and HCI segment.
And basically, that will really be part of it. And as you rightly said, definitely, we are seeing
some kind of a basically a good traction coming in from that segment.
Deekshant B: Got it sir. I will be back in the queue. Thank you so much for such great communication.
Moderator: Thank you. Next question is from Akshay Kaila from CD Integrated Services Limited. Please
go ahead.
Akshay Kaila: Sir, my question is what might be our capacity utilization in the quarter 3 and I think we have
commissioned the line in May 2024. So , do we have any capacity concern for the near term?
Sanjay Lodha: Yes. Actually, as I have been telling you from the time of IPO only, we are not a capacity -based
company. We are a capability -based company. So, basically, capacity always we have actually,
but basically we have to get new capabilities because we don't -- we are not worried about
capacity. Had we been worried about capacity, we would become a contract manufacturer or
something.

So capacity is not a barometer at all for us. Whatever basically we need for production, we have
that capacity. Primarily, we try to invest on capabilities. So basically in case we want to do
something latest wherein we require new machinery, so as to deve lop that capability in India,
we are Make in India company then we try to invest more in capabilities than capacity.
Akshay Kaila: Okay. And sir, my second question is regarding the growth guidance that you have already
answered that and maintained the growth guidance from 30% to 35%, but I was referring some
news and they were saying that India is growing at a very exponential growth rate. And for the
next 2 years, data center and AI capacity is going to increase by around 55% to 60%.
And for the longer term until 2030, it is -- it will grow at 29% to 30%. So are we being
conservative on the growth guidance over there or can we -- can you put some more color on
that?
Sanjay Lodha: Actually, whatever I'm guiding, I'm guiding in terms of long term. First thing is that and plus
basically, we are not only into AI. AI is trying to build up as slowly AI is showing more growth,
but we have other segments also like supercomputing and privat e cloud and HCI, which we've
been doing for years together. We are also growing. So I think I'm very, very optimistic about
what exactly the guidance I'm giving on growth. I'd like to maintain that.
Akshay Kaila: Sure sir. Thank you so much.
Moderator: Thank you. The next question is from Aman Soni with Nves

t Analytics Advisory. Please go
ahead.
Aman Soni: Hi, sir. Thanks for the follow up. Just one question on the order inflows. Like I missed that, like
you communicated on the project that we are going to get. So what new projects are we going
to get in next couple of quarters, sir?
Sanjay Lodha: I do not understand your question. Can you repeat?
Hirdey Vikram: We have responded to that. So as we have mentioned that our funnel and overall pipeline and
order book, that is basically quite in a sustained manner. So we have not disclosed anything
about any specific large orders as yet. But as you can see the order bo ok, the L1 pipeline,
everything is basically intact. So that gives you enough confidence the way we are progressing.
Aman Soni: Thank you sir. Thank you very much.
Moderator: Thank you. The next question is from Navneet Singh, who an Individual Investor. Please go
ahead.

Navneet Singh: Thank you for the opportunity. So actually I'm interested in learning about the capability expansion that we have in the near future?
Hirdey Vikram : So capability expansion, I think we have already mentioned that the new setup with the new plant which we have set up that is you know capable enough to take us to the journey of INR2,000 crores and all. So that gives you enough confidence that we are capable enough to

sustain up to that kind of growth level. And beyond that, yes, we are working on the strategy to basically go beyond that as well. So that is in progress.
Navneet Singh: So is there any guideline that we will be utilizing that INR2,000 crores, I guess, annual sales, right?
Sanjay Lodha: Yes. So basically, we're already utilizing their capabilities, the new NVIDIA Grace, Hopper, Superchip sets which we are making, the new Blackwell which we are working. They are all working on that only. We are working on all the latest chipsets and techno logies. So what -- Hirdey mentioned is that, that basically whatever the investments which we have made, that will sustain us till revenue of INR2,000 crores. And when will we reach INR2,000 crores, that you'll have to do your mathematics you rself.
Navneet Singh: Understood. Got it. So any guidance that then we will be reaching the annual sales of INR2,000 crores, are we seeing at our financial year '27?
Sanjay Lodha : I would like to give you this -- I would like you to work on this mathematics yourself. I have already told you 30%, 35% growth.
Navneet Singh: Understood. That is all from my end.
Moderator: Thank you. Next question is from Shubham Karni from CA Financial Services . Please go ahead.
Shubham Karni : First of all congratulations on a wonderful set of numbers. I just had a couple of questions. As you can see, we have improved our cash conversion cycle. So , what can we target as the cycle for the next 1 or 2 years?
Ankit Kumar Singhal: So Shubham, it's -- obviously, it's pretty difficult to estimate cash conversion cycle because a moving trend of the customers coming in and vendors we are paying. So, but what we can guide is that it will definitely improve, because March quarter happens to be a good collection quarter. So -- and we are also growing more in terms of revenue. So you understand there is always a need of working capital, okay . So it's a mix of a lot of moving variables. So difficult to estimate cash conversion I think, but it will improve.
Shubham Karni: Okay, sir. And my second question is apart of the GPU restrictions, as you said, where you won't be facing any problem regarding those. But apart from that, do you see any other geopolitical with Donald Trump coming in or anything as such?
Sanjay Lodha: I personally telling you very frankly, I don't see any kind of basically on the kind of business, which we are doing or any kind of business impact primarily from Donald Trump coming in. He was there ear

lier also. He's back there again. He has been support ed by a lot of business houses. So business will definitely grow.
And I'm very sure that will basically -- I think my personal view, if you ask me would be that that the world will become a stronger place, actually, more economic activity will happen that will help everybody to grow.

Moderator: Thank you. Next question is from Anuj from A3 Capital. Please go ahead.
Anuj: Congratulations for the consistency for the whole of the Netweb team. Sir, my question is on the network switching side, the switching side of the business . So the business already the order book has started building up and whether that business is margin accretive?
Sanjay Lodha : Yes. So basically, the switching side has always started, but we never wanted to make the switching completed a box product actually, and we have been targeting only in the high -end part of it, okay? So basically, that's the reason the switching growth you are seeing is slower actually.
But over a period of time, as the highest solutions basically gets more and more productized and more and more adoption happens, this will grow. But basically, we just don't have you know that last year, the company is not to sell boxes. So that's the reas on, basically, you don't see that kind of growth, but it is again a good capability, which we have.
On the networking side of it, everybody wants to keep the networking switches local and secure. We see a good future potential, particularly on the Make -in-India switches actually. So I personally feel the segment will keep on growing, but this will grow at a slower rate, not

basically at the same rate as the other sectors.
Anuj: Okay, sir. And sir, one more question I want to ask is sir, the nature of our businesses need to project based. We get a project we completed and that's done. So I want to know what is the service part of it, what is the revenue potential of these services , what is the binding contract like for 3 years or 4 years you have to serve that?
Sanjay Lodha: Are you talking about the last segment of the business, you're talking about overall basically? Are you talking about…
Anuj: So overall business, like sir that the HCS business or the…
Sanjay Lodha: So basically, whenever we make a sale, basically, we make a sale of along with a 3 years or a 5 years warranty and services included actually, okay? Because basically, all this is enterprise actually. And that's how we feel for competition, VMware and Nuta nix all that. So basically, what we do is that we sell everything with the complete 3 years or a 5 years kind of years.
So we have our own SLAs, which we agree to, and the entire services and everything has been bundled together for 3 years and 5 years. But basically, we charge our customer in the very beginning when the product is going out of our factory. So basically, there is no recurring or something of that nature, everything gets built at the very first level only.
But the product is supported for 3 years. Some people go for 3 years, some people go for 5 years.
So accordingly, basically, it is being done. I hope I'm able to answer your question.
Moderator: We will move to the next question. The next question is from Vatsal , who is a Retail Investor. Please go ahead.

Vatsal: Yes. Sir, my first question is, sir, Netweb is one of the pioneer in technology in India. So sir, why doesn't the company have a Chief Technology Officer?
Sanjay Lodha: We have basically, because of the entire organization is full of engineers only. Just basically having the Chief Technology Officer may fit back -- our definition is different. Our Chief Technology Officer would have been suitable for a company, which is w hich IP is also part of it.
But basically

, this company runs on technology actually. So R&D is most important again for us. The operations is very important for us. Sales is also technical. So everything is technical, actually. That's the reason we don't have a CTO specifically, but we have a CEO, we have got R&D, we have got -- the sales is also completely technical. So I think that's the reason we don't want to basically make have a CTO separately.
Vatsal: And sir, secondly, sir, this transitioning towards exports reflect some sort of saturation in the Indian market?
Sanjay Lodha: No way at all because I think basically, you asked me that what will the part of my export sales. So I told you it would to be around 10% only. Okay. So basically, because we want to just close the export markets and also grow our market there. That's the reason there. Basically for last so many years, our focus has been primarily in India, and we wanted to maintain th at, but we also don't want to lose on the overseas opportunity. Hence, we also want to do exports.
Vatsal: And sir, with the interim CFO getting appointed. So sir, I just wanted to understand that would a new CFO appointment would be there? Or would we be continuing with internal CFO?
Sanjay Lodha: We are still evaluating that and that decision we will come to maybe 1 or 2 quarters.
Vatsal: Okay, thanks a lot, sir.
Moderator: Thank you. Next question is from Amit Agicha from HG Hawa & Company. Please go ahead.
Amit Agicha: Thank you for the opportunity and congratulations for fantastic numbers, sir. My question was like what is the percentage of your revenue which is allocated to research and development?
And the second question was with AI contributed 13.7% of revenue in 9 months FY '25. What growth rate do you see , foresee the segment over the next fiscal year?
Sanjay Lodha: Basically, as I have been mentioning is around 3% to 4% of our revenue has clearly been spending to the R&D, which we have been following for years together, and we still continue doing that, okay? And second is that basically as you question on AI. AI, as I mentioned to you, it was 7% last year, we grew by around 133%, and it came to around I think, around 14.7%. I personally feel by other segments also growing. So by end of the year, it would remain around 15%. Next year, it may basically g row by 2% or 3% further more in the total revenue mix.
Amit Agicha: Thank you, sir, and all the best for the future.
Sanjay Lodha: Thank you.

Moderator: Thank you. Next question is from Deekshant B. from DB Wealth. Please go ahead.
Deekshant B.: Yes, sir. Sir, could you just expand a little bit on our R&D for 5G ORAN services?
Sanjay Lodha: Yes. Actually, 5G ORAN, we are still working on it. Basically, still the R&D team is still working on it, and we are basically making the product ready, but under development. Still, I think it will take us at least 1 or 2 quarters more to completely have a product ready a ctually there.
Deekshant B.: Great. So, what is the target market that we are looking at for the 5G ORAN services? And how would it help them grow their business?
Sanjay Lodha: Yes. So basically, target markets are very clearly the private 5G type kind of thing. We are not targeting any kind of telcos and all that. We are targeting basically maybe all the private 5G users like maybe you can say hospitals or maybe different kinds of factories and all those manufacturing and all those kind of people. There are some regulation issues also at this point of time with the government, and they are also trying to clarify that.
So the licensing can become much more simpler and much more democratic, and so that basically since you understand that the pipeline again in area wherein licensing plays a important role, and so that the spectrum availability and all those things would be t here.

So basically, I think that, that is there. So I hope I answered your question.
Deekshant B.: Got it. Sir, on a question for Mr. Hirdey . Sir, what is the sort of growth that we are witnessing on the government orders versus the private orders? Because we had a 40 -60 split. Do we think that this split will be remaining the same? Or where is the more interest coming from?
Hirdey Vikram: So see the kind of response we are getting as we have always been mentioning that we provide enterprise solutions. So the kind of response we get from government and enterprises that is alike, and there is a reason that also reflects in our business split as well divided among the enterprise and government side.
So answering your question specifically, response is coming excellent from both the sections of the market, be it enterprise or the government. And we see that the proportion is going to remain the same in the coming quarters also. There can always be a sl ight change. It can be like 55 -45 or 60 -40 or 50 -50, that kind of split is quite expected. But otherwise, we are seeing large opportunities coming our way from both the markets.
Deekshant B.: Got it. Another question there is like a lot of changes are still happening in the compute part of the business, even from NVIDIA's end. By they are making for retail compute much more cheaper. Is that the same thing that we are witnessing for the compute on the B2B segment also? Are they changing their B2B business compute cost? Are they making their hardware a bit more cheaper?
Hirdey Vikram : See, basically, what you may be referring to is something which is for the edge side of the overall chain of products. And since we are not edge side, so the product you may be referring to is a

different category altogether. But if you come to the enterprise side of the products, then these products are rather becoming more, I would say, costlier with each generation passing.
So from that perspective, it is not that, on one hand you know , democratizing of technology is happening, but that is helping us to build solution for almost every vertical of the market. That is how democratizing - democratization is happening. But from the technology cost perspective, that is increasing.
Deekshant B.: Got it. Thank you so much management. Thank you.
Moderator: The next question is from Sandeep Shah from Equirus.
Sandeep Shah: Yes, thanks for the opportunity. Just on the government AI Mission, I think you already said that it could be of 2 types, one where we will directly participate with the government, and secondly, we may do a system integration deal with the other cloud service providers.
So in that scenario, you are saying pipeline may create starting from the mid of this calendar year. So what would be the bigger opportunity? Is it directly going with the government or partnering with another system integration or a cloud service provider ?
Hirdey Vikram: See, that's very clear that the one which has been -- I'm sure what you are referring to is something that the one which is already there in the market. As we have already mentioned that, that is just an interim arrangement and where the CSPs are being ask ed to get empane lled themselves to provide the interim set of services.
And anyways just to share with you, we are even supporting a couple of CSPs for their solutions also at the back end. So for this piece also. But apart from that, the actual one, the on -prem facility, which government is intending to build, that is somethi ng, which is going to get released sometime soon. And I think that is where we are going to focus more and that will be definitely a bigger one compared to this one.
Sandeep Shah: So Hirdey sir, is it fair to assume commercialization for us in this segment may start from the

later part of FY'26 or FY'27?
Hirdey Vikram: See, c

ommercialization assets, as we have already mentioned that what we are expecting the
RFP should come out sometime next year. I mean fiscal year FY'25, FY'26. And as we have
always been suggesting that as of now, we have not taken this into our funnel at all. So anyways,
also, we are maintaining our growth, so that's not a problem.
But with this coming, we can see that by some part of it will definitely start coming into our
funnels or will take place, I think, by FY'25, FY'26 itself. And it can be maybe third quarter or
second quarter that I'm not sure of. But yes, that is how we ar e seeing the conversion of this
opportunity into business.
Sandeep Shah: And the last thing, any diversification within HPC and supercomputer, where we were largely
focused on government, where we were looking to diversify into oil and gas and the other
segments. Any progress on that side to increase our addressable market in t he supercomputer?

Hirdey Vikram: Yes. As we have been mentioning from very beginning that we have been expanding our reach
in terms of taking parallel computation or supercomputing technology to different verticals. So
oil and gas is definitely one of those target verticals where we have been putting in our efforts
for the last so many quarters. And same goes with -- not just limited to oil and gas, we will also
be expanding ourselves in terms of taking our HPC solutions to the other verticals, and HFT is
another good exampl e. So we are anyway on the growth path in terms of adding new verticals.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the
conference over to the management team for closing comments.
Sanjay Lodha: Thank you for your time. Thank you.
Sanjeev Sancheti: Thanks a lot everybody , have a great day and a great weekend ahead.
Moderator: Thank you very much. On behalf of IIFL Capital, that concludes the conference. Thank you for
joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

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SUB: TRANSCRIPT OF Q 4 FY25 POST RESUL TS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Post results earning s call for Q 4 FY25 held on Mon day, 05th May 2025 at 3.30 PM .

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.No A36610

"Netweb Technologies India Limited
Q4 FY25 Earnings Conference Call"
May 05 , 202 5

MANAGEMENT : MR. SANJAY LODHA – CHAIRMAN AND MANAGING DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. ANKIT KUMAR SINGHAL – CHIEF FINANCIAL OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED
MR. NAVIN LODHA–WHOLE -TIME DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. HIRDEY VIKRAM – CHIEF SALES AND MARKETING OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED
MR. SANJEEV SANCHETI – HEAD UIRTUS ADVISORS – IR ADVIS OR –NETWEB TECHNOLOGIES INDIA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Netweb Technologies' Q4 FY '25 Earnings Conference Call, hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Hardik Rawat . Thank you. And over to you, sir.
Hardik Rawat: Good afternoon, everyone. This is Hardik Rawat. On behalf of IIFL Capital, I welcome everyone to Netweb Technologies' Q4 and Full -Year FY '25 Earnings Call. We have the pleasure of having with us the senior management team of Netweb Technologies, led by CMD, Mr. Sanjay Lodha ; CFO, Mr. Ankit Kumar Singhal, Whole -Time Director, Mr. Navin Lodha; Chief Sales and Marketing Officer, Mr. Hirdey Vikram and Head of Uirtus Advisors , the IR Advisor to Netweb Technologies, Mr. Sanjeev Sancheti.
Without further delay, I'd like to hand over the floor now to Mr. Sanjeev Sancheti . Over to you, sir.
Sanjeev Sancheti: Thank you, Hardik. Good afternoon to all the participants. Before I hand over the call to Mr. Sanjay Lodha for the opening remarks, I would request and draw all attention to the safe harbor statement in the earning call presentation. I request each one of you to go through the same before the Q&A starts so that you are aware of the same. Thank you a nd over to Mr. Lodha.
Sanjay Lodha: Thank you, Hardik and Sanjeev. Good afternoon and a warm welcome to all of you to Netweb Technologies' Q4 and Full -Year Financial Year FY25 Earnings Call. I will take you through the business and the operational highlights of the quarter gone by, while our CFO, Mr. Ankit will share the financial metrics. We are delighted to report our highest ever income and PAT for the quarter Q4 financial year ' 2025 as well as for the fiscal year FY2025.
Our operating income rose by 55.9% year -on-year for Q4 FY 2025 and by 58.7% year -on-year for full fiscal FY 2025, reaching Rs 4,147 million in Q4 FY2025 and Rs 11,490 million in the full fiscal FY2025. We continue to maintain our strong growth momentum, scaling rapidly on expanding base.
We are pleased to announce that the Board of Directors have recommended a final dividend of INR2.50 per equity share, representing 125% dividend on the face value of INR2 per share. This translates to a dividend payout ratio of 12.4%. This is, however, subject to the shareholder approval. We are extremely happy to share that we have received our first claim under PLI Scheme 2.0 for IT Hardware, amounting to INR59.4 million for the period from July 1, 2023 to March 31, 2024.
This achievement underscores the success of PLI scheme in boosting domestic production and creating employment opportunities. We remain committed to in -house designing and producing world -class latest generation systems and supporting the Make in India initiative and contributing to India's growth as a global manufacturing hub. India's vibrant AI research

landscape and adoption across verticals fuel led by government initiatives to develop indigenous LLMs, offer significant innovation opportunities.
Netweb is strategically positioned to capitalize on this momentum, anchored by our focus on three pillars: HPC, Private Cloud and AI Systems. In FY25, AI continued to be the major growth engine, contributing 14.8% to revenue and 112% year -on-year growth. In line with our focused efforts in the AI space, we launched Skylus.ai in FY25, a unified solution to set up GPU -based AI infrastructure on the go that optimizes GPU resource management, simplifies

deployment.
The launch of Skylus.ai marks a significant step in strengthening our leadership in design and solutioning of AI systems in India, contributing to the nation's vision of becoming the AI factory of the world. We are building AI native infrastructure designe d not just for today's workload, but for the intelligence -driven enterprises of tomorrow where compute, storage and orchestration are optimized end -to-end for large scale AI data center and modern operations.
One of the key objectives behind IPO was to attract new talent and retain our existing teams. I'm

pleased to say that we have further strengthened our talent pool over the year, adding total of 79 new team members, taking the total to 441, including 46 tec hnical professionals, taking the total to 238 technical professionals. This reflects our continuous focus on deepening domain expertise and enhancing business and operational capabilities.

Innovation has been key driver for growth of the company over the last decade. In line with this , the company applied for three patents in financial year '25. Additionally, we were awarded 1 design patent in March 2025. With this, now we have nine registered design patents. With a strong order book and a robust business pipeline, further reinforced by ongoing capability enhancements and strategic expansion of product portfolio, we are well positioned for sustained growth and continued technological leadership.

Backed by this momentum, we are confident in achieving a 35% to 40% CAGR in top line growth over the next couple of years. For the upcoming fiscal year, we are guiding for an operating EBITDA margin of 13% to 14% and a PAT margin of around 10%, reflecting our confidence on business momentum and our focus on profitable and scalable growth.

I would like to hand over the call to Ankit to provide updates on financial numbers. Thank you

Ankit Kumar Singhal: Thank you, Sanjeev sir. Thank you, Sanjay sir. Good afternoon, ladies and gentlemen and thank you for joining our earnings call. Before we open the floor for Q&A, I will provide a brief overview of the financial performance for the quarter and the year gone by. I trust that by now you have had the opportunity to review our earnings presentation and press release. While our CMD has a lready discussed the macro outlook, I will delve deeper into financial performance, providing a more detai led analysis of the quarter gone by.

Our operating income increased by 55.9% Y -o-Y on quarterly basis, reaching INR4,146.5 million in Q4 FY '25 and increased by 58.7% reaching to INR11,490.2 million in fiscal FY '25. Our operating EBITDA for Q4 FY '25 increased by 47.9% Y -o-Y reaching INR597.7 million, while for fiscal FY '25, it increased by 56.1% Y -o-Y, reaching INR1,600.1 million. The operating EBITDA margin for Q4 FY '25 was 14.4% and for fiscal FY '25 it stood at 13.9%.

Profit after tax, PAT for Q4 FY '25 grew by 45% Y -o-Y, reaching INR429.9 million, while for fiscal FY '25 PAT increased by 50.8%, reaching INR1,144.8 million. PAT margin stood at 10.3% in Q4 FY '25 and 9.9% for fiscal FY '25. Return on equity for the FY '25 was 24%, while return on capital employed for the same period was 32.6%. The balance sheet strength is reflected by us being a zero net debt company. The company had net free cash of INR1,621.3 million as on 31 March, 2025 as compared to INR737.2 millio n as of 31 December, 2024.

Cash conversion cycle for Q4 FY '25 improved to 73 days as compared to 88 days in Q3 FY '25. Cash flow from operations for Q4 FY '25 was INR655.04 million, reflecting our disciplined and focused efforts to enhance cash generation through improved operational efficiency and working capital management. The company successfully deployed SAP S/4 HANA to enhance control and oversight of all operati onal and financial processes.

This upgra

de enables real -time insight, streamlined workflows and stronger governance, supporting scalable and efficient growth. We remain firmly aligned with our strategic objectives and growth pillars, maintaining a clear focus on sustainable growth and long-term profitability.

Backed by a strong quarterly and year -to-date performance, a healthy order book and a robust business pipeline, we are well positioned to deliver meaningful revenue and profit growth in the current financial year.

With this, I now hand over the call to Hardik Rawat:

Hardik Rawat: Thank you. We can now proceed to the Q&A session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: Congrats for a good set of numbers. My first question is on the AI segment. You are mentioning, we are going very fast and the numbers are saying the same thing. I want to understand the key drivers for this particular segment and where do you see this seg ment three years to 5 years ahead as an overall contributor to our total revenue, si r? So that is my first question?

Hirdey Vikram: Yes. Thanks for the question. So, one thing is very clear that we have been telling from -- right from the IPO days that AI is going to become the third important vertical for us, and it is going to -- we see a lot of headroom in the AI product vertical. A nd that is what we have proven right as well, as you have seen that in all the quarters in the past, we have shown significant progress in the AI product line.

So that way, we see a lot of headroom and the larger -- largely, the requirement which is coming is from both the enterprise and the government section both. So from a customer point of view, I think adoption of AI is happening at a very larger scale, and this is definitely driven by a fact that the way the requirement of LLMs has grown multi -fold, and it has been filled by all

enterprises and government organizations that they need to have private LLMs or the local
LLMs, or they need to have some sort of L LM services.
There is something which is driving the AI adoption in a very different way. So, we see that this
is going to continue in subsequent years as well. And your question was that how do we see it

after 3 years to 5 years? We definitely see that AI is going to become one of the most
fundamental base for any nation, not just limited to government organizations, but even for the
enterprise organizations as well. So definitely, we see a lot of headroom in the coming years as
well.
Garvit Goyal: And what percentage are we targeting as a mix to our total revenues in next 3 years to 4 years?
Sanjay Lodha: So basically, as you know that the company has been growing at a rate of around CAGR of
around 35% to 40%, so all our segments are growing very fast. So basically, though AI is
growing at a faster rate, as I told you, it's already grew at 112% approximatel y. So currently, it
is around 15%, around 14.8% to 15% currently. We feel by end of year, this will be around
somewhere around 20%, little -- 19% to 20% of our existing share it will have.
Garvit Goyal: And is there any margin differential in this category, where we are able to get higher margins as
compared to other segments?
Sanjay Lodha: Margin is almost all pretty same in all, because we price our products in a different way. You
know that our competition normally is all on the single -digit margin, wherein basically we are
around 14%. So basically, we are already at a comfortable position . And plus basically, since
there is a huge market to be captured, we want to price our products optimally and just not just
try to basically charge margins initially or something of that nature.
And you are seeing since we have been growing and we

have almost all been able to maintain
our margins very well. So, I feel AI has got some little bits of extra margin, but I don't think
basically you should take it as similar margin profile.
Garvit Goyal: Understood. And sir, secondly, on the patent side, you mentioned we applied for 3 more patents
and got more patient in the month of March. So, can you spend a few minutes on explaining
what kind of patents are these? Are we able to enter into new areas via these patents? Or what is
our exact thought process behind acquiring these patents, sir?
Sanjay Lodha: So basically, you know that innovation has been very, much the key in the journey actually over
the period of 25 years. We have always been trying to innovate. We are completely an integrated
company, wherein we design our products, we manufacture our products, we have our own
software stack. It's completely end -to-end.
So basically, in our processes, we are able to develop some -- since we have a huge R&D team,
we are able to develop some unique features for ourselves. So, we primarily try to patent them
so that we remain secure on that. But actually, we will not be -- we are not in a position to divulge
the details of what the patents are and all that because they are all under approval.
Garvit Goyal: Understood. So can you just tell us like the patents are belonging to the existing areas where we
are generating the revenues or we are looking for new areas to enter into?
Sanjay Lodha: No, the patents are for existing areas only. They are primarily on the existing segments, which
we are working upon. So basically, so what we are trying to -- we are innovating so as to enri ch

the product lines. The new like basically, we got Skylus.ai recently, as you might have heard
about it, that has received very good traction.
So, we always work towards basically making our products much more friendly and much more
adapt to the current requirements of the customers. So in that process, we do a lot of R&D and
our patents are in those lines actually.
Garvit Goyal: Understood, sir. Thank you very much, sir. All the best for the future. Thanks.
Moderator: Thank you. Th e next question is from the line of Darshil Jhaveri from Crown Capital. Please go
ahead.
Darshil Jhaveri: Good afternoon team. C ongratulations on a great set of results. So, just wanted to know like
we've had such a great amount of growth and AI is also firing quite well. So over the next 2
years, what kind of revenue growth can we see, like we've done, I think, over -- this year g rowth
has also been over 40% of last year's growth. So, just wanted to know what kind of growth are
we targeting for next year?
Sanjay Lodha: So basically, as we mentioned, Netweb from very beginning has been very clearly focused into
the enterprise area only, while most of our customers are large government enterprises or large

enterprises, primarily government and private. 50% of business is f rom government. 50% of business is from enterprises. So it's very well balanced actually. So basically, the AI segment is growing.
And basically, we have been saying that very clearly from the very beginning that last -- if you see my record for the last 3 years, you will see that basically we have been growing around 35% to 40%. I have been guiding that the same. So basically, we still would like to say that we see at least for next few years, the same growth momentum will be maintained. So, that is exactly how we would like to say.
And basically, I've already indicated currently, since we are growing at -- though my AI segment is one of the fastest growth mover for us, but still basically by the end of the year or by early next year some time, it can go up till 20%. But basically, since our private cloud and our HPC market is also growing, so this is the kind of mix we feel it will be.
Darsh

il Jhaveri: Okay. Fair enough, sir. And sir, I just wanted to also pick your brain a bit about our order book. So, I think in the presentation, it's maintained like we have a huge pipeline. So, could you just maybe elaborate a bit like how are these -- what are these orders for pipeline? Like, I think it's around nearly INR4,000 crores. So, these are long -term contracts, short term, how are they just working?
Sanjay Lodha: Yes. So basically, as I have been telling on each of my call for last 8 quarters that basically our company cannot be really judged in terms of order book because order -- basically, order execution cycle for us is somewhere around 8 weeks to 12 weeks. If you see my December quarter, when I presented the results, I mentioned that basically my order book is around INR350 crores, whereas basically my total revenue was INR440 crores. So basically, order book normally is almost all over in the nex t quarter.

So basically, we are a company which is dependent upon our funnel actually, the order pipeline. So, order pipeline -- because we are a proactive company, we have to understand that we work on designing solutions for our customers, okay? We don't go once th e RFP is out. We go before the RFP is being published. So basically, that's the way we work. And basically, it takes us around 6 months to 8 months to work on a particular project and so that after that RFP is out and the execution is done.
So basically, we have a huge pipeline of around INR4,000 crores and conversion ratio, which we have seen is around 60%. And our pipeline closer is between 6 months to even 18 months. So, that's how that gives us the confidence how we will be growing at 35% to 40%, and we will be maintaining that growth.
Darshil Jhaveri: Okay. Sorry, sir, execution, you said 6 months to 18 months, right?
Sanjay Lodha: Execution is 8 weeks to 12 weeks.
Sanjeev Sancheti: Yes, execution is 8 to 12 weeks, but he was talking about -- since you were asking about the pipeline, you were saying...
Darshil Jhaveri: Yes. Sorry. No, I was just asking, sir, I think I understood, okay, we get the order, we start working before the order book only. So in general, like for the pipeline, like if you could just walk us through a bit like if you are having a conversation with the customer, it starts in month 1 and by the time we deliver it, it would take 12 months or a bit more than that. That's what I wanted to ask, sir ?
Sanjay Lodha: So basically, it can happen in 30 days. It can happen in 6 months. It can take 1 year. I'll tell you, like basically, if somebody is planning a supercomputer, okay, then basically, they start talking to us in the very beginning. Once we feel that they need a supercomputer, we'll start talking to them, they run their quotes, we optimize their quotes. We basically make them feel where are they with their quoting, their quotes will scale up better.
The kind of solution will work for them, then they design the RFP. So, that's the reason basically once it's been designed and we do all the POC, everything for them, that's the reason our conversion rate, if you see is around 60%. So, all this takes around 6 months also. So basically, this is a very variable time. It can happen in 45 days. But normally, we have seen that average closer is -- at least it takes around 6 months approximately for a pipeline to conversion into an order b ook.
Darshil Jhaveri: Okay. Fair enough. And just like one last question from my end. I think international market is also a very good area for us. So, any kind of conversation that we are having or what kind of a growth strategy we want to do for an export market, sir?
Sanjay Lodha: So, basically, as you know, that our domestic demand has been phenomenal and basically, this is the eighth quarter result I'm presenting after listing. And you will see that for

all the 8 quarters,
consistently, we have grown at 35% to 40%. I think that it self basically shows the robustness in the company and the commitment we show to the market. So, that is there. So, domestic demand has been phenomenal.

But if you see our books very clearly, export has started this year. It is somewhere around 5% to 7% of the current turnover, and we feel that we will maintain this kind of percentage in future also because as I have been mentioning, we are not a kind of a consumer company or some kind of a box selling company, which will start selling products. Basically, our products are primarily more over our production grade, where basically for enterprise customers, they use for their production machines.

So, we need to have adequate support infrastructure so as to support them. And that takes time. So, we want to move gradually into that. So again, my commitment to the market will be 5% to 7% of export of our total turnover.

Darshil Jhaveri: Okay. Fair enough. That’s it from my side. All the best, sir.

Moderator: Thank you. Th e next question is from the line of Anand B from KSEMA Wealth Private Limited. Please go ahead.

Anand B: Yes. I believe one of the questions that previously been answered regarding AI segment. I wanted to drive your attention to the -- yes, the high -performance computing segment. Currently, the segment revenue contribution from that is around 35%, as you mentioned in the presentation. And where can we see that and the private cloud segm ent to grow in the next 3 years, 4 years?

Sanjay Lodha: So basically, if you really see both the high -performance computing and private cloud, it is not something which we have started doing yesterday. We have been doing it basically for a long time. And supercomputing, we are doing for 20 -plus years. Private c loud and HCI, we have been doing for 10 -plus years, okay, so as you know today, how the data center market is booming. So basically, that is definitely -- everything today doesn't work on bare metal. Everything tries to work on private cloud. So, there is a lot of traction for private cloud. So, we feel the private cloud market always -- if you see our -- the past quarterl y results, there has been basically sometimes private cloud becomes 40%, sometimes 35%. So basically, they remain a very, very good mix actually between them. And we feel that will go on because private cloud, we are not seeing the data center market cooli ng off very soon.

More and more compute requirement is growing. And as regards HPC is concerned, supercomputing is concerned, basically, HPC has moved from research to basically various kind of uses like oil and gas, consumer, a lot of places actually, the uses of HPC has i ncreased because in automobile, in manufacturing, various areas. So basically, that is also fuel ling its growth.

More and more user applications are -- complex applications are coming up. They are getting basically -- they take help from HPC.

So our HPC expertise, our software and hardware stack customization and all really helps to scale that up. So, we feel for some couple of years, both these segments will be around 35% to 40% of our complete portfolio.

Anand B: Okay. This is for the next 3 years, 4 years, we'll maintain around 35% to 40%?

Sanjeev Sancheti: Yes.

Anand B: Okay. And -- okay. That is answered. And what will be the industry vertical right now as for the current financial year, FY '25?

Sanjay Lodha: I think that is mentioned in our presentation. Basically, that's -- I think you can answer that.

Ankit Kumar Singhal : So the current sectors are IT, ITES. We have been doing with the BSFI. We have been doing with the space and defense. and a lot of government and public sector undertakings and higher education research inst

itutes. They have been our -- the prime segments in terms of customer application industry.

Sanjay Lodha: 50% of business approximately comes from the government segment. 50% of business comes from enterprise segment. So, that will give you a very good understanding.

Anand B: Okay. But industry -wise, can you give me like a percentage breakup from the industry point of view?

Sanjeev Sancheti: It's there in the slide. We can -- what's already there in the data, I will request you to go through the presentation, which was circulated well in advance so that we can give time for more questions, which are not covered in the presentation.

Anand B: Okay. Sure. Thank you.

Moderator: Thank you. Th e next question is from the line of Hardik Rawat from IIFL Capital. Please go ahead.
Hardik Rawat: Thank you and c ongratulations team on another strong quarter. I'd like to begin with the revised revenue projection of 35% to 40% CAGR that we're giving out. And if I got it correctly, we are -- we expect the AI enterprise workstations vertical to form roughly 20% of ove rall revenue for FY '26. That's correct, right?
Sanjeev Sancheti: Well, I would rather say that it will grow up to 20%. Now, I'm not putting a date on that, immediately, but I think it will move towards 20%.
Hardik Rawat: So the understanding should be that it should move towards 20% in the next 1 to 2 years. That's correct?
Sanjeev Sancheti: Yes, I think that's better.
Hirdey Vikram: That's a better statement.
Hardik Rawat: Got it. And so just wanted to understand that this would mean roughly 5 percentage points increase from the current mix. This should come at the cost of other segments being our dominant segments, HPC and private cloud or this should come -- they should probably sustain the 35% -odd mix for both these segments and this should be on top of that?
Sanjeev Sancheti: See, Hardik, if you look at mathematics of it, 15% becoming 20% will not significantly change the other segments. Maybe 1%, 2%. Obviously, it cannot -- the total cannot be more than 100%.

So it will take it from somewhere. Now, sitting now and trying t o envision in the next 2 years somewhere 8 %, 10% comparison is very difficult.
Sanjay Lodha : And the base is also increasing, right .
Sanjeev Sancheti: Base is also increasing. So overall number will increase, but whether that 5% increase in share by these 2 segments or some other segments, it's a small percentage. I think it's difficult to get into that kind of precision on Y -o-Y.
Hardik Rawat: No, I get that. I'm not asking for a precise number. What I'm trying to understand -- let me put it another way. So, we are basically projecting 35% to 40% blended revenue growth. So for HPC and private cloud, we expect these two segments to grow in line with the blended revenue growth and AI enterprise workstations to slightly grow ahead of it. That's right?
Sanjay Lodha: Actually, overall growth, which we are committing 35% to 40%, Hardik, that will be maintained actually. So this year also, if you really see what happened is that though we were able to maintain the 35% for both the segments and though AI was somewhere aro und less than around 10% or 11% last yea r, it went to around 15%.
So basically, we are -- you can understand that we are -- and we are consistently growing at 40% CAGR almost all. You can -- it is visible to you. So basically, in that process, definitely AI will contribute, but I will not like to commit to the market any thing beyond 35% to 40% of CAGR growth at this point of time.
Hardik Rawat: Got it, s ir. Sir, another key standout in our overall revenue performance has been the HCS focused software and service vertical, which has grown quite sharply to about INR45 crores, INR46-odd crores in FY '25. This was a jump from roughly INR18 crores, which we did in FY '24. Any sp

ecific reason of this jump? Is it in relation to all the execution we've done in HPC and private cloud?
Sanjay Lodha: No, basically, actually, this is not that -- we are not a software or services company, okay, very clearly. But basically, what happens is that since our base is growing, we definitely get some better support contracts and services contracts also from larg e -- we primarily pick and choose those, wherever we have some kind of a good expertise like oil and gas.
There are some large basically oil and gas companies who look for some specified kind of HPC services and all those kind of things, which we provide. So definitely, this will remain in this range only. I personally don't see that basically it will be growi ng. Our major focus is primarily the 3 top segments actually, and that will remain that way.
Hardik Rawat: Got it, sir. Another question was with regards to our revenue projection. So, we are projecting 35% to 40% CAGR. Basis this, if I assume the upper end of the guidance, we'll hit about INR2,250 crores of revenue in FY '27. Now in our last conversation, the capex that we've done was good for about INR2,000 -odd crores of turnover. So do we envision any another leg of capex somewhere towards the end of FY '27 or FY '28?

Sanjeev Sancheti: I wouldn't say that we will start putting the money, but maybe towards the end of '26 -- yes, '27, we may have to start planning for something for the future growth. But that again, you should know that asset turn over is 20 times So, we shouldn't worry about the capex because it's going to be nothing significant in any case.

Sanjay Lodha: Well, we have one of the best asset turnovers in the industry, if you really see that.

Hardik Rawat: My other question was with regards to cash conversion. So, we were expecting about a 30% to 35% OCF to EBITDA conversion for FY '25. However, as opposed to that, because of higher working capital intensity, it seems like our OCF for the year has been negat ive. Are there any one-offs in this? How do you expec t this to evolve in the future o r is it just additional inventory stocking considering that you expect strong....

Sanjeev Sancheti: I think this is a good question because it comes in every call. See, this is a problem of growth. If I'm going to grow at 50%, 60% -- we've grown at close to 60%. Now, our debtors -- our standard debtors are 90 days. In fact, we have done very well to be k eeping it below 90, okay? And inventory, we have to carry because we are into such business where there are certain items which are very critical.

So, we don't expect our cash conversion cycle to improve anywhere significant from where we are. We believe it will be in the range of like 70 days to 90 days. And hence, if we continue to grow at, let's say, 50%, 60%, then obviously, a chunk of the revenu e will get invested into working capital. And -- but as the growth smoothens to 35%, 40%, then you will start the cash coming back. So, this is typically a problem of growth.

The good part about this is that -- and this is something which I must clarify that the quality of the cash conversion cycle is extremely good. We have almost negligible, let's say, bad debt, and the aging is also very kosher . So, this will all get converted because we are growing so fast, because our last quarters tend to become so heavy that a lot of it is to be received.

And I think that's -- but we believe that at 35%, 40%, we will be cash positive definitely. But if you grow at higher than that, which I'm not at all guiding, then obviously, a part of that growth will get invested in the working capital cycle.

Hardik Rawat: So right now, going forward, at least from the next 2 years to 3 years perspective, in terms of our priority, does cash conversion come into that list of priorities or we'll prioritize growth first and possibly at t

he risk of our operating cash flow conver sion?

Sanjeev Sancheti: No, I don't think risk off. It's a mathematic number. I don't believe to call it as a risk off because our quality of cash conversation cycle is extremely good, and I'm sticking my neck out to say that. But you tell me, if you were me, would you sacrifice growth for the kind of business that we are to get a better cash conversion cycle? I mean, the jury is out on this, you can...

Sanjay Lodha: And the amount of cash we have actually is not a limiting factor for us at all. And primarily, we want to grow and we want to maintain because, basically, you understand, we are a Make in India company, okay? We are doing a lot of innovative work basically in the country itself,

which basically we are only competing with the MNCs. So, that is basically giving a very good leeway to the company on the high -performance domain.

So basically, that is generating those kind of expertise in the country. So, basically, I think growth is very important for us. Our margins are good. Our growth has been consistent. So I think, basically, I don't think cash is any way limiting or we would never like to limit our growth for cash. I don't think cash is any limiting factor.

Sanjeev Sancheti: And also, while from an accounting perspective, you are seeing a cash conversion cycle where it is, but we are sitting on INR170 crores cash today.

Ankit Kumar Singhal a: Just to highlight...

Sanjeev Sancheti: INR170 crores cash.

Ankit Kumar Singhal : The cash flow from operations has been close to INR65 crores.

Sanjeev Sancheti: Which we have already highlighted.

Ankit Kumar Sin ghal: Yes. Which we have already highlighted.

Hardik Rawat: All right. I think I will get back in the queue for more questions. Thank you.

Moderator: Thank you. Th e next question is from the line of Akshay from AK Investment. Please go ahead.

Akshay: Hi, sir. C ongratulations for the excellent set of numbers for Q4 and FY '25. My first question is for the EBITDA margin that we are guiding for 13% to 14% EBITDA margin. But logically, if we see -- we understand that our customers are high -end enterprise customers a nd we have to give them some value of our products and cost -effective solutions.

But if you think logically, then we are growing at 40%. And if our cost -- all other costs remain same, naturally, our EBITDA margins would improve. So, why are we being conservative on that front?

Ankit Kumar Singhal: So, I'd like to tell you that as we have been telling that we are consistently charging our customer in a very wise manner, so -- okay, so the operating EBITDA that we have been guiding is 13%

to 14%. There is a room of operating leverage, which can improv e the margin by 30 basis points
to 40 basis points in next year, which we can expect.
Sanjay Lodha: And plus basically, I would like to make a note here. If you see my competition actually, which
is primarily MNCs, they are all on single -digit margin, whereas basically, we are at 14% or this
kind of margin, which is much better than my competition. So, w e are very comfortable in that.
And plus basically, I don't want to -- I -- because all my customers are enterprise customers, and
I have a lot of repeat business with my customers. So, I give them value for money .
And basically, I think the margins which we are charging is really adequate and really good, and
that is helping us so as to maintain our growth. And basically, customers comes to us for repeat
business for different segments also. So basically, I think th at's the strategy we have been

working upon for year -on-year, and we'll still continue doing that because please, you have to
check what kind of basically the margins our competition has. Competition is already on single
digit.

So, we feel we are already in a very, very comfortable set of margins.
Akshay: Okay. Sir, very well explained. And sir, my second question is on the funnel. Currently, we have
the order funnel of around INR4,000 crores. So does it include the opportunities from India AI
mission and also the regional large language model that our IT Minister is talking? So, does this
include all these opportunities?
Sanjay Lodha: Basically, I can only answer partially to this. AI mission is not included in my funnel yet.
Akshay: Okay, sir. And this order book, does it include all the segments or only it includes the high -
performance computing?
Sanjay Lodha: All the segments. All the segments.
Akshay: Okay, sir. Understood. Thank you so much for answering my questions.
Moderator: Thank you. Th e next question is from the line of Sandeep Shah from Equirus Securities. Please
go ahead.
Sandeep Shah: Thanks for the opportunity and c ongratulations on a great show. Just on the Skylus.ai, the
product, the solution which we have launched for the GPU -based architecture, can you throw
some light in terms of this is a first -of-its-kind of product or there are competitors who have
already la unched these kind of products?
Hirdey Vikram: So thank you, Sandeep, for your question. So, Skylus.ai is something, which was a product on
which we were working for very long. And now this has come up, and it's a proud moment for
us because this is something, which is competing with some of the MNCs a ctually. Overall, if
you see as such a single product available in the market, which can compete with Skylus.ai, we
don't find any such option available.
But yes, with a combination of two, three different products, there can be a combination which
can come near to Skylus.ai. But the best part is that Skylus.ai overall brings a lot of ease of usage
on table for customers. And definitely, it's a perpetual license -based product. So, this gives
another factor for users to opt for, then it brings competitive advantage also on the table for
customers to opt for. So that way, both the advantages are there.
One is from technical aspect, it's a very superior product. Second is that it competes with multi -
license -oriented offerings available in the market. So that way, it's quite well placed in the
market, and that is the reason the adoption of Skylus.ai is inc reasingly going up and up in the
market. And that's the reason we are so buoyant about that our AI systems and the AI solutions
will get -- the adoption of our AI systems will go up and up with Skylus.ai coming into picture.
Sandeep Shah: Okay. And just a follow -up with the compute innovation on the rise through DeepSeek
announcement as well as some other announcement from the U.S., is it the decision -making
from the client in terms of spending on the hardware, opex , capex to implement the AI

architecture is getting delayed because they are -- may be also confused in terms of the cost of
the operation, whether to put it now or may defer it by 3 months to 6 months or 1 year?
Sanjay Lodha: So basically, I will answer it partially and maybe then Hirdey can add on Sandeep ji . So
basically, you know that, as I have been mentioning again and again and it is visible basically
from the market dynamics today, the DeepSeek has rather opened a lot of opportunities for us,
okay? What is happening is that previously, basically, what I 'm seeing is that I'm seeing the
reverse trend.
After DeepSeek, definitely, if you see the India LLM story has started, India government started
basically to build the models for India itself. So basically, people who are thinking that they

cannot build fundamental models, they also started thinking of building their fundamental models.
So, all that definitely increases the demand for AI compute, exponentially actually. And basically, same way fo

r the application developers. Previously, there was one large compute in the data center, which everybody was trying to use. But basically, since we are able to use GPU resources optimally, I think every department wants to have their own separate compute. So basically, rather than a situation wherein this will really make cus tomers confused.
I think customers are over -buoyed about it, and they are trying to basically get more and more adoption of AI is going to happen. So, I personally feel this is a very positive factor. Hirdey can add on if he has something to add?
Hirdey Vikram: Yes, definitely. I think as sir has said that this is very clear. With the advent of DeepSeek, definitely adoption is going up and up, and there is a reason for it that earlier those users who were trying to use -- trying to take out maximum performance ou t of limited hardware, they were not able to do so. But now with DeepSeek kind of LLMs or the other models there in the market, now users are able to take out maximum performance out of existing hardware, and they are even now thinking of sc aling their existing hardware to next level as well. So that way, the adoption is going up. And that is the best part about it.
And just to share with you, Sandeep ji, that Skylus.ai is something, which is ultimately helping such users only. Because you see the way we have made -- the way traction is building around Skylus.ai. This is especially for users like those customers who w ere earlier around DeepSeek or other elements that they want to focus on the AI -related activities inste ad of learning the hardware, et cetera.
So, all that problem is getting resolved or solved by Skylus.ai. So that way the adoption is going up, and we are also building our solutions, which can ultimately increase the adoption.
Sandeep Shah: Okay. Fair enough. Just a follow -up question to what Sanjay sir has said. The pipeline does not include the sovereign AI opportunity from India. Any reason for that? Why? Because this is already been officially launched more than 1 year ?
Sanjay Lodha: So basically, the reason is that what is happening is actually -- as you know that we are always very reasonable in basically showing a pipeline because it's much more mature business. So

basically, once the RFP is just about to be released or something of that nature, it will get reflected into the pipeline. But basically, just when the RFP is still a few months away, we don't like to basicall y include it into the pipeline. And since it's a large opportunity, so we don't want to basically make our complete projection skewed.
Sandeep Shah: Okay. So sir, in that scenario, once the RFP launch, Sanjay sir, the growth potential could be even higher than 35%, 40%?
Sanjay Lodha: We all wish for that. With me and you are a well wisher, so you will also wish for that. I know that. My commitment will remain the same 35%, 40% only.
Sandeep Shah: Okay. And Ankit, you, in your remarks to the previous question had said if growth continues at 35, 40 or even higher, 30 bps to 40 bps of operating leverage is possible on a Y -o-Y basis?
Ankit Kumar Singhal: Yes. Correct.
Sandeep Shah: Okay. And if I can squeeze the last question. In terms of export opportunities, the 5% to 7% of top line, which export forms, this is for the full year of FY '25, and we expect this to remain at current level in the coming years. That means export business may keep growing a t a company average growth rate?
Ankit Kumar Singhal: Okay. So as we have been guiding Sandeep ji that we will gradually work on exports and it will likely to remain consistent and might go 1% higher, let's say, to...
Sanjay Lodha: So basically, the domestic demand is very high, actually, Sandeep ji. You know that very, very well, okay? It is very high. So basically, really speaking, as we committed to the mark

et, we will do exports. So, we started doing it. It's around 5%, 5% to 6% cur rently. It will remain that and maybe it can go marginally a little bit higher, but I will not like to guide anything beyond that for exports.
Sanjeev Sancheti: So, I would just like to add here, Sandeep, the problem is growth again. See, even if we are at 5%, 6%, we are still growing at 40%, right? So, I mean, it's not easy to increase market share when the company is growing at these rates or the share because e verything is growing at that rate. It would be 1% here and there, yes.
Sandeep Shah: Okay. And just the last thing. Ankit, I think there has been a significant improvement in FCF generation in the second half over first half. So, do you believe this can sustain periodica lly in terms of FY '26, FY '27 o r do you believe the skewness may continue to remain where H2 better

than H1?
Sanjay Lodha : Can you repeat your question again?
Sandeep Shah : Yes. On the FCF generation, the second half FY '25 FCF generation has been really materially better versus first half. So whether this trend of OCF to EBITDA and FCF to PAT in the second half, what we have reported may continue in a small range going forwa rd. So, what are the changes we have implemented to improve the FCF?

Sanjeev Sancheti : So, I mean the endeavor, Sandeep, was always to get as much cash back into the business. You see our standard terms of credit with the customers is 90 days because they are very large customers. We've somehow been able to push and get early payment because when it is 90 days, it's never 90 days. It can become 95 days, 100 days. So, we have been able to push and get ,it may be possible sometimes.
It may not be possible sometimes. So I mean, that's why I'm giving a range of 80 days to 100 days of cash credit cycle. When it is 80 days, then you will have very large cash conversion. Some quarter, if it is 100 days, then the cash conversion may be will be less. But as long as my cash conversion ,y credit days are quality credit days. I shouldn't be worried about that. Endeavor is get as much money possible in cash , because whatever inventory is there , it will remain in the system.
Sandeep Shah: Okay. And last thing, because we are growing fast, our base is increasing, we are already approaching 115 for annualized revenue in FY '25. So in the pipeline, you believe now the focus would be more on mega deals, larger deals because that will help us to keep growing at a higher rate. And in pursuit of going behind larger deals, mega deals, there will be some margin competitiveness, which we have to follow because of the higher competition?
Sanjay Lodha: Actually, really speaking, we focus on customers, not the deal size actually because if you see all our customers are very important customers. So the names are more important for us. If it's a large customer and if it's a prominent customer and they have a smaller deal, we'll run f or that. So it will always remain basically in that way. But that's the reason we are guiding around 13% to 14% of margin actually going forward. So, I think that we'll be easily able to maintain.
Sanjeev Sancheti: And that's keeping in mind all kind of businesses which may come during the year.
Sandeep Shah: Okay. Thank you. All the best.
Moderator: The next question is from the line of Nikhil Porwal from Perpetual Capital. Please go ahead.
Nikhil Porwal: Hi, thank you and c ongratulations on a strong set of numbers. I'm fairly new to the company. Most of my questions have already been answered, but I just wanted to know one bit about -- you've mentioned several times your margins are far higher than your peers, which are mostly MNCs. Can you mention about the driver of these higher margins? What's driving the higher margins ?
Sanjay Lodha: Good question actually. So basically, welcome to -- for u

nderstanding Netweb better, so
basically, we are a completely integrated -- we do full stack actually. We design our products. We manufacture our products. Our hardware is completely designed and man ufactured by us. And then we have our own software stack. We have R&D like basically supercomputing. Basically, we have our own hardware.
We have our own software stack. So cloud, we have our own hardware, own software, plus the services stack. So it's all very well integrated. Whereas in our competition situation, either they are a hardware company or a software company. So, they do bundlin g together. Whereas in our case, it's completely end -to-end and the complete solution comes up. So, that really helps us so

as to basically command better margin in the market. That's the most precise answer I can give you at this point of time.
Nikhil Porwal: Understood. Understood. And just adding to that, do you all also -- does this business also include some element of managed cloud service?
Sanjay Lodha: Negligible. No, almost all.
Nikhil Porwal: Okay. And will it be right to assume that the software side of the business, which again is built in-house, commands a far higher margin than the hardware side? I mean, of course, both of them go together as a product, but...
Sanjay Lodha: Yes. So basically, yes, you're right, it goes together as a product. We don't sell our software separately, whatever it is. We always sell it as a solution. Like basically, we sell a supercomputer that's hardware plus software together. And the software re venue doesn't get basically mentioned

in our books in our invoice actually. That goes as a product. Same way basically for our private cloud also, same way for our AI also.

Nikhil Porwal: Got it. Sure. Thank you so much.

Moderator: The next question is from the line of Debashish Mazumdar from Svan PMS. Please go ahead.

Debashish Mazumdar: Good evening to the management team. Thank you so much for taking my question. S anjay ji, Navin ji, consistent performance. Congrats for that. So, I have two questions, which is basically a follow -up what Sandeep was asking. So the first question is around Skylus.ai. Just wanted to understand who is the ultimate user of this product? Will be -- it will be the data center companies or the hardware providers or the ultimate enterprises? Who will be the ultimate user of this product?

Hirdey Vikram: Actually, Skylus.ai is a product which cuts across all the verticals, irrespective of whether you are a standalone system user or you are a large DC to CSP, or you are an enterprise who are trying to build an in -house AI private cloud. So, this is somethin g which is helping all the organizations. The reason for that is that Skylus.ai as a product is basically serving all 3 stages of AI process. One is development.

Second is training and third is inference. And on top of it, it basically serves you with a single unified stack, which basically gets you the resources managed in a way better way, much better way. So that way, it's a product which is designed for all the users who intend to use AI infrastructure.

Debashish Mazumdar: Okay. So if I understand correctly, you are also competing with, let's say, companies like E2E Networks who are also a similar kind of business or it's a very different proposition altogether?

Hirdey Vikram: No, no, no. Basically, we are not a CSP. We are not, basically, cloud service provider. Instead, we are the complete solution provider. So, CSPs can become a customer to us and they may basically be using our solution. There is a possibility, but it's not the possibil ity that we may be competing with those because they are just the service providers, whereas we are the solution

providers. And they can be our customers, enter

prises can be our customers, standalone users can be our customers. That way, we don't compete with them.

Debashish Mazumdar: Okay. Understood. So in that case, we are competing with the global MNCs. Is it like that?

Hirdey Vikram: Yes. We are competing with local MNCs only. And that too, in their case, I mean, our offering stands out in a very different way. The reason being, as I explained initially that we have got a single unified license, which basically serves the purpose where as competition has got -- they have to have 2 or 3 different type of license in order to meet the functionality and come near to our offering. So that way, we are very well placed.

Debashish Mazumdar: Okay. Understood. And the second question is, again, around the order pipeline. So if you see the pipeline Y -o-Y growth is around 15%. Now, I understand that there are few things, obviously around AI or something, which you have not included in the order p ipeline. So, just trying to get some sense is -- is it -- when we are guiding for like 35%, 40% kind of growth, is it like we are seeing our conversion from order book to revenue has improved significantly Y -o-Y?

That's why we are confident of this kind of growth or otherwise, the deal structures are -- would be very, very different going forward, which is giving us despite 15% order pipeline growth Y - o-Y, the revenue growth expected to be 35%, 40%.

Sanjeev Sancheti : Debashish, historically, our conversion has been 60%. And please appreciate that this pipeline, generally, if you look at the pipeline, this is largely -- will be government orders because -- largely government orders because most of the private segment orders get converted very immediately. They are not like a similar structure as government business would be.

Now on the INR3,971 crores, if it is a 61% conversion and this is excluding the L1 order book, you will be able to figure out that this is reasonably enough for my next 1, 1.5 years of business. And this keeps on growing.

Sanjay Lodha: And just to clarify one more thing, order book is 100% conversion. Order book means basically, when something is in the order book, then that gets completed. Even order book for L1 is 100% conversion.

Debashish Mazumdar: Yes, Sanjay ji. So, that's why I was asking about the pipeline, but I got the answer. Just one follow -up?

Sanjeev Sancheti: Actually, we don't have these private segment orders, which will come without the pipeline process. It will just straight away come, right? Because...

Debashish Mazumdar: Is it fair to assume that our private segment pipeline, which is obviously not trackable because of the immediate conversion, there, the traction is significantly high?

Sanjay Lodha: You can say that, actually, you can say that. But basically, some part of some private segment also gets reflected into this. Because basically, the gestation because if I try to understand, basically, we are designing solutions. These are high -end compute . This is not box product actually, really speaking.

So basically, if you try -- if somebody wants to design a private cloud, he will take some time to decide on that. Basically, if you are able to design it for him, then only the RFP will be completely in your favor. And basically, we'll be able to deliver value for money to the customer. So, that will take some time. So basically, that's the reason -- but still, if you personally -- I personally feel the gestation period for private orders is not that high. But for government orders, definitely, it is higher. So, some part of it is still there.

Debashish Mazumdar: Okay. One last follow -up. If I see the government revenue as a percentage of our overall business, it hovers around 50%, 52%. So do you think going forward, as you were rightly saying that private pipeline is improving, do you think that number will

shift towards private because
then my working capital requirement will change dramatically if my business shift more towards private?

Sanjay Lodha: No. I will tell you, working capital requirement doesn't get changed in the government or private. Let me tell you very clearly because my government payments sometimes I'm very -- you'll be astonished to hear government payments sometimes come faster than the private also because basically, all my sales is to large enterprise and they wo rk on 90 -day credit term.
So basically, government sometimes even pays before that. And my government is not the general government. It's all government R&D and high -end enterprises. The first part of the question is that. The second is that if you see my all quarterly results, the government business has been hovering between 42% to 50%. So basically, in some quarters, you may see it will be 45% or something of that nature also.
So, what I personally feel it may be 40% to 50%. I don't see it basically improving better than that because I'm seeing a lot of -- because -- and this is not only 1 year or 2 -year experience. This experience I'm sharing with you for at least 3 years to 5 years. Basically, we have seen that basically we are able to maintain momentum and 50% -- 40% to 50%, sometimes basically it becomes -- the private becomes 60%, sometimes 40%, sometimes 50%. So it depends on that actually. So it will remain in that range.

Debashish Mazumdar: Understood. Thank you so much for taking my questions.

Moderator: Thank you. The next question is from the line of Saurabh Pratap Singh an Individual Investor.

Sanjeev Sancheti: Can we have this as the last question because we are already beyond time?

Moderator: Okay. Yes, sir. I'll make note of that. The last question is from the line of Saurabh Pratap Singh, an Individual Investor. Please go ahead.

Saurabh Pratap Singh : Sir, congratulations and thanks for this opportunity. Sir m y question is related with NVIDIA. How deep is our strategic tie -up with NVIDIA? Post Blackwell launch, are there any exclusive margin sharing or co -development arrangement, sir?

Sanjeev Sancheti: I think the margin deals can't be discussed on this call. These are all confidential business information, which we can't discuss on the call.

Sanjay Lodha: And our relationship with NVIDIA is an OEM relationship. We are among the very few partners in the world to design and develop products for NVIDIA. So basically, that's an OEM relationship which we have.

Sanjeev Sancheti: Okay. Thanks a lot. I think the Chorus Ca ll people -- Hardik c an you please move on to the closing remarks because we are well ahead of time now. If anybody is interested in asking any questions, they can reach out to us at Uirtus or the CFO subsequently.

Moderator: As this was the last question, I would now like to hand the conference over to the management for closing comments.

Sanjay Lodha: Thank you so much. Thanks for the call. As basically mentioned by Sanjeev, in case anybody has questions, they can reach to our IR team. They will be glad to answer it and basically even our CFO also. So, thank you for your confidence in Netweb. Thank you for attending this call.

Sanjeev Sancheti: Thanks a lot for attendance. Thanks, IIFL for -- and Chorus Call for arranging this call. Thanks a lot. Have a great day.

Hirdey Vikram: Thank you, everyone. Thank you.

Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Sanjeev Sancheti: Thank you.

Call: Sep 2025

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Scrip Code: 543945 To,
The Manager
Listing Department
National Stock Exchange of India Limited
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SUB: TRANSCRIPT OF Q 1 FY2 6 POST RESUL TS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Post results earning s call for Q 1 FY2 6 held on Friday, 01st August 2025 at 3.30 PM .

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.No A36610

 NetWeb Technologies India Limited Q1 FY '26
Earnings Conference Call

August 01 , 2025

MANAGEMENT : MR. SANJAY LODHA – CMD
MR. NAVIN LODHA – WHOLE -TIME DIRECTOR
MR. ANKIT KUMAR SINGHAL – CFO
MR. HIRDEY VIKRAM – CHIEF SALES & MARKETING
OFFICER

MR. SANJEEV SANCHETI – UIRTUS ADVISORS LLP,
INVESTOR RELATIONS ADVISOR

MODERATOR : MS. RENU BAID – IIFL CAPITAL SERVICES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the NetWeb Technologies Q1 FY '26 E arnings Call hosted by IIFL Capital Services L imited .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Renu B aid from IIFL Capital Services Limited . Thank you and over to you, ma'am.
Renu Baid: Thank you. A warm good afternoon, everyone. On behalf of I IFL Capital, we woul d like to welcome you to the 1Q FY '26 E arnings Conference Call of NetWeb Technologies India Limited .
From the management team, we have with us Mr. Sanjay Lodha - Chairman and Managing Director ; Mr. Nav in Lodha – Whole -Time Director ; Mr. Ankit Kumar Singhal - Chief Financial Officer; Mr. Hirdey Vikram - Chief Sales and Marketing Officer and Mr. Sanjeev Sancheti - Uirtu s Advisors LLP, the IR Advisor to NetWeb.
Without taking much time, I now hand over the call to Mr. Sancheti. Thereafter, Sanjay sir will open with his opening comments. Thank you and over to you, Mr. Sancheti.
Sanjeev Sancheti : Thank you, Renu. Good afternoon to all the participants. Before I hand over the call to Mr. Sanjay Lodha for the opening remarks, I would like to draw your attention to the safe harbor statement in the Earnings Call Presentation . I request each one of you to go through that presentation before the Q&A starts so that you are aware of the same.
Thank you and over to you, Mr. Lodha.
Sanjay Lodha : Thank you, Renu and Sanjeev. Good afternoon and warm welcome to all of you to NetWeb Technologies Q1 Financial Year '26 E arning Call. We are pleased to report yet another strong quarter, continuing our growth momentum. Revenue from operations grew by 102 % year-on-year to Rs. 3,012 million with an operating EBITDA rising by 127 % year-on-year to Rs. 448 million and PAT increasing by 100 % year-on-year to Rs. 305 million . The result reflects the strength of our business model, disciplined executio n and robust demand across our core segments.
Additionally, in the quarter gone by, we successfully executed a large AI order in the critical defense sector. This deployment contributed to key national initiative, reinforcing India's strategic capabilities and underlying the growing role of AI in safeguarding national interest.

India's AI ecosystem is evolving rapidly, fueled by strong enterprise demand, adoption of domain -specific LLMs and SLMs and government -led initiatives aimed at building sovereign digital and compute capital. With integration of AI into digital public infra structure and rollout of India AI mission, the rise of Indigenous Compute and Edge -ready Gen AI use cases, the nation is entering into a transformative phase. This shift underscores the growth need for trusted high - performance systems and NetWeb is well -positioned to support this evolution with a focused approach across 3 growth pillars, High-performance computing, Private Cloud and AI systems.
AI continue d to be a major growth driver this quarter, contributing 29 % of the operating revenue with a 300 % year-on-year growth, highlighting growing enterprise adoption across the sectors.
Reinforcing our progress in this space , we launched Skylu s.ai in Financial Year 2025, a unified composable GPU orchestration platform that enables rapid deployment and optimization of AI infrastructure. Skylu s.ai strengthens our capabilities in AI systems and contributes to India's vision of becoming the AI factory of t he world. With a strong order book, expanding product p

ortfolio and continued investments in capability building, we remain confident of sustaining our growth trajectory in line with our medium -term guidance.
I now request Ankit to take you through the financials. Thank you.
Ankit Kumar Singhal : Thank you, Mr. Lodha. Good afternoon, ladies and gentlemen, and thank you for joining our Earnings Call .
Before we open the floor for Q&A, I will provide a brief overview of the financial performance

for the quarter and the year gone by. I trust that by now you have had the opportunity to review our earnings presentation and press release. While our CMD has already discussed the macro outlook, I will elaborate on the financial performance, providing a more detailed analysis of the quarter.

Our op erating income increased by 102% on Y-o-Y basis, reaching Rs. 3,012 million in Q1 FY '26. Our operating EBITDA for Q1 FY '26 increased by 127 % Y-o-Y, reaching Rs. 448 million, while the operating EBITDA margin for Q1 FY '26 was 14.9 %. Profit after tax for Q1 FY '26 grew by 100 % Y-o-Y, reaching Rs. 305 million, while the PAT margin stood at 10.1 %.

Return on equity for Q1 FY '26 was 22.4 %, while return on capital employed for the same period was 30.6 %. Our balance sheet strength is reflected by us being a zero -debt company. The company had a net free cash of Rs. 475.2 million as on 30th June.

We remain focused on our strategic roadmap and growth priorities with encouraging momentum in the year so far, supported by a strong order book and a healthy pipeline, we are well positioned to drive consistent revenue and profit growth in the current fiscal.

With this, I now hand over the call to Renu Ba id.

Renu Baid: Yes, we can now open the session for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of CA Garvit Go yal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: Good afternoon, sir, and congrats for a decent set of numbers. My question is on the margin front. Our m argins are pretty decent in this quarter. So, what is the ongoing trajectory for next few quarters in terms of EBITDA margin?

Sanjay Lodha: The margins, basically, because the guidance from us on the margin is around 14 %. And basically, our guidance will remain the same, actually, because basically in quarters, sometimes margins can be a little bit up by a few basis points up and down. But overall, the guidance for the EBITDA will be around 14 % and the PAT will be between 10 % and 10.5% .

Garvit Goyal: So, in this particular quarter , what is driving this significant margin?

Ankit Kumar Singhal: So, I will explain, Garvit. During the quarter, the margin performance was benefited by a favorable mix for small size order and a medium size AI deal, which actually led to an upt ake above 14 %.

Garvit Goyal: Got it. And secondly, on the AI part, what kind of trajectory do you see now? Because in this particular qu arter, our growth was very high a nd you mentioned that it is mainly because of the AI, right? So, how do you see AI as a segment going in the next couple of quarters considering the kind of, we are seeing in the terms of LLM and all?

Sanjay Lodha: Garvit, actually, you know that basically the traction of AI is not only restricted to India or something, it is all over the world. And India is definitely; India has decided to become the AI factory of the world. And basically, government is putting a lot of momentum, and a lot of impetus is being provided on that. The industry adoption is really heavy. The better you adopt to AI, you increase your efficiency. So, that is the real situation, actually. So, basically, definitely, if you rememb er, AI used to be 7 % of my business. Last year, it became 15 % of my business. But I like to guide that AI will be around 20 %-22% of my b

usiness. So, basically, my
earlier guidance was around 20 %, but I woul d like to raise that guidance to maybe 22 %, because you will have to understand my other segments also growing. The 3 segments which we have are all growth segments. Today, supercomputing , the private cloud and HCI , you see how the data center is growing. You see how in (National Supercomuting Mission) NSM 2.0 is coming. So, other segments also growing, though AI is growing at a better rate. So, basically, still we feel I would like to commit that basically I woul d like to say that by the end of the year, it would be around 22 % of the total revenue share will be occupied by AI.

Garvit Goyal: Got it, sir. And lastly, on the guidance part, this year, we were having a guidance of around 30 %-35% growth, but this quarter has been really good for us. So, would you like to revise the guidance for this year?

Sanjay Lodha: Actually, the guidance, we have already said that we are not revising the guidance, but it is 35 %-40%, which we have been saying will be definitely growing by that, basically. And if you see, I think this is the 9th quarterly result I have presented after the listing. And you might have seen that we have been consistently growing at that rate, actually, without failing even in one quarter. So, primarily, we will plan to maintain that.

Management: And also, I would like to add here that we don't want to get into short -term guidance. We will guide once a year and we will follow through on that.

Garvit Goyal: Got it, sir. That is it from my side, sir, and all the best for the future. Thank you very much.
Sanjay Lodha: Thank you , Garvit . Thank you.
Moderator: Thank you. The next question is from the line of Shubham Ag rawal from Yes Securities. Please go ahead.
Shubham Agr awal: So, in AI system and enterprise workstation, I can see the growth is almost Rs. 600 million year-on-year. So, can you tell me, how much is it from private enterprises and how much is it from space and defense sector?
Ankit Kumar Singhal: Basically, if we talk about this quarter, it is close to like 23 %-24% came from the government and rest was from the enterprise.
Management: In AI system and enterprises, you are talking about or is it AI systems?
Shubham Agr awal: AI Systems.
Sanjay Lodha: Correct.
Shubham Agr awal: And just similarly for private cloud and hyper?
Sanjay Lodha : Come again. We did not get you again.
Ankit Kumar Singhal: So, overall revenue from the government this quarter was around I think 60 % was from the government and 50 % was from enterprise, overall revenue.
Shubham Agr awal: Overall, ye s, I got it. So, in AI system and enterprise growth, 20% was from government and rest was from enterprise . That i s what you told. And in HCI, similarly, how much would be from government and rest?
Sanjay Lodha: I don't have those numbers, but HCI mostly is enterprise and HPC, this is the government share is more. Overall, I can tell you that in the total turnover, basically of Rs. 300 crores, 40 % revenue came from enterprise, and 60 % revenue came from government.

Shubham Agr awal: And just one more last question, that this government work in AI system, is this a repeatable work or is it a one time or that kind of thing?
Sanjay Lodha: Basically, most of all, beca use we really don't work on annuity kind of business, we work on complete solution deployment, the solution deployment has been done. And basically, the projects which were on hand, those ,definitely have been over . That has been built. So, it is not repetitive.
Sanjeev Sancheti : So, the nature of the business is such that, please appreciate that the nature of the business is there we don't do annuity business , every order is unique and then we get refresh orders in future.
So, it is not that the same order will again get repeated. Next time, maybe some other business, some other solution, some other customer, some other solution.
Shubham Agr awal: Got it. That is it from my side. Best of luck and thank you.
Sanjay Lodha: Thank you.
Moderator: Thank you. The next question is from the line of Akshay from AK Investment. Please go ahead.
Akshay: Hello, sir. Thank you for giving me the opportunity and congratulations for the great set of numbers. Sir, my first question is about orders , large AI orders in critical defense sector that we are talking about. Can you put some more light on that, how the customer profile or something like this and whether that was a government order or private enterprise order, as you said, that we got 23 %-24% from government in AI segment and rest is the private enterprise in Q1. So, can you put some more light o n that and are there any other projects in pipeline for the subsequent quarter for AI workstation?
Sanjay Lodha: Yes. So, basically, to answer your question, primarily, we do not specify the particular order details on our calls because o f confidentiality reasons. So, basically, we have already mentioned that around 23 %, the amount of orders which have been from government, which was not a single order, it was multiple orders. There was a large order from defense side. In interest of nation and interest of company secrecy also , we would not like to divulge the details of exactly the dynamics of the order very clearly. But to answer your question, is there such order feature in the order book? Definitely, if you see my order book and you see basically the L1 kind of a thing, which is around Rs. 700 crores that would be having good num ber of AI systems segment order as well. As I have already mentioned to you, I have guided already that the business will be around 20 % for sthe whole year. So, we will definitely, my funnel, my order pipeline, everything is in that direction.
Akshay: Fair enough. A nd my second question is about balance sheets. So, our net current assets have gone up sharply by 48 % in Q-o-Q basis. So, what might be the reason, whether it was inventory or anything like that?

Sanjay Lodha: Can you come again? You were not that audible.

Akshay: Sir, our net current assets was Rs. 302 crore in March 25 and it is Rs. 445 crore in June 25. So, it has gone up sharply by 48 % Q-o-Q basis. So, what might be the reason for this one?
Sanjay Lodha: So, it is due to the increase in the receivables. That is the prime reason. And because, why it happened because the sales generally happened in the later part of the quarter, which led to the increase in receivables. And that is why the net current asset is looking a bit higher as compared to March.
Akshay: All right. And the last one sort of q uestion is whether our order pipeline includes the India AI mission orders or some?
Sanjay Lodha: No, I have been categorically saying that India AI mission is not included in my pipeline.
Akshay: Thank you so much and all the best for the future.
Sanjay Lodha: Thank you.
Moderator: Thank you. The next question is from the line of Renu Baid Pugalia from I IFL Capital. Please go ahead.
Renu Baid: Yes. Hi. Thank you for the opportunity, sir. Sir, the first question is, if you look at the cumulative value of order book and order pipeline, for the last couple of quarters, it has been ranging at just about Rs. 700 crores or sub that level. So, based on your reading of the order pipeline, how do you see growth coming in the cumulative book for us, both L1 as well as the order backlog closing position? And if you can also highlight key segments, where do you see the pipeline building up for the next 6 months for us? That is the first question.
Sanjay Lodha: So, Renuji, actually, the thing is

that our kind of company, really, the order book will not be able to give you the visibility of our growth, actually, because as you know that our order book gets closed between 8 -12 weeks, actually. So, basically, the real business outlook, basically, we are a pipeline driven company and pipeline is Rs. 4,000 approximately odd crores, so which is a huge number, actually. So, basically, that pipeline has been growing substantially and that around 60% of the c onver sion ratio we have primarily on the pipeline and pipeline basically takes around 6 months to 18 months to convert. So, that gives me the very clear confidence that we will keep on growing at 40% CAGR. And if you see the pipeline mix is also somehow basicall y mixed in the same way of the 3 segments, that is supercomputing, cloud and AI, we are seeing more opportunities in AI that i s the reason the AI growth is more than the other two segments. But all the three segments are growing and our focus and nic he is helping us to concentrate and to build our pipeline also accordingly.

Renu Baid: Right. And how about certain large ticket size government projects on the HPC side, how is that part of the business shaping? Are there any material large ticket size projects which could be a couple of billion rupees plus ticket size?
Sanjay Lodha: Actually, the thing is that basically the projects are definitely there, you know that NSM, National Supercomputing Mission 2.0 is on the verge of rollout. So, basically, new allocations, new things will be there definitely. There is a lot of adoption of basically primarily HPC on the enterprise side also. So, large ticket size orders are there, but basically even the medium and small ticket size orders and the number of orders have increased quite phenomenally. So, basically, that is helping us if you see we are doing HPC for 20 plus years, still basically 35% of the total revenue comes from HPC. And you see this is not a trend which changes quarter by quarter. It will remain around that only. It will be basically 35% is the average kind of a trend. If you see, if you really we have been maintaining that. So, basically, there is enough demand in the market, the market is growing. HPC adoption is increasing day by day because the compute requirement is phenomenally increasing. Today, basically, you talk about anything, anything basically needs compute. And you know how compute has been able to basically make our lives more efficient. And supercomputing plays a major role in that segment. So, I personally feel supercomputing is an area which will keep on growing. The second area we are into private cloud and HCI, which you are aware how today the data center market is growing. You guys know better than me how the data center market is growing and how data companies are doing better. So, basically, I think it is very difficult even to gauge the total market which is available to us, actually, at this point of time. So, Private Cloud and HCI has been a great booster for us. AI systems and enterprise, as I mentioned to you 2 years back, it was around 7% for us. It became 15% last year, but I am guiding it for somewhere around 20% this year, 20 % or maybe I like to revise the guidance to 22% or something of that nature. So, that is how basically all the three segments are really robust and they will keep on growing. We are very confident on that.
Renu Baid: Sure. The second question is on the working capital cycle. While QoQ is not the right parameter, but if you see on a Y-o-Y basis, we have been able to reduce it by close to 17 days. So, as looking at the order pipeline and projects which we have on books, how should we expect the year -end working capital to turn for us?
Ankit Kumar Singhal: So, Renuji, so our working capital cycle typically operates around 90 -100 days. So, again, Q1 is

just the

start of this fiscal year and working capital cycle, why it is appearing in June is because it is directly attributable to the robust sales momentum that we achieved in the June quarter. So, broadly, the entire portion of the sales had sat in our receivables for June. So, that is the reason that the working capital cycle is appearing like this.

Renu Baid: Sir, my question is for the year -end, should we expect this improvement to sustain till March or broadly, we should be at similar levels like last year in terms of cash conversion cycle?

Ankit Kumar Singhal: Actually, it is very difficult to predict a cash cycle at the year -end. However, we expect that it will range between 80 -100 days only. That is how our business nature has been going and the way we had been managing our working capital, it will range within 80 -100.

Renu Baid: Got it. And lastly, I know while none of your order pipeline or order book includes NSM -related projects, but in your view, by when should we expect these orders to trickle down and both with respect to localization, where are they placed, any incremental CAPEX or broadly whatever you have done until last year will take care of all the local content requirements?

Sanjay Lodha: Yes, basically, we have been constantly working in that direction, and we are part of the entire, basically, we are trying to see what best inputs we can give to the policy makers also. So, we are working towards that and plus, basically, none of my order book and pipeline is including of the India AI mission as I mentioned to you very clearly. I think, basically, the momentum will start definitely this year, which will continue for a few more years.

Renu Baid: Got it. Sure. Thank you and best wishes, sir.

Sanjay Lodha: Thank you.

Moderator: Thank you. The next question is from the line of Anand from Ksema Wealth Private Limited. Please go ahead.

Anand: Good afternoon, sir. Can you hear me?

Sanjay Lodha: Yes, Mr. Anand.

Anand: Yes. Congratulations on a great set of numbers. I have 2-3 questions. One is the contribution from the industry vertical, the growth from space and defense has grown phenomenally to Rs. 83.4 crores , around 283% growth Y-on-Y, so I am just asking, what will we see a number in the contribution from space and defense as the time goes on? Because right now, I guess the number is around 28% of this quarter. So, where would you see this number going forward from the contribution of space and defense?

Sanjay Lodha: So, basically, what happens, sir, is that basically, you cannot judge our busin ess primarily from one quarter because basically, because this quarter, we had a large order from AI on space and defense, that pushed up the space and defense sector, actually, this year more overall. But overall, basically, it will remain in the similar lines as we have been showing earlier, space and defense, basically, segments will remain on the similar lines, actually.

Anand: And regarding order book, I just want to confirm the exact numbers. What is the current order book that of this quarte r and from the previous quarter, a clarification on that?

Ankit Kumar Singhal: So, we have already covered this in our presentation. So, current quarter order book is close to like Rs. 230 crore and L1 happens to be Rs. 460 crore for the quarter.

Sanjay Lodha: So, L1 and the order book together will be around Rs. 600 odd crores. More than Rs. 600 crores, Rs. 700 crores.

Management: And also, every quarter we disclose this. So, for the previous quarter, you can check the interest of time for everybody and check the presentation and then you will get t he numbers.

Anand: And another last question is, since HPC, you guys have been doing it for last 20 years or so, but you have guys have any plans

of getting into the quantum computing realm by any chance?

Sanjay Lodha: Yes, basically, I will not like to comment at this point of time, we definitely we are working on some strategy on that. At the right opportune moment, we will disclose that.

Anand: So, basically, you are somewhat working on quantum computing, but you are working on strategies for that ?

Sanjay Lodha: Yes, sure.

Anand: That is all my question. Thank you.

Moderator: Thank you. The next question is from the line of Vinay M enon from M onarch Capital. Please go ahead.

Vinay Menon: Thank you. Thank you for the opportunity. Congratulations, sir, on a great set of numbers. So, a few questions fro m my side, sir. We launched Skylus .ai. So, are we seeing any deals where we

are able to sell that product across?
Sanjay Lodha: So, your question is, can you please come again?
Vinay Menon: Yes, I just wanted to understand that a re we seeing any deals which bundles Skylus .ai as a product which is already coming close ?
Hirdey Vikram
: Yes. Skylus .ai, we had envisaged this product, first of all, to cater to the market in such a way that we can create a unified layer for the customers, so that they don't have to hop into multiple software to manage the AI infrastructure. A nd that is the reason the acceptance of this product is going on very well. And the recent orders which we have disclosed in the results, so those all are basically having a contribution of Skylus .ai as well. And the pipeline, the funnel, we have got excellent funnel and pipeline for Skylus .ai. So, the acceptance in the market is very high. I hope you understand it is an appliance -based product which we are providing to our customers. It is a combination of hardware and the complete unified layer sitting on top of it.

Vinay Menon: Yes. I got it. Thank you. And s ir, this deal which we announced, like, in defense for AI systems, can you just elaborate a bit more about the deal? Like, what kind of deal was it? Deal size or what kind of work did we do?
Hirdey Vikram : We just mentioned, we responded to a question a little, I think 2 or 3 questions back, that seeing the confidentiality and all. So, we are unable to disclose those details, especially over call. So, sorry about it.
Vinay Menon: And we have had this history of doing one third in the first half and two third in the second. Will that continue or are we seeing some smooth ening out because we have lot of enterprise orders ?
Sanjay Lodha: Yes. So, basically, I think seasonality, basically, is changing. The world is changing. The seasonality is changing. Basically, overall, I would like to guide you that, basically, the growth which I am saying, because you can understand that. So, in today's world, we are presenting the 9th quarterly results and consistently, we have shown 40% growth, actually, quarter after quarter, actually, clearly. So, definitely, I think that is the, so we will grow that momentum, definitely, because things are not under our con trol. So, one quarter or some quarter can be higher, can be lower or something of that nature. So, business is not that kind of a, it is primarily more of high - end enterprise kind of a business. So, it is very difficult to say that.
Vinay Menon: And one last question. AI mission RFP, we had kind of said that second half of the year, we will start seeing them start. So, any kind of tentative date where we can start seeing some deal wins on this for us? And will any of it flow in FY '26?
Sanjay Lodha: Yes, actually, because from all my guidance, I have kept AI mission separate, actually, up till now. But basically, definitely, we are very sure that some traction will start on India AI mission this year itself.
Vinay Menon: That answers. Thank you so much .
Moderator: Thank you. The next question is from the line of Srinivas

u from TI A. Please go ahead.
Srinivas u: Hi, sir. Thanks for the opportunity. My question is related to the previous participant's question about monetization of the Skylus.ai, sir. So, what is your roadmap for the next 2 years on extending the stack to full container -level orchestration with Kubyts ?
Ankit Kumar Singhal: So, see, this is something which is very clear that when we are offering the complete stack, it is a combination of Kubyts and Skylus.ai. And there are two more utilities which we provide while offering our solution to the end customers. So, as regards monetization, since you asked, how we have a plan to monetiz e and all. So, as I mentioned, just a question back that we are not selling Skylus.ai as independent software or standalone software. We are only providing it in the form of an appliance wherein, we tightly couple the hardware and the software stack. So, answering your question, Stylus.ai is being supplied to our customers in the coupled format only

and we have got no plans to decouple that stack. So, our plan is to basically continue with the appliance strategy. That is one. Second is that you mentioned about whether we are planning to integrate it with Kubyt s and all. So, it is already having plugins which allow us to integrate it with other utilities which we already have. And that becomes the integral part of our solutions for AI as well as for supercomputing. So, that way, Kubyts and TPS and the other utilities which we have are very well integrat ed with Skylus.ai.
Srinivas u: Thank you. And is it currently a perpetual license or subscription -based?
Sanjay Lodha: Actually, it is not a subscription -based license. It is a perpetual license. But we do not sell it as a, we do not charge the customer for the software as you know that. Our model is an appliance kind of a thing. And basically, once we sell a product, the software goes along with it actually.

But there is no, so basically, it does not stop working after the warranty period is over, though the support is stopped actually.
Srinivas u: The reason why I am asking this question is, currently you are having AI and HCI, both are firing like anything. One is growing 300 %, the other one is growing at 71 %. So, since Skyl us.ai is embedded in both of these, so I am just trying to understand whether the margin le vers are there in going forward?
Sanjay Lodha: So, margins actually, if you can understand, we have pricing power. And basically, the margins, we will remain at th at rate , we are always guiding that the margins are around 14 %. Because basically, we want to show the value for money to our customers. If you see my customers also, if you see the government side, they are all basically large government R&D and large enterprises actually. And as regards enterprises are concerned, they are all basically large Indian companies. So, we are not pre sent in the assembly and all those areas. So, we want to show value for money to our customers. So, basically, and we are comfortable working at around 14 %. So, basically, we are not guiding also higher margins. Definitely, AI or something, we can definitely charge more money. But basically, that is helping us to increase our market share to help a deeper penetration. Plus, basically, someone is an HCI customer today. But basically, once they are looking for AI, they definitely look at us. So, those kinds of benefits which we get. So, that is basically, that is our strategy. Our strategy is not to just increase margins.
Moderator: Sorry to interrupt you, sir. I would request you to please rejoin the queue as there are several participants waiting in the queue.
Srinivas u: This is a follow up question actually. Sir, with the current H10 0, H200 spot prices are falling, do you see that is going to impact the margins?
Sanjay Lodha: Sir, H100, H200, ba

sically, you know that first thing is that the GPU pricing really doesn't go down for NVIDIA. You may be having some other information. But basically, what happens is that once a new GPU is available, people start buying the new GPU. Like basically, today, the same thing as it happens for Apple iPhones. Maybe once Apple iPhone 16 will come in, we will

definitely like to go for 16. You will not like to go for 15. So, it is the same. And basically, here, that will be for consumers , but in case of production, you get better performance. So, people are shifting to B200 and all those kinds of Blackwell , actually. So, I don't think that because there is hardly any H100, H200 available these days. Getting itself is a problem. So, basically, falling prices is not really any concern at all.
Srinivas u: Thank you, sir.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Capital. Please go ahead.
Sandeep Shah: Sandeep Shah from Equirus .
Sanjay Lodha: We know you, Sandeep ji. Whatever name they say, we know you very well.
Sandeep Shah: Sir, congrats once again for a very great execution and a quarter, both on margin as well as revenue. Just the question in terms of the supercomputer, whether the supercomputer segment has diversified set of industry or still it is largely concentrated in the government segment? Any new verticals being added in the supercomputer?
Sanjay Lodha: So, basically, Sandeep ji, if you ask me, still the dependence of the segment is on the government. But there is a lot of adoption which is happening on the enterprise side of it. One is, as I mentioned to you, oil and gas, even consumer durables company also like Dabur is also using supercomputing now. So, basically, automobile is using it, oil and gas is using it. So, lot of different kind of industry, verticals and domains are using supercomputers. But if you ask me, frankly, still I think more than 70 %-75% of that segment is still depend ent on the government, actually a nd basically, it is looking buoyant because NSM 2.0 is just about to be launched. NSM 1.0 National Supercomputing Mission was there earlier, but National Supercomputing Mission, government is focusing upon and NSM 2.0 should be soon launched. So, that will be a great demand booster.
Sandeep Shah: Thanks. And just on the export side, any vision, any target can you share in next 2 -3 years or 5 years, where you want which country and what contribution it may derive in the next 3 -5 years?
Sanjay Lodha: Yes. So, Sandeep ji , last year , if you see our exports was around 5 %-6% an d basically, this quarter it was low, but basically, it is very difficult to do it quarter basis. But on a year basis, we like to predict around 5 %-6% of exports, because I will tell you we are see ing a huge domestic demand . So, basically, the first target is to settle the domestic demand. And so, I personally feel over the period of next 2 -3 years, exports would be around 10% of the total turnover, but I don't see it go ing beyond that. Because the focus, domestic demand is predicted to be very high in all the 3 growth segments which we are working upon.

Sandeep Shah: And just on the last question on AI mission, you said some growth momentum may start in this financial year. So, you expect it may be a part of the pipeline and the deal wins in the coming quarters. And second, in terms of private side AI adoption, is it you believe the domestic players, especially on the enterprise side has started ramping up in terms of creating AI and LLM led infrastructure?
Sanjay Lodha: Yes, basically, that is very true. Because basically, AI is everywhere if you really see. If you really see all the enterprises everywhere, if you really see, you talk about any large enterprise

,
everybody is talking about AI infrastructure these days. They all want to have their infrastructure. They have, even the large ITES companies, they want to develop their stack so that they can service all their customers, even India or abroad. So, basically, on the LLM side of it, people are getting funding because th ey are trying to work on primarily newer AI models and all. So, definitely, we are seeing a lot of traction around it and definitely, that will give momentum to the demand.
Sandeep Shah: And the question on the AI led mission of the government, you believe it could be a part of pipeline and order wins in the coming quarter?
Sanjay Lodha: Possible, I can say that. Up till now, it is not included. But as we see more light, we may start sharing that.
Sandeep Shah: Thanks , and all the best.
Sanjay Lodha: Thank you.
Moderator: Thank you. The next question is from the line of Anush Kashyap from A3 Capital. Please go ahead.
Anush Kashyap: Hello. Good afternoon to you.
Sanjay Lodha: Good afternoon.
Anush Kashyap: Sir, congratulations for Virat Kohli type of consistency.
Sanjay Lodha: Thank you.
Anush Kashyap: Half of my question has been answered. Just I wanted to know is that annually, what type of R&D expenditure we are doing? And what are the avenues we are looking at while we are doing R&D kind of expenditure?
Management: Actually, in our kind of business, R&D is very important, sir. Actually, really speaking, the company today has really progressed so well because of its investments into the R&D. And basically, for R&D spend, as I have always been saying, that we keep R&D budget of around

3% of our turnover very clearly and that has been the policy from the very beginning. And we keep on doing it. And since our basically our base is growing, we are having more money to spend on R&D. So, R&D basically primarily the software side, the R&D team is around 75 people. On the hardware side, we have around 22 people. These are very focused because so many we are working, please understand, we are working on the latest designs actually, whichever is being launched in the world, that same product is b eing manufactured and designed and manufactured in India. So, definitely, we have to invest quite a lot into R&D. So, R&D is our main focus and plus, basically, as you know that we are into niche segments, we don't get into everything. So, basically, we focus on all the three domains and the new products on the new lines, which basically we need. And both on the software and hardware side, we do R&D expense continuously.
Anush Kashyap : Yes, sir. That is good, sir. And sir, what I want to know is, like, you said 3% of the annual turnover we do in R&D. Like, what is more remunerative to us, whether it is software side or the hardware side?
Sanjay Lodha: Like, both is a combination, because you know that we don't sell our software separately. And we are able to because today, if we are able to take 14% EBITDA margin, whereas my competition is all on single -digit margin that is because of my R&D. I personally feel so.
Anush Kashyap: Yes, sir. That is your strength, actually.
Sanjay Lodha: Yes.
Anush Kashyap: So, thank you, sir. Best of luck, sir, again. Thank you.
Sanjay Lodha: Thank you.
Moderator: Thank you. The next question is from the line of Kartik Soni from Son i & Associates. Please go ahead.
Kartik Soni: Sir, first of all, I have two questions. First, why is your June quarter always a weak quarter? And the second question is that yesterday there was news that Google is investing $6 billion in Andhra Pradesh. They are building a new data center of 1 gigawat t. Sir, are we participating in such big projects that are being launched in India? Are we participating in them?
Sanjay Lodha: Sir,

your first question is that how do you feel that our June quarter is weak? We are growing at 100%. Still, you feel it is weak?

Kartik Soni: No, I mean to say it has always been weaker than March Quarter over the last three years.

Sanjay Lodha: No, in our business in the March government's buying is maximum as well as the corporate buying is also maximum . So, the March is our heaviest quarter you would understand if you

would see our business because whatever solutions we provide all are related to CAPEX. So, everyone has a tendency to do it in the March because government funds would get expired so from every angle March becomes favorable and March will always be the heaviest. If you would compare year -on-year that you would get a real idea what kind of business it is.

Kartik Soni: Sir, the second question is that yesterday there was news that Google is investing $6 billion in Andhra Pradesh.

Sanjay Lodha: Yes, it is a good thing. This will increase the compute adoption. Everything will happen. And basically, even if Google does it today, all the hyperscalers are doing it. But basically, if they bring computes, then a lot of outside usages will also come into India.

Kartik Soni: My question is that are we participating? Are we participating in them, sir?

Sanjay Lodha: We would not like to say anything that we are participating or not participating. Because still that project is just at the elementary stage. It may be, it may not be.

Kartik Soni: Sir, my question is that if the government takes out a tender, does Google also do tendering? Do they outsource the projects in which they participate?

Sanjay Lodha: No, see, we don't do contracting work. Basically, we don't do that kind of contracting work. See, Google will take out a tender to make a data center for this , we are not in those things. But if they install a private cloud, and basically, if they want a private cloud, definitely, the government can have a mandate somewhere, in which they may have to use Make in India. That may create an opportunity for us. But now, it is possible that they want to host their YouTube users in India. So, primarily, they are bringing the outside workload to India, which is good for India, actually, really speaking. Whether good for the NetWeb or not, I really don't know. But if it is good for India, then it will be good for the NetWeb. Okay.

Moderator: Thank you. That was the last question for the day. I now hand the conference over to Renu Bai d from IIFL Securities Limited. Over to you, ma'am.

Renu Baid: Thank you. I would like to thank the management of NetWeb for giving us the opportunity to host this call. Sanjay Ji, any closing remarks from your side?

Sanjay Lodha: Thank you so much. It was really, I would like to thank I IFL for hosting this call for us. It was a good quarter for us. We expect that the same support which investors have shown on us, that will keep on, they will continue ensuring their blessings on us. Thank you so much.

Moderator: Thank you. On behalf of I IFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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SUB: TRANSCRIPT OF Q2 FY2 6 POST RESUL TS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations), please find enclosed the transcript of Post results earning call for Q2 FY2 6 held on Mon day, 03rd November , 202 5.

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer
M.No A36610

"Netweb Technologies India Limited
Q2 FY '26 Earnings Conference Call "
November 03, 202 5

MANAGEMENT : MR. SANJAY LODHA – CHAIRMAN AND MANAGING DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. NAVIN LODHA – WHOLE -TIME DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. ANKIT KUMAR SINGHAL – CHIEF FINANCIAL OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED
MR. HIRDEY VIKRAM – CHIEF SALES AND MARKETING OFFICER – NETWEB TECHNOLOGIES INDIA LIMITED
MR. SANJEEV SANCHETI – UIRTUS ADVISORS , IR ADVIS OR – NETWEB TECHNOLOGIES INDIA LIMITED

MODERATOR : MS. RENU BAID PUGALIA – IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Netweb Technologies' Q2 FY '26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please si gnal an operator by pressing start then zero on your touch -tone phone. Please note, thi s conference is being recorded.

I now hand the conference over to Ms. Renu Baid Pugalia. Thank you, and over to you, ma'am.

Renu Baid: Thank you, Mark. A very good afternoon, everyone. On behalf of IIFL Capital, I thank the management of Netweb for giving us the opportunity to host their 2Q FY '26 earnings call. From the management team today, we have with us Mr. Sanjay Lodha, Chairman an d Managing Director; Mr. Navin Lodha, Whole -Time Director; Mr. Ankit Kumar Singhal, Chief Financial Officer; Mr. Hirdey Vikram, Chief Sales and Marketing Officer; and Mr. Sanjeev Sancheti, Uirtus Advisors LLP, IR advisers, to Netweb Technologies .

I now hand the call to Mr. Sanjay Lodha for his opening comments. Thereafter, we can start the session for Q&A. Thank you, and over to you, sir.

Sanjay Lodha: So thank you, Renu, and -- good afternoon, and welcome to all of you to Netweb Technolog ies's Q2 Financial Year '26 Earnings Call. We are pleased to share, the quarter has been an exceptional for the company. We secured two large strategic orders worth approximately INR 21,840 million to be executed by financial year '27, reaffirming our position as India's largest OEM in high -end computing solutions space.

Operating income grew by over 50% year -on-year in H1 '26, while operating EBITDA increased by over 60%, delivering a healthy margin of 14.9%. PAT for the period stood at INR619.1 million, up by 49.5% year -on-year with 10.2% margin, reflecting strong demand, disciplined execution and scalability of our business model.

We have once again outperformed our stated growth guidance of 35% to 40% CAGR reaffirming our commitment to constantly deliver our promises. The strategic orders won are of national significance aimed at strengthening India's AI compute infrastructure and advancing the vision of Sove reign AI journey of the nation.

By delivering world -class AI infrastructure, designed, engineered and manufactured in India, we are helping build nation sovereign compute capabilities, accelerating its emergence as a global AI powerhouse, enabling citizen -centric services and moving clos er to the vision of making India the AI factory of the world.

Beyond these strategic quarters, our growth in the AI segment has continued to be very strong. This segment's revenue contribution rose from 14.7% in first half of financial year '25 to 25.4% in first half of financial year '26, reflecting an impressive gr owth of 160%.

The performance underscores our steadfast commitment to in -house design and manufacturing of next -generation systems, fully compliant with Make in India vision and contribution to India's emergence as global hub for high -end manufacturing. Netweb's continu ed focus on its three growth pillars that is high -performance computing, Private Cloud, AI Systems is enabling us to capitalize on strong momentum across these segments, supported by robust industry tailwinds. These core business positions us as a technology leader in the HCS space. This strength is reflected in our robust organic order book of INR4,939 million as on September 30, 2025, together with recently secured large strategic orders of over INR21,000 million and strong business pipeline. We are very well positioned for strong sustained growth over the next few years.

I no

w request Ankit to take you through the financials.

Ankit Singhal: Thank you, Mr. Lodha. Good afternoon to all the participants. I would like to draw your attention to the safe harbor statement in the earnings call presentation. I request each one of you to go through the presentation before the Q&A starts, so that you ar e aware of the same.

Ladies and gentlemen, thank you for joining our earnings call. Before we open the floor for Q&A, I will provide a brief overview of the financial performance for the quarter and the year gone by. I trust that by now you have had the opportunity to review o ur earnings presentation and press release. While our CMD has already discussed the macro outlook, I will elaborate on the financial performance, prov iding a more detailed analysis.

Our operating income for Q2 FY '26 increased by 21% Y -o-Y reaching INR3,037 million. Our operating EBITDA for Q2 FY '26 increased by 25% Y -o-Y reaching INR454.6 million, while the operating EBITDA margin for Q2 FY '26 was 15%. Profit after tax, PAT, for Q2 FY '26 grew by 20.1% Y -o-Y, reaching INR314 million, while the PAT margin stood at 10.3%.

Our operating income for H1 FY '26 increased by 51.1% Y -o-Y, reaching INR6,049 million. Our operating EBITDA for H1 FY '26 increased by 60.6% Y -o-Y, reaching INR903.2 million, while the operating EBITDA margin for H1 FY '26 was 14.9%, improving from 14.1% in H1 FY '25. Profit after tax, PAT, for H1 FY '26 grew by 49.5% Y -o-Y reaching INR619 million, while PAT margin stood at 10.2%.

Return on equity for the H1 FY '26 was 22.4%, while return on capital employed for the same period was 30.2%. Our cash conversion cycle as on September 2025 stood at 120 days, reflecting an increase of 9 days co mpared to the previous quarter.

The primary reason for this increase was the reduction in the payable days from 84 days in June '25 to 70 days in September '25. Receivable days improved from 124 days in June '25 to 117 days in September '25. It is important to note that advances received from the customers for large strategic orders have not been adjusted with the debtors while calculating the receivable days. Inventory days remained unchanged at 72 days across both quarters. Our balance sheet strength is reflected by us being a 0 net debt company. The company had net free cash of INR2,379.8 million as on September '25. For the large strategic order, no additional capital expenditure will

be required. Short -term working capital needs, primarily LC -based, have been already secured to ensure smooth execution.

These orders are LC backed, guaranteed timely payments and eliminating credit risk. We remain firmly aligned with our strategic roadmap and growth priorities with strong momentum through the year, a robust order book and a healthy pipeline. We are well pos itioned to deliver consistent revenue and profitability in current fiscal. With this, I now hand over the call to Renu Baid.

Renu Baid: Yes, we can now start the session for Q&A, please.

Moderator: Thank you very much. The first question is from the line of Akshay from AK Investment. Please go ahead.

Akshay : Yes. And my first question is, sir, apart from the INR2,100 crores orders that we got, whatever effect that might have on our financials for half 2 of FY '26 and FY '27, apart from that, we are maintaining our organic growth guidance to 35% to 40% for the next couple of years. Is that understanding correct, sir?

Sanjay Lodha: That is very right.

Akshay : Okay, sir. And sir, this is the significant order inflow that we saw in the last one month. So can we expect the same type of strategic orders in coming years due to the India AI mission in coming quarters or coming months?

Sanjay Lodha: Definitely, we are optimistic, and we will keep on reporting as and when we get the orders.

Akshay : Okay, sir.

Okay. And if -- and if you talk about the general trend and demand scenario for the NVIDIA GPUs and our product in India, that would be helpful, if you want to add some highlights over there, sir?

Sanjay Lodha: Yes. So basically, I already mentioned in my -- basically in my talk that how basically AI segment has grown by 160%, if you see year -on-year actually. And currently, you are seeing the strategic order wins also. So definitely, AI growth is completely goin g very, very strong all over the world actually, and we are very well positioned since we design and manufacture our products on the latest architecture of NVIDIA actually another -- basically on the complete GPU infrastructure -- GPU base sy stem.

So we have the latest product. And so that's the reason we are getting traction. And definitely, we see as more and more workloads are completely diverting and using -- making use of AI, I think we have better potential there also, that will also keep on fueling the demand. The other area which I feel is that the government spending is really going up and up because government understands that I ndia can become the AI factory.

They want to replicate the same thing, which basically -- which happened in the India became the software power of the world. They want to make India to become the AI factory of the world. So personally, I feel for coming few years, definitely AI is the segment which will be growing.

But having said that, the other two segments, which basically our business is not completely dependent on AI, please kee p that in mind.

The other two segments are very strong. It's still -- more than 70% business still comes out with the other two segments, that is HPC and the Private Cloud, and both the segments are growing. If you have been observing our results for the past few years, p ast few quarters and years actually, you will see that it has been constantly growing.

And it has -- though, we're a company growing at a 35% CAGR, but still, basically, both these segments are constantly around 35% each of -- 35% each, actually making it to be 70% of the total revenue. So we personally feel that the two other segments will be growing and AI will grow in a better way.

Akshay : Okay, sir. Okay. And a small follow -up on that would be that today, India -- Indian government, Narendra Modiji, has inaugurated RBI fund of -- INR1 lakh crores of RBI fund for research and innovation. And in that, they are focusing mainly on AI, electronic, semiconductors. This will also affect positively to our companies as well as the general AI trend or complete capacity in India as well, right?

Sanjay Lodha: Lot of -- all -- the government is really instrumental on that because basically AI is the biggest employment generator because the government feels so and definitely, they want to basically create more employment. So AI is definitely -- government is focu sing on AI.

Moderator: The next question is on the line of CA, Garvit Goyal from Nvest Analytics Advisory, LLP.

CA Garvit Goyal: Sir, my question is on the order book side. Apart from this strategic order, our organic order book has grown significantly as compared to the previous quarter. So can you put some color on that? Like is it any specific deal that we signed in this organic order book as well, though there is a big jump as compared to the previous quarter?

Sanjay Lodha: So basically, as you know that -- as far as I remember, you have been a constant attendee of my conference calls, and I really want to thank you for that. So you will definitely remember it that basically, I always say that my order book doesn't give you a clear in -- my organic order book doesn't give you a clear indication of how my business is performing .

Because my order cycle basically lasts from -- normal order cycle is 12 to 16 weeks is basically the execu

tion cycle. So it can keep on growing, it can -- basically, it can reduce or something of that nature. What you should focus is on the pipeline. I have a pipe line of around INR4,000 crores, which is -- it doesn't include any strategic orders and the strategic pipeline.

So INR4,000 crores is the most important number, which you should -- we should remember.

So there is -- basically, our gestation period for orders is around 6 months to 18 months. So we personally see that keeps on fueling our revenue and the order book. So -- and you have seen that, that constantly, we are growing at the -- what we have told you 30% to 35%. So that gives me -- this number gives me the confidence that my organic business will keep on growing at the same rate.

CA Garvit Goyal: Got it. Got it. And sir, secondly, on these specific deals, so you mentioned like we will be reporting to the exchange as and when we get these deals. But can you put some color on that? Like currently, are we into negotiation with anybody to get into kind of specific deals that are currently on?

Sanjay Lodha: Basically, because as I mentioned to you, strategic orders are large orders. There is an immense potential. You are fully aware how government is spending and how basically what kind of funds are being generated and all those things are there. You see toda y all the major GSIs, all the major

global system integrators like TCS, Infosys, everybody is changing their complete strategy to AI services. So everybody is trying to develop more and more, use more and more AI. So the business is coming from all sides actually. And we personally feel that basically strategic orders will be coming in but we don't want to really announce in advance. As soon as the deals are there, they become visible, we will keep on announcing the m.
CA Garvit Goyal: And what kind of margins do we have in these kind of specific orders, sir?
Sanjay Lodha: Let Ankit answer that.
Ankit Singhal: So Garvit, so look, these are very large orders, which are -- obviously, these are different from our regular business orders. However, we are keeping and maintaining very healthy and sustainable margins. They can be like 150 to 200 basis points lower at P BT level.
Sanjay Lodha: That's the max.
Ankit Singhal: Yes, which is again very healthy.
Moderator: The next question is from the line of Anand B from Ksema Wealth Private Limited.
Anand B: Congratulations on a good set of numbers. The first question is since the two orders have -- strategic orders have come, previously, you've given revenue guidance of 35% to 40% year -on-year and EBITDA margin of 14% and PAT margin guide is of 10% to 10.5%, so after these orders have come, do you have any revised guidance for FY '26?
Ankit Singhal: So there is no revision in the guidance. We are maintaining 35% to 40% growth for the regular business and strategic orders are being informed separately. And for the EBITDA, the guidance remains same, 13% to 14% as we will be transitioning to large scalab le orders.
Anand B: Okay. But the realization of these orders will come by FY '27?
Ankit Singhal: Yes, they will be executed by FY '27, correct.
Sanjay Lodha: Some portion around 1/3 of these orders we expect to be executed in FY '26 because the total order is somewhere around INR2,100 crores approximately. So our expectation is INR2,10. crores -- out of INR2,100 crores, 1/3 should get executed this financial year and balance should get executed in the next financial year. But please keep in mind that basically, since these are all based on the latest technology and basically so delivery and other challenges, supply challenges can make things move from a month or two up and down.

Anand B: Okay. The last question I have is in the presentation, you have mentioned the breakup for -- in terms of industry vertical. That is higher education, IT, ITES, space and defense. Can you just provide for that for this quarter?
Sanjay Lodha: Yes, that will be remaining almost all same, but basically, quarter -on-quarter basis, you cannot really judge it because basically, we don't monitor it quarter -on-quarter basis. Basically, that's primarily on a year -on-year basis that you see, it will rema in almost on the similar lines.
Anand B: Okay. Because in the previous quarter presentation, you have mentioned breakup...
Sanjeev Sancheti : So I'll tell you the reason why we were giving this particular sheet earlier is because of the requirement of the IC DR regulation. This is not something which is very critical for tracking. It's more important to track segment -wise revenue which we are giving. And hence, we are not going to report this quarter -on-quarter because this is not something which we really feel is relevant and it will amount to unnecessary and irrelevant data. On an annual basis we are happy to discuss this.
Moderator: The next question is from the line of Prateek Singh from DAM Capital.
Prateek Singh: Just wanted to get a sense about this INR21 billion or INR2,100 -odd crores order. So just to get it right, we would be providing servers and not cloud, right? Or would it be cloud also to government PSUs and departments who can then take it up at $3 per hour or $2.5 per hour something like that?
Sanjay Lodha: It's a complete end -to-end solution, which we provide.
Prateek Singh: Okay. So we would be providing cloud services as well on top of...
Management: No, no. So we do not give annuity services. We sell the product and the solution and we get paid for it. It's a capex purchase for the buyer and we do not do any annuity business.
Sanjay Lodha: Thanks for clarifying.
Prateek Singh: Understood. And sir, so in terms of NVIDIA, what we keep hearing that there is a very -- maybe not now, but there used to be a long queue in terms of getting the latest chips. How has this changed over the past 2, 3 quarters? And how are we confident of ge tting those chips? Have you placed orders for those chips and some of them are already enroute to us?
Sanjay Lodha: So basically, as you know that we have a very strategic relationship with NVIDIA. We have an OEM partnership with NVIDIA, okay, which is basically there with very limited people in the world, actually, more -- less than 10 people have that. So we have a ve ry, very strategic OEM partnership with them, wherein basically we design and develop products based on the latest chipsets. So we have sufficient allocations.

And we get -- basically, in this part of the region of the -- not only India, in whole of this region, actually, we are the only company having that kind of a relationship with them. We are investing heavily into R&D and all that. So basically, we get due priorities from NVIDIA and our supplies are quite basically much more streamlined even the days when GPUs were under acute shortage,

even those days also, our supply lines are very much intact, which basically if you see past results, you will see that.

So we are very confident that we'll be securing and we'll be getting the chips and everything, not only from NVIDIA, from others also on time. But definitely, you are aware that how basically the compute demand is growing all over the world. Basically, eve rybody is trying to build compute facility -- capacity because basically, the AI demand is soaring and is definitely requiring more and more compute. Definitely, we see a good opportunity there and we are forecasting accordingly.

Moderator: The next question is on the line of Vian y Menon from Monarch Capital.

Viany Menon: So yes, a few questions. Congratulations first on the AI mission. So any sort of ev

olution
timelines, if you can mentioned that H2, I think executing starts. But just to get an idea on like is it going to take 1.5 years for these two orders, to permit 1 ye ar, anything like that?

Sanjay Lodha: So at this point -- thank you for your question. Actually, at this point of time, as I mentioned, basically 1/3 of the orders we are targeting to ship in financial year '26 and balance will spill over to financial year '27.

Viany Menon: Okay. Okay. That helps us. And you mentioned in your presentation something about exploring foreign markets and 4 markets you mentioned. Anything -- any plan there? And if you can explain what the roadmap would be there?

Sanjay Lodha: Yes. So basically, if you really see, at this point of time, our exports is somewhere around 5% of our total turnover. I have not tracked it particularly for this quarter, but still the team would have definitely tracked it. So basically, we still would li ke to guide somewhere around 5 to -- around basically this quarter, it was pretty low. But basically, overall, we are guiding annually around 5% to 6% of our revenue from exports which was almost 0 two years back.

So we are slowly building upon it because you see that compute demand locally is so heavy and so high, we want to first basically cater to that and accordingly move ahead with that, but we are slowly and steadily building our international exposure as well .

Sanjeev Sancheti: May I just clarify on this point, sorry, Sanjeev here. Just so the expectation is clear. See this 5% to 6% is on our organic business. Now this large order which we have got is obviously a domestic order. Hence, for these next 2 financial years, at least t he overall percentage, if you look at the total top line of the company, this may be lower than 5%. I hope I've been able to explain what I wanted to say.

Viany Menon: Yes, that helps. So basically, these are pure exports, and you have mentioned that you're planning to set up something also so that you can do the servicing and other things. So like are we -- these are pure exports from our factory in Faridabad or are we setting up some offices there to kind of get local demand abroad also?

Sanjay Lodha: So basically, as regards -- at this point of time, we are just -- we have not decided on setting up offices outside. But definitely, we are setting up our service network first because that is more important because manufacturing primarily happens in India only.

As and when we need salespeople and all that also, we maybe think about setting our offices. But as you know, our customers are large enterprises. We are not into SMB because you see around 50% of our business comes from government, around 50% of business comes from enterprise.

This particular quarter, around 60% of business came from enterprise and 40% business came from government. So this keeps on shifting. But if you see over on year -on-year, it will remain around 50%, 50%.

And basically, so the large enterprises are there. So we may need to set up some kind of basically service network that is more important for us. But slowly and steadily as more business development as we need more people, we can think about it.

Viany Menon: Okay. And just one last thing, sir. You see a lot of news about Google and opening, coming and setting up data centers here. So are we planning to kind of tie up with any of these because these are all partners to NVIDIA. So I'm sure NVIDIA could kind of h elp us get an entry with these

kind of large enterprises also. So any plans on that?
Sanjay Lodha: Yes. Actually, still these things are far off. Actually, still these are greenfield projects at this point of time. But we think that's very well argument and the fact that how the -- basically, the compute demand is growing in the country today that hyper scalers are also coming to India

and
trying to set up. So definitely, that is happening. But as and when the time comes, we will offer them the right opportunity.
Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Congrats again on great execution and large strategic orders. Sir, the first question is, if I look at the government AI mission, as of now, the approval is for INR10,000 crores, and we got two deals worth INR1,000 crores bids. So addressable market in INR10,000 crores was closer to around 40% to 50%. So that means INR4,500 to INR5,000 crores , so is it fair to assume we already won a wallet share of 45%, 50% and more strategic deals may come outside the government A I.
Management: Let me answer your question. First of all, I just want to clarify that the INR100,000, which you're talking about, that is basically the fund allocation, which is happening at the government's end. Whereas the orders what we are talking about is basically for setting up the complete infra, okay? So what happens in this case, so the amount which government is going to allocate that is going to be paid against the GPU resources, fine?
So the amount cannot be related in this fashion, but I can certainly tell you that we are targeting more strategic orders also as and when the opportunity comes. And we are -- as we answered initially also, that we are definitely working on that front. So as and when this opportunity comes,

we'll keep notifying -- keep informing the market. So this is in process, and we are extensively working on that front.
Sandeep Shah: Okay. Okay. So then, sir, if you can clarify -- you said in the second statement, INR10,000 crores is the government -related budgets, so I didn't understand clearly?
Management: I'll explain that again. So basically, as you know, India AI Mission has got 7 pillars, which we have shared with you earlier also. So one of the pillar is basically for building up the in -house infra. Second pillar is basically for creating GPU resources and rendering GPU services to the end customer. So largely, the requirements which we are going to address is going to be related to these two pillars.
Rest of the pillars are like financing the start -ups, building the other type of ecosystem, which can mushroom the AI ecosystem in the country. So first two pillars are basically the main pillars. So when you talk about INR10,000 crores , the INR10,000 crores is going to take care of first two pillars as such. And that's the reason I said that when you talk about the order which we have taken, which is of INR2,100 crores , will that basically fill the complete wallet share of ours? So the answer is no.
We have got many more opportunities, which are going to be related to India AI Mission. And as and when the opportunity will be built by us, we'll try to basically build more strategic orders as well. So I hope this answers your question.
Sandeep Shah: Yes, yes. I understand. And just wanted to understand, you have already mentioned that this strategic order execution may not require incremental capex , but do you believe it may require some incremental employee spends or doesn't require because business runs on operating leverage rather than direct correlation with the employee and other expenses?
Sanjay Lodha: Sandeep, so you'll have to understand one thing. Because the -- why are we getting these strategic orders? We are getting strategic orders because of our R&D strength, okay? So R&D strength is very important because basically, we are working on the latest chipsets and basically, we are providing the state of art, the best kind of the solutions, which are available around the globe. So we are not basically lagging behind with anybody.
We are trying to give one of the best optimized solution actually, working on the latest chipset, so

R&D strength is helping us so as to build that. As regards to the second question on the capex side, definitely, we will not be needing capex because basically, we have already mentioned that. And because we are -- as you know that we are not primarily a capacity -driven organization, we are a capability -driven organization. So as soon as we started working on Blackwell chipset, we immediately upgraded our lines and all that, so that basically we can do that. So our lines are fully sufficient for us to do it.
And as regards employment is concerned, again, basically, ours is not that kind of basically a very low -end kind of work. Primarily most of the work is being done by engineers and all. So our strength -- when we went IPO, it was around 240 people. Today, w e are nearing around 600

people. So basically, it's an ongoing effort which is going on and people are being added.

So we are almost at double the size in almost all 2.5 years approximately. So people addition is definitely happening. More and more technical people are joining us. So all that basically gives us -- makes us confident that we can do this without having an y much -- many more changes. Other thing which I would like to point out as regards to manufacturing capabilities also, we have developed a new plant, as I mentioned to you. The new areas and new integration units are being added almost all basically every time. So basically, we have those kind of abilities. So hence, we don't need any kind capex .
Sandeep Shah: Yes. This is helpful. And just last thing in this quarter, if we look at Private Cloud and HCI has been almost flattish, both on Q -on-Q and Y -o-Y. I do agree one can't see just 1 quarter. But how do you see the demand for the Private Cloud, both from the p rivate enterprise and the government enterprise?
Sanjay Lodha: Definitely, it is growing actually. If you really see, basically, we have grown. If you really see, overall, the growth has been there. Basically, again, on a quarter -on-quarter basis, you cannot really judge our kind of business, okay? Because basically, we are not into retail and something of that nature or SMB and all.
If you see H1, H2 kind of thing, you can see the growth. So definitely, growth is there, but AI has been growing much more actually. So I personally feel the way that you may be having also the information how the data center market in the country is growi ng at this point of time. So definitely, there is a phenomenal scope and basically for that to grow.
Hence, basically, once we say that we'll be growing our organic order book at around 35 -- not order book, the organic business will be growing at a rate of 35% CAGR. So that is being fueled by these two segments and still around more than 70% of business comes out of these two segments. And they have been constantly fueling our growth for many years. And for future also, we are very sure that these two still remain our main pillars.
Moderator: The next question is from the line of Vibhor Singhal from Nuvama.
Vibhor Singhal: Sir, just two questions from my side. One is these strategic orders of around INR2,000 crores that we have won, as you mentioned that you might not require any incremental capex on these. But given that these are government orders, which typically would have a 3 - to 4-month minimum receivable days cycle, do you think we would need some additional funding on our balance sheet to basically support the working capital that might be r equired for this? And if yes, are we looking at basically some ways of arranging for that?
Hirdey Vikram : So first of all, there is a correction. So the orders which we have taken is not directly from the government. So basically, we are serving the India AI Mission, but we are serving it through some of the empanelled organizations. So then our receivable or

our payment subsidy is ver y well structured in this case.
In fact, we wanted to highlight that part as well during the question so good that you asked this question. So I think Ankit can emphasize more on that part, if he can throw some light on that

part. So -- but yes, I mean, answering your first question, so it is not -- we are not directly giving it to the government.
Vibhor Singhal: Got it. But in terms of working capital requirements, will this need any additional funding?
Sanjeev Sancheti : Yes, Ankit can answer that.
Ankit Singhal: Sure. So look, the large strategic orders are commercially very well defined. First of all, I let you know that we are receiving sufficient advance to have the cash accrual for these particular execution. And these are also LC -band transactions. So we are -- we have secured the LC bank limits to do the smooth execution of these projects.
Sanjay Lodha: So credit risk is almost all 0 actually. The entire deal is completely secure. We have advances from the customer and the balance we have LCs. So the credit risk is almost all 0 actually and very well planned to be executed. We may need some short -term LC kind of limits from the banks, which basically has already been secured. So we don't feel there are any financial challenges as such.
Vibhor Singhal: Right. But in the interim, as this project starts execution, we might see a bit of, let's say, increase in our credit that the -- line of credit that we take from the banks. But that, of course, as you mentioned, will get basically cleared off once the pay ment starts off in terms of projects?
Sanjeev Sancheti : Yes, yes. So it is the transitionary. It will be transitionary and very short term.

Vibhor Singhal: Very short term. Got it, sir. That's great to hear. So just on my second question, just trying to understand the business. This year, if I look at the overall top line growth, it was around 20% on a Y-o-Y basis. If I look at the segmental numbers also on a Y -on-Y basis, these were, let's say, in the AI enterprise business was around 20%.

So the power business, does it have kind of a seasonality in which Q3, Q4 tend to be quite strong, as would happen because I think most enterprises and let's say, institutions rush to basically complete their billing in the month of March? Is that the case in our business that Q1, Q2, we tend to be -- H1 tends to be a bit lower and H2 tends to be much higher?

Sanjay Lodha: If you see historical data, it will prove that, that basically our H1 is almost -- H2 is always much better than our H1. But having said that, I'd like to tell you, even we had a very strong H1 this year. We grew by around 50% because basically, problem is that, that you'll have to understand that, that you cannot do a comparison of our business basically on a quarter -on-quarter basis. We are not into retail and something of that -- FMCG or something of that nature.

Basically, it is dependent on some large -- basically a lot of large and high -end compute we sell and the customers are all enterprise customers or high -end government customers. So definitely, if you see H1, H2 data for last few years, you'll definitely see that, that our H2 is always much more stronger than H1, and even though the H1 was very strong this time.

Vibhor Singhal: Right. So you mean to say that despite the fact that we have 51%...

Sanjeev Sancheti : I would like -- let me explain this. You would appreciate that quarter -on-quarter is bifurcate by one thin line of the last day of the month, right? 30th June, if you are billing something, it comes into the Q1 and if that billing spills over to first of J uly, then it may come to Q2. So this Q1, Q2 for our kind of business is very, very difficult for you to track. Q1, we grew at

100%.

Now if somebody is expecting that they want to go Q2, Q3, Q4 at 100%, we are not even guiding that. So this -- so you need to look at a YTD basis, and I answered this question umpteen times. And we will answer the same thing that please look at it at YTD b asis. You look at our guidance where we have always guided 35% to 40% on an annual basis, and we have performed better than that. And this movement from Q1 to Q2, it could be different the next time.

It's just that one day, it matters. And we -- our orders are so large that we cannot not fill something which requires billing on the last day of the month and move it to the next day to prove them this quarter -on-quarter. We can't do that.

Vibhor Singhal: No, obviously, I think nobody would want you to do that any which way. I think the business looks in good shape without that as well. Perfect. Got that idea very well. Just one last kind of a bookkeeping but -- just a last bookkeeping question from my side . I mean a very trivial one. So this entire strategic orders that we have got, we would be booking the revenue whenever it starts doing in the AI enterprise segment? Or would we be carving out a separate segment for these orders?

Sanjay Lodha: This will be -- basically most of it will get booked into the AI segment actually.

Vibhor Singhal: AI segment only. Got it. Got it, sir.

Sanjay Lodha: It will always be reported separately. Our basically organic and strategic will be reported separately.

Moderator: The next q uestion is on the line of Mr. S rinivasu K from TIA.

Srinivasu K: My first question is about, there is a huge competition across compute vendors across the world like NVIDIA, AMD and Intel. And there is a high chance that GPU prices will be falling down.

So what is your pricing book to handle this? Do you pass through mo st of this pricing decline or retain the same set to protect your 14% to 15% EBITDA margins?

Sanjay Lodha: So basically, we are not box pushers actually. If you see our trajectory very clearly, you will see that basically, we build our systems. We have our own software stack and basically -- so basically, it's not primarily a system sale or a box sale. So basic ally, we are not impacted by such kind of things. But basically, we are already -- if you see our technology provider side, NVIDIA, Intel and AMD, all the three are there.

So basically, whatever technology comes from whichever vendor and whichever gains traction, we are equally equipped to handle it. But as regards to your question on the practically on the margin side of it, the margin is for our -- basically the kind of ef ficient systems, which we build. We try to create a differentiator for us.

The kind of unique situation which we want to do and plus the software stack we have, the

services stack we have. So that definitely helps us to retain our margin constantly because if you see around 10% PAT, we have been maintaining continuously.
And the competition is normally is all on lower single -digit kind of margin. So that differentiates us from them. But coming back still my temptation to answer you will be there that still NVIDIA has been the market leader by several times actually vis -à-vis as regards their GPUs are concerned, over with NVIDIA -- over with AMD and Intel.
And though definitely, both the other companies are also promising and they are also trying their level best. But at this point of time, the market situation for at least some more time, it feels like that GPU will be dominated by NVIDIA.
Moderator: The next question is from the line of Mr. Anuj K hasab from A3 Capital.
Anuj Khasab: Congratulations Mr. Lodha for the good set of numbers. I just want to know from your side, can you paint a 3 to 5 year picture for as a company, as a stakeholder in the company?
Sanjay Lodha: Thanks for your question, actual

ly. So basically, if you really see the funnel, if you really see how the business is growing, that can be seen from the funnel. So basically, the funnel is somewhere around, we are sitting at a funnel of around INR4,000 crores plus funnel actually.
And as I've been mentioning, the conversion ratio is around 60%. And that basically -- that keeps on adding every day.
And the normal time for conversion is between basically 6 months to 18 months for us. So basically, that gives me the confidence that I will keep my growth at, at least 30% to 35% for -- at least for three years to come. So that exactly would be my guidanc e. Actually, as regards the organic situation is concerned, definitely, on the -- basically on the strategic side, I would not like to guide because that's something basically as it comes, we report.
Anuj Khasab: And sir, I don't do this. Sir, as you mentioned that the funnel right now is INR4,000 crores plus.
And sir, how sustainable that funnel itself is growing like 6% to 8%? What is your assumption with regard to it?
Sanjay Lodha: Yes. So basically, again, the funnel doesn't include any of the strategic actually. The strategic funnel is not included in the funnel. It is basically our organic funnel, which is there. So basically, it keeps on -- because since the order sizes and the t echnology refresh and all those things keep on coming, at times it grows by 15%, at times it grows by 6%, so -- but basically, constantly, I'm very sure that, that will keep me -- at times, I have seen it growing even by 30% because basically, there is a large order in the pipeline immediately it keeps on growing. So that gives me the confidence that it will keep my growth momentum on.
Anuj Khasab: I may be wrong sir, you said the funnel itself is there, we cannot -- you are absolutely right, we cannot estimate how the funnel will grow, like data is a new line. If like Netweb is supplying refinery parts for the oil refinery, am I right sir, like if you were to build a case basis for that?

Sanjay Lodha: I didn't get you, please come again, sir.
Anuj Khasab: Sir, I was making a hypothesis, like in the oil boom when oil was growing, data is new oil, data is growing by leaps and bounds, the same way like -- from like 1970s, we used to compare. We are also in the same position only right now?
Sanjay Lodha: Yes. So basically, I'll tell you, you have to see the business in a different way, actually. The three segments, which generates 90% of that business. You see the supercomputing we are doing for 20-plus years. If you see none of the business, we have start ed just yesterday. So supercomputing, we're doing for 20 -plus years and it has been constantly growing for us.
And you see how the supercomputing adoption has increased. Basically, various domains, various areas, all kind of automobiles, research and development, even consumer companies for R&D, they are also using it. So supercomputing is growing. Data center boom , I don't need to even explain on this call, how India is currently experiencing the data center boom, so Private Cloud and HCI will keep on growing for that.
You can very well understand gone are the days of bare metal kind of things. So basically, everything will be done on the -- basically on the everything -- as the data center grows, the Private Cloud market will grow. And AI, again, is a growth momentum.
So all the three areas, which we are there, they are all growing actually. And we don't want to basically primarily over -- kind of overcommit or something of that nature. But still, I personally keep that the growth momentum given the tailwinds and all th at, it definitely gives me -- very confident that I'll keep on growing at 30% to 35%.
Anuj Khasab: And sir, last one, sir, if I may push in. As a Board, like do we have discussed or do we even have this on t

able like as a company if we want to enter into data centers or like some other lever we want to attach to our company, just as a discussion?

Sanjay Lodha: No, sir. Basically, we have discussed it phenomenally. But personally, our business model is different. We don't want to get into setting up data centers or providing cloud services directly because basically, all our customers try to do it. So our forte i s primarily R&D.
We try to do R&D completely on the hardware, designing our hardware completely in India and manufacturing it completely. Then basically the software ecosystem, software stack. So basically, the -- we have almost all 0 or very negligible dependency on third -party. Host of products are designed and manufactured by us. So the focus is more on that. But at this point of time, we don't have any plans to set up data centers or getting into cloud services.
Anuj Khasab: Okay. Just one question, sir. Sir, as a company leader, to whom in Indian market, to whom you see yourself as an -- which company do you see your competition with?
Sanjay Lodha: That is a very difficult question for us. At points, basically, I really -- we have a very unique solution actually, a unique product. And like personally in the Indian market...
Anuj Khasab: I wanted to get out of -- out of your -- horse's mouth is like you are the one in the industry, right?

Sanjay Lodha: I don't -- I will not like to say that. Basically, some few companies getting together because primarily ours is hardware software kind of combination. Hardware and software companies can come together and try to basically -- try to build and give a soluti on. I don't say that I have a monopolistic situation or something of that nature. But definitely, we have an advantage.
The way we have designed and we have kept our focus, please understand that we never got into volume manufacturing. We never got into box selling. So that has actually kept us basically the uniqueness in the company very much intact.
Anuj Khasab: I remember last time also you mentioned that we deal customer to customers like whatever FOQs you get from them, you deal accordingly with them like university different study case you throw different study case .
Sanjay Lodha: Thank you.
Moderator: The next question is from the line of Bharat Gulat e from Dalal & Broacha.
Bharat Gulate: Sir, I wanted to understand a little deeper on the -- on your Private Cloud segment. So that's almost contributed to 34% this quarter, but our margins are still at around 15%. Now what I understand is that Private Cloud is a high -margin business. So what k ind of offerings do we exactly provide in our Private Cloud business?
Management: So first of all, what you might be comparing us with that we provide the complete private cloud stack, but we don't render cloud services. That is one. Second is that the stack you want to understand, what does it comprise of? So first of all, it is compri sing of the complete hardware, the middleware and the cloud stack, which we integrate with the end customer utilities. That is how we build the complete Private Cloud.
So we have got two solutions available. One is called Skylus and second is Skylus.ai, which is also related to AI, but we are also using as part of our Private Cloud solutions as well. So that is how we offer our solution and how do we compete is that the traditional way of doing private cloud design.
So we basically do not need any commercial virtualization software in order to deliver this solution. So that is how we basically provide a unified start comparing with -- as compared to the other options which are available in the market, wherein you have to have the hardware separately purchased, network separately purchased, have to have the virtualization commercial software available. So that all is not n

eeded in our case.
Bharat Gulate: So sir, it would be right to understand that we don't provide any software as such when we talk about private cloud, it's more the infrastructure that we are setting up on -prem for our customers? Would that be the right understanding?
Management: No, no. First of all, as I explained, I explained you three layers, hardware, middleware and the cloud stack. So cloud stack and middleware are basically software only.

Bharat Gulate: So if we are providing them the cloud stack, then wouldn't that work out to higher margins in our case?
Sanjay Lodha: Please understand that we are not selling the cloud stack separately because normally, basically, if I sell only the cloud stack, then the cloud stack can have higher margins, but we are selling the compute solution, and we see selling the compute solution , hardware and software all together, definitely, the kind of margins we are commanding are very comfortable margins. And particularly, all this is being sold and basical ly to the enterprise customers.

So the kind of margins which we are commanding, like basically, if you take my competition,
they will take a hardware like they will take a Dell machine, and they will take a hypervisor
separately from a software company try to bundle it and then try to se ll it. Whereas in my case,
it's completely end to end. So I hope that makes you understand very clearly.
Bharat Gulate: Right. Okay, sir. Sir, and would it be possible to give what verticals are our customers and for
our Private Cloud system? I mean, not specific customer names, but what verticals and what
segments do they operate in?
Management: Presentation covers all that.
Sanjay Lodha: Our presentation, if you really see that, that has got the details. If you see that in detail, it is
mentioned there. Because basically, our customers are ITES companies, enterprise companies,
different, different -- a wide variety of customers use our clo ud solutions actually.
Moderator: The next question is from the line of Miloni Mehta from Monarch Capital.
Miloni Mehta: Sir, I just wanted to understand what is the margin profile on these AI Mission orders? And how
do we compare it with your existing HPC and enterprise business segments?
Hirdey Vikram: So we already answered.
Sanjay Lodha: Yes.
Miloni Mehta: Okay. Can you just maybe give a margin range for AI Mission orders?
Ankit Singhal: So as a policy, we do not disclose order -wise margin analysis. So from the margin perspective,
these large orders will be different from regular that's what we have told. And still, the margins
are -- will be on the lower side, like 150 to 200 basis points at PBT level. That is what we can
guide.
Sanjay Lodha: So margins, you can say, is slightly lower. But basically, we are guiding at this point of time on
the strategic orders. It is -- as Ankit mentioned to you, it will be 150 to 200 basis points lower.
Otherwise, basically have strong margins.
Management: So -- so but other than margin, I think there are other factors which have to be looked at, that
these are all risk -free transactions and all. The way we have made a very robust payment such.
So all these factors are also required to be looked at.

Ankit Singhal: And keeping the size and the scale of these engagements, we feel that these are the top -notch
quality margins that we have maintained.
Miloni Mehta: Okay. Got it. And secondly, specifically on Skylus.ai, can you share some insights on what kind
of market traction or adoption trends that we are seeing?
Management: So Skylus.ai is definitely helping us to create a lot of traction in the market. The reason being
the way we have designed this solution, this has basically completely revolutionized the AI space
because we are

providing the complete hardware along with th e layer of AI stack which helps
customer to get the user onboarding done and GPU abstraction done.
So there are many such features which customers were looking for, for many years. And we
were working on that front for the last 4, 5 years, and that has resulted into Skylus.ai. So from
that perspective, I think the kind of growth you are seeing in our ca se, in the AI domain, that is
basically definitely contributed by the latest architecture of our systems as well as the software
stack like Skylus.ai.
Miloni Mehta: Okay. Got it. So that's it from my end. Rest of my questions are already answered.
Moderator: The next question is from the line of Sum eet Jain from CLSA.
Sumeet Jain: So firstly, I wanted to check around your R&D cost. I mean, do you disclose your R&D cost as
a percentage of sales? And in terms of number of patents being filed this year compared to last
year, given you have mentioned that a lot of your solutions are pur e tech led with a lot of software
and hardware design? So just limps of R&D costs and patent filings?
Sanjay Lodha: So basically, as with our R&D costs, we have been mentioning it time and again that we spend
around 3% of our turnover primarily into the R&D, and that is a practice because basically a lot
of R&D happens in our company. That is one. And the second is as r egards to patents, we have
been regularly filing patents and we have been getting approvals also.
So though we started late, we started filing patents around 3, 4 years back. And basically, but
we have some -- I think some number of patents, I don't remember the number actually, but that
might be mentioned on our website. So basically, but we are very, very prompt in getting --
registering our patents and designs and all that. So all that is constantly being done.
Ankit Singhal: Also, I would like to add that we do not capitalize any R&D costs. So primarily, it's been the
people cost, software required for the R&D, a lot of testing equipment goes. All these are
expensed off in our P&L, we do not capitalize it.
Sumeet Jain: Got it. That's helpful. Secondly, I wanted to check around your market share in the 3, 4 segments
you highlighted in your investor deck, and you have also given the overall market sizing in each
one of them. And it seems like your market share is in single digits in each of those categories.

Since we don't get any overall market share data or anything in any of these categories, can you briefly flag, I mean, are you gaining market share, losing market share or it's largely stable?

Sanjay Lodha: So basically, because you have to understand that we are basically not a box seller, okay? And we are primarily -- we are not into SMB and those kind of areas. So just coming specifically to like supercomputing. So HPC, the total market would be around wha t we feel is somewhere around INR4,000 crores. Currently, the market which we are addressing is somewhere INR1,000 crores.

Out of that, we are doing around INR400 crores to INR500 crores approximately. So basically, addressable market for us is around INR1,000 crores because the other market is primarily ISV driven. And basically, that market is not targetable for us. It will take me a long time to explain you those details over this call. So out of that, so I personally feel around 30% to 35% of the marke t share has been governed by us, okay?

And coming to the second segment, that is Private Cloud. So Private Cloud, you know that we are primarily focusing only to large enterprises. We are not selling into the small and medium enterprises. And you know how the data center business is growing. It 's very difficult to clearly capture the kind of market size actually because the data center market is growing like anything. And basically, data ce

nter market is growing into different areas. So basically, SMB would be some portion of it. But basically because the large enterprises are concerned, we have gained traction with a lot of users and large enterprises. So basically, th ere, we have a good market share and plus 35% kind of growth which we are seeing constantly. So definitely, in the segment we are working upon, we are doing quite well.

Again, coming to AI. Now AI basically, the total market size determination has been an issue, actually, really speaking, because by the time we start determining the market size, the market share becomes double or triple actually.

But basically, if you really see the kind of strategic deals which we are trying to get in, and we are trying to get into the enterprise segment of it. So definitely, we are very, very comfortably placed. And basically, our order book, our strategic wins, our R&D expense can all justify all that. So that's exactly in short, I would like to answer you.

Sumeet Jain: No, that's very helpful. And maybe my next question is around your order book. I mean it seems it will be -- it's pretty lumpy. And obviously, now you have got the Indian government order. So it's even more lumpy. But can you just flag going forward, let's say, over a 3 - to 5-year period, do you expect your order book to remain lumpy? Or do you expect a very high level of repeat order growth...

Sanjay Lodha: I contradict you, my order book -- basically, my business is not lumpy at all actually. You need to really see and observe my business for at least 3 to 4 years. And you will find that, it is not lumpy at all. And I have always been telling you that my ord er book is not the real -- basically will not give you the visibility of my business. Last quarter, the order book was quite low, but still the business happened.

So basically, what is happening is that -- and why that is happening actually? Because basically, the order cycle is somewhere around 8 weeks to 16 weeks for me, okay? So basically, the order cycle, the order execution cycle is very fast.

So basically, you have to see the funnel actually, the INR4,000 crores worth of funnel, which I have the organic funnel, which we have, that gives me constant revenue and basically around 60% kind of conversion rate. So that gives me robust revenue, and that gives you me the confidence of the growth of 30% to 35% .

If you see constantly, we have been growing at these rates actually and order books basically have never been saying that you can gauge my business based on the order book actually, really speaking. So and -- I personally feel that business is not lumpy at all. I contradict that.

Sanjeev Sancheti : In fact, I would like to also add here, very pertinent that if my business was lumpy, then I wouldn't have a 75% plus repeat customer. So I think probably a few quarters once we start tracking then you will get to understand is it's not lumpy. We do not ch ase annuity revenue. We do not chase repeat revenue. We target refresh cycles. And hence, when the refresh happens, the present order will always be much larger than the previous order.

Sumeet Jain: And what is typically this refresh cycle timeline like it is 2 to 4 years?

Sanjay Lodha: I will answer that. Basically, if you see the -- all this -- we work with all the major technology

providers like Intel, AMD, NVIDIA and all. So their refresh cycle is somewhere around 12 to 18 months. And what we have seen with our customers is basically approximately between 3 to 5 years. So some more -- if you see, I think 70% is 3 years and some of it is 5 years.
Sumeet Jain: Got it. Got it. And lastly, I want to check the operating leverage in your business. I mean, we have seen EBITDA margins being largely in that 14% band for now 3 to 4 years despite the revenue growth being very strong. So any comm

ents around operating leverage in your business?
Ankit Singhal: So overall, what we can guide is the operating margin which will obviously inclusive of the leverage and if it's going to come, so the margins are expected to be between the range of 13% to 14%, including all the operational leverage that we will be gettin g.
Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.
Sanjay Lodha: Thank you for your patience and basically putting your questions, definitely. Thank you so much.
Hirdey Vikram: Thanks a lot.
Moderator: On behalf of IIFL Capital Services Limited, thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

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SUB: TRANSCRIPT OF Q 3 FY2 5-26 POST RESULTS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations), please find enclosed the transcript of Post results earning call for Q 3 FY2 6 held on Mon day, 19th January 202 6.

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer

"Netweb Technologies India Limited Q 3 FY'26
Earnings Call "

January 19, 2026

MANAGEMENT : MR. SANJAY LODHA - CHAIRMAN AND MANAGING DIRECTOR , NETWEB TECHNOLOGIES INDIA LIMITED
MR. NAVIN LODHA - WHOLE -TIME DIRECTOR ,
NETWEB TECHNOLOGIES INDIA LIMITED

MR. ANKIT KUMAR SINGHAL - CHIEF FINANCIAL
OFFICER , NETWEB TECHNOLOGIES INDIA LIMITED
MR. HIRDAY VIKRAM - CHIEF SALES AND MARKETING
OFFICER , NETWEB TECHNOLOGIES INDIA LIMITED
MR. SANJEEV SANCHETI - HEAD OF UIRTUS ADVISORS
AND IR ADVISOR TO NETWEB TECHNOLOGIES
MODERATOR : MS. RENU BAID - IIFL CAPITAL SERVICES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Netweb Technologies 3Q FY'26 Earnings Call hosted b y IIFL Capital Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Renu Baid from IIFL Capital Services Limited. Thank you and over to you, ma'am.
Renu Baid: Thank you. Very good afternoon, everyone. On behalf of IIFL Capital Services, I welcome the team of Netweb Technologies for the Q3 FY'26 Earnings Conference Call .
Today, we have with us from the management senior team represented by Mr. Sanjay Lodha – Chairman and Managing Director; Mr. Navin Lodha – Whole -Time Director; Mr. Ankit Kumar Singhal – CFO; Mr. Hirday Vikram – Chief Sales and Marketing Officer, and Mr. Sanjeev Sancheti – Head of Uirtus Advisors and IR Advisor to Netweb Technologies.
Without much time, I would now like to hand over the call to Mr. Sancheti for his opening remarks. Thereafter, Mr. Lodha can take over. Thank you and over to you, sir.
Sanjeev Sancheti: Thank you, Renu. Good afternoon to all the participants. Before I hand over the cal l to Mr. Sanjay Lodha for the opening remarks, I would like to draw your attention to the safe harbor statement in the earnings call presentation. I request each one of you to go through the presentation before the Q&A starts so that you are aware of the s afe harbor statement. Thank you and over to you, Mr. Lodha.
Sanjay Lodha: Thank you, Renu and Sanjeev. Good afternoon and a very warm welcome to all of you to the Netweb Technologies Q3 FY'26 earnings call.
We are proud to state that Netweb has delivered a record -breaking quarter, achieving its highest ever income and profit. Quarterly revenue stood at Rs. 8,049 million, registering a strong growth of 141% year -on-year and 165% quarter -on-quarter. The Company reported an operating EBITDA of Rs. 979 million in Q3 FY '26, reflecting a strong year -on-year growth of 127.1%, while profit after tax reached Rs. 733 million, marking a robust 146.7% growth year -on-year.
During the quarter, Net web successfully executed a large strategic order valued at Rs. 4,504 million, reaffirming its position as India's largest OEM in high -end computing solutions. As communicated earlier, this implementation is of national significance, aimed at strengthening India's AI compute infrastructure.
In this context, we would also lik e to give a broader industry update. As many of you may be aware, the global supply chain, particularly for the flash memory and storage, is experiencing a strong demand by the rapid acceleration of AI adoption worldwide. This surge has led to industry

wide price increases along with tighter availability. However, owing to our proactive supply chain planning and long -standing partnerships with key technology providers, we have managed these situations very effectively and continued to support our business r equirements without any disruptions. With the execution of this order, the AI system segment contributed to 64% of Q3 Financial Year '2 6 revenue and 48% of 9 -month Financial Year '2 6 revenue. We would like to emphasize that alongside the accelerated growth of AI, our other two core segments of HPC and Private Cloud are also witnessing strong and sustained demand. This exceptional performance underscores Net web's steadfast commitment to in -house design and manufacturing of next generation systems fully compl iant with Make in India initiative and highlights our contribution to India's em

ergence as a global hub for high -tech manufacturing.
Our order book is very robust with organic order book at 5,258 million and strategic order book at 17,336 million. This ord er book along with strong pipeline positions us for strong sustained growth over the next few years. Net web's continued focus on its three strategic growth pillars, HPC, Private Cloud and AI systems is enabling us to capitalize on strong industry tailwinds .

Supported by these core strengths, we continue to remain the technology leader in the high -end computing system space.
I now request Ankit to take you through the financials. Thank you.
Ankit Kumar Singhal: Thank you, Mr. Lodha. Good afternoon, ladies an d gentlemen and thank you for joining our earnings call.
Before we open the floor for Q&A, I will provide a brief overview of the financial performance for the quarter and the year gone by. I trust that by now you have had the opportunity to review our ear nings presentation and press release. While our CMD has already discussed the macro outlook, I will elaborate on the financial performance, providing a more detailed analysis.
Our operating income for Q3 FY26 stood at Rs. 8,049 million, showcasing a growth of 141% YOY and 165% Q -on-Q. Our operating EBITDA for Q3 FY ’26 stood at Rs. 979 million, showcasing a growth of 127.1% Y OY and 115.4% Q -on-Q with a margin of 12.2%. Profit after tax for Q3 FY ’26 stood at Rs. 733 million, showcasing a growth of 146.7% Y OY and 133.2% Q-on-Q with a margin of 9%. Our operating income for 9-months FY’26 stood at Rs. 14,099 million, showcasing a growth of 92% Y OY. Our operating EBITDA for 9-months FY’26 stood at Rs. 1,883 million, showcasing a growth of 88.7% Y OY with a margin o f 13.4%. Profit after tax for 9-months FY’26 stood at Rs. 1,352 million, showcasing a growth of 90.1% Y OY with a margin of 9.5%. Return on equity for 9-months FY’26 was 30.5% while return on capital employed for the same period was 41.3%. Our cash conversi on cycle as of December 2025 stood at 69 days, reflecting significant improvement compared to the previous quarter. Our balance sheet strength is reflected by us being a zero net debt company. The Company had net free cash of Rs. 1,900.8 million as on 31st December 2025.

Our strategic roadmap and growth priorities remain on track, supported by strong year long term momentum, a healthy order book and a solid pipeline. We are positioned to deliver consistent revenue and profitability this fiscal year.
With th is, I now hand over the call to Renu Baid.
Renu Baid: Yes, we can now start with the Q&A session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Seema Nayak from ICICI Securities. P lease go ahead.
Seema Nayak: Hi, congrats on a great quarter. So, my first question is, can you tell us the timeline of execution of strategic deals? Is it the same as before or are there any changes? And second is regarding the HCI and HPC segment growth, which have been rather slow in this quarter. So, what has caused this muted growth and how will the growth pan out going forward?
Sanjay Lodha: So, basically, our guidelines on the execution of the strategic order remains the same. Basically, we had guided that one order should be executed by Q4. Actually, it got preponed to Q3. So, basically, you already saw that. And we target to do at least one -third of the order in this year, basically, overall. So, guidance remains almost in the same line. As regards to second question on muted growth of basically our HPC and private cloud segment, completely I think that's not true, because basically, the gro wth of both the segments have really been growing constantly. But what happens is, since basically there is a large order execution, so on a Q -on-Q basis, we could , so basically,

we cannot, basically, what happens is in our kind of business, it becomes very difficult to measure anything quarter -on-quarter basis, actually, because basically, we have very large enterprise and government customers. So, order execution, since basically, as I mentioned to you, as since the last strategic order, I have not guided that it will be done in Q3. We pulled it to Q3. The same way, basically, quarter -on-quarter, it can vary. But overall, basically, our both the segments, as you might have seen the Q1, Q2 and the overall 9th month results are very robust and really are bec ause all those areas are really demanding, like basically supercomputing is growing at a good way. And private cloud, again, the datacenter market is booming.
Sanjeev Sancheti: So, I just like to add here, Sanjeev here. So, if you look at the YT D growth, t hen these two segments have done over 20%. And there will be some quarters where some segments will do better and some segments will be lacking behind. But overall, I think these three segments will continue to grow at a very strong pace, as we have guided earlier. Of course, we have to remove the strategic order and then see the growth of the other segments, AI segment.
Seema Nayak: Thanks. My next question is regarding exceptional items. So, many companies have announced cost from implementation of new la bor codes. So, any reason we have not announced?

Ankit Kumar Singhal: So, Seema, there is no material impact of new labor codes on our financial because as per the new labor codes, there is a revision in the wages definition and we were already complied on the structure that new labor codes have kind of clarified. So, that is why there was no impact on us.

Seema Nayak: Got it. Thanks and congratulations.

Ankit Kumar Singhal: Thank you.

Moderator: Thank you. The next question is from the line of Nishant Gupta from Kotak PMS. Please go ahead.

Nishant Gupta: Hi, sir. Thanks for the opportunity. Congratulations for the good set of number. I had just one question, more of a strategic question as such. How do you foresee the budget for AI mission evolve in com ing quarters as the initial allocation orders were only for 4 ,500 odd crores and 10,000 GPUs? When do you think further orders would get placed and what would be our win percentage within that? Thanks so much.

Sanjay Lodha: The common focus is phenomenal o n AI actually. As you might be aware that recently the new AI impact summit is being held from 17th to 20th of February where Prime Minister himself is supposed to be sharing the stage with NVIDIA CEO. So, basically there is a lot of focus and impetus from the government on the AI side of it and AI mission has been there and basically we have always been saying that AI mission will basically roll out and you already started seeing it roll out actually. So, as I have been telling continuously, there are two parts of AI mission actually. One is they will be taking GPUs on lease from the CSPs and then offering it to the startups and basically various kind of bodies who are working on citizen centric services so as to enable those kind of development. The second part will be wherein the government will be clearly buying the GPUs for their own basically own datacenters and all. The second set of things are yet to come but the first has just started. So, there is a lot of pressure on the government also to increase their spending and I think there are phenomenal planning and phenomenal execution is going on in that case and plus basically there is a lot of assurance and there is lot of the statements from the government clearly indicate that they are ready to even o ffer more money. So, I do not think money is a challenge but primarily the spending has started and I think it will gain momentum as the time passes on.

Nishant Gupta: If I could jus

t clarify one small thing. So, in the earlier case, correct me if I am wro ng, in the earlier case it was the order was placed for 10,000 GPUs and 4,500 odd crores and in that I believe we have 120 -170 odd crores of strategic order which you had announced last quarter. Now, has this entire 4,500 odd crores tender been released an d orders been placed or we are still left with certain orders being placed within that 4,500 odd crores?

Sanjay Lodha: Yes, I would have let Hriday answer that question but basically give me a brief and maybe Hriday can take it up from there. So, basically this was 10,000 crores was the value and the number of GPUs was not specified actually. The first thing is that and second is that basically

they are not offering the 4,500 crores, the GPU order has not come as yet. Basically, it will come in different wa y actually. Maybe Hriday if you can explain and elaborate that.

Hirday Vikram: Yes, I will do so. So, basically there are two sets of procurements which are happening right now. One is that we have to build the GPU, they want to render the GPU services to the internal CSPs. That is one effort of procurement by Government of India. Second procurement is that what you were referring to that they have to do the procurement for on -prem infrastructure which we have to bring within GPUs. So, that is yet to start. So, what we have been executing so far or what we have shown as the strategic orders what we have picked up that is pertaining to the first type of procurement what they have done. So, second is yet to start. I hope this answers your question.

Nishant Gup ta: Sure, that's helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Renu Bai d from IIFL Capital Services Limited. Please go ahead.

Renu Baid: Thanks for the opportunity, sir. So, my first question is , recently obviously we have been hearing a lot about the shortages in memory chips especially for DRAM and HBM. So, A, what is the share of DRAM, HBM in our bill of materials and how are you seeing the shortage of these chips impacting or having a potential impact on your ex ecution timelines and margins given that most of our orders are fixed price in nature?

Sanjay Lodha: So, basically, as regards to basically the BOM, normally we don't share the BOM actually. That basically the percentage of a component in a BOM and actuall y it varies also as per the user requirement as per basically what they need and what is their application and all that. So, it is not fixed as such. So, but definitely memory and flash and storage is a substantial part of the BOM. There is no doubt about that. But answering the question on the other side is that basically as we all are aware that there has been huge shortages and huge price jump and all this is happening becau se of the AI demand actually surging worldwide. This is not a domestic event. This is an international event wherein basically the complete the AI demand is surging like anything and so the manufacturing capability of memory and other things are not able t o cope up and that is resulting into shortages and price hikes. So, but you see that even that was happening but still we have performed , all our deliveries and our performance has been robust . We have grown. Our revenue has grown by such a huge number. Th at has only happened because basically our supply chain planning has been very very effective and since basically you have to understand one thing that the industry is experiencing shortages in flash and memory but we have we manage this challenge effectiv ely through proactive supply chain planning and strong technology partnership. Our focus on high -end niche solutions rather than box pushing allows us to maintain deep and long -term relationship with key suppliers which gives us priority access to critical components

such as storage and memory. For new orders pricing will be aligned with the prevailing market dynamics at the time of the order placement. This approach ensures transparency while allowing us to continue delivering reliable high -performance sol utions

despite ongoing supply constraints. So, it's very clear that basically we are minimally impacted and I don't think this will impact either our profits or our delivery timeline.

Renu Baid: Thank you , sir, for this. The second question is if we look a t the organic growth excluding the strategic order execution which was done in the current quarter was fairly soft at just about 6% YOY. So, if you can share some inputs in terms of how is our capacity lined up to sustain the organic growth momentum in 30 % to 40 % CAGR range which we have been highlighting over a longer period timeframe and were there any specific issues in terms of delivery deferments or other elements which impacted the organic growth in the particular quarter and what would be our guidanc e on the organic growth side for the annual fiscal '26 and fiscal '27?

Sanjay Lodha: Answering your first the last question first as we have been guiding all along that our growth will be at 30 % to 40 % CAGR , we still maintain that on the organic side and w e will basically if you see the order book that will all give you the confidence it's Rs. 525 crores on the primarily on the organic side plus L1 is around Rs. 300 crores that makes us around Rs. 800 crores. So, basically order book is really full and we h ave a very good order book on the organic side that gives me the confidence that it will continue at the same way. Your other question was primarily on the on the supply , basically on the manufacturing capabilities or the capacity. So, we have always been saying that we are not a capacity -based organization , we are a capability -based organization. So, primarily basically we don't need to make any kind of , primarily we don't have any capacity challenges like manufacturing capacity and all that because we hav e very clearly indicated that up till 2,500 crores to 3,000 crores we our manufacturing facility is almost all very very sufficient. We don't need to really invest into CAPEX and all , so that's not a limiting factor . But what happens is that definitely once a large order comes in , at some point some small orders get pushed into the next quarter . So, that may result into some kind of number kind of changes. So, that's the reason I always say that , in our kind of business you cannot see anything on quarter -on-quarter basis you have to see it at least basically on a year -on-year basis or if not H1 -H2 kind of a basis.

Sanjeev Sancheti: Even if you look at if you if you ignore the strategic order on a YOY basis we have grown over 30% for 9-months.

Renu Baid: Thank you.

Moderator: Thank you. The next question is from the line of Vinay Menon from Monarch Capital. Please go ahead.

Vinay Menon: Hi sir, thanks for the opportunity and congratulations on a great set of numbers. So, a few questions from my side , sir, that margins have come down for us in this quarter and we were expecting margins to come down because of the large deal execution and next three quarters we will continue to execute this large deal. So, can we expect margins to be in this range for the next 2 to 3 quarters?

Sanjeev Sancheti: Let me just take this question. So, we have guided that we will be about 200 basis points lower at the PBT level on the strategic order because obviously these are very strategic large order and that's the way these orders would come. So, if you kind of remove the strategic order and do a weighted average then you will see that we would have done a PAT margin o f about 9.9% in the quarter and YT D above 10%. I me

an I think we continue to guide the same , in strategic order we will be about 200 basis points lesser on the PBT level and whatever mix we then achieve every quarter probably you can be guided by that.

Vinay Menon: Okay, so just to understand because we did 15% margins for the last two quarters and you had mentioned that these are exceptional margins and the range will still be between 13 to 14. So, is that the range we should take for the constant business going ahead?
Sanjay Lodha: Yes, you are absolutely right because you can very well understand , in today's market dynamics if we are able to just take up orders worth 500 crores at 200 basis points below , I think we should be complimented for that , because it's really in this world which is very dynamic and which is really basically all these kind of solutions are being sold and adopted in spite of everything. So, definitely that helps that speaks a lot about our Company's products and the range of solution .
Vinay Menon: Okay, ye s completely agree, sir. A nd just two more questions. One is on the cash flow. So, in the first half we posted 100 crore plus cash flow from operation (CFO). So, for 9-months what's the status and is there any inventory pile up for the execution which we will do for the next few quarters?
Ankit Kumar Singhal: So, Vinay as far as inventory pile up is concerned. So, all inventory is basically for our upcoming orders and stocking of our critical components. So, there is no pile up as su ch if you see our inventory days were maintained at 60 days as of 31st December and regarding the cash flows we had positive operating cash flows in this quarter by close to like …
Sanjeev Sancheti: Quarter was Rs. 33 crores and YTD was about Rs. 134 crores. Cash flow from operating activities. Inventory days itself says that there is no inventory pile up.
Vinay Menon: Yes. I just want to understand for Q4 how are we placed so that we can get clarity for the year.
Sanjay Lodha: Inventory planning is ve ry good. The supply chain planning has been happening very well. Actually, the technology providers are helping us. So, definitely we are very, I don't think we have anything to worry on the inventory side actually seriously .
Vinay Menon: Okay, and just on e last question from my side sir. Like you've seen the way like ASICs are coming as an alternative to GPUs and like there is a big risk that GPU demand might just come down in H2 of ‘27 and how are we placing ourselves for that because we do have a very go od relation with NVIDIA but are we looking to build relations with people who are in ASICs like you know Google or Broadcom. Is that a plan for the Company?

Sanjay Lodha: Actually, really speaking if you really see the kind of today you are seeing that mem ory shortages, shortage of storage and everything is happening because of the AI demand surge. Okay, so what my personal feeling is that we are at the tip of the iceberg actually really speaking. People may talk about bubble and all but basically what my f eeling is definitely AI has just started and basically if you see the demand, the worldwide demand that answers it very well. Nobody can sustain that but there is a wishful thinking that we need a substitute. Definitely, so Netweb is a very open company. We are not married to anybody that we have to work with only NVIDIA or somebody else. So, we are very clear and we are always open to working on new technologies. The only thing which we work is that we work on complete technology indigenously. We design our hardware, we manufacture our hardware, our software, everything in India. So, basically it may be Google, it may be anybody else. We are more than glad to work if there is market adoption and market dynamics desire that we are fu lly capable of doing that.
Vinay Menon: Okay, thank you so much. Thank you for the o

pportunity. Thank you.
Moderator: Thank you. The next question is from the line of Akshay from AK Investments. Please go ahead.
Akshay: Hi, sir. First of all, congratulatio ns for the great set of numbers. Sir, I was just having the question regarding our order book. Our organic order book is strong and obviously the L1 is combining around more than Rs. 800 crores but for the strategic order, are you seeing any kind of deal o r any big size of order for the next longer term for next 1 to 2 years?
Sanjay Lodha: Yes, definitely yes because basically a lot of discussions going on. There is a lot of activity happening but strategic orders we are not guiding as earlier. Strategic or ders we are announcing as we are winning it. So, we will maintain the same stand.
Akshay: Okay, sir. Thank you. All my other questions have been answered. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Anand B from Ksema Wealth Private Limited. Please go ahead.
Anand B: Good evening, sir. Congratulations on a good set of numbers. I have three questions. The first one is regarding your import components and your hedging policy for that. So, do you have a hedging policy for any import, the prices of any import fluctuations and just give a sense of what you have in that?
Sanjay Lodha: We have a hedging policy for currency fluctuations. The CFO will elaborate.
Ankit Kumar Singhal: So, there is a hedging policy very w ell adopted and to talk about it, we also have forward contract as on December end which close to like cover our 60% of our payables pertaining to the import payables. So, we are very well monitoring the situation on currency and doing the effective hedgin g wherever necessary. And just to appraise, there is an MTM gain also, although that is unrealized, but it comes out to be close to 2.8 crore of gain, which is appearing in our other

income category.

Sanjeev Sancheti: So, we have a clear hedging policy and obviously, the accounting is there as per the accounting standards.
Anand B: Okay. That is good. And second thing, in your 1st Quarter concall , you mentioned that you have some plans regarding quantum computing. Can you just elaborate a bit on like what s ort of plans you have in quantum computing? Is it like making quantum computers or related to software in quantum computing? Can you elaborate on that?
Sanjeev Sancheti: Actually, then also I told you, please have some patience. Once we have the complete quantum policy, we will come to you and we will let you know for basically market interest. At this point of time, for competitive information, we would not like to share our plans on quantum as yet. But definitely, we are working on the background. Once we have it ready to disclose, we will disclose it.
Anand B: Okay. That's fine. And my third question is, today you made a post saying that, like for F Y'26, the top line gro wth will come to around Rs. 2,000 crores. So, but would the revenue go beyond that? Are you still sticking to around Rs. 2,000 crores topline growth in F Y'26?
Sanjay Lodha: As basically as earlier also, we don't guide by the final number actually . You're a lready seeing the Company growing at a phenomenal rate. So, definitely, basically, we will only guide that our growth will be between 30 % to 40% CAGR on the organic side. We will still maintain that.
Anand B: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Shashank Jha from SB Capital. Please go ahead.
Shashank Jha: Actually, most of the question has been answered. But I want to understand what exactly you do in AI system. Like if you get a India AI order. So, are you pr oviding GPUs? Or you are doing model development? If you are providing GPUs, then why depreciation is not there?
Sanjay Lodha: So, basically, you will ha

ve to understand depreciation in order , that my CFO will answer you.
But basically, what we are trying to do, you need to understand that , we are designing the complete AI server actually. Okay, basically on the NVIDIA and all these people, we work with them, we have access to the roadmaps around more than around 18 months in advance, wherein we work with a ll the new design and architecture, we developed a very efficient product. We then basically once the design is done, then basically we buy chipsets from various technology providers. And then we have our own manufacturing capability where we manufacture i t. And then we finally sell it. And once we sell it, they basically that is along with the GPUs. GPUs is only one component of the server. GPUs by itself will not run actually, they need to be completely a part of the server actually. So, GPU come as chip to us. Okay, then that get integrated into the server. And then we sell it to the customer. So, the ownership is not ours. Once we sell it to the customer, the customer runs it, runs the GPU. Maybe I will get Ankit answer it.

Ankit Kumar Singhal: So, the business model is when we manufacture servers, we afferently sell it to the customer. For customer, it's a CAPEX purchase. It may be a CAPEX purchase. For customer, for us, it's a revenue event.
Shashank Jha: Okay, so basically, you are a provider, service provider here, actually.
Sanjay Lodha: Basically, beneath the application layer, we have got the complete stack which we provide. It's not basically that we are a provider of one type of component only. Benea th the application layer, we write some , compute, the interconnect the storage, and then the complete AI cloud stack and on top of it, the middleware. So, all these things are basically given in the form of a solution bias. It's not basically just that we are supplying the GP chipset because as we mentioned that GP U chipsets will not alone work on the system. So, that's the reason it has to be understood as a complete solution which we are providing.
Shashank Jha: Okay, then what is your role in data center s? Like, do you have a different segment? It's confusing for us a little bit. Like AI system, datacenter, it's all related. So, there is a little bit of confusion as to exactly what you do here and what you do there ?
Sanjeev Sancheti: Datacenter provider is our customer, we sell the entire system along with software. I will give you an example. The travel agent will give vehicle for rent. The manufacturer will sell it. We are manufacturer s here , please understand. Then it is depreciatio n for one who those who give it out on rent. I am getting the sale income for manufacturing. Is it clear now?
Shashank Jha: Yes. You buy GPU, you don't manufacture it for companies like NVIDIA, right?
Sanjay Lodha: How can we make GPU, we take the chip of GPU, NVIDIA gives us GPU. GPU will not run like the vehicle. GPU chip needs to be integrated to motherboard. They only it begins.

Shashank Jha: Got it. Thank you, sir.
Moderator: Thank you. The next question is from the line of Chi-Ho Wong from Pictet AM . Please go ahead .
Chi-Ho Wong : Hi, Sanjay and management. Thank you. Congratulations on the very strong earnings. I want to ask about the constraint because apparently your revenue is growing very fast. You talk about you don't have manufacturing constraint, but do you see any other constraint like labor, talent, and recently after you have an IPO doing very well, does that help you for your overall acquisition, talent acquisition strategy? And is that maybe a long -term line? Can you update how many people you actually have in the Company? And maybe on a year basis, how many engineers? How are you doing on the talent front? Thank you.
Sanjay Lodha: Thank you for your question. It's a very good question, sir. Thank you for

asking such a question,
actually. So, really speaking, basically, Net web is a company which is very clearly focused into its niche segments. We don't want to get into any kind of basically box pushing or basically volume manufacturing kind of situation. So, we have kept our focus ve ry clear. I think Net web

is successful because of that only. Net web has kept its focus very clearly into the supercomputing, into the private cloud, into AI. And all the three segments contribute 90% of my business. And all these three segments we are doin g for years together. None of these segments started somewhere a few years back. All the segments are more than 10 years old for us. So, basically, the major talent which we faced while we went IPO actually, I don't know whether I met you earlier or not, b ut I think I should have told you that basically what happened is that basically, earlier when we went IPO because we wanted to retain our talent and to hire new talent. We were 240 people while we went IPO. Today we are 600 plus. So, definitely that thing has been addressed very well because basically it has given us more visibility. Plus basically, so the technical talent is very, very important for us. If you know we are a product company, we are not a services company. So, we invest quite heavily on R&D . So, R&D talent is very important for us. Our R&D team is around 100 plus people, both software and hardware together. So, I think we have been able to definitely clearly been able to come away with the constant which we had primarily on the talent side. And we are doing very good on that. But definitely we are always looking for new talent, good talent. So, you will always find if you go to our LinkedIn page, you will find a lot of openings actually at all times actually. So, we are always looking for bet ter talent, good talent. So, that is definitely that is ongoing process. But I would like to tell you that we are much better off. As regards finance and all, basically really see we are a zero debt company. Our debt raising power is phenomenal. But basica lly we don't need debt actually because we are able to manage our finances very, very clearly. Our technology relationships also basically helps us so as to handle the supply chain also. Because we have large technology relationships with three or four maj or vendors which are also very long term relationships. These are not any short term relationships that is helping us. So, currently even in the situation where we had the storage and the memory is under shortage, but we get good adequate support. Same way basically with NVIDIA also we are currently working on the currently orders which we are fulfilling are based on Blackwell 200, which is same as any other large OEM doing in the world. So, basically in India also we are trying to do this. India is not at the back, India is at the forefront. We are already working on B300, GB300 on the latest chipsets. Same way on the Intel si de we are working on the latest chipsets. Again on the AMD we are again working on the latest chipsets. So, basically before the product release we have access to the roadmaps, we start working. So, the niche and the focus always helps us. And on the manuf acturing side also we don't find any constraint really speaking. Because you saw the growth but still we are saying that we don't want to increase our CAPEX primarily till the revenue of 2 ,500 crores to 3,000 crores. So, approximately we are very good at t hat. The other thing is basically acquisitions and all, definitely we are looking for acquisitions, but we are looking for acquisitions which can fast up our R&D process. Because we are basically whatever business we are doing we are very happy with it and all the three areas are very -very growth areas. But tomorrow instead if we can invest our own engin

eering team six months to one year
to develop something wherein, we can do acquisition which can speed up that process, that would be good. So, we are looki ng for such acquisitions primarily. I hope I am able to answer your question.
Chi-Ho Wong : Okay, thank you.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equi rus Securities. Please go ahead.
Sandeep Shah: Thanks for the opportunity and congrats on a good set of numbers again. Hirday sir, this is a question to you with reference to earlier question. With Google's TPU and Amazon's Tra inium OpenAI tie -up with Broadcom , have you also started doing some design R &D on these kind of a platform? Because as of now we are in prevalence and partnership with the AMD Intel and NVIDIA. So, do you believe these hyperscalers new chips can be also adopted by the enterprises or this could be more for their internal work?
Hird ay Vikram: So, thanks , Sandeepji , for your question. So, first of all I would say that as we mentioned earlier also for example for quantum we are unable to disclose much details at this stage. Likewise for chip designing etc . as well we are unable to disclose too many details at this stage. Maybe we can discuss one -on-one on this front. But yes , as we mentioned clearly that we are working on different technologies already. Be it x86 architecture based systems, be it NVIDIA bas ed GPU system architecture or the other probable options which are available. So, we are working on all those fronts. But yes , I mean disclosing the details at this stage would be too early for us to do it in this call.
Sandeep Shah: Okay , fair enough and just a clarification our target of one third for strategic order by Q4 of this financial year is for the total strategic order size of Rs. 2,184 C r. right?
Sanjay Lodha: That is correct , Sandeepji. That's our target.
Sandeep Shah: Okay and Sanjay sir , is it fair to assume even in 4th Quarter we can have a credit for PLI if government approval comes on within that time?
Sanjay Lodha: Looks like.
Sandeep Shah: Okay and last question any other order pipeline getting created for the strategic order maybe for the first type of process?
Sanjay Lodha: Yes that's an ongoing process Sandeepji. There is a huge basically opportunity on our hand which we are constantly working but as we mentioned we are not guiding on the strategic orders we are announcing as we are get ting it. So, we still maintain the same.
Sandeep Shah: Okay and sir last question 4th Quarter is generally seasonally strong for business outside strategic orders. Do you believe same can repeat in this financial year as well?
Sanjay Lodha: Your wishful thinking really helps us to think positive.
Sandeep Shah: Okay sir , thank you.

Moderator: Thank you. The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP. Please go ahead.
Aman Soni: Firstly , congrats for good set of numbers. Sir with the recent spike in the commodity price especially copper , this is critical for power transmission and datacenter infrastructure. How do you see the impact on economies and timelines of AI led datacenters deployment in India? Are you observing any deferment of orders demand slowdown or longer decision cycle for customers due to high power and infra cost or does the AI driven demand remain largely insulated?
Sanjay Lodha: Sir, actually your question is really interesting but basically actually I personally feel the copper prices are going up because of the datacenter demand rather than basically copper pricing restricting datacenter demand it seems a very very far thought thing actually . Really speaking , because the way t he datacenters are growing definitely copper prices are really I think getti

ng
stronger because of that , overall mental sentiments are different but still I feel that's the reason. So, I personally feel because the datacenter boom and the kind of opportuni ty is there I don't think copper pricing will really impact or slow down the growth or something . Definitely it will factor in , the basically the cost will be higher because of electrical components and all we don't deal in most of them . We also use copper but our copper use is limited . It is not that much actually primarily we have some copper use in our servers actually and some components it's being used but still I personally feel that these prices whatever price hike is happening on the copper side of , the industry is such a basically vast high technology industry will easily be absorbed and it won't slow it down.
Aman Soni: Okay sir , thank you . Understood.
Moderator: Thank you . The next question is from the line of Raman KV from Sequent Investments . Please go ahead.
Raman KV: Hello sir . Sir I have two questions basically . One is I just want to understand what's the difference between your organic order book and strategic order book ? Like, is the difference between like in terms of revenue recognition or the project cost ? That's my first question.
Sanjeev Sancheti: Okay , so when we said what is organic -inorganic , there are certain very large possible orders which the company is pursuing business . These will be large orders which generally could be 400-500 to 1000 crores . We call them strategic order . There are no difference in the accounting policy the revenue recognition etc . On the margin side , larger order we've already guided that

these will be about 200 basis points lower at the PBT level I think t hat's the difference there otherwise no difference in the accounting treatment etc . I hope that answers you.
Raman KV: Understood , sir. And so if I'm excluding this execution of this strategic order in Q3 , our 9 -month revenue comes around 1000 or 1100 with the current quarter revenue around Rs. 400 crores if my understanding is right. Am I right?
Sanjeev Sancheti: Should be in the same .

Sanjay Lodha: More or less right.
Raman KV: So, basically on X of strategic or der we are able to do around 400 crores of revenue on a quarterly basis ?
Sanjeev Sancheti: No, we are not saying that . Every quarter will not be same . We are not a FMCG company , please understand . So, be guided by what we have given for an annual guidance , quarter -on-quarter it is it's not cast in stone that every quarter will be Rs. 400 crores.
Raman KV: No, I just want to understand whether this business is a like a cyclical or periodic which in essence basically whether the first half is better in terms of revenue recognition or usually like a EMS company where the revenue flows towards the end of the year . So, I just want to understand that from that point of view.
Sanjeev Sancheti: There may be some difference in first half and second half but quarter o n quarter different year we have seen different quarters doing better so in some years we have seen , Q3 to be the best some year we've seen Q4 to be best , It is impossible …
Raman KV: So, basically , second half is better ?
Sanjeev Sancheti: Second half is be tter than the first half.
Raman KV: Okay and so this 500 crores of organic order book what's the timeline for you to execute these orders on a ballpark figure?
Sanjeev Sancheti: 450 is already billed , right?
Raman KV: Organic order.
Sanjay Lodha: Order book is basically our order book billing cycle is 12 weeks to 16 weeks normally.
Raman KV: And how long will it will this L1 order of around Rs. 300 crores will it take for you to recognize in the order book like convert it to a proper order book?
Sanjay L odha: I think within next 8 to 10 weeks it should be there.
Raman KV: Okay su

re. Thank you, sir.
Sanjay Lodha: Thank you.
Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare : Sir I just had one question with everything looking so positive , what could go wrong with the business and I'm not talking about the short -term challenges here like chip and all talking about some long -term, any long -term issues you could face which coul d derail the growth of your Compan y?
Sanjay Lodha: I'll have to spend a night to think about it
Onkar Ghugardare: If you can just highlight 3-4 main points that would be helpful.
Sanjay Lodha: Let me tell you . Like basically like if you really see this is I think the 12th quarterly result which I have presented after listing . You will see consistently every quarter we have grown , every basically if you really see basically the growth has been very very consistent . It's very difficult to do this kind of bus iness because this is just because of a niche and focus so basically I think it's a we are not into a volume company or something of that nature . So, it's primarily quite good and overall we feel we don't find any major kind of any black swan event if it comes tomorrow if earthquake comes or basically something happens to the world and compan y we also cannot do anything about it but overall other than that I don't see any major challenge ahead.
Onkar Ghugardare: Like you are saying that 3 0%-40% kind of growth . I mean even if maybe in next 2 odd years your base goes up . That 30 %-40% run rate is quite achievable , you are saying that ?
Sanjay Lodha: At least next 2 to 3 years we are we are targeting that .
Onkar Ghugardare: Okay, are you thinki ng anything about the capacity addition after 2 ,500 crores -3,000 crores?
Sanjay Lodha: Yes, definitely some kind of , we are capability based . So, it's an ongoing process which keeps on going . So, definitely that requirement will there , we are fully keen to do that .
Onkar Ghugardare: Like how much time it will take for you to like ramp up that once you start doing it ?
Sanjay Lodha: Again, these plants are very very close to the Company actually , for competitive information , we would not like to share that .
Sanjeev Sancheti: But just to kind of give you the comfort that a business will not be constrained by capacity .

Sanjay Lodha: That's true .
Sanjeev Sancheti: We'll do what it needs to be done if we have business to be done .
Onkar Ghugardare: Thank you , sir. That helps , thanks .
Moderator: Thank you , The next question is from the line of Miloni Mehta from Monarch capital . Please go ahead .

Miloni Mehta: Thank you for the opportunity but actually most of my questions are already being answered .
Sanjay Lodha: Okay , thanks.
Moderator: Thank you . Ladies and gentlemen , due to time constraint this was the last question for today . I now have the conference over to Ms. R enu Baid for closing comments . Over to you , ma'am .
Renu Baid: Thank you everyone for your patience participation . I would now like the to hand over the call to Mr. Sanjay Lodha for his closing comments . Thank you and over to you , sir.
Sanjay Lodha: Thank you , Renu ji. Thank you to participants and great partnership and the great trust which you have inst illed upon us . We'll do our level best . Thank you so much .
Moderator: Thank you very much . On behalf of IIFL C apital Services Limited that concludes this conference . Thank you all for joining us and you may now disconnect your lines .

Call: May 2026

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SUB: TRANSCRIPT OF Q 4 FY2 6 POST RESUL TS EARNING CALL
Dear Sir/Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Post results earning s call for Q 4 FY2 6 held on Mon day, 04th May 202 6 at 3.30 PM .

Kindly take the same on your records.

Thanking You,
Yours faithfully
For Netweb Technologies India Limited

Lohit Chhabra
Company Secretary & Compliance Officer

"Netweb Technologies India Limited
Q4 FY '26 Earnings Conference Call "
May 04, 202 6

MANAGEMENT : MR. SANJAY LODHA – CHAIRMAN AND MANAGING
DIRECTOR – NETWEB TECHNOLOGIES INDIA LIMITED
MR. NAVIN LODHA – WHOLE -TIME DIRECTOR –
NETWEB TECHNOLOGIES INDIA LIMITED
MR. ANKIT KUMAR SINGHAL – CHIEF FINANCIAL
OFFICER --
MR. HIRDEY VIKRAM – CHIEF SALES AND
MARKETING OFFICER – NETWEB TECHNOLOGIES
INDIA LIMITED
MR. MUKUL KEDIA – CHIEF STRATEGY OFFICER
MR. SANJEEV SANCHETI – HEAD UIRTUS ADVISORS ,
IR ADVIS OR – NETWEB TECHNOLOGIES INDIA
LIMITED

MODERATOR : MS. SEEMA NAYAK – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Netweb Technologies Limited Q4 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Seema Nayak from ICICI Securities. Thank you, and over to you, ma'am.

Seema Nayak: Thank you. Good afternoon, everyone. On behalf of ICICI Securities, I welcome everyone to Netweb Technologies Q4 FY '26 Earnings Call. We have the pleasure of having with us the senior management team of Netweb Technologies, led by CMD, Mr. Sanjay Lodha; Whole - Time Director, Mr. Navin Lodha; CFO, Mr. Ankit Kumar Singhal; Chief Sales and Marketing Officer, Mr. Hirdey Vikram; Chief Strategy Officer, Mukul Kedia; and Head of Uirtus Advisors, the IR Advis or to Netweb Technologies, Mr. Sanjeev Sanch eti. So, without further delay, I'd like to hand over the floor to Mr. Sanjeev Sancheti. Over to you, sir.

Sanjeev Sancheti: Thank you, Seema. Good afternoon to all the participants. Before I hand over the call to Mr. Sanjay Lodha for the opening remarks, I would like to draw your attention to the Safe Harbor statement in the earnings call presentation. I request each one of you to go through the presentation thoroughly before the Q&A starts so that you are aware of the same. Thank you, and over to you, Mr. Lodha.

Sanjay Lodha: Thank you, Seema and Sanjeev. Good afternoon, and warm welcome to all of you to Netweb Technologies Q4 Financial Year '26 Earnings Call. We are pleased to announce that Netweb Technologies delivered a landmark year with the revenue from operations reachin g INR21,836 million in financial year '26, reflecting a strong year -on-year growth of 90%. This record annual performance underscores the strength of our business model and accelerating demand for high - end computing systems in India.

For Q4 financial year '26, revenue from operations stood at INR7,737 million, growing at 86.6% year-on-year, demonstrating strong execution momentum as we closed the year on a high note. PAT for the quarter stood at INR706 million, representing 65.7% year -on-year growth with a PAT margin of 9%. For the full year, PAT stood at INR2,058 million, up by 80.9% year -on-year with a PAT margin of 9.3%.

These results reflect not just top line momentum, but disciplined margin sustained across our businesses. The defining highlight of financial year '26 has been the performance of our AI segment, which grew by 459.6% year -on-year. This growth was a result o f years of focused in - house R&D, enabling us to design and manufacture some of the world's most powerful latest generation AI systems, combined with disciplined planning and execution of large strategically significant national scale orders.

AI systems contributed 43.4% of our total operating revenue in financial year '26, a transformational shift from a revenue mix that firmly positions our Netweb's -- our total

operating revenue positions Netweb at the center of AI infrastructure build -out. The other two core segments, HPC and Private Cloud continues to exhibit robust demand, reinforcing the breadth and resilience of our technology portfolio.

The performance is a direct reflection of Netweb's unwavering commitment to in -house design and manufacture of next -gen high -end computing system. This fully aligns with global phenomenon of sovereign compute infra needs, which is very well addressed by N etweb and country's Make in India vision. We take immense pride in c

reating significant impact in strengthening India's emergence as a credible global hub for high -technology manufacturing, which will benefit the nation for decades to come.

Beyond our own performance, we believe India stands at a threshold of generational opportunity in artificial intelligence. With the world's largest pool of digital users, a fast maturing data ecosystem, a major boost to indigenous foundation models and de cisive policy momentum through India AI Mission supported by Make in India, the country is poised to emerge as one of the most prominent AI economies of the world.

Central to this vison is government's clear focus on sovereign AI infrastructure, ensuring that the compute, data and models powering India's digital future is built, owned and operated within the country. The build -out of indigenous AI compute is no long er aspirational. It is a strategic national imperative tied directly to economic competitiveness, data security and technological self-reliance.

As India's only full -stack domestic provider for high -end computing systems, Netweb is uniquely positioned to power this transition. Our strategy remains firmly anchored on our 3 growth pillars: HPC, Private Cloud and AI systems, supported by our establis hed technology leadership in the high -end computing system space for large order pipeline.

As we step into financial year '27 from a position of strength with a firm order book of around INR2,100 crores and an L1 inclusive order book of INR2,400 crores, day one of financial year '27, we already have on our books more than what we had billed for all of last year. We see a long runway of growth ahead. We remain committed to investing in R&D, manufacturing depth and talent to ensure India's AI ambition are built on strong foundations and that Netweb continues to create durable long -term value for a ll our stakeholders.

I now request Ankit to take through the financials. Thank you.

Ankit Kumar Singhal: Thank you, Mr. Lodha. Good afternoon, ladies and gentlemen, and thank you for joining our earnings call. Before we open the floor for Q&A, I will provide a brief overview of the financial performance for the quarter and the year gone by. I trust by that n ow you have had the opportunity to review our earnings presentation and press release.

While our CMD has already discussed the macro -outlook , I will elaborate on the financial performance, providing a more detailed analysis. First, on the quarterly numbers. Our operating income for Q4 FY '26 stood at INR7,737 million, showcasing a growth of 86.6% Y -o-Y. Our adjusted operating EBITDA for Q4 FY '26 stood at INR1,018 million, showcasing a growth of

71.8% Y -o-Y. Adjusted EBITDA includes the impact of mark -to-market losses on certain payables against which corresponding hedging gains were recorded.

As per accounting standard, MTM losses are recognized within expenses, while related hedging gains are classified under other income. To better reflect the operating performance, hedging gains of INR52.4 million have been added back to EBITDA to the extent they offset the MTM losses on the same underlying payables. Our operating EBITDA for Q4 FY '26 stood at INR966 million, showcasing a growth of 63% Y -o-Y. Profit after tax for Q4 FY '26 stood at INR706 million, showcasing a growth of 65.7% Y -o-Y with a ma rgin of 9%.

Now moving on to the annual numbers. Operating income for the full year FY '26 stood at INR21,836 million, showcasing a growth of 90% Y -o-Y. Adjusted operating EBITDA for FY '26 stood at INR2,901 million, showcasing a growth of 82.4% Y -o-Y. Operating EBITDA for the full year FY '26 stood at INR2,848 million, showcasing a growth of 79.1% Y -o-Y. Profit after tax for the full year FY '26 stood at INR2,058 million, showcasing a growth of 80.9% Y -o-Y with a margin of 9.3%.

Now I would like to

throw some light on key balance sheet ratios. Return on equity stood at a healthy 32.9%, while return on capital employed for the same period was 37.5%. The gross fixed asset turnover ratio stood at 33.2x as on 31st March 2026. Our cash conversion cycle as at March 2026 stood at 84 days. Receivable da ys improved from 114 days in December 2025 to 86 days in March 2026, reflecting stronger collections.

Inventory days increased from 60 days in December 2025 to 86 days in March 2026, primarily on account of buildup of raw material stock both to support the execution of large strategic orders and to secure adequate inventory of key inputs in light of surgi ng global demand of AI compute infrastructure.

Our balance sheet strength is reflected by us being a zero-net-debt company. The company had net free cash of INR833 million as on 31st March 2026. The net cash generated from operating activities was INR1,715 million for the financial year 2026. The Board has recommended a dividend of INR3 per share, subject to shareholders' approval.

Our strategic road map and growth priorities remains on track, supported by huge demand for high-end computing solution, a healthy order book and a solid pipeline, we are positioned to deliver consistent revenue and profitability in the upcoming fiscal ye ar. Looking ahead, we remain confident of sustaining strong momentum and are guiding a growth -- revenue growth of 35% to 40% over the next couple of years. With this, I'll now hand over the call to Seema.

Moderator : Thank you very much, sir. We will now begin the question -and-answer session. First question is from the line of Renu Baid from IIFL Securities.

Renu Baid : Congratulations for the good performance. So, the first question is, while we had alluded to the fact that sequentially execution will be broadly flattish, can you throw inputs in terms of despite significantly higher share of organic growth coming in from the base business, our gross margins technic ally have not improved. The EBITDA margin sequentially w as broadly at 12.5%. So, what has constrained the margin expansion despite a significant jump up in base business revenues this quarter?

Sanjeev Sancheti : So Renu, just a couple of things. One that it is not that the strategic orders have been lagging behind. It's just that they spilled over to the next quarter, okay? So, we are on track on that. And we entered the new financial with a very strong order book of about INR2,100 crores plus about INR350 crores of the L1.

So, we entered with INR2,400 crores, which is more than the last year's revenue. As far as the margins are concerned, I think you need to see the margin adjusted of the forex loss and gain. So actually, we've done better than the last quarter, and that is reflective of how the margin is perceived to be, and it is within the guidance.

Renu Baid : Sure. Because I was looking at the gross margin level, which sequentially does not show improvement there. Understand. That's point number one . And point number two , how are we looking at the pipeline of order flows, both for the base business? Also on the strategic business, we haven't heard of any meaningful large order wins for L1 in the last couple of quarters. So how is the order pipeline from the private servic e providers as well as from the direct government orders for the AI infrastructur e here?

Sanjay Lodha: Renu Ji, actually, if you really see what I said in my commentary very, very clearly, basically, the way the business is looking to me is really fabulous, actually, really speaking. I'm showing an order book of around basically INR2,100 crores. But if I add the L1, it is INR2,400 crores, which is more than the order -- more than my revenue -- current year's revenue.

I think that itself is a very, very solid thing if you really see at the beginning of the year, we are enteri

ng a year with a very, very too heavy and too robust order book already, okay? So whatever has to be added will be added. And plus -- so as to bas ically organic business is growing, that means that our run rate and our other business is growing.

The company is not dependent on strategic orders, as I have always been telling you that primarily the company is running primarily on its own organic way and it's growing in its organic way. The strategic orders we are announcing as and when it is coming . We have a lot of discussions.

You are aware about the kind of AI demand, which is happening not only in India, but across the world, okay? And basically -- and it seems like it will go on for at least the next 18 to 24 months. So we have a huge basically pipeline wherein basically a l ot of opportunities are there. And I think there is -- there will be no dearth of orders actually, really speaking.

Renu Baid : Got it. So basically, extra strategic orders of almost INR16 billion, INR16.5 billion, the base order book today is about INR5 billion. And including the L1 orders, it should add up close to INR900 crores or INR9 billion, if I am right in terms of numbers. Does that broadly fall in place?

Sanjeev Sancheti : Order book -- so I think the total order book, if you look today is INR2,100 crores plus about INR300 crores. So INR2,400 plus INR100 crores is the order book, including L1. And to that,

you add INR4,400 crores of pipeline. So that will stack up to, let's say, about how much -- INR6,500 crores. So that's the total, including pipeline and order book.

Renu Baid : Sure. No, I was just referring to the base orders, excluding strategic. So strategic orders in the backlog is about close to INR16 billion, INR16.5 billion. And if I knock that off from the INR64 billion order book, including L1, then today, we have close to INR800...

Sanjay Lodha: Yes, you are right. Yes, you are rightly saying that.

Renu Baid : Got it. So base business should be on track for 30% to 35% CAGR growth that we have been suggesting ?

Sanjay Lodha: Yes. Basically, I think seeing the order book yourself will get that conviction.

Renu Baid : Right. And on the operating margins, do we think the cost headwinds in the current environment, we have been fully able to pass through? And EBITDA margins of 13%, 13.5%, are they sustainable going forward for '27, '28? And what would be your headline gui dance for fiscal '27 on revenue, EBITDA margins and capex ?

Sanjay Lodha: So basically, it will remain almost all the same. I will let Ankit answer it.

Ankit Kumar Singhal: Yes. So -- Renu, so on the operating EBITDA margins, we are guiding 13% to 14%. If you understand that there is a high top line growth, and we are still sustaining the EBITDA margin. So that primarily gives the validation and the resilience in the margins we are maintaining. So in this way, all -- if you see with this growth, the leverage is already embedded in the margins. So that's why we are guiding this 13% to 14% range for the next couple of years. And on the

revenue growth, we are guiding 35% to 40% growth.
Renu Baid : And capex for fiscal '27, what are the plans there?
Ankit Kumar Singhal: So, with the current capex , we are able to sustain the growth. There is no capex expansion. No significant capex is expected in this financial year '27. So, there will be the routine capex that will be coming across.
Renu Baid : Okay. So, we can expect the INR20 crores, INR25 crores of base spending will continue?
Sanjeev Sancheti : Yes, more or less.
Moderator : Next question is from the line of Seema Nayak from ICICI Securities.
Seema Nayak: Congrats on good organic growth. So how will the timeline for execution of the remaining strategic order wins pan out? That's my first question. And second question is regarding data center growth, which has slowed down. So

can you share the reason behind it? Are we seeing increased competition there? And what will be the target cash conversion cycle for FY '27? Yes, these are my questions.
Ankit Kumar Singhal: Strategic order time line.

Sanjay Lodha: So basically -- strategic orders time line, basically, it's -- definitely, as we have mentioned it, I think it is expected it to be done quarter -by-quarter. And we expect that -- within the next 3 quarters, I think we expect it to be done, okay, as regard s to the strategic order is concerned. The next question was...
Ankit Kumar Singhal: Next question was the data center de -growth.
Sanjay Lodha: Yes. Basically, I think you need to see it, ma'am, actually very clearly. There are 3 pillars of growth actually, which we have. Basically, just don't go by the name. The first is the HPC, that is supercomputing. That's already growing, and that has been always been around 30% of our business. But since this year, AI became 43% of our business, still it's 24% of our busine ss. So it's not -- it's not stagnating. It's growing.
But basically, since AI is growing much faster actually. Actually, the data center in our case is the Private Cloud and HCI. Please understand that. Basically -- so these are the 3 pillars. First is HPC, second is Private Cloud and third is AI. And Privat e Cloud is the data center business, which used to be around 30%, 35% of the business that is showing us 24% because, again, because of the AI, AI was 15%, it has become 43%, so that's the reason you're s eeing that number.
But in reality, it is growing at a good momentum, definitely not growing as good as AI, but definitely, it's growing at a good momentum. The data center, which you are saying there is no de-growth. The data center servers, which you are saying, that's not a focus area for us because we are not in the box selling, it was only some marginal 5% of the business, and it's around that. So we don't even track it. Our business, if you see totality, more than 95% comes from these 3 segments, HPC, Private Cloud and AI systems.
Ankit Kumar Singhal: Third question was the cash conversion cycle. Yes. So -- Seema, so our cash conversion cycle typically operates from 90 to 110 days. Now this is something which cannot be projected for next year at least, but we would like to say that the range will remai n like that. There will be some increase in the inventory days projected for this year also. So -- but we will stay within the range of 90 to 110. That's what we feel.
Moderator : Next question is from the line of Harinder Singh from Blackstone.
Harinder Singh : Sir, my question is basically on the India AI demand. So India is somewhere around 1 gigawatt, 1.5 gigawatt current. And by 2030, the country plan is to go up to 9 gigawatt. So first question is the way the industry -- as a country, we are going to grow f rom 1.5 gigawatt to 9 gigawatt, do you see your industry growth in line with the current country expectation?
And second question is a lot of hyperscalers like Amazon, Microsoft, they are going very aggressive in the country, and they are building up more than 1 gigawatt capacity in Hyderabad, Mumbai. So like I saw Yotta as your one of the customer. Are you focus ed on hyperscalers? Or like do you have any growth plans going into directly hyperscalers rather than the colocation providers? So...

Sanjay Lodha: Basically, first thing is that India AI Mission is based on many pillars. Actually, there are 5 or 7 pillars out there, actually, really speaking. And government, you know that Prime Minister's focus is very, very clearly on the -- basically, India has to become a leading country for providing AI solutions actually.

So, the government has been very clearly focusing upon it, has been working very har

d and have
been trying to bring AI on the forefront for the country so that India makes an impact to the world on the AI space actually. And so that is going on very well in t rack. Government's current spending budget, they are even ready to expand that also if they're able to do it. So it's really -- the budget is not the main criteria there.
The criteria is how fast they are able to spend the money and how fast they are able to get in the new infrastructure. So there are 2 parts of it, as we have been telling you -- telling every time that one is basically government is trying to basically re nt out GPUs from various new cloud providers like Yotta and others. And basically, another is that government is trying to set up their own infra.
So setting up their own infra is taking time, but definitely, that process has also started. But in the meantime, basically, they are trying to take it in the RFP model, they are trying to take GPUs from various kind of new cloud providers. So that is goi ng on, on track, and that's happening very clearly and the government's own demand is also there. So as regards to your -- particularly on the side of what is the kind of spend that is happening is basically it's a large amount.
They were talking about 10,000 GPUs, which became 25,000 GPUs. Now they are even ready to go up to 100,000 GPUs also. So government's focus is very clear. Very clearly, they want to create AI infrastructure in the country. So all the AI start -ups and all t he people who want to work on AI, they don't feel the pinch of it and the GPUs are made available to them so that they can really do their work.
If you got a chance, you might have even seen the success of India AI Summit, the kind of traction it got, the kind of people who are attending it, it was only targeted at 100,000 people, but more than 700,000 people really attended it. So we kind of -- basically, the Prime Minister himself was there for 3 days. So you can very well understand the kind of focus and attention they are trying to give it. As regards your question basically primarily that are we targeting hyperscalers?
At this point of time -- my answer is that at this point of time, we are not targeting really hyperscalers because India is a market in which basically still is not a hyperscaler -driven market. It's primarily more of a sovereign and those kind of market a ctually is -- currently it is. But definitely, hyperscalers come , And if they are interested, we can definitely bid for them. We can definitely work with them. But at this point of time, we are not targeting hyperscalers, and I don't feel India is a hypers caler market. They are trying to set up large data centers. Still, these are in greenfield projects. They will take time so as to basically come up. Maybe Hirdey can add.
Hirdey Vikram: Yes. I think you have already covered all the details. And as regards to demand is concerned, Harinder, I can definitely tell you the way the investments are going up, especially from the

government side and now the enterprise investment has also started coming in. So, it clearly paves the way for us, and we find a lot of headroom for us to grow.
And as you rightly mentioned that currently, the capacity which India holds in terms of data center, that is anyways going to go up. So that clearly shows that there is no dearth as regards to demand is concerned. So, we definitely want to encash the opportunity, and this is what we are doing. So, you can find a lot of good quarters coming our way.
Harinder Singh : So, these are the two questions. So, the way the industry and the AI industry is changing, so a lot of companies like TCS, they have come up with a company like HyperVault where they are serving these hyperscalers, providing them colo services where they are making huge 50%, 55% of margin in future, if you see growth int

o this business and happy to see you in other areas also
where -- which are more profitable and you can add value because you are contributing to a major part of the items wh ich goes into the data center ? Yes.
Sanjay Lodha: All these initiatives really add to our business actually. All the -- basically, you see all these -- we call them global service providers actually or basically GSIs like TCS, Infosys and basically Wipro and all these. So basically, they are all evolving and they are all developing different type of products so as to service the AI workload. So, all these basically offer us more opportunities and all these are our customers or our probable customers.
We are under NDA, so we cannot disclose which customer, what they are trying to do. But all these definitely add because they need AI infrastructure, they need the AI stack and everything which needs to be done on that basis -- on that, they offer the ser vices to the customer. So, more and more AI workload is coming to them. And so that AI workload delivery is there. So definitely, that's a good business opportunity for us.
Moderator : Next question is from the line of Akshay from AK Investments.

Akshay : Okay. So, my first question is regarding the promoter stake sale in the quarter 4. So the promoter have nearly sold the 4% stake. So, what was the reason for the same? And do we expect any further dilution in the promoter holding going forward?

Sanjeev Sancheti : Yes. So, I think first answer the second question first, we are not going to dilute, this stake sale was done in the month of February. We are not going to dilute 12 months from there. So that's already confirmed. As stake sale, of course, it was done because ther e was some -- there was a liquidity -- there was limited liquidity. So, by this stake sale, we have been able to increase the liquidity of the stock.

Akshay : Okay. Okay, sir. And sir, my second question is regarding the presentation. So there is one line in the presentation that we have commissioned the new state -of-the-art production facility spanning across 15,000 square foot. So is this the new manufacturin g facility that we have commissioned? Or -- if yes, then how much capacity or how much incremental capacity does it bring?

Hirdey Vikram: Yes. This is a state -of-the-art manufacturing facility, which we have set up. And largely, the target was to start manufacturing the range of those systems, which we had not been

manufacturing earlier. And now as you can see that we have introduced the new architecture of our latest generation systems as well. So keeping that in mind, this facility has been set up, and you will be happy to know that with this facility, we'll also b e designing the complete range of liquid cooled systems as well.

And now the idea was to increase the density per rack in our case, and that is what we have -- this facility has helped us. And now we'll be able to scale even beyond 150 kilowatt per rack kind of an architecture. So this facility was very important for u s. So that was in there -- in the process earlier. So now we have completed it, and we'll be targeting the larger deployments with the help of this facility.

Akshay : Okay, sir. So currently, what is the total revenue capabilities that we have from all our capacities?

Sanjay Lodha: So basically, Akshay, you will have to understand the company very well. This is a technology company. This is not a capacity -driven company actually. We are a capability -driven company. We have never said -we never work on capacity. Our capacity utilization would be around 65% to 70% only. Primarily, we are not driven by just a volume sale or something of that nature. You have to understand the basics of the company, actually, the company doesn't work on capacity. We work on capability. If tomorrow, NVIDIA's new Vera Rubin is coming up a

s a

new, we are already set up for the partnership for that. Tomorrow, if we have t o manufacture Vera Rubin based -servers and the racks and all that, definitely we need to set up something, we'll definitely set up. But again, that will not be capacity based, that will be capability based.

Moderator : Next question is from the line of Chi Ho Wong , Pictet Asset Management.

Chi Ho Wong: So, my first question is the Agentic AI impact on CPU. Year -to-date, we see a lot of demand after the OpenClaw launch. So, driving a lot of CPU usage. So we saw the Intel reported very, very strong earnings and outlook. So, for Netweb, I think the relationship is on the high - performing computing segment where you sell the CPU server.

So last year, apparently, the AI system is very good, but then the HPC segment is more steady. My question is because of this Agentic AI trend, do you see a much faster acceleration in the HPC segment revenue this year and maybe next year? That's my first question.

Sanjay Lodha: So basically -- telling you, Chi, basically -- thanks for your question. The Agentic AI is definitely, again, one of the factors which is driving the AI actually. And as regards to your relation between basically agentic AI driving HPC sales, I don't thin k that is going to impact, I don't think in this current year, at least in this geopolitical region, what I personally feel. HPC in itself is growing very well.

Basically, you are seeing HPC basically growth around -- it has grown by around 31%, which is not less actually, but you're seeing the number low because the AI has grown too much. So that is showing it that way. But let me tell you, HPC because of NSM, N ational Supercomputing Mission 2.0 is already there, plus basically adoption of HPC and AI together is also happening across verticals, across -- if you see the automobile industry is using it, basically there is quite a lot of use in the oil and gas and d ifferent areas.

So I personally feel that the HPC will keep on growing. But definitely, AI will grow at a larger pace. But as regards to your question on Intel, the current development, I feel that will take some

more time to create an impact to the HPC market growth in India as such what I can understand.
Chi Ho Wong: Okay. Understood. My second question is regarding the healthiness of the India AI investment by the government. Because I saw some articles saying that the investment in the downstream data center, the take up rate is quite low. So that some of these data centers, they have to rent it out to the other customers outside of the India AI Mission. Can you, from your perspective, comment about how healthy is the downstream adoption of the Indian AI Mission investment by the government?
Hirdey Vikram: Chi, thanks for your question. So as we have explained earlier also, so Government of India is very clear at the moment that they want India to become the AI service industry for the world. And for that purpose, this process of India AI Mission has been going on for the last almost half a decade, and the process started long back. And this mission is very clear that the investments are going on 2 fronts.
One, that they want to basically build facilities through the CSPs. And the second is that they want to build the facilities on an on -prem basis. So investment outlays, whatever has been outlined by Government of India so far has been as part of their fir st tranche of investments and that itself clearly signifies the efforts by the government of India. And that is going to -- that is anyways leaving an impact all over the country because enterprises and CSPs all are putting their efforts to build up the fa cilities.
And now going forward, the expectation is that the investments are only going to go up from here by government also and by the enterprises. So the opportunity gives us

a lot of headroom
to grow, and we are also going to welcoming the opportunity with open hands. and the kind of work we are doing.
And as you can see, the new manufacturing facility, which we have set up, there is also keeping in mind that we wanted to add a new capability of designing dense GPU systems, which can serve such kind of requirements coming from both the fronts, be it CSP front or the on -prem requirement front of Government of India. So we are absolutely capable, absolutely ready to address the requirement. So I think this is quite a good opportunity for us.
Sanjay Lodha: And the data center investment also is increasing from the corporate side also. People are really interested because they have demand on hand and so they are also trying to [inaudible 0:37:0 8], government is a ready buyer. So people are trying to put -- it takes some time to put up the data center investment as you understand that.
But people are already working. There is a lot of interest around that. If you see the current -- the government taxation also which they announced, so they are promoting data centers. So more and more data center investments are coming in. So we are pret ty sure the kind of basically the demand we are seeing and kind of interest from the government we are seeing. So things will roll on very well.
Moderator : Next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Congrats on a good execution despite supply chain management issue and its impact on the raw materials. Sir, the first question is this growth guidance of 35% -40% and EBITDA margin of 13%, 14%, both of which is for the base business, excluding strategic deal, how to consider this guidance?
Sanjay Lodha: So, the revenue growth, 35% -- maybe he is asking about the EBITDA margin...
Ankit Kumar Singhal: So, it's for the overall, this is the enterprise level guidance.
Sandeep Shah: But strategic order, you are saying in the first 3 quarters, it would be executed. So that itself is a big growth driver for the coming year?
Sanjay Lodha: Correct.
Sandeep Shah: So, the growth has to be higher than 35%, 40%, right?
Ankit Kumar Singhal: So, we on the revenue...
Sanjay Lodha: We are guiding you the best case, don't worry at all, Sandeep.
Sandeep Shah: Okay, okay. So, my question...
Sanjay Lodha: Because we are entering the year with INR2,400 crores already as an order book, okay, including the L1. That itself is a robust signal that basically we are entering the year with the order book, which is more than the last year's turnover, that is the more business addition will happen. But you understand that we are not box pusher, Sandeep ji. We are primarily more into proactive sellers rather than reactive sellers.
So basically, we just don't want to become a box pusher also. We -- always the intention of the company has been to engage into more and more value -added kind of deals. if you see my customers also, 50% is government, 50% is enterprise and enterprise cust omers are also large customers primarily. So basically, those kind of business really takes time to completely loop in and get in. So I feel the kind of revenue guidance which we are giving, we would like to maintain

that 35% to 40%.
Sandeep Shah: Okay. Okay. And sir, in terms of the current inventory level, it is fair to assume that the current order book to some extent can be compensated with the current inventory, which is done to some extent, will help you to maintain margin because the invento ry could be built at a price lower than the current spot rate price.
Sanjay Lodha: I think we will not like to guide on the inventory and the margin. Actually, Overall, I'd like to guide you the margins will remain at the same 13% to 14%. We have been always been -- you see that last year also, we performed as per our guidance, and

we a re very sure that we will do it this year also.
Sandeep Shah: Okay. Okay. And just last question in terms of export sales, any development progress you want to share, what percentage of revenue it has formed …

Moderator : Sorry to interrupt. Mr. Shah, your voice is breaking.
Sanjay Lodha: I will take this call. I understood Sandeep ji's question. So Sandeep Ji, basically, you know the AI demand is unabated. It's very difficult to fulfill the domestic demand itself. So really, frankly speaking, we are -- the focus on exports, we are not getting time to do it. And currently, the worldwide AI demand is unabated. So basically, let me first suffice the domestic demand, then we look into exports. So, it will remain around the 5%, which we have been currently doing. It will remain around that only.
Sandeep Shah: Okay. And sir, last question, apart from Google, even AWS and other hyperscalers are introducing their own chip. So, in this scenario, are we geared up in terms of tie -up beyond the top 3 chip providers or manufacturers? Because if this scale increases through hyperscaler produced chip design, can you share the progress how we are tying up and making sure that the mothe rboard design also meet a variety of chip designs?
Hirdey Vikram: So, Sandeep ji, this has been -- these efforts have been going on at their end for quite some time because emergence of TPU is not something which has happened just now. So we are aware of the progress which is happening on the other side of the market as well.
And we are open to go in that direction also as long as the significant development has been shown and as you know that we have got our in -house design teams also, that is the reason we were able to take up the risk -based architecture so fast. So same way , we will be able to look at the other chip makers also as long as there is a significant technological advancement at their end, which has got an acceptance in the market. So as a design team, as an OEM, we don't have any reservation to it.
Moderator : Next question is from the line of Vinay Menon from Monarch Networth Capital.
Vinay Menon: Congratulations on great execution in this quarter, sir. A couple of questions on my side. On the component pricing, are you seeing any kind of softness? Or are we still looking at component prices being at these levels for maybe the next few quarters?
Sanjay Lodha: So basically, really speaking, I cannot -- I'm not supposed to guide on the component pricing on my call actually. But let me tell you, the AI demand is really unabated. So that is definitely putting pressure on the components actually, really speaking. So, if it will remain unabated, definitely, there will be pressure on the component prices and component supply chain.
But basically, as I have been always been saying that we are proactive sellers, we have good projection of what is going to come, what is not going to come. So we plan our inventories and our contracts, our relationship with OEMs really basically are alig ned that way. So it doesn't impact us much. In case there is a price increase and -- so basically, we can always pass on to our new customers.
Vinay Menon: Okay. And just a couple of more things. One is we're seeing demand move from training to inference in last few quarters. So that is obviously less GPU dependent and more as like Sandeep mentioned, maybe TPUs are also coming in. So how are we going to get impacted in terms of

the demand shifting? Are we going to see more demand with inference demand improving? Or how does the economics work for us there?
Hirdey Vikram: Menon Ji, thanks for the question. So first of all, as regards our readiness is concerned, we have always been ready to address the demand coming from the training and the inference si

de, both sides of the market. And that's the reason that was reflected in our new introduction of our products as well because we have kept on adding those products also which can take care of inference exclusively or even the products which can take care of training and inference both. So from the readiness perspective, we have been seeing the market development. And accordingly, only we have designed our products basis on that. And secondly, as regards to whether the requirement will go up from here or it will go down. So I can definit ely tell you that the demand is only going to go up from here. Reason being, on one hand, the training kind of a work has already been going on in the country and outside already.

And at the same time, whatever development has been done on the training side earlier, now the time is that inference will also generate the additional demand. So I think it is good for us that inference is also taking up, and this is only going to add to the overall demand. So I think it is a good situation for us to handle. And we are pretty much ready with both the type of products and both the type of solutions, which can take care of the requirement.

Vinay Menon: Okay. Okay. And just one more thing on the guidance of 35%, 40%, that is inclusive of the AI mission deal, which we will execute over the next 2, 3 quarters?

Sanjeev Sancheti : So, the guidance on the top line is not inclusive of the strategic order. It is the normal organic order, which is about 35%.

Moderator : Next question is from the line of Pooja Seth from Yes Securities.

Pooja Seth : Congrats for having a good set of numbers. Sir, just want a clarification. In your strategic order book, whatever revenue you guys generate, it comes under your AI segment?

Sanjeev Sancheti : Yes.

Pooja Seth : Sir so, as you are guiding us 35% to 40% growth. So could you throw some light on the segment - wise in which segment you are seeing except for AI because HPC, our core business that is HPC and HPS. We are I think about 25% of growth this year. So how we are seeing this further on?

Sanjeev Sancheti : I think we give guidance overall basis. There's too much of detail to be given for a guidance. We would like to stick to the guidance on an overall basis.

Pooja Seth : But sir, some sort of guidance like in which segment you are seeing...

Sanjay Lodha: So basically, our -- all the three segments, ma'am, if you understand three segments today, please understand our core business, okay? You understand our business, our business is HPC, our business is Private Cloud and AI. Now you tell me which segment will not grow, ma'am. I give you a reverse question. Basically, HPC is a segment which will grow very heavily. Private Cloud data center is going unabated, but AI is worldwide grown.

So, all the 3 segments, 95% of business coming into the company is into these 3 businesses. And all the 3 segments are really growing at a very good pace. So definitely, that will grow. So definitely, HPC and AI should grow at a faster pace. But I personally feel in future, I would like -- I was guiding that AI should be around 25% to 30%. I can tell you that AI will remain around 35% of my business. Balance will be shared equally between the HPC and Private Cloud.

Pooja Seth : And sir, one more question. As this quarter, we have seen there was -- net borrowing has increased about INR270 crores. So, could you give a breakdown why this happened?

Ankit Kumar Singhal: Borrowings are largely to fund the strategic orders. We had been -- these are very short -term borrowings. These are no long -term borrowings, and these are primarily to execute the working capital required for any large strategic orders or at the same time , any regular orders which are going through, and this gets settled in a very short span of time.

Sanjeev Sancheti : So, I mean, you

can take it that this borrowing is transitionary.

Moderator : Next question is from the line of Mansimer Singh Sethi from Citi Capital.

Mansimer Singh Sethi : Sir, I wanted to know regarding our cash conversion cycle, like I know it's already been asked the question. But the thing is the cash conversion cycle is more than 100 days. So, don't you think with increasing ROE and ROCE, it will be difficult for us, like we will be -- that we need to reduce the cash conversion cycle drastically for that?

Sanjeev Sancheti : Drastically, no, just a minute. So, I don't think it is 100 days. I think we have shared the presentation. If you have had a look at the presentation, it is 84 days. And primarily, because of inventory, which we have created in inventory for our large orders, which we are carrying in hand a s of date. Ankit, if you can add to that.

Ankit Kumar Singhal: So yes, correctly mentioned by Sanjeev sir. So, it's not 100, it's around 84. And still the increase is because of the inventory days. If you see the receivable days from the last quarter, it has significantly improved and inventory days has gone up on the account of stocking the critical components fo r potential and large orders.

Sanjay Lodha: And plus, basically, we have always guided that our -- basically our kind of business, it will remain between 80 to 90. So, I think this is not a surprise.

Mansimer Singh Sethi : Okay. So actually, it was guided here only in the con call like more than 100, 120. That's why I was asking.

Sanjay Lodha: So it has come down.
Sanjeev Sancheti : 90 to 110 is our standard guidance. So -- yes...
Management : I think it will be okay with that.
Mansimer Singh Sethi : Okay. Okay. And my second question is regarding our exports. So I was -- in the last con call, you were saying that we are tracking different exports also. So I wanted to know regarding that, any pipeline regarding our exports per se?

Hirdey Vikram: So as you could -- I hope you heard our answer earlier also that see the kind of market we see in the domestic space. So we are right now trying to fulfill the demand coming from the domestic market itself because there is a lot of headroom for us to grow , address the overall incremental growth in the market and all that.
So first, once we are able to address the complete market share in India, definitely, we'll be going out as well. But the priority right now is domestic. And since domestic is anyways giving us the required quantum of growth, so there is no harm focusing on this. But yes, going outside, India is definitely in our pipeline, and we'll be focusing on that as well.
Mansimer Singh Sethi : Okay. Sir, my last question, like we have a INR4,000 crores of pipeline, right? Can you tell me what percentage of that can be converted on the safer side in this financial year?
Sanjay Lodha: 60%.
Mansimer Singh Sethi : 60%...
Sanjay Lodha: Just financial year, No, no. That is basically...
Sanjeev Sancheti : Generally, the conversion is about 60%, but this will fuel about 1.5 to 2 years of -- yes, 18 to 24 months. So, it's not that all of the 60% will happen this year.
Moderator : Next question is from the line of Vatsal A ggarwal from -- who is a Retail Investor .
Vatsal Aggarwal : Yes. Sir, given the strong cash position on the balance sheet, can you explain the reason behind the increase in the short -term borrowing because it appears counterintuitive, sir?
Ankit Kumar Singhal: So, it's not that. There is -- the borrowings have some covenants. When we borrow the funds, we have to maintain the borrowing period for some period of time. And these are the numbers based on the reporting date. So, there are RBI guidelines where the WCDLs are supposed to be maintained for a certain period of time.
So, to avoid that, that's why it's coming here. And we do have cash, but we cannot settl

e the borrowings with them. So, there are the commitments which are given to lender in the coordination with the RBI circulars.
Vatsal Aggarwal : And secondly, sir, I was just trying to understand the business segment. Can you please explain the difference between our Private Cloud business segment and the AI systems business segment?
Hirdey Vikram: See, we have talked about it in the earlier quarters also. So, the difference is that Private Cloud is basically catering to a different side of the market, where the convergence of compute, network, and memory happens. Whereas the AI side of the market, AI system is largely taking care of the AI workloads. If you ar e trying to know about what is the difference in the workload type from these two markets, then the answer is this.
And if you want to know about what is the difference in the -- from the business side of it, that who all are the probable customers from the Private Cloud and who all are the probable

customers from the AI system side, then my -- I can basically further explain. I hope I have answered you that the Private Cloud is largely for the convergence of compute network and the hyper -convergence put together in a single platform. That is for the Private Cloud and HCI, whereas AI system is largely meant for the purpose of AI workloads.
Vatsal Aggarwal : No, sir, because my question is that for data centers, it should be in the AI systems business rather than the Private Cloud, if my understanding is correct?
Hirdey Vikram: Data center assets, see, one thing is very clear that data center is assets which cuts across all the verticals for us, product verticals, but largely data center is largely focused around the Private Cloud and HCI for us. Reason being that the data cente r workloads, what we talk about are the workloads wherein the convergence of compute with the storage and the network put together happens.
So that is basically dealt with -- dealt in case of Private Cloud and HCI. That's the reason we don't count it as part of AI system, but we count it as part of Private Cloud. And that's how these two are related.

Moderator : Next question is from the line of Prajay from Wealthyvia.

Prajay : Yes. So, my first question is that as per what earlier participant had said that out of your total pipeline, 60% would be converted. And out of that, some of the orders would be passed on to 1, 2 years. So, like did I hear that correctly?

Sanjay Lodha: So, I think basically, what we mentioned is that the -- somebody asked us that pipeline -- in how much time will pipeline be converted. So, pipeline is a very, very dynamic situation, which keeps on changing every day. So, whatever of the reported date, whatever pipeline is, that pipeline normally gets -- 60% of it gets converted, but it takes around 1.5 years, around 18 months to get converted. All of it, total of it.

Sanjeev Sancheti : So just to explain to you, the conversion happens like every day, right? What I'm saying that this pipeline which is sitting today may convert -- the 100% of may get converted by 1.5 years, but it will happen in tranches. And new pipeline will also keep e ntering into this. It's a very dynamic thing, right? Pipeline, someone will convert into orders, some will go out of it. New pipeline will get entered. So, this is a very dynamic situation.

Prajay : Okay. And your order book, the amount is INR2,400 crores, including the L1. So ideally, as per what I'm able to understand, it gets executed in 3 to 6 months, right? So the revenue visibility that like for this order book is 3 to 6 months only? Or am I missing something out in this?

Sanjay Lodha: Basically, as I -- normally, our shipping cycle is very different. Normally, our order cycle is somewhere around 10 to 20 weeks, we normally ship out, okay? It used to be 10 to 16 weeks, but it can be 10 to 20 week

s, it can normally go up. But as regard s trategic orders are concerned, we are not guiding on the execution. But basically, what I said is that the strategic orders should go in next 3 quarters actually and phase -wise. And as regards the organic order book is concerned, we feel that within 18 to 20 weeks, it should get built out.

Prajay : Okay. I'm sorry, can you bifurcate the strategic order and your idle orders to me? I'm sorry, I mean that attachment is...

Sanjay Lodha: In presentation I mentioned very clearly, INR1,600 crores is the strategic order INR472 crores is the organic order and INR327 crores is my L1.

Sanjeev Sancheti : Which is again organic.

Sanjay Lodha: Which is again organic.

Moderator : Thank you. Ladies and gentlemen, we will take th is as a last question for today. I now hand the conference over to the management for the closing comments.

Sanjay Lodha: Thank you. Thank you for taking out time and joining us. Thank you so much. Appreciate your interest.

Management : Thanks a lot.

Moderator : Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.